

OFFICIAL STATEMENT DATED JULY 10, 2025

Moody's: "Aaa"
S&P: "AA+"
See "OTHER INFORMATION – RATINGS"

NEW ISSUE - Book-Entry-Only

In the opinion of Jackson Walker LLP, Bond Counsel to the District, based upon an analysis of existing laws, regulations, rulings and court decisions, and assuming, among other matters, the accuracy of certain representations and compliance with certain covenants, interest on the Notes (as defined below) is excluded from gross income for federal income tax purposes under section 103 of the Internal Revenue Code of 1986. In the further opinion of Bond Counsel, interest on the Notes is not a specific preference item for purposes of the federal individual alternative minimum tax. Bond Counsel expresses no opinion regarding any other tax consequences relating to the ownership or disposition of, or the amount, accrual, or receipt of interest on, the Notes. See "TAX MATTERS" herein.

\$114,390,000
HOUSTON INDEPENDENT SCHOOL DISTRICT
(Harris County, Texas)
VARIABLE RATE MAINTENANCE TAX NOTES, SERIES
2025A

Interest Accrual Date: Delivery Date (as defined below)

Due: July 15, 2045

This Official Statement is provided to furnish information in connection with the offering by the Houston Independent School District (the "District") of its \$114,390,000 Variable Rate Maintenance Tax Notes, Series 2025A (the "Notes").

PAYMENT TERMS... The definitive Notes will be initially registered and delivered only to Cede & Co., the nominee of The Depository Trust Company ("DTC") pursuant to the Book-Entry-Only System described herein. The Notes will be issued in denominations of \$5,000 of principal amount during the Initial Term Rate Period (as defined below). **No physical delivery of the Notes will be made to the beneficial owners thereof.** Principal of, premium, if any, and interest on the Notes will be payable by the Paying Agent/Registrar to Cede & Co., which will make distribution of the amounts so paid to the beneficial owners of the Notes. See "BOOK-ENTRY-ONLY SYSTEM" herein. The initial Tender Agent and Paying Agent/Registrar for the Notes is The Bank of New York Mellon Trust Company, National Association. See "THE NOTES – GENERAL."

The Notes are issued as a single Term Note scheduled to mature as shown above and subject to redemption prior to maturity, in whole or in part, as described herein. See "THE NOTES - OPTIONAL REDEMPTION" and "- MANDATORY REDEMPTION."

The "Initial Term Rate Period" for the Notes shall mean the period commencing on the date of initial delivery thereof (the "Delivery Date") to the initial purchasers thereof (the "Underwriters") to and including July 14, 2028. During this Initial Term Rate Period, the Notes shall bear interest at the per annum rate of 5.000% per annum, which is the "Initial Term Rate" for the Notes. During the Initial Term Rate Period, interest on the Notes will be calculated on the basis of a 360-day year of twelve 30-day months and will be payable on each January 15 and July 15, commencing January 15, 2026, and on the applicable Conversion Date (defined herein) if such date is not a regular interest payment date.

The Notes are not subject to optional tender at the election of the holders thereof for purchase during the Initial Term Rate Period. The District has not entered into a standby bond purchase agreement, liquidity facility or similar agreement providing liquidity support for the Notes during the Initial Term Rate Period.

The Resolution obligates the District to use its best efforts to cause the Notes to be converted from the Initial Term Rate Period to a different Rate Period (as defined herein) on the first Business Day immediately following the last day of the Initial Term Rate Period (the date is referred to herein as the "Conversion Date") (see "THE BONDS – RATE PERIOD CHANGES" herein). The Notes will be subject to mandatory tender for purchase at the Purchase Price (as defined herein), without the right of retention by the holders thereof, on the Conversion Date for such Notes, which shall occur on July 15, 2028. Because the mandatory tender date is not a Business Day, mandatory tender for purchase and settlement of the purchase price will occur on July 17, 2028 (the next Business Day). The Conversion Date to the new Rate Period following the Initial Term Rate Period will be deemed to have occurred on July 15, 2028. Interest will cease to accrue during the Initial Term Rate Period on July 14, 2028. In the event that all of the Notes are not converted into one or more Rate Periods and remarketed to new purchasers on the Conversion Date for such Notes, neither the Remarketing Agent nor the District shall have any obligation to purchase any of such Notes tendered on such date, and the mandatory tender will be deemed to be rescinded for that date with respect to all of such Notes. The occurrence of the foregoing will not result in an event of default under the Resolution or the Notes. Until such time as the District redeems or remarkets Notes that have not been successfully remarketed as described above, such Notes shall bear interest at the "Stepped Rate" for the duration of the Stepped Rate Period (as defined herein). The Stepped Rate for the Notes is a per annum rate of 7.000% (see "THE NOTES – RATE PERIOD CHANGES" and "- TENDER PROVISIONS" herein). The District will appoint a Remarketing Agent for the Notes prior to the Conversion Date.

AUTHORITY FOR ISSUANCE... The Notes are issued pursuant to the Constitution and general laws of the State of Texas (the "State"), including particularly Section 45.108, Texas Education Code, as amended, Chapter 1371, Texas Government Code, as amended (together, the "Act"), and a resolution adopted by the School Board of the District (the "Board") on May 8, 2025, authorizing the issuance of the Notes (the "Note Resolution"). As permitted by the Act and in the Note Resolution, the Board delegated pricing of the Notes and certain other matters to an authorized official of the District who approved and executed a pricing certificate on July 10, 2025 that contains the final pricing information for the Notes (the "Pricing Certificate"). The Note Resolution and the Pricing Certificate are collectively referred to herein as the "Resolution," except as otherwise indicated herein. See "THE NOTES - AUTHORITY FOR ISSUANCE."

SECURITY AND SOURCE OF PAYMENT... The Notes are direct obligations of the District, secured by and payable from a continuing, direct annual ad valorem tax levied for maintenance purposes by the District against all taxable property located within the District, within the limit prescribed by law, as provided in the Resolution. See "THE NOTES – SECURITY AND SOURCE OF PAYMENT."

PURPOSE... Proceeds from the sale of the Notes will be used to (i) pay the costs of lawful maintenance expenses of the District consisting of repair, renovation, improvement, and equipment of existing school facilities, environmental cleanup, and the maintenance, repair, rehabilitation or replacement of building systems of existing school properties, and (ii) pay the costs of issuing the Notes. See "PLAN OF FINANCING – PURPOSE OF THE NOTES."

LEGALITY AND DELIVERY... The Notes are offered for delivery when, as and if issued and received by the underwriters listed below (the "Underwriters") and subject to the approving opinion of the Attorney General of Texas and the opinion of Jackson Walker LLP, Houston, Texas, Bond Counsel. Certain legal matters will be passed upon for the District by Bracewell LLP, Houston, Texas, Disclosure Counsel. Certain legal matters will be passed upon for the Underwriters by McCall, Parkhurst & Horton L.L.P., Houston, Texas, Counsel for the Underwriters. It is expected that the Notes will be available for delivery through DTC on or about July 31, 2025 (the "Delivery Date").

RBC Capital Markets

SAMCO Capital

PNC Capital Markets LLC

INITIAL TERM RATE PERIOD INFORMATION

\$114,390,000
HOUSTON INDEPENDENT SCHOOL DISTRICT
(Harris County, Texas)
VARIABLE RATE MAINTENANCE TAX NOTES, SERIES 2025A

Maturity	Principal Amount	Last Day of Initial Term Rate Period	Initial Mandatory Tender Date ⁽¹⁾	Initial Term Rate	Initial Yield ⁽²⁾	Stepped Rate	CUSIP ⁽³⁾
July 15, 2045	\$114,390,000	July 14, 2028	July 15, 2028	5.000%	2.990%	7.000%	442403SH5

The Notes have a stated maturity of July 15, 2045. The Notes are subject to mandatory redemption in the amounts and at the times provided in the Resolution and as described herein under the subcaption. “THE NOTES – MANDATORY REDEMPTION”. The Notes are not subject to optional redemption prior to the expiration of the Initial Term Rate Period; provided, however, the Notes are subject to optional redemption on any Business Day during such time that the Bonds bear interest at the Stepped Rate. See “THE BONDS – OPTIONAL REDEMPTION” and “– TENDER PROVISIONS – Effects of a Failed Remarketing.” The Bonds are additionally subject to redemption or purchase for cancellation on any Mandatory Tender Date. See “THE BONDS – OPTIONAL REDEMPTION.”

⁽¹⁾ The Notes will be subject to mandatory tender for purchase at the Purchase Price (as defined herein), without the right of retention by the holders thereof, on the Conversion Date for such Bonds, which shall occur on July 15, 2028. Because the mandatory tender date for the Bonds is not a Business Day, mandatory tender for purchase and settlement of the purchase price will occur on July 17, 2028 (the next Business Day). The Conversion Date to the new Rate Period following the Initial Term Rate Period will be deemed to have occurred July 15, 2028. Interest will cease to accrue during the Initial Term Rate Period on July 14, 2028. In the event that all of the Notes are not converted into one or more Rate Periods and remarketed to new purchasers on the Conversion Date for such Notes, neither the Remarketing Agent nor the District shall have any obligation to purchase any of such Notes tendered on such date, and the mandatory tender will be deemed to be rescinded for that date with respect to all of such Notes. The occurrence of the foregoing will not result in an event of default under the Resolution or the Notes. Until such time as the District redeems or remarkets Notes that have not been successfully remarketed as described above, such Notes shall bear interest at the “Stepped Rate” for the duration of the Stepped Rate Period (as defined herein). The Stepped Rate for the Bonds is a per annum rate of 7.000%. See “THE BONDS – RATE PERIOD CHANGES” and “– TENDER PROVISIONS” herein.

⁽²⁾ Yield on the Notes during the Initial Term Rate Period is calculated to the expiration of the Initial Term Rate Period.

⁽³⁾ CUSIP data herein is provided by CUSIP Global Services, which is managed on behalf of the American Bankers Association by FactSet Research Systems Inc. This data is not intended to create a database and does not serve in any way as a substitute for the CUSIP Global Services. CUSIP numbers are provided for convenience of reference only. Neither the District, the Financial Advisor (as defined herein), nor the Underwriters are responsible for the selection or correctness of the CUSIP numbers set forth herein.

USE OF INFORMATION IN THIS OFFICIAL STATEMENT

This Official Statement, which includes the cover page and the Appendices hereto, does not constitute an offer to sell or the solicitation of an offer to buy in any jurisdiction to any person to whom it is unlawful to make such offer, solicitation, or sale.

No dealer, broker, salesperson, or other person has been authorized by the District, the Financial Advisor or the Underwriters to give any information or to make any representations other than those contained in this Official Statement, and, if given or made, such other information or representations must not be relied upon as having been authorized by the District, the Financial Advisor or the Underwriters.

Certain information set forth herein has been obtained from the District and other sources which are believed to be reliable, but such information is not guaranteed as to accuracy or completeness and is not to be construed as a representation of the Financial Advisor or the Underwriters. This Official Statement contains, in part, estimates and matters of opinion which are not intended as statements of fact, and no representation is made as to the correctness of such estimates and opinions, or that they will be realized. Any information and expressions of opinion contained herein are subject to change without notice, and neither the delivery of this Official Statement nor any sale made hereunder shall, under any circumstances, create any implication that there has been no change in the affairs of the District or other matters described herein since the date hereof. See "CONTINUING DISCLOSURE OF INFORMATION" for a description of the undertaking of the District, to provide certain information on a continuing basis.

NONE OF THE DISTRICT, THE FINANCIAL ADVISOR OR THE UNDERWRITERS MAKE ANY REPRESENTATION OR WARRANTY WITH RESPECT TO THE INFORMATION CONTAINED IN THIS OFFICIAL STATEMENT REGARDING THE DEPOSITORY TRUST COMPANY ("DTC") OR ITS BOOK-ENTRY-ONLY SYSTEM AS SUCH INFORMATION HAS BEEN PROVIDED BY DTC.

The Underwriters have provided the following sentence for inclusion in this Official Statement: The Underwriters have reviewed the information in this Official Statement in accordance with their respective responsibilities to investors under the federal securities laws as applied to the facts and circumstances of this transaction, but the Underwriters do not guarantee the accuracy or completeness of such information.

NEITHER THE UNITED STATES SECURITIES AND EXCHANGE COMMISSION (THE "SEC") NOR ANY STATE SECURITIES COMMISSION HAS APPROVED OR DISAPPROVED OF THE NOTES OR PASSED UPON THE ADEQUACY OR ACCURACY OF THIS DOCUMENT. ANY REPRESENTATION TO THE CONTRARY IS A CRIMINAL OFFENSE.

THE NOTES ARE EXEMPT FROM REGISTRATION WITH THE SEC AND CONSEQUENTLY HAVE NOT BEEN REGISTERED THEREWITH. THE REGISTRATION, QUALIFICATION, OR EXEMPTION OF THE NOTES IN ACCORDANCE WITH APPLICABLE SECURITIES LAW PROVISIONS OF THE JURISDICTIONS IN WHICH THESE SECURITIES HAVE BEEN REGISTERED, QUALIFIED, OR EXEMPTED SHOULD NOT BE REGARDED AS A RECOMMENDATION THEREOF.

IN CONNECTION WITH THIS OFFERING OF THE NOTES, THE UNDERWRITERS MAY OVERALLOT OR EFFECT TRANSACTIONS THAT STABILIZE OR MAINTAIN THE MARKET PRICE OF THE NOTES AT A LEVEL ABOVE THAT WHICH MIGHT OTHERWISE PREVAIL IN THE OPEN MARKET. SUCH STABILIZING, IF COMMENCED, MAY BE DISCONTINUED AT ANY TIME.

The agreements of the District and others related to the Notes are contained solely in the contracts and the Resolution described herein. Neither this Official Statement nor any other statement made in connection with the offer or sale of the Notes is to be construed as constituting an agreement with the purchasers of the Notes. THE COVER PAGE CONTAINS INFORMATION FOR GENERAL REFERENCE ONLY AND IS NOT INTENDED AS A SUMMARY OF THIS OFFERING. INVESTORS SHOULD READ THE ENTIRE OFFICIAL STATEMENT, INCLUDING THE APPENDICES ATTACHED HERETO, TO OBTAIN INFORMATION ESSENTIAL TO MAKING AN INFORMED INVESTMENT DECISION.

THIS OFFICIAL STATEMENT CONTAINS "FORWARD-LOOKING" STATEMENTS. SUCH STATEMENTS MAY INVOLVE KNOWN AND UNKNOWN RISKS, UNCERTAINTIES AND OTHER FACTORS WHICH MAY CAUSE THE ACTUAL RESULTS, PERFORMANCE AND ACHIEVEMENTS TO BE DIFFERENT FROM THE FUTURE RESULTS, PERFORMANCE AND ACHIEVEMENTS EXPRESSED OR IMPLIED BY SUCH FORWARD-LOOKING STATEMENTS. INVESTORS ARE CAUTIONED THAT THE ACTUAL RESULTS COULD DIFFER MATERIALLY FROM THOSE SET FORTH IN THE FORWARD-LOOKING STATEMENTS. See "OTHER INFORMATION – FORWARD LOOKING STATEMENTS DISCLAIMER."

References to web site addresses presented herein are for informational purposes only and may be in the form of a hyperlink solely for the reader's convenience. Unless specified otherwise, such web sites and the information or links contained therein are not incorporated into, and are not part of, this Official Statement for any purpose.

TABLE OF CONTENTS

OFFICIAL STATEMENT SUMMARY	iv
SELECTED FINANCIAL INFORMATION	vi
DISTRICT OFFICIALS, STAFF AND CONSULTANTS	vii
INTRODUCTION	1
THE DISTRICT	1
DISTRICT ENROLLMENT	1
DISTRICT GOVERNANCE	2
PLAN OF FINANCING	2
PURPOSE OF THE NOTES	2
SOURCES AND USES OF PROCEEDS	2
THE NOTES	3
AUTHORITY FOR ISSUANCE	3
SECURITY AND SOURCE OF PAYMENT	3
GENERAL	3
INITIAL INTEREST RATE	4
RATE PERIOD CHANGES	4
TENDER PROVISIONS	4
OPTIONAL REDEMPTION	5
MANDATORY REDEMPTION	6
NOTICES OF REDEMPTION AND DTC NOTICES	7
PAYING AGENT/REGISTRAR	7
TRANSFER, EXCHANGE AND REGISTRATION	7
AMENDMENTS	7
BOOK-ENTRY-ONLY SYSTEM	8
REPLACEMENT NOTES	8
DEFEASANCE	9
RECORD DATE FOR INTEREST PAYMENT	9
HOLDERS' REMEDIES	9
STATE AND LOCAL FUNDING OF SCHOOL DISTRICTS IN TEXAS	9
LITIGATION RELATING TO THE TEXAS PUBLIC SCHOOL FINANCE SYSTEM	9
POSSIBLE EFFECTS OF CHANGES IN LAW ON DISTRICT BONDS	10
CURRENT PUBLIC SCHOOL FINANCE SYSTEM	10
OVERVIEW	10
2025 LEGISLATIVE SESSION	10
2023 LEGISLATIVE SESSION	11
LOCAL FUNDING FOR SCHOOL DISTRICTS	11
STATE FUNDING FOR SCHOOL DISTRICTS	12
LOCAL REVENUE LEVEL IN EXCESS OF ENTITLEMENT	14
THE SCHOOL FINANCE SYSTEM AS APPLIED TO THE DISTRICT	15
AD VALOREM TAX PROCEDURES	15
VALUATION OF TAXABLE PROPERTY	15
STATE MANDATED HOMESTEAD EXEMPTIONS	16
LOCAL OPTION HOMESTEAD EXEMPTIONS	16
STATE MANDATED FREEZE ON SCHOOL DISTRICT TAXES	16
PERSONAL PROPERTY	16
FREEPORT AND GOODS-IN-TRANSIT EXEMPTIONS	17
TEMPORARY EXEMPTION FOR QUALIFIED PROPERTY DAMAGED BY A DISASTER	17
OTHER EXEMPT PROPERTY	17
TAX INCREMENT REINVESTMENT ZONES	17
TAX LIMITATION AGREEMENTS	17
DISTRICT AND TAXPAYER REMEDIES	18
LEVY AND COLLECTION OF TAXES	18
DISTRICT'S RIGHTS IN THE EVENT OF TAX DELINQUENCIES	18
DISTRICT APPLICATION OF PROPERTY TAX CODE	19
TAX RATE LIMITATIONS	19
GENERAL	19
M&O TAX RATE LIMITATIONS	19
I&S TAX RATE LIMITATIONS	19
PUBLIC HEARING AND VOTER-APPROVAL TAX RATE	20
FINANCIAL INFORMATION	21
SOURCES OF DISTRICT REVENUES	21

TABLE 1 - VALUATION, EXEMPTIONS AND TAX-SUPPORTED DEBT	22
TABLE 2 - TAXABLE ASSESSED VALUATIONS BY CATEGORY	23
TABLE 3 - EXEMPTIONS	24
TABLE 4 - VALUATION AND TAX-SUPPORTED DEBT HISTORY	24
TABLE 5 - TAX RATE, LEVY, AND COLLECTIONS HISTORY	25
TABLE 6 - TEN LARGEST TAXPAYERS	25
TABLE 7 - ESTIMATED OVERLAPPING DEBT	26
DEBT INFORMATION	27
TABLE 8 - TAX-SUPPORTED DEBT SERVICE REQUIREMENTS	27
RISKS ASSOCIATED WITH BUILD AMERICA BONDS	28
TABLE 9 - AUTHORIZED BUT UNISSUED LIMITED TAX BONDS	28
TABLE 10 - LEASE/PURCHASE OBLIGATIONS	28
EMPLOYEES' RETIREMENT PLANS	28
OTHER POST-EMPLOYMENT BENEFITS (OPEB)	29
TABLE 11 - GENERAL FUND REVENUE AND EXPENDITURE HISTORY	30
INVESTMENTS	32
LEGAL INVESTMENTS	32
ADDITIONAL PROVISIONS	33
DISTRICT'S INVESTMENT POLICY	34
TABLE 12 - CURRENT INVESTMENTS	34
TAX MATTERS	34
CONTINUING DISCLOSURE OF INFORMATION	35
ANNUAL REPORTS	35
EVENT NOTICES	36
AVAILABILITY OF INFORMATION	36
LIMITATIONS AND AMENDMENTS	36
WEATHER EVENTS	37
CYBERSECURITY	37
EXPOSURE TO OIL AND GAS INDUSTRY	38
OTHER INFORMATION	38
RATINGS	38
LITIGATION	38
AUDITED FINANCIAL STATEMENTS	38
REGISTRATION AND QUALIFICATION OF NOTES FOR SALE	38
LEGAL INVESTMENTS AND ELIGIBILITY TO SECURE PUBLIC FUNDS IN TEXAS	39
LEGAL MATTERS	39
FINANCIAL ADVISOR	40
UNDERWRITING	40
FORWARD-LOOKING STATEMENTS DISCLAIMER	41
AUTHENTICITY OF FINANCIAL DATA AND OTHER INFORMATION	41
APPENDICES	
EXCERPTS FROM THE ANNUAL FINANCIAL REPORT	A
FORM OF BOND COUNSEL OPINION	B
BOOK-ENTRY-ONLY SYSTEM	C

The cover page hereof, the Maturity Schedule, this Table of Contents and the Appendices attached hereto are part of this Official Statement.

OFFICIAL STATEMENT SUMMARY

This summary is subject in all respects to the more complete information and definitions contained or incorporated in this Official Statement (which includes the Appendices hereto). The offering of the Notes to potential investors is made only by means of this entire Official Statement. No person is authorized to detach this summary from this Official Statement or to otherwise use it without the entire Official Statement (which includes the Appendices hereto).

THE DISTRICT	Houston Independent School District (the “District”), a political subdivision of the State of Texas (the “State”) located within Harris County, is the nation’s eighth largest public school system, and the largest school district in the State. The District comprises 333 square miles within Harris County, Texas and includes approximately 51% of the current geographic area of the City of Houston, Texas, and all or part of four other cities or villages, and certain unincorporated areas which include all or part of five utility districts. See “INTRODUCTION - THE DISTRICT.”
THE NOTES.....	The \$114,390,000 Variable Rate Maintenance Tax Notes, Series 2025A (the “Notes”) are issued as a single term note maturing on July 15, 2045. See “THE NOTES - GENERAL.”
INTEREST RATE	The “Initial Term Rate Period” for the Notes shall mean the period commencing on the Delivery Date (defined on the cover page) to the initial purchaser (the “Underwriters”) to and including July 14, 2028. During this Initial Term Rate Period, the Notes shall bear interest at the per annum rate of 5.000%, which is the “Initial Term Rate” for the Bonds. Interest on the Bonds during the Initial Term Rate Period will be payable on each January 15 and July 15, commencing on January 15, 2026, and on the applicable Conversion Date (defined herein) if such date is not a regular interest payment date, such interest, calculated on the basis of a 360-day year of twelve 30-day months. See “THE NOTES – INITIAL INTEREST RATE.” The Resolution obligates the District to use its best efforts to cause the Notes to be converted from the Initial Term Rate Period to a different Rate Period (as defined herein) on the first Business Day immediately following the last day of the Initial Term Rate Period (the date is referred to herein as the “Conversion Date”) (see “THE BONDS – RATE PERIOD CHANGES”). Because the mandatory tender date is not a Business Day, mandatory tender for purchase and settlement of the purchase price will occur on July 17, 2028 (the next Business Day). The Conversion Date to the new Rate Period following the Initial Term Rate Period will be deemed to have occurred on July 15, 2028. Interest will cease to accrue during the Initial Term Rate Period on July 14, 2028. In the event that all of the Notes are not converted into one or more Rate Periods and remarketed to new purchasers on the Conversion Date for such Notes, the mandatory tender will be deemed to be rescinded for that date with respect to all of such Notes. Until such time as the District redeems or remarkets the Notes that have not been successfully remarketed, such Notes shall bear interest at the Stepped Rate for the duration of the Stepped Rate Period (see “THE BONDS – TENDER PROVISIONS – Effects of a Failed Remarketing”). The Stepped Rate for the Bonds is a per annum rate of 7.000% calculated on the basis of a 360-day year of twelve 30-day months. See “THE NOTES – INITIAL INTEREST RATE”.
AUTHORITY FOR ISSUANCE	The Notes are issued pursuant to the Constitution and general laws of the State, including particularly Section 45.108, Texas Education Code, as amended, Chapter 1371, Texas Government Code, as amended (together, the “Act”), and a resolution adopted by the School Board of the District (the “Board”) on May 8, 2025, authorizing the issuance of the Notes in which the Board delegated pricing of the Notes and certain other matters to an authorized official of the District who approved and executed a pricing certificate on July 10, 2025 that contains the final pricing information for the Notes (together, the “Resolution”). See “THE NOTES - AUTHORITY FOR ISSUANCE.”
SECURITY FOR THE NOTES	The Notes are direct obligations of the District, secured by and payable from a continuing, direct annual ad valorem tax levied for maintenance purposes by the District against all taxable property located within the District, within the limit prescribed by law, as provided in the Resolution. See “THE NOTES – SECURITY AND SOURCE OF PAYMENT.” Also see “STATE AND LOCAL FUNDING OF SCHOOL DISTRICTS IN TEXAS” and “CURRENT PUBLIC SCHOOL FINANCE SYSTEM” for a discussion of recent developments in State law affecting the financing of school districts in the State.
USE OF PROCEEDS	Proceeds from the sale of the Notes will be used to (i) pay the costs of lawful maintenance expenses of the District consisting of repair, renovation, improvement, and equipment of existing school facilities, environmental cleanup, and the maintenance, repair, rehabilitation or replacement of building systems of existing school properties, and (ii) pay the costs of issuing the Notes. See “PLAN OF FINANCING – PURPOSE OF THE NOTES.”
OPTIONAL AND MANDATORY TENDER.....	The Notes are <u>not</u> subject to optional tender. The Notes are subject to mandatory tender for purchase at the Purchase Price, without the right of retention by the holders thereof, on the Conversion Date for such Bonds, which shall occur on July 15, 2028. If such day is not a

Business Day, actual tender shall occur on the next Business Day (though interest will have ceased to accrue as to the expiration of the Initial Term Rate Period). In the event that all of the Notes are not converted into one or more Rate Periods and remarketed to new purchasers on the Conversion Date for such Notes, neither the Remarketing Agent nor the District shall have any obligation to purchase any of such Notes tendered on such date, the mandatory tender will be deemed to be rescinded for that date with respect to all of such Notes, and all such Notes will continue to be outstanding and bear interest beginning on such mandatory tender date that is rescinded at the Stepped Rate until all such Notes are subsequently converted and remarketed by the Remarketing Agent or redeemed by the District (such period, the “Stepped Rate Period”). The occurrence of the foregoing will not result in an event of default under the Resolution or the Notes. See “THE NOTES – TENDER PROVISIONS”. The Stepped Rate for the Notes is a per annum rate of 7.000%. See “THE NOTES – INITIAL INTEREST RATE.”

OPTIONAL AND MANDATORY REDEMPTION
.....

The Notes are not subject to optional redemption prior to the expiration of the Initial Term Rate Period; provided, however, the Notes are subject to optional redemption on any Business Day during such time that the Notes bear interest at the Stepped Rate. See “THE NOTES – TENDER PROVISIONS – Effects of a Failed Remarketing”, and “- OPTIONAL REDEMPTION.” The Notes are additionally subject to redemption or purchase for cancellation on any Mandatory Tender Date. See “THE NOTES – OPTIONAL REDEMPTION”. The Notes are subject to mandatory redemption in the amounts and at the times provided in the Order and as described herein under the subcaption “THE NOTES – MANDATORY REDEMPTION.”

TAX MATTERS

In the opinion of Bond Counsel, under existing law, interest on the Notes (i) is excludable from gross income for federal income tax purposes under section 103 of the Internal Revenue Code of 1986, as amended, and (ii) is not an item of tax preference for purposes of the alternative minimum tax on individuals. See “TAX MATTERS” herein, including information regarding potential alternative minimum tax consequences for corporations.

RATINGS

The Notes are rated “Aaa” by Moody’s Investors Service, Inc. (“Moody’s”) and “AA+” by S&P Global Ratings, a division of Standard & Poor’s Financial Services LLC (“S&P”).

BOOK-ENTRY-ONLY SYSTEM

The definitive Notes will be initially registered and delivered only to Cede & Co., the nominee of The Depository Trust Company (“DTC”) pursuant to the book-entry-only system described herein. Beneficial ownership of the Notes may be initially acquired in denominations of \$5,000. No physical delivery of the Notes will be made to the beneficial owners thereof. Principal of, premium, if any, and interest on the Notes will be payable by The Bank of New York Mellon Trust Company, National Association, the initial Paying Agent/Registrar, to Cede & Co., which will make distribution of the amounts so paid to the participating members of DTC for subsequent payment to the beneficial owners of the Notes. See “APPENDIX C - BOOK-ENTRY-ONLY SYSTEM.”

PAYMENT RECORD

The District has never defaulted in payment of its debt, including its tax-supported debt.

SELECTED FINANCIAL INFORMATION

Tax Year 2023 Taxable Assessed Valuation (100% of estimated market value)	\$ 229,523,362,674	(1)
Tax Year 2024 Taxable Assessed Valuation (100% of estimated market value)	\$ 238,619,804,243	(1)(2)

Total Ad Valorem Tax Debt as of July 31, 2025	\$ 1,478,485,000	
Plus: The Notes	<u>114,390,000</u>	
Gross Debt Outstanding	\$ 1,592,875,000	(3)
Less: Debt Service Fund as of June 30, 2024	<u>(123,816,823)</u>	
Net Debt Outstanding	\$ 1,469,058,177	

Ratio of Net Debt to Tax Year 2023 Taxable Assessed Valuation	0.64%
Ratio of Net Debt to Tax Year 2024 Taxable Assessed Valuation	0.62%

Tax Year 2024 District Tax Rate (per \$100 T.A.V.)	
Local Maintenance	\$ 0.70160
Debt Service	<u>0.16670</u>
Total	\$ 0.86830
Tax Rate Limitation (per \$100 T.A.V.)	\$ 1.70000

Average percentage of current tax collections for Tax Years 2020 through 2024	97.26%
Average percentage of total (current and delinquent) tax collections for Tax Years 2020 through 2024	96.99%

Peak Student Enrollment (2024)	184,109	(4)
District Population Estimate	1,514,721	(5)

(1) Source: The District, as reported by the Harris Central Appraisal District. Net of exemptions.

(2) See "CURRENT PUBLIC SCHOOL FINANCE SYSTEM - 2025 LEGISLATIVE SESSION" herein for a discussion of a potential increase in the general State mandated homestead exemption from \$100,000 to \$140,000 and a potential increase in the State mandated homestead exemption of persons sixty-five (65) years of age or older and the disabled from \$10,000 to \$60,000.

(3) Comprised of \$1,351,010,000 in bonds payable from debt service taxes and \$127,475,000 in bonds and notes payable from maintenance taxes. Does not include \$27,505,000 in lease/purchase obligations issued by the District's Public Facilities Corporation.

(4) Source: The District.

(5) Source: The District. As reported by the U.S. Census Bureau.

DISTRICT OFFICIALS, STAFF AND CONSULTANTS

SCHOOL BOARD

President.....	Ric Campo
Vice President.....	Angela Lemond Flowers
Secretary	Paula Mendoza
Member.....	Michelle Cruz Arnold
Member.....	Edgar Colon ⁽¹⁾
Member.....	Marty Goossen ⁽¹⁾
Member.....	Lauren Gore ⁽¹⁾
Member.....	Janette Garza Lindner
Member.....	Marcos Rosales ⁽¹⁾

⁽¹⁾Appointed by Texas Education Commissioner Mike Morath on June 2, 2025.

CERTAIN APPOINTED OFFICIALS

Superintendent of Schools.....	F. Mike Miles
Chief Financial Officer.....	James Terry
Controller	Sherrie H. Robinson
Treasurer	Earl Flowers
General Counsel	Catosha Woods

CONSULTANTS AND ADVISORS

Bond Counsel	Jackson Walker LLP Houston, Texas
Disclosure Counsel	Bracewell LLP Houston, Texas
Financial Advisor.....	Estrada Hinojosa Houston, Texas

For additional information regarding the District, please contact:

Dr. James Terry
Chief Financial Officer
Houston Independent School District
4400 West 18th Street
Houston, Texas 77092
(713) 556-5500

or

Ms. Mary Hinojosa Kelly
Mr. Andres D. Diamond-Ortiz
Estrada Hinojosa
801 Travis Street, Suite 1400
Houston, Texas 77002
(713) 622-6690

⁽¹⁾ For more information, see “INTRODUCTION – DISTRICT GOVERNANCE.”

OFFICIAL STATEMENT

RELATING TO

**\$114,390,000
HOUSTON INDEPENDENT SCHOOL DISTRICT
(Harris County, Texas)
VARIABLE RATE MAINTENANCE TAX NOTES,
SERIES 2025A**

INTRODUCTION

This Official Statement (the “Official Statement”), which includes the cover page and Appendices hereto, provides certain information regarding the issuance by the Houston Independent School District (the “District”) of its \$114,390,000 Variable Rate Maintenance Tax Notes, Series 2025A (the “Notes”). Capitalized terms used in this Official Statement have the same meanings assigned to such terms in the resolution adopted by the School Board (the “Board”) of the Houston Independent School District (the “District”) on May 8, 2025, authorizing the issuance of the Notes (the “Note Resolution”). In the Note Resolution, the Board delegated pricing of the Notes and certain other matters to an authorized official of the District who approved and executed a pricing certificate on July 10, 2025 that contains the final pricing information for the Notes (the “Pricing Certificate”). The Note Resolution and the Pricing Certificate are collectively referred to herein as the “Resolution,” except as otherwise indicated herein.

There follows in this Official Statement descriptions of the Notes and certain information regarding the District and its finances. All descriptions of documents contained herein are only summaries and are qualified in their entirety by reference to each such document. Copies of such documents may be obtained from the District’s Financial Advisor, Estrada Hinojosa, Houston, Texas by electronic mail or upon payment of reasonable copying, handling, and delivery charges.

This Official Statement speaks only as of its date, and the information contained herein is subject to change. A copy of the final Official Statement for the Notes will be submitted to the Municipal Securities Rulemaking Board (“MSRB”) through its Electronic Municipal Market Access (“EMMA”) System. See “CONTINUING DISCLOSURE OF INFORMATION” for a description of the District’s undertaking to provide certain information on a continuing basis.

THE DISTRICT

The District, an independent school district and political subdivision of the State of Texas (the “State”), comprises approximately 333 square miles within Harris County, Texas. The District encompasses approximately 51% of the current geographic area of the City of Houston, Texas (the “City”), and all or part of four other cities or villages, and certain unincorporated areas which include all or part of five utility districts.

The District is the nation’s eighth largest public school system and the largest school district in the State. Harris County, certain county-wide political entities, the City, and the various cities, villages and utility districts within the District each have authority to levy ad valorem taxes. See “TABLE 7 – ESTIMATED OVERLAPPING DEBT.”

The District operates 274 campuses, which consist of 8 early childhood centers, 159 elementary schools, 39 middle schools, 37 high schools and 31 combination/alternative sites. The District’s curriculum focuses on students graduating with the necessary skills to contribute to the global workforce and emphasizes art, literacy, dual language, technology, including community and business partnerships for college and career readiness. The District’s program to support underserved and underperforming District schools to increase student achievement is named the New Education System (“NES”) and provides high-quality instruction, diverse courses to extend student experiences, and ensures individualized support to meet each child’s unique needs.

DISTRICT ENROLLMENT

Over the past five school years, student enrollment in the District has declined. In school year 2019-2020 the District’s enrollment was approximately 209,309 and in school year 2024-2025 the District’s enrollment was approximately 179,592, a reduction of approximately 29,717 students or 14.2% over this period. The reduction is attributable to many factors, including for example, a decline in pre-kindergarten enrollment, rising housing costs, demographic changes and increasing competition with charter schools and private education, among other factors. For the 2023-2024 school year, the

District’s enrollment decreased by 5,825 students from the 2022-2023 school year. As of January 31, 2025, the District’s enrollment was approximately 176,729.

Ongoing enrollment reductions have required the consolidation of certain campuses. Specifically, the District is consolidating under-enrolled campuses as part of a cost-reduction initiative. Under such initiative, approximately thirteen to fifteen campus closures are expected. Such initiative is expected to yield long-term operational efficiencies.

In addition, the District’s 2024-2025 budget includes an estimated reduction of 4,011 students. See the District’s “Annual Comprehensive Financial Report for the Fiscal Year ended June 30, 2024 – Statistical Section – 2024 Operating Information.”

The District continues to develop strategies to address student enrollment by, for example, hosting community-based enrollment events, updating the District’s enrollment website, increasing use of social media, tracking progress of students in the enrollment process, creating a student enrollment department, providing enrollment application assistance, conducting quarterly reviews of student/parent exit survey data, canvassing neighborhoods in the District and developing how to guides and videos for families. As further described in “THE SCHOOL FINANCE SYSTEM AS APPLIED TO THE DISTRICT,” the District’s expenditures to reduce its excess local revenues (i.e., recapture obligation) increases as enrollment declines. While the District is committed to developing and implementing strategies to increase student enrollment, decreased enrollment has continued and no assurance can be given that enrollment will increase.

DISTRICT GOVERNANCE

TEA Oversight. As required by H.B. 1842, passed in 2015 by the Texas legislature, the Texas Education Commissioner appointed the nine-member Board of Managers (“Board”) to temporarily replace the elected board of trustees on June 1, 2023. The Board has the same authority as the elected trustees and is responsible for overseeing the management of the District. Based on legislative authority codified in the Texas Education Code, the Board (1) has exclusive power and duty to govern and oversee the District; (2) can acquire and hold real and personal property, sue and be sued, and hold all rights and titles to school property; (3) has power to levy and collect taxes and to issue bonds; (4) can contract for appointed officers, teachers, and other personnel as well as for goods and services; and (5) has the right of eminent domain to acquire real property. On June 2, 2025, the TEA announced the extension of its intervention in the District to June 1, 2027 and the appointment of four new Board members. In addition to appointing the Board in June 2023, the Texas Education Commissioner also named Mike Miles the new superintendent of the District. In June 2025, the Board extended Mr. Miles’ contract for a term of five years. In February 2025, the TEA named Anastasia Anderson as the District’s new conservator.

State Accreditation. The District’s accreditation status for the 2019-2020 school year was “Accredited” based on a financial rating of “A- (superior)” and an academic accountability rating of “B.” Recognizing the impact of COVID-19 and the unique challenges schools faced, the TEA did not issue accountability ratings for the 2020-2021 and 2021-2022 school years. The District’s accreditation status for the 2022-2023 school year was “Accredited” based on a financial rating of “C (meets standard achievement)” and an academic accountability rating of “B.”

PLAN OF FINANCING

PURPOSE OF THE NOTES

Proceeds from the sale of the Notes will be used to (i) pay the costs of lawful maintenance expenses of the District consisting of repair, renovation, improvement, and equipment of existing school facilities, environmental cleanup, and the maintenance, repair, rehabilitation or replacement of building systems of existing school properties, and (ii) pay the costs of issuing the Notes. See “THE NOTES – AUTHORITY FOR ISSUANCE.”

SOURCES AND USES OF PROCEEDS

The proceeds from the sale of the Notes will be applied as follows:

<u>Sources of Funds:</u>	
Principal Amount	\$114,390,000.00
Original Issue Premium	6,455,027.70
Total	<u>\$120,845,027.70</u>
 <u>Use of Funds:</u>	
Deposit to Construction Fund	\$120,000,000.00
Cost of Issuance ⁽¹⁾	845,027.70
Total	<u>\$120,845,027.70</u>

⁽¹⁾ Includes the Underwriters’ discount, fees of Bond Counsel, Disclosure Counsel, the Financial Advisor, the Paying Agent/Registrar, the Tender Agent, the rating agencies, and other costs related to the issuance of the Notes.

THE NOTES

AUTHORITY FOR ISSUANCE

The Notes are issued pursuant to the Constitution and general laws of the State of Texas, including particularly Section 45.108, Texas Education Code, as amended, Chapter 1371, Texas Government Code, as amended (together, the “Act”), and the Resolution.

SECURITY AND SOURCE OF PAYMENT

The Notes are direct obligations of the District secured by and payable as to both principal and interest from the proceeds of a continuing, direct annual ad valorem tax levied for maintenance purposes by the District against all taxable property located within the District, within the limit prescribed by law, as provided in the Resolution. See “STATE AND LOCAL FUNDING OF SCHOOL DISTRICTS IN TEXAS,” and “CURRENT PUBLIC SCHOOL FINANCE SYSTEM” herein.

GENERAL

Authorized Denominations. During the Initial Term Rate Period (as defined herein), the Notes will be in denominations of \$5,000 and any integral multiple thereof.

Calculation of Interest. Interest on the Notes will be calculated on the basis of a 360-day year of twelve 30-day months while the Notes bear interest at the Initial Term Rate or the Stepped Rate. See “– RATE PERIOD CHANGES” for information related to tenders not occurring on Business Days.

Interest Payment Methods. While the Notes bear interest at the applicable Initial Term Rate or the Stepped Rate, interest on the Notes will be paid by check, sent by first class mail, to the owner of record on the Record Date or by such other customary banking arrangement acceptable to the Paying Agent/Registrar requested by and at the risk and expense of the Owner.

Book-Entry System of Registration and Payment. The Notes will be issued as Book-Entry-Only securities through The Depository Trust Company (“DTC”). Use of the DTC Book-Entry-Only System will effect the timing and receipt of payment of interest on and principal of the Notes. See “THE NOTES – BOOK-ENTRY-ONLY SYSTEM.”

Interest Payment Dates. Interest on the Notes during the Initial Term Rate Period will accrue from the Delivery Date to the initial purchasers (the “Underwriters”) through and including the last day of the Initial Term Rate Period. During the Initial Term Rate Period, interest on the Notes will be payable on each January 15 and July 15, commencing January 15, 2026, and on the Conversion Date (as defined herein) for such Notes, in the event such Conversion Date is not a scheduled interest payment date. Interest on Notes in a Stepped Rate Period (as defined herein) will be payable on each January 15 and July 15 during such period and on the day such Notes are converted from the Stepped Rate Period to a different Rate Period (as defined herein).

Payment and Performance on Business Days. In the Resolution, “Business Day” is defined to mean any day which is not a Saturday, Sunday, a day on which the Paying Agent/Registrar is authorized by law or executive order to remain closed or a legal holiday. If the date for the scheduled payment of the principal of or interest on the Notes is not a Business Day, the date for such payment shall be the next succeeding Business Day and payment on such date shall for all purposes be deemed to have been made on the due date thereof and no interest shall accrue on such payments in the interim. In addition, unless otherwise provided in the Resolution, in the event that the day on which any act or function is to be performed or done is not a Business Day, such act or function shall be performed or done on the next succeeding Business Day. For purposes of illustration and without limiting the generality of the foregoing, in the event any mandatory tender date or Conversion Date established by the provisions of the Resolution for any Note is not a Business Day, the mandatory tender and/or conversion of the Rate Period for such Note, as applicable, shall occur on the next succeeding Business Day, and the Rate Period then in effect for such Note shall be deemed to have been extended to end on the day immediately preceding such Business Day established for the performance of such mandatory tender and/or conversion of such Note.

Paying Agent/Registrar. The initial Paying Agent/Registrar for the Notes is The Bank of New York Mellon Trust Company, National Association. In the Resolution, the District retains the right to replace the Paying Agent/Registrar. The District covenants to maintain and provide a Paying Agent/Registrar at all times until the Notes are duly paid and any successor Paying Agent/Registrar shall be a commercial bank or trust company organized under the laws of the United States or any state, or other entity duly qualified and legally authorized to serve as and perform the duties and services of Paying Agent/Registrar for the Notes. Upon any change in the Paying Agent/Registrar for the Notes, the District agrees to promptly cause a written notice thereof to be sent to each registered owner of the Notes by United States mail, first class, postage prepaid, which notice shall also give the address of the new Paying Agent/Registrar.

Tender Agent. The Bank of New York Mellon Trust Company, National Association, will serve as the initial tender agent (the “Tender Agent”) for the Notes. In the event that the Book-Entry-Only System herein is discontinued and registered Notes are issued, all Notes are required to be physically delivered to The Bank of New York Mellon Trust Company, National Association.

Remarketing Agent and Remarketing Agreement. As provided in the Resolution, the District will appoint a Remarketing Agent for the Notes prior to the Conversion Date. In the Remarketing Agreement, the Remarketing Agent will be required to use its best efforts to solicit offers to purchase, at a price of not less than par plus accrued interest (if any), the Notes that have been mandatorily tendered by the holders thereof pursuant to the terms of the Resolution and to perform the other obligations of the Remarketing Agent as set forth in the Resolution and the Remarketing Agreement.

Legality. The Notes are offered when, as and if issued, and subject to the approval of legality by the Attorney General of the State of Texas and the approval of certain legal matters by Jackson Walker LLP, Houston, Texas, Note Counsel (whose legal opinion will be printed on or attached to the Notes), (see “OTHER INFORMATION – LEGAL MATTERS” and “APPENDIX C - FORM OF NOTE COUNSEL’S OPINION” herein).

Payment Record. The District has never defaulted in payment of its tax supported debt.

INITIAL INTEREST RATE

The “Initial Term Rate Period” for the Notes shall mean the period commencing on the date of initial delivery thereof to the Underwriters to and including July 14, 2028. During this Initial Term Rate Period, the Notes shall bear interest at the per annum rate of 5.000%, which is the “Initial Term Rate” for the Notes. Interest on the Notes during the Initial Term Rate Period will be payable on each January 15 and July 15, commencing on January 15, 2026, and on the applicable Conversion Date (defined herein), if such date is not a regular interest payment date, such interest calculated on the basis of a 360-day year of twelve 30-day months.

In the event that all of the Notes are not converted into one or more Rate Periods and remarketed to new purchasers on the Conversion Date for such Notes, all such Notes will continue to be outstanding and bear interest at the Stepped Rate until all such Notes are subsequently converted and remarketed by the Remarketing Agent or redeemed by the District (such period, the “Stepped Rate Period”) (see “THE NOTES – RATE PERIOD CHANGES” and “– TENDER PROVISIONS – Effects of a Failed Remarketing”). The Stepped Rate for the Notes is a per annum rate of 7.000%.

RATE PERIOD CHANGES

The Resolution obligates the District to use its best efforts to cause the Notes to be converted from the Initial Term Rate Period to a different Rate Period on the first Business Day immediately following the last day of the Initial Term Rate Period (the date is referred to herein as the “Conversion Date”), which shall occur on July 15, 2028, but because such date is not a Business Day the conversion will occur on July 17, 2028. The Conversion Date to the new Rate Period following the Initial Term Rate Period will be deemed to have occurred on July 15, 2028. Interest will cease to accrue during the Initial Term Rate Period on July 14, 2028. On the Conversion Date for the Notes, the Notes are subject to mandatory tender for purchase, without right of retention by the holders thereof, and are to be converted from the Initial Term Rate Period to one or more different Rate Periods established under the Resolution (see “THE NOTES – TENDER PROVISIONS – Mandatory Tender”). The “Rate Periods” established under the Resolution include a term rate period and fixed rate period. The Resolution does not obligate the District to obtain a liquidity facility providing liquidity support for the Notes upon the conversion thereof from the Initial Term Rate Period to a term rate period or a fixed rate period. Any liquidity facility obtained by the District in connection with the conversion of the Notes following the Initial Term Rate Period will not be available to pay any portion of the Purchase Price of the Notes on the Conversion Date. The District may elect to convert the Notes from the Initial Term Rate Period to one or more Rate Periods by notice given to the Paying Agent/Registrar and certain other notice parties at least 45 days prior to the Conversion Date. Such notice shall specify the Conversion Date from the applicable Initial Term Rate Period and the Rate Period to which the conversion will be made, and in the case of conversion to a term rate period, the anticipated duration of the term rate period. Such notice shall also specify the conditions, if any, to the conversion and the consequences of such conditions not being fulfilled. Not less than 30 days prior to the Conversion Date, the Paying Agent/Registrar shall send a written notice of the conversion and the mandatory tender of the Notes to the registered owners thereof. See “THE NOTES – TENDER PROVISIONS – Mandatory Tender.” While the Notes are in book-entry form, registered to DTC, such notice will be given only to DTC. Any conversion from the Initial Term Rate Period to any other Rate Period will be conditioned on delivery of an opinion of nationally recognized Note counsel to the effect that the conversion is authorized or permitted by the Resolution and State law and will not adversely affect the excludability of interest on the applicable series of Notes from gross income of the owners thereof for federal income tax purposes. Note Counsel expresses no opinion as to the effect on excludability from gross income for federal income tax purposes of any action taken which requires the receipt of an opinion of nationally recognized Note counsel. Following the Initial Term Rate Period, the interest rate determined for the applicable Rate Period (other than the Stepped Rate Period) shall be the lowest rate of interest which in the judgment of the Remarketing Agent would cause the Notes to have a market value equal to not less than 100% of the principal amount thereof plus accrued interest thereon under prevailing market conditions as of the date such interest rate is determined. In no event will the interest rate borne while the Notes are in any Rate Period exceed the “Maximum Rate,” which is the lesser of (a) 15.000% per annum or (b) the maximum net effective interest rate permitted under Chapter 1204, Texas Government Code, as amended (or any successor provision).

TENDER PROVISIONS

Optional Tender. During the Initial Term Rate Period, the Notes are not benefitted by a standby Note purchase agreement, liquidity facility or similar agreement providing liquidity support for the Notes, nor is one currently contemplated to be entered into in the future. The Notes are not subject to optional tender.

Mandatory Tender. The Notes are subject to mandatory tender for purchase, without the right of retention by the holders thereof, (i) on the Conversion Date for such Notes (see “THE NOTES – RATE PERIOD CHANGES”), and (ii) on any date during a Stepped Rate Period upon which a conversion of such Notes to a different Rate Period occurs (see “THE NOTES – TENDER PROVISIONS – Effects of a Failed Remarketing”), in each case, at a price equal to the par amount thereof, plus accrued but unpaid interest thereon to the date of purchase (the “Purchase Price”); provided, however, that accrued interest will not be taken into account in the computation of the Purchase Price if the applicable date of purchase is a scheduled interest payment date (see “THE NOTES – GENERAL – Interest Payment Dates”).

Payment of the Purchase Price of Notes to be purchased upon mandatory tender as described herein will be made by the Tender Agent by wire transfer in immediately available funds.

Any Note that is not tendered on the mandatory tender date, but for which there has been irrevocably deposited with the Tender Agent an amount sufficient to pay the Purchase Price thereof, will cease to accrue interest on the mandatory tender date. Thereafter, the Owner of such Note will not be entitled to any payment other than the Purchase Price for such Note from money held by the Tender Agent for such payment, and such Note will not otherwise be outstanding or entitled to the benefits of the Resolution. On the mandatory tender date, the Tender Agent will authenticate and deliver substitute Notes in lieu of such untendered Notes.

Remarketing and Purchase. The Remarketing Agent will be required to use its best efforts to remarket the Notes on the mandatory tender date. The Purchase Price of Notes tendered for purchase is required to be paid by the Tender Agent from the money derived from the remarketing of such Notes by the Remarketing Agent, however, should the date for the mandatory tender of the Notes occur on a scheduled interest payment date, the accrued interest portion of the Purchase Price is to be paid by the District.

Effects of a Failed Remarketing. The Resolution obligates the District to use its best efforts to take all such actions required by the Resolution to be performed by the District to cause all Notes to be converted from the Initial Term Rate Period to a different Rate Period on the Conversion Date for such Notes (see “THE NOTES – RATE PERIOD CHANGES”). The Notes are subject to mandatory tender for purchase at the Purchase Price, without right of retention by the holders thereof, on the Conversion Date for such Notes at the applicable Purchase Price (see “THE NOTES – TENDER PROVISIONS – Mandatory Tender”). **In the event that all of the Notes subject to such mandatory tender are not converted into one or more Rate Periods and remarketed to new purchasers on the scheduled date of mandatory tender, the District shall have no obligation to purchase any of such Notes tendered on such date, the failed conversion and remarketing shall not constitute an event of default under the Resolution or such Notes, the mandatory tender will be deemed to have been rescinded for that date with respect to all of such Notes, and such Notes (i) will continue to be Outstanding, (ii) will be purchased upon the availability of funds to be received from the subsequent remarketing of the Notes, (iii) will bear interest at the Stepped Rate during the Stepped Rate Period, (iv) will be subject to redemption and mandatory tender for purchase at the Purchase Price on any date during the Stepped Rate Period upon which a conversion occurs (which shall occur at the District’s discretion upon delivery of at least one day’s notice to the holders thereof), and (v) will be deemed to continue in an Initial Term Rate Period for all other purposes of the Resolution (including the identification of interest payment dates until the Notes are remarketed or redeemed), though bearing interest during such time at the Stepped Rate until remarketed or redeemed in accordance with the terms of the Resolution. In the event of a failed conversion and remarketing as described in this caption, the District will use its best efforts to cause such Notes to be converted and remarketed on the earliest reasonably practicable date on which such Notes can be sold at not less than par plus accrued interest, in such Rate Period or Rate Periods as the District directs, at a rate not exceeding the Maximum Rate. See “THE NOTES – Rate Period Changes.”**

OPTIONAL REDEMPTION

The Notes are not subject to optional redemption prior to the expiration of the Initial Term Rate Period; provided, however, the Notes are subject to optional redemption on any Business Day during such time that the Notes bear interest at the Stepped Rate (see “THE NOTES – TENDER PROVISIONS – Effects of a Failed Remarketing”).

In addition to the foregoing and notwithstanding the notice provisions set forth below, the District, at its option, may purchase for cancellation or redeem any Note subject to mandatory tender on any mandatory tender date therefor without notice to any Owner, at a price equal to the principal amount thereof plus any accrued and unpaid interest.

[Remainder of page intentionally left blank]

MANDATORY REDEMPTION

Scheduled Mandatory Redemption for the Notes. The Notes are subject to scheduled mandatory redemption prior to stated maturity as follows:

Mandatory Sinking Fund Redemption Date (July 15)	Principal Amount
2026	\$ 500,000
2027	500,000
2028	500,000
2029	4,320,000
2030	4,540,000
2031	4,775,000
2032	5,020,000
2033	5,275,000
2034	5,550,000
2035	5,830,000
2036	6,130,000
2037	6,445,000
2038	6,775,000
2039	7,125,000
2040	7,490,000
2041	7,875,000
2042	8,275,000
2043	8,700,000
2044	9,150,000
2045 (final maturity)	9,615,000

Prior to the scheduled mandatory redemption date for the Notes required to be redeemed pursuant to the provisions of the Resolution described above in “THE NOTES – MANDATORY REDEMPTION – Scheduled Mandatory Redemption for the Notes,” the Paying Agent/Registrar shall select for redemption by lot, or by any other customary method that results in a random selection, a principal amount of Notes equal to the aggregate principal amount of such Notes to be redeemed, shall call such Notes for redemption on such scheduled mandatory redemption date, and shall give notice of such redemption, as provided in the Resolution.

The principal amount of the Notes required to be redeemed on any redemption date pursuant to the provisions of the Resolution described above in “THE NOTES – MANDATORY REDEMPTION – Scheduled Mandatory Redemption for the Notes,” shall be reduced by the principal amount of any Notes of the same maturity which, at least 45 days prior to the mandatory sinking fund redemption date (i) shall have been acquired by the District and delivered to the Paying Agent/Registrar for cancellation, or (ii) shall have been redeemed pursuant to the optional redemption provisions of the Resolution described herein and not previously credited to a mandatory sinking fund redemption. Notes purchased for cancellation or redeemed pursuant to the optional redemption provisions of the Resolution described herein that are required to be redeemed pursuant to the provisions of the Resolution described above in “THE NOTES – MANDATORY REDEMPTION – Scheduled Mandatory Redemption for the Notes,” shall be credited against future mandatory redemption payments in accordance with the provisions of the following sentence. In lieu of mandatorily redeeming the Notes subject to the provisions of the Resolution described above in “THE NOTES – MANDATORY REDEMPTION – Scheduled Mandatory Redemption for the Notes,” the District reserves the right to purchase for cancellation such Notes of the same maturity at a price no greater than the applicable redemption price of such Notes.

Unless utilized to purchase Notes for cancellation on a mandatory tender date, at least 45 days prior to the mandatory redemption date, the District will notify the Paying Agent/Registrar and the Remarketing Agent in writing of the principal amount of Notes to be mandatorily redeemed on such mandatory redemption date, and instruct the Paying Agent/Registrar to select by lot or other customary random selection method the Notes or portions thereof to be redeemed. Notes to be redeemed in any year by mandatory redemption shall be redeemed at par, plus accrued interest to the date of redemption, and shall be selected by the Paying Agent/Registrar by lot or other method that results in a random selection of Notes thereof. The District, at its option, may credit against any mandatory redemption requirement, Notes which have been purchased by the District, using funds other than

remarketing proceeds and canceled by the Paying Agent/Registrar, or have been optionally redeemed and not theretofore applied as a credit against any mandatory redemption requirement.

NOTICES OF REDEMPTION AND DTC NOTICES

At least 30 days prior to the date fixed for any such redemption, the District shall cause a written notice of such redemption to be deposited in the United States mail, postage prepaid, addressed to each registered owner at the address shown on the Registration Books of the Paying Agent/Registrar at the close of business on the business day next preceding the date of mailing such notice.

ANY NOTICE SO MAILED SHALL BE CONCLUSIVELY PRESUMED TO HAVE BEEN DULY GIVEN WHETHER OR NOT THE REGISTERED OWNER RECEIVES SUCH NOTICE. UPON THE GIVING OF THE NOTICE OF REDEMPTION AND THE DEPOSIT OF THE FUNDS NECESSARY TO REDEEM SUCH NOTES, THE NOTES CALLED FOR REDEMPTION SHALL BECOME DUE AND PAYABLE ON THE SPECIFIED REDEMPTION DATE, AND INTEREST ON SUCH NOTES OR PORTION THEREOF SHALL CEASE TO ACCRUE, IRRESPECTIVE OF WHETHER SUCH NOTES ARE SURRENDERED FOR PAYMENT.

The Paying Agent/Registrar and the District, so long as a Book-Entry-Only System is used for the Notes, will send any notice of redemption, notice of any proposed amendment to the Resolution or other notices with respect to the Notes only to DTC. Any failure by DTC to advise any DTC participant, or of any DTC participant or indirect participant to notify the beneficial owner, shall not affect the validity of the redemption of the Notes called for redemption or any other action premised on any such notice. Redemption of portions of the Notes by the District will reduce the outstanding principal amount of such Notes held by DTC.

In the Resolution the District reserves the right to give notice of its election or direction to redeem Notes under the provisions of the Resolution conditioned upon the occurrence of subsequent events. Such notice may state (i) that the redemption is conditioned upon the deposit of moneys and/or authorized securities, in an amount equal to the amount necessary to effect the redemption, with the Paying Agent/Registrar, or such other entity as may be authorized by law, no later than the redemption date or (ii) that the District retains the right to rescind such notice at any time prior to the scheduled redemption date if the District delivers a certificate of the District to the Paying Agent/Registrar instructing the Paying Agent/Registrar to rescind the redemption notice, and such notice of redemption shall be of no effect if such moneys and/or authorized securities are not so deposited or if the notice is rescinded. The Paying Agent/Registrar shall give prompt notice of any such rescission of a conditional notice of redemption to the affected registered owners of the Notes. Any Notes subject to conditional redemption where redemption has been rescinded shall remain Outstanding. Failure to pay the redemption price of the Notes subject to optional redemption shall not constitute an event of default under the Resolution or under any Note.

PAYING AGENT/REGISTRAR

The initial Paying Agent/Registrar is The Bank of New York Mellon Trust Company, National Association. In the Resolution, the District retains the right to replace the Paying Agent/Registrar. The District covenants to maintain and provide a Paying Agent/Registrar at all times until the Notes are duly paid and any successor Paying Agent/Registrar shall be a legally qualified bank, trust company, financial institution or other entity duly qualified and legally authorized to serve as and perform the duties and services of Paying Agent/Registrar for the Notes. Upon any change in the Paying Agent/Registrar for the Notes, the District agrees to promptly cause a written notice thereof to be sent to each registered owner of the Notes by United States mail, first class, postage prepaid, which notice shall also give the address of the new Paying Agent/Registrar.

TRANSFER, EXCHANGE AND REGISTRATION

In the event the book-entry-only system should be discontinued, the Notes may be transferred and exchanged on the registration books of the Paying Agent/Registrar only upon presentation and surrender to the Paying Agent/Registrar and such transfer or exchange shall be without expense or service charge to the registered owner, except for any tax or other governmental charges required to be paid with respect to such registration, exchange and transfer. Notes may be assigned by the execution of an assignment form on the respective Notes or by other instrument of transfer and assignment acceptable to the Paying Agent/Registrar. New Notes will be delivered by the Paying Agent/Registrar, in lieu of the Notes being transferred or exchanged, at the designated office of the Paying Agent/Registrar, or sent by United States mail, first class, postage prepaid, to the new registered owner or his designee. To the extent possible, new Notes issued in an exchange or transfer of Notes will be delivered to the registered owner or assignee of the registered owner in not more than three business days after the receipt of the Notes to be canceled, and the written instrument of transfer or request for exchange duly executed by the registered owner or his duly authorized agent, in form satisfactory to the Paying Agent/Registrar. New Notes registered and delivered in an exchange or transfer shall be in any integral multiple of \$5,000 for any one maturity and for a like aggregate principal amount as the Notes surrendered for exchange or transfer. See "APPENDIX C - BOOK-ENTRY-ONLY SYSTEM" for a description of the system to be utilized initially in regard to ownership and transferability of the Notes.

AMENDMENTS

The District may amend the Resolution without notice to or the consent of any registered owner to cure any ambiguity or cure, correct or supplement any defective or inconsistent provision contained in this Resolution (including any particular series or subseries): (a) to cure or correct any ambiguity or defective provision in the Resolution or to correct or supplement any provisions of the Resolution which may be inconsistent with any other provision

contained herein; (b) to modify the Resolution or the Notes, to permit qualification under the Trust Indenture Act of 1939, as amended, or any similar federal statute at the time in effect, or to permit the qualification of the Notes for sale under the securities laws of any state of the United States; (c) to authorize different authorized denominations of the Notes and to make correlative amendments and modifications to the Resolution regarding exchangeability of Notes of different authorized denominations, redemptions of portions of Notes of particular authorized denominations and similar amendments and modifications of technical nature; (d) to increase or decrease the number of days specified for the giving of notices in Articles III (“Interest on Notes”), IV (“Tender and Purchase of Notes”) and V (“Redemption of Notes Before Maturity”) of the Resolution and to make corresponding changes to the period for notice of redemption of the Notes provided that no decreases in any such number of days shall become effective except while the Notes bear interest at a Term Rate and until 10 days after the Paying Agent/Registrar has given notice to the Owners of the Notes; (e) to provide for an uncertificated system of registering the Notes or to provide for the change to or from a Book-Entry System for the Notes; (f) to make any change to this Resolution when all Notes have been tendered to the Remarketing Agent pursuant to the terms of this Resolution, but have not been remarketed following such tender; provided, however, that the Remarketing Agent has received notice of such amendment or supplement; (g) effective upon any Conversion Date to a new Rate Period to make any amendment affecting only the Notes being converted; (h) to increase the Maximum Rate; or (i) to make any other change that does not, in the opinion of bond counsel to the District, materially adversely affect the interests of the registered owners.

If an amendment or supplement to the Resolution or the Notes without any consent of registered owners is not permitted by the preceding paragraph, the District may enter into such amendment or supplement without prior notice to any registered owner but with the consent of registered owners of at least a majority in principal amount of the Notes then Outstanding. However, nothing herein contained shall permit or be construed to permit the amendment, without the consent of each Owner affected thereby, of or supplement to the terms and conditions in the Resolution, so as to: (a) change the sinking fund requirements, if any, interest payment dates, rights to tender or the maturity or maturities of the Outstanding Notes; (b) reduce the rate of interest borne by any of the Outstanding Notes; (c) reduce the amount of the principal or purchase price of or premium, if any, payable on the Outstanding Notes; (d) modify the terms of payment of principal or purchase price of, premium, if any, or interest on the Outstanding Notes, or impose any conditions with respect to such payments; (e) affect the rights of the registered owners of fewer than all of the Outstanding Notes; or (f) decrease the minimum percentage of the principal amount of Outstanding Notes necessary for consent to any such amendment.

In addition, if money or investments have been deposited or set aside with the Paying Agent/Registrar for the payment of Notes and those Notes shall not have in fact been actually paid in full, no amendment to the provisions of that Article shall be made without the consent of the Owner of each of those Notes affected.

BOOK-ENTRY-ONLY SYSTEM

The definitive Notes will be issued initially only in fully registered form in any integral multiple of \$5,000 of principal amount for any one maturity and will be initially registered and delivered only to Cede & Co., the nominee of DTC pursuant to the book-entry-only system described herein. No physical delivery of the Notes will be made to the beneficial owners thereof. Principal of, premium, if any, and interest on the Notes will be payable by the Paying Agent/Registrar to Cede & Co., which will make distribution of the amounts so paid to the participating members of DTC for subsequent payment to the beneficial owners of the Notes.

The Paying Agent/Registrar and the District, so long as a book-entry-only system is used for the Notes, will send any notice of redemption, notice of proposed amendment to the Resolution or other notices with respect to the Notes only to DTC. Any failure by DTC to advise any DTC participant, or of any DTC participant or indirect participant to notify the beneficial owner, shall not affect the validity of any other action premised on any such notice. Redemption of portions of the Notes by the District will reduce the outstanding principal amount of such Notes held by DTC.

In such event, DTC may implement, through its book-entry-only system, a redemption of such Notes held for the account of DTC participants in accordance with its rules or other agreements with DTC participants and then DTC participants and indirect participants may implement a redemption of such Notes from the beneficial owners.

Any such selection of Notes to be redeemed will not be governed by the Resolution and will not be conducted by the District or the Paying Agent/Registrar. Neither the District nor the Paying Agent/Registrar will have any responsibility to DTC participants, indirect participants or the persons for whom DTC participants act as nominees, with respect to the payments on the Notes or the providing of notice to DTC participants, indirect participants, or beneficial owners of the selection of portions of the Notes for redemption. See “APPENDIX C – BOOK-ENTRY-ONLY SYSTEM.”

REPLACEMENT NOTES

If any Note is mutilated, destroyed, stolen or lost, a new Note of the kind and in the same principal amount as the Note so mutilated, destroyed, stolen or lost will be issued. In the case of a mutilated Note, such new Note will be delivered only upon surrender and cancellation of such mutilated Note. In the case of any Note issued in lieu of and in substitution for a Note which has been destroyed, stolen, or lost, such new Note will be delivered only (a) upon filing with the District and the Paying Agent/Registrar evidence satisfactory to establish to the District and the Paying Agent/Registrar that such Note has been destroyed, stolen or lost and proof of the ownership thereof, and (b) upon furnishing the District and the Paying Agent/Registrar with bond or indemnity satisfactory to them. The person requesting the authentication and delivery of a new Note must comply with such other reasonable regulations as the Paying Agent/Registrar may prescribe and pay such expenses as the Paying Agent/Registrar may incur in connection therewith.

DEFEASANCE

The Notes may be discharged, defeased, redeemed or refunded by the District in any manner now or hereafter permitted by law.

RECORD DATE FOR INTEREST PAYMENT

Interest on the Notes will be paid to the registered owner appearing on the registration and transfer books of the Paying Agent/Registrar at the close of business on the last Business Day of the month next preceding each interest payment date (the "Record Date") and shall be paid by the Paying Agent/Registrar (i) by check sent United States mail, first class postage prepaid, to the address of the registered owner recorded in the registration and transfer books of the Paying Agent/Registrar or (ii) by such other method, acceptable to the Paying Agent/Registrar, requested by, and at the risk and expense of, the registered owner. In the event of non-payment of interest on a scheduled payment date and for thirty (30) days thereafter, a new record date for such interest payment (a "Special Record Date") will be established by the Paying Agent/Registrar when funds for the payment of such interest have been received. Notice of the Special Record Date and of the scheduled payment date of the past due interest ("Special Payment Date," which shall be 15 days after the Special Record Date) shall be sent at least five business days prior to the Special Record Date by United States mail, first class postage prepaid, to the address of each registered owner of a Note appearing in the registration and transfer books of the Paying Agent/Registrar at the close of business on the last business day next preceding the date of mailing such notice.

HOLDERS' REMEDIES

The Resolution does not provide for the appointment of a trustee to represent the interests of the registered owners upon any failure of the District to perform in accordance with the terms of the Resolution or upon any other condition and, in the event of any such failure to perform, the registered owners would be responsible for the initiation and cost of any legal action to enforce performance of the Resolution. Furthermore, the Resolution does not establish specific events of default with respect to the Notes and, under State law, there is no right to the acceleration of maturity of the Notes upon the failure of the District to observe any covenant under the Resolution. A registered owner of Notes could seek a judgment against the District if a default occurred in the payment of principal or interest on any such Notes; however, such judgment could not be satisfied by execution against any property of the District and a suit for monetary damages could be vulnerable to the defense of sovereign immunity.

A registered owner's only practical remedy, if a default occurs, is a mandamus or mandatory injunction proceeding to compel the District to levy, assess and collect an annual ad valorem tax sufficient, within the limits prescribed by law, to pay principal of and interest on the Notes as it becomes due or perform other material terms and covenants contained in the Resolution; however, this may be limited by the District's M&O tax rate required to satisfy its Tier One Tax Rate and Enrichment Tax Rate. See "TAX RATE LIMITATIONS" herein. In general, Texas courts have held that a writ of mandamus may be issued to require a public official to perform legally imposed ministerial duties necessary for the performance of a valid contract, and Texas law provides that, following their approval by the Texas Attorney General and issuance, the Notes are valid and binding obligations for all purposes according to their terms. However, the enforcement of any such remedy may be difficult and time consuming and a registered owner could be required to enforce such remedy on a periodic basis.

Chapter 1371, Texas Government Code, as amended ("Chapter 1371"), which pertains to the issuance of public securities by issuers such as the District, permits the District to waive sovereign immunity in the proceedings authorizing its notes. The District has not waived the defense of sovereign immunity with respect thereto. Because it is unclear whether the Texas legislature has effectively waived the District's sovereign immunity from a suit for money damages outside of Chapter 1371, holders may not be able to bring such a suit against the District for breach of the Notes or Resolution covenants.

Even if a judgment against the District could be obtained, it could not be enforced by direct levy and execution against the District's property. The District is also eligible to seek relief from its creditors under Chapter 9 of the U.S. Bankruptcy Code ("Chapter 9"). Although Chapter 9 provides for the recognition of a security interest represented by a specifically pledged source of revenues, the pledge of taxes in support of a general obligation of a bankrupt entity is not specifically recognized as a security interest under Chapter 9. Chapter 9 also includes an automatic stay provision that would prohibit, without Bankruptcy Court approval, the prosecution of any other legal action by creditors or registered owners of an entity which has sought protection under Chapter 9. Therefore, should the District avail itself of Chapter 9 protection from creditors, the ability to enforce would be subject to the approval of the Bankruptcy Court (which could require that the action be heard in Bankruptcy Court instead of other federal or state court); and the Bankruptcy Code provides for broad discretionary powers of a Bankruptcy Court in administering any proceeding brought before it. The opinion of Bond Counsel will note that all opinions relative to the enforceability of the Resolution and the Notes are qualified with respect to the customary rights of debtors relative to their creditors, including rights afforded to creditors under the Bankruptcy Code and general principles of equity that permit the exercise of judicial discretion.

STATE AND LOCAL FUNDING OF SCHOOL DISTRICTS IN TEXAS

LITIGATION RELATING TO THE TEXAS PUBLIC SCHOOL FINANCE SYSTEM

On seven occasions in the last thirty years, the Texas Supreme Court (the "Court") has issued decisions assessing the constitutionality of the Texas public school finance system (the "Finance System"). The litigation has primarily focused on whether the Finance System, as amended by the Texas Legislature (the "Legislature") from time to time (i) met the requirements of article VII, section 1 of the Texas Constitution, which requires the Legislature to "establish and make suitable provision for the support and maintenance of an efficient system of public free schools," or (ii) imposed a statewide ad valorem tax in violation of article VIII, section 1-e of the Texas Constitution because the statutory limit on property taxes levied by school

districts for maintenance and operation purposes had allegedly denied school districts meaningful discretion in setting their tax rates. In response to the Court's previous decisions, the Legislature enacted multiple laws that made substantive changes in the way the Finance System is funded in efforts to address the prior decisions declaring the Finance System unconstitutional.

On May 13, 2016, the Court issued its opinion in the most recent school finance litigation, *Morath, et.al v. The Texas Taxpayer and Student Fairness Coalition, et al.*, 490 S.W. 3d 826 (Tex. 2016) ("Morath"). The plaintiffs and intervenors in the case had alleged that the Finance System, as modified by the Legislature in part in response to prior decisions of the Court, violated article VII, section 1 and article VIII, section 1-e of the Texas Constitution. In its opinion, the Court held that "[d]espite the imperfections of the current school funding regime, it meets minimum constitutional requirements." The Court also noted that:

Lawmakers decide if laws pass, and judges decide if those laws pass muster. But our lenient standard of review in this policy-laden area counsels modesty. The judicial role is not to second-guess whether our system is optimal, but whether it is constitutional. Our Byzantine school funding "system" is undeniably imperfect, with immense room for improvement. But it satisfies minimum constitutional requirements.

POSSIBLE EFFECTS OF CHANGES IN LAW ON DISTRICT BONDS

The Court's decision in *Morath* upheld the constitutionality of the Finance System but noted that the Finance System was "undeniably imperfect." While not compelled by the *Morath* decision to reform the Finance System, the Legislature could enact future changes to the Finance System. Any such changes could benefit or be a detriment to the District. If the Legislature enacts future changes to, or fails adequately to fund the Finance System, or if changes in circumstances otherwise provide grounds for a challenge, the Finance System could be challenged again in the future. In its 1995 opinion in *Edgewood Independent School District v. Meno*, 917 S.W.2d 717 (Tex. 1995), the Court stated that any future determination of unconstitutionality "would not, however, affect the district's authority to levy the taxes necessary to retire previously issued bonds, but would instead require the Legislature to cure the system's unconstitutionality in a way that is consistent with the Contract Clauses of the U.S. and Texas Constitutions" (collectively, the "Contract Clauses"), which prohibit the enactment of laws that impair prior obligations of contracts.

Although, as a matter of law, the Notes, upon issuance and delivery, will be entitled to the protections afforded previously existing contractual obligations under the Contract Clauses, the District can make no representations or predictions concerning the effect of future legislation, or any litigation that may be associated with such legislation, on the District's financial condition, revenues or operations. While the enactment of future legislation to address school funding in Texas could adversely affect the financial condition, revenues or operations of the District, the District does not anticipate that the security for payment of the Notes, specifically, the District's obligation to levy a maintenance and operations tax would be adversely affected by any such legislation. See "CURRENT PUBLIC SCHOOL FINANCE SYSTEM."

CURRENT PUBLIC SCHOOL FINANCE SYSTEM

OVERVIEW

The following language constitutes only a summary of the public school finance system (the "Finance System") as it is currently structured. The information contained under the captions "CURRENT PUBLIC SCHOOL FINANCE SYSTEM" and "TAX RATE LIMITATIONS" is subject to change and only reflects the District's understanding based on information available to the District as of the date of this Official Statement. For a more complete description of school finance and fiscal management in the State, reference is made to Chapters 43 through 49 of the Texas Education Code, as amended. Additionally, prospective investors are encouraged to review the Property Tax Code (as defined herein) for definitive requirements for the levy and collection of ad valorem taxes and the calculation of the defined tax rates.

Local funding for school districts is derived from collections of ad valorem taxes levied on property located within each school district's boundaries. School districts are authorized to levy two types of property taxes: (i) a maintenance and operations ("M&O") tax to pay current expenses and (ii) an interest and sinking fund ("I&S") tax to pay debt service on bonds. School districts are prohibited from levying an M&O tax rate for the purpose of creating a surplus in M&O tax revenues to pay the district's debt service. School districts are required to demonstrate their ability to pay debt service on outstanding bonded indebtedness through the levy of an I&S tax at a rate not to exceed \$0.50 per \$100 of taxable value at the time bonds are issued. Once bonds are issued, however, school districts generally may levy an I&S tax sufficient to pay debt service on such bonds unlimited as to rate or amount (however, the District may only levy an I&S tax rate within the limits prescribed by law and pursuant to the Tax Election (as defined herein)). See "TAX RATE LIMITATIONS – I&S Tax Rate Limitations" herein. Because property values vary widely among school districts, the amount of local funding generated by school districts with the same I&S tax rate and M&O tax rate is subject to wide variation; however, the public school finance funding formulas are designed to generally equalize local funding generated by a school district's M&O tax rate.

2025 LEGISLATIVE SESSION

The regular session of the 89th Texas Legislature convened on January 14, 2025 and concluded on June 2, 2025 (the "89th Regular Session"). The Texas Legislature (the "Legislature") meets in regular session in odd numbered years for 140 days. When the Legislature is not in session, the Governor may call one or more special sessions, at the Governor's discretion, each lasting no more than 30 days, and for which the Governor sets the agenda. The Governor has called a special session to begin on July 21, 2025. The agenda for the special session includes the following items: (i) legislation to

reduce the property tax burden on Texans and legislation to impose spending limits on entities authorized to impose property taxes, (ii) flood warning systems, (iii) flood emergency communications, (iv) relief funding for Texas Hill Country floods, (v) natural disaster preparation and recovery, (vi) replacement of STAAR testing, (vii) protecting children from hemp-derived products, (viii) regulation of products derived from hemp, (ix) protecting unborn children, (x) banning taxpayer-funded lobbying, (xi) protecting victims of human trafficking, (xii) protecting police personnel records, (xiii) protecting women's privacy in sex-segregated spaces, (xiv) constitutional amendment allowing the Texas Attorney General to prosecute state election crimes, (xv) congressional redistricting, (xvi) title theft and deed fraud, (xvii) impact fees for builders who include water conservation and efficiency measures, and (xviii) the operation and administration of the judicial branch of state government. The Governor may add additional items to the call at any time.

During the 89th Regular Session, the Legislature considered a general appropriations act and legislation affecting the Finance System (as defined herein) and ad valorem taxation procedures and exemptions, and investments, among other legislation affecting school districts and the administrative agencies that oversee school districts. Contingent on voter approval at a Statewide election to be held on November 4, 2025, legislation passed by both houses of the Legislature would increase: (1) the State mandated general homestead exemption from \$100,000 to \$140,000, (2) the additional exemption on the residence homesteads of those at least sixty-five (65) years of age or disabled from \$10,000 to \$60,000, and (3) the exemption for tangible personal property used in the production of income from the current \$2,500 to \$125,000. Additionally, the Legislature authorized roughly \$8.5 billion in funding for public schools and provided districts with a \$55 per-student increase to their base funding beginning September 1, 2025, as well as provided districts with additional funding for teacher and staff salaries, educator preparation, special education, safety requirements and early childhood learning. Finally, the Legislature created an education savings account program (commonly referred to as vouchers) for students that attend private schools or are homeschooled. The legislation becomes effective September 1, 2025, when the state fiscal biennium begins, though families will not receive ESA funds until the 2026-2027 school year. The amount spent for purposes of the program for the 2025-2027 biennium may not exceed \$1 billion. Beginning on September 1, 2027, the legislation requires the Legislature to re-appropriate funds for the program for each subsequent state fiscal biennium. Such program could impact attendance in the District by incentivizing students to homeschool or attend private schools, which could negatively affect the District's attendance-based funding.

The District is still in the process of reviewing legislation passed during the 89th Regular Session. At this time, the District cannot make any representations as to the full impact of such legislation. Further, the District can make no representations or predictions regarding the ultimate scope of legislation that may be considered in any special session or the potential impact of such legislation at this time, but it intends to monitor applicable legislation related thereto.

2023 LEGISLATIVE SESSION

The regular session of the 88th Texas Legislature (the "88th Regular Session") began on January 10, 2023 and adjourned on May 29, 2023. The Governor called and the Legislature concluded four special sessions during the 88th Texas Legislature (such special sessions, together with the 88th Regular Session, the "2023 Legislative Sessions").

During the 88th Regular Session, legislation enacted by the Legislature fully-funded the Foundation School Program for the 2024-2025 State fiscal biennium and increased the State guaranteed yield on the first \$0.08 cents of tax effort beyond a school district's Maximum Compressed Tax Rate (as defined herein) to \$126.21 per penny of tax effort per student in WADA (as defined herein) in 2024 (from \$98.56 in 2023) and \$129.52 per penny of tax effort per student in WADA in 2025. See "– State Funding for School Districts – Tier Two." The Legislature also provided for an increase in funding for the school safety allotment to \$10.00 (from \$9.72 in the prior year) per ADA (as defined herein) and \$15,000 per campus.

During the second called special session, legislation was passed that (i) reduced the Maximum Compressed Tax Rate for school districts by approximately \$0.107 for the 2023-2024 school year; (ii) increased the amount of the mandatory school district general residential homestead exemption from ad valorem taxation from \$40,000 to \$100,000 and to hold districts harmless from certain M&O and I&S tax revenue losses associated with the increase in the mandatory homestead exemption; (iii) adjusted the amount of the limitation on school district ad valorem taxes imposed on the residence homesteads of the elderly or disabled to reflect increases in exemption amounts; (iv) prohibits school districts, cities and counties from repealing or reducing an optional homestead exemption that was granted in tax year 2022 (the prohibition expires on December 31, 2027); (v) established a three-year pilot program limiting growth in the taxable assessed value of non-residence homestead property valued at \$5,000,000 or less to 20 percent (school districts are not held harmless for any negative revenue impacts associated with such limits); (vi) excepted certain appropriations to pay for ad valorem tax relief from the constitutional limitation on the rate of growth of appropriations; and (vii) expanded the size of the governing body of an appraisal district in a county with a population of more than 75,000 by adding elected directors and authorizing the Legislature to provide for a four-year term of office for a member of the board of directors of certain appraisal districts. At an election held on November 7, 2023, voters approved a State constitutional amendment effectuating the legislative changes. The first election for members of the board of directors of applicable appraisal districts, including the Harris Central Appraisal District, was held on May 4, 2024. The legislation adopted during the second called special session reduces the amount of property taxes paid by homeowners and businesses and increases the State's share of the cost of funding public education.

LOCAL FUNDING FOR SCHOOL DISTRICTS

A school district's M&O tax rate is composed of two distinct parts: the "Tier One Tax Rate", which is the local M&O tax rate required for a school district to receive any part of the basic level of State funding (referred to herein as "Tier One") under the Foundation School Program, as further described below, and the "Enrichment Tax Rate", which is any local M&O tax effort in excess of its Tier One Tax Rate. Formulas for the State Compression Percentage and Maximum Compressed Tax Rate (each as described below) are designed to compress M&O tax rates in response to year-

over-year increases in property values across the State and within a school district, respectively. The discussion in this subcaption “LOCAL FUNDING FOR SCHOOL DISTRICTS” is generally intended to describe funding provisions applicable to all school districts; however, there are distinctions in the funding formulas for school districts that generate local M&O tax revenues in excess of the school districts’ funding entitlements. Such distinctions are discussed under the subcaption “CURRENT PUBLIC SCHOOL FINANCE SYSTEM – Local Revenue Level In Excess of Entitlement” herein.

State Compression Percentage. The “State Compression Percentage” or “SCP” is the lesser of three alternative calculations: (i) 93% or a lower percentage set by appropriation for a school year; (ii) a percentage determined by formula if the estimated total taxable property value of the State (as submitted annually to the Legislature by the State Comptroller) has increased by at least 2.5% over the prior year; and (iii) the prior year SCP. For any year, the maximum SCP is 93%. For the State fiscal year ending in 2025, the SCP is set at 68.55%.

Maximum Compressed Tax Rate. The “Maximum Compressed Tax Rate” or the “MCR” is the tax rate per \$100 of valuation of taxable property at which a school district must levy its Tier One Tax Rate (described below) to receive the full amount of the Tier One funding to which the school district is entitled. The MCR is equal to the lesser of two alternative calculations: (1) the “State Compression Percentage” (as discussed above) multiplied by 100; or (2) a percentage determined by formula if the school district experienced a year-over-year increase in property value of at least 2.5% (if the increase in property value is less than 2.5%, then MCR is equal to the prior year’s MCR). However, each year the TEA shall evaluate the MCR for each school district in the State, and for any given year, if a school district’s MCR is calculated to be less than 90% of any other school district’s MCR for the current year, then the school district’s MCR is instead equal to the school district’s prior year MCR, until TEA determines that the difference between the school district’s MCR and any other school district’s MCR is not more than 10%. These compression formulas are intended to more closely equalize local generation of Tier One funding among districts with disparate tax bases and generally reduce the Tier One Tax Rates of school districts as property values increase. For the 2025-2026 school year, \$0.6322 is the maximum tax rate and \$0.5689 is the floor.

Tier One Tax Rate. A school district’s Tier One Tax Rate is defined as a school district’s M&O tax rate levied that does not exceed the school district’s MCR.

Enrichment Tax Rate. The Enrichment Tax Rate is the number of cents a school district levies for M&O in excess of the Tier One Tax Rate, up to an additional \$0.17. The Enrichment Tax Rate is divided into two components: (i) “Golden Pennies” which are the first \$0.08 of tax effort in excess of a school district’s Tier One Tax Rate; and (ii) “Copper Pennies” which are the next \$0.09 in excess of a school district’s Tier One Tax Rate plus Golden Pennies.

School districts may levy an Enrichment Tax Rate at a level of their choice, subject to the limitations described under “TAX RATE LIMITATIONS – Public Hearing and Voter-Approval Tax Rate.” However to levy any of the Enrichment Tax Rate in a given year, a school district must levy a Tier One Tax Rate equal to the school district’s MCR for such year. Additionally, a school district’s levy of Copper Pennies is subject to compression if the guaranteed yield (i.e., the guaranteed level of local tax revenue and State aid generated for each cent of tax effort) of Copper Pennies is increased from one year to the next (see “CURRENT PUBLIC SCHOOL FINANCE SYSTEM – STATE FUNDING FOR SCHOOL DISTRICTS – Tier Two”).

STATE FUNDING FOR SCHOOL DISTRICTS

State funding for school districts is provided through the two-tiered Foundation School Program, which guarantees certain levels of funding for school districts in the State. School districts are entitled to a legislatively appropriated guaranteed yield on their Tier One Tax Rate and Enrichment Tax Rate. When a school district’s Tier One Tax Rate and Enrichment Tax Rate generate tax revenues at a level below the respective entitlement, the State will provide “Tier One” funding or “Tier Two” funding, respectively, to fund the difference between the school district’s entitlements and the calculated M&O revenues generated by the school district’s respective M&O tax rates.

The first level of funding, Tier One, is the basic level of funding guaranteed to all school districts based on a school district’s Tier One Tax Rate. Tier One funding may then be “enriched” with Tier Two funding. Tier Two provides a guaranteed entitlement for each cent of a school district’s Enrichment Tax Rate, allowing a school district to increase or decrease its Enrichment Tax Rate to supplement Tier One funding at a level of the school district’s own choice. While Tier One funding may be used for the payment of debt service (except for school districts subject to the recapture provisions of Chapter 49 of the Texas Education Code, as amended (see “– Local Revenue Level In Excess of Entitlement”)), and in some instances is required to be used for that purpose (see “TAX RATE LIMITATIONS – I&S Tax Rate Limitations” herein), Tier Two funding may not be used for the payment of debt service or capital outlay.

The Finance System also provides an Existing Debt Allotment (“EDA”) to subsidize debt service on eligible outstanding school district bonds, an Instructional Facilities Allotment (“IFA”) to subsidize debt service on newly issued bonds, and a New Instructional Facilities Allotment (“NIFA”) to subsidize operational expenses associated with the opening of a new instructional facility. IFA primarily addresses the debt service needs of property-poor school districts. For the 2024-2025 State fiscal biennium, the Legislature appropriated funds in the amount of \$1,072,511,740 for the EDA, IFA, and NIFA.

Tier One and Tier Two allotments represent the State’s share of the cost of M&O expenses of school districts, with local M&O taxes representing the school district’s local share. EDA and IFA allotments supplement a school district’s local I&S taxes levied for debt service on eligible bonds issued to construct, acquire and improve facilities, provided that a school district qualifies for such funding and that the Legislature makes sufficient

appropriations to fund the allotments for a State fiscal biennium. Tier One and Tier Two allotments and existing EDA and IFA allotments are generally required to be funded each year by the Legislature.

Tier One. Tier One funding is the basic level of programmatic funding guaranteed to a school district, consisting of a State-appropriated baseline level of funding (the “Basic Allotment”) for each student in “Average Daily Attendance” (being generally calculated as the sum of student attendance for each State-mandated day of instruction divided by the number of State-mandated days of instruction, defined herein as “ADA”). The Basic Allotment is revised downward if a school district’s Tier One Tax Rate is less than the State-determined threshold. The Basic Allotment is supplemented by additional State funds, allotted based upon the unique school district characteristics, the demographics of students in ADA, and the educational programs the students are being served in, to make up most of a school district’s Tier One entitlement under the Foundation School Program.

The Basic Allotment for a school district with a Tier One Tax Rate equal to the school district’s MCR, is \$6,160 (or a greater amount as may be provided by appropriation) for each student in ADA and is revised downward for a school district with a Tier One Tax Rate lower than the school district’s MCR. The Basic Allotment is then supplemented for all school districts by various weights to account for differences among school districts and their student populations. Such additional allotments include, but are not limited to, increased funds for students in ADA who: (i) attend a qualified special education program, (ii) are diagnosed with dyslexia or a related disorder, (iii) are economically disadvantaged, or (iv) have limited English language proficiency. Additional allotments to mitigate differences among school districts include, but are not limited to: (i) a transportation allotment for mileage associated with transporting students who reside two miles or more from their home campus, (ii) a fast growth allotment, (iii) a college, career and military readiness allotment to further the State’s goal of increasing the number of students who attain a post-secondary education or workforce credential, and (iv) a teacher compensation incentive allotment to increase teacher retention in disadvantaged or rural school districts. A school district’s total Tier One funding, divided by \$6,160, is a school district’s measure of students in “Weighted Average Daily Attendance” (“WADA”), which serves to calculate Tier Two funding.

The fast growth allotment weights are 0.48 for districts in the top 40% of school districts for growth, 0.33 for districts in the middle 30% of school districts for growth and 0.18 for districts in the bottom 30% of school districts for growth. The fast growth allotment is limited to \$320 million for the 2024-2025 school year.

Tier Two. Tier Two supplements Tier One funding and provides two levels of enrichment with different guaranteed yields (i.e., Golden Pennies and Copper Pennies) depending on the school district’s Enrichment Tax Rate. Golden Pennies generate a guaranteed yield equal to the greater of (i) the local revenue per student in WADA per cent of tax effort available to a school district at the ninety-sixth (96th) percentile of wealth per student in WADA, or (ii) the Basic Allotment (or a greater amount as may be provided by appropriation) multiplied by 0.016. For the 2024-2025 State fiscal biennium, school districts are guaranteed a yield of \$126.21 per student in WADA in 2024 and \$129.52 per student in WADA in 2025 for each Golden Penny levied. Copper Pennies generate a guaranteed yield per student in WADA equal to the school district’s Basic Allotment (or a greater amount as may be provided by appropriation) multiplied by 0.008. For the 2024-2025 State fiscal biennium, school districts are guaranteed a yield of \$49.28 per student in WADA for each Copper Penny levied. For any school year in which the guaranteed yield of Copper Pennies per student in WADA exceeds the guaranteed yield of Copper Pennies per student in WADA for the preceding school year, a school district is required to reduce its Copper Pennies levied so as to generate no more revenue per student in WADA than was available to the school district for the preceding year.

Existing Debt Allotment, Instruction Facilities Allotment, and New Instructional Facilities Allotment. The Foundation School Program also includes facilities funding components consisting of the IFA and the EDA, subject to legislative appropriation each State fiscal biennium. To the extent funded for a biennium, these programs assist school districts in funding facilities by, generally, equalizing a school district’s I&S tax effort. The IFA guarantees each awarded school district a specified amount per student (the “IFA Yield”) in State and local funds for each cent of I&S tax levied to pay the principal of and interest on eligible bonds issued to construct, acquire, renovate or improve instructional facilities. The IFA Yield has been \$35 since the program first began in 1997. New awards of IFA are only available if appropriated funds are allocated for such purpose by the Legislature. To receive an IFA award, in years where new IFA awards are available, a school district must apply to the Education Commissioner in accordance with rules adopted by the TEA before issuing the bonds to be paid with IFA State assistance. The total amount of debt service assistance over a biennium for which a school district may be awarded is limited to the lesser of (1) the actual debt service payments made by the school district in the biennium in which the bonds are issued; or (2) the greater of (a) \$100,000 or (b) \$250 multiplied by the number of students in ADA. The IFA is also available for lease-purchase agreements and refunding bonds meeting certain prescribed conditions. Once a school district receives an IFA award for bonds, it is entitled to continue receiving State assistance for such bonds without reapplying to the Education Commissioner. The guaranteed level of State and local funds per student per cent of local tax effort applicable to the bonds may not be reduced below the level provided for the year in which the bonds were issued. For the 2024-2025 State fiscal biennium, the Legislature did not appropriate any funds for new IFA awards; however, awards previously granted in years the Legislature did appropriate funds for new IFA awards will continue to be funded.

State financial assistance is provided for certain existing eligible debt issued by school districts through the EDA program. The EDA guaranteed yield (the “EDA Yield”) is the lesser of (i) \$40 per student in ADA or a greater amount for any year provided by appropriation; or (ii) the amount that would result in a total additional EDA of \$60 million more than the EDA to which school districts would have been entitled to if the EDA Yield were \$35. The portion of a school district’s local debt service rate that qualifies for EDA assistance is limited to the first \$0.29 of its I&S tax rate (or a greater amount for any year provided by appropriation by the Legislature). In general, a school district’s bonds are eligible for EDA assistance if (i) the school district made payments on the bonds during the final fiscal year of the preceding State fiscal biennium, or (ii) the school district levied taxes to pay the principal of and interest on the bonds for that fiscal year. Each biennium, access to EDA funding is determined by the debt service taxes collected in the final year of the preceding biennium. A school district may not receive EDA funding for the principal and interest on a series of otherwise eligible bonds for which the school district receives IFA funding.

Since future-year IFA awards were not funded by the Legislature for the 2024-2025 State fiscal biennium and debt service assistance on school district bonds that are not yet eligible for EDA is not available, debt service payments during the 2024-2025 State fiscal biennium on new bonds issued by school districts in the 2024-2025 State fiscal biennium to construct, acquire and improve facilities must be funded solely from local I&S taxes, except to the extent that the bonds of a school district are eligible for hold-harmless funding from the State for local tax revenue lost as a result of an increase in the mandatory homestead exemption from \$40,000 to \$100,000. See “— 2023 Legislative Sessions.” Hold-harmless applies only to bonds authorized by voters prior to September 1, 2023.

A school district may also qualify for a NIFA allotment, which provides assistance to school districts for operational expenses associated with opening new instructional facilities. During the 2023 Legislative Sessions, the Legislature appropriated funds in the amount of \$100,000,000 for each fiscal year of the 2024-2025 State fiscal biennium for NIFA allotments.

Tax Rate and Funding Equity. The Education Commissioner may proportionally reduce the amount of funding a school district receives under the Foundation School Program and the ADA calculation if the school district operates on a calendar that provides less than the State-mandated minimum instruction time in a school year. The Education Commissioner may also adjust a school district’s ADA as it relates to State funding where disaster, flood, extreme weather or other calamity has a significant effect on a school district’s attendance.

Furthermore, “property-wealthy” school districts that received additional State funds under the Finance System prior to the enactment of certain legislation passed during the 86th Texas Legislature are entitled to an equalized wealth transition grant on an annual basis, which will be phased out in the 2023-2024 school year, in an amount equal to the amount of additional revenue such school district would have received under former Texas Education Code Sections 41.002(e) through (g), as those sections existed on January 1, 2019. Additionally, school districts and open-enrollment charter schools may be entitled to receive an allotment in the form of a formula transition grant, but they will not be entitled to an allotment beginning with the 2024-2025 school year. This grant is meant to ensure a smooth transition into the funding formulas enacted by the 86th Texas Legislature. Furthermore, if the total amount of allotments to which school districts and open enrollment charter schools are entitled for a school year exceeds \$400 million, the Education Commissioner shall proportionately reduce each district’s or school’s allotment. The reduction in the amount to which a district or school is entitled may not result in an amount that is less than zero.

LOCAL REVENUE LEVEL IN EXCESS OF ENTITLEMENT

A school district that has sufficient property wealth per student in ADA to generate local revenues on the school district’s Tier One Tax Rate and Copper Pennies in excess of the school district’s respective funding entitlements (a “Chapter 49 school district”), is subject to the local revenue reduction provisions contained in Chapter 49 of Texas Education Code, as amended (“Chapter 49”). Additionally, in years in which the amount of State funds appropriated specifically excludes the amount necessary to provide the guaranteed yield for Golden Pennies, local revenues generated on a school district’s Golden Pennies in excess of the school district’s respective funding entitlement are subject to the local revenue reduction provisions of Chapter 49. To reduce local revenue in excess of entitlement, Chapter 49 school districts are generally subject to a process known as “recapture,” which requires a Chapter 49 school district to exercise certain options to remit local M&O tax revenues collected in excess of the Chapter 49 school district’s funding entitlements to the State (for redistribution to other school districts) or otherwise expending the respective M&O tax revenues for the benefit of students in school districts that are not Chapter 49 school districts, as described in the subcaption “—Options for Local Revenue Levels in Excess of Entitlement,” below. Chapter 49 school districts receive their allocable share of funds distributed from the constitutionally-prescribed Available School Fund, but are generally not eligible to receive State aid under the Foundation School Program, although they may continue to receive State funds for certain competitive grants and certain programs that remain outside the Foundation School Program.

Options for Local Revenue Levels in Excess of Entitlement. Under Chapter 49, a school district has six (6) options to reduce local revenues to a level that does not exceed the school district’s respective entitlements: (1) a school district may consolidate by agreement with one or more school districts to form a consolidated school district; all property and debt of the consolidating school districts vest in the consolidated school district; (2) a school district may detach property from its territory for annexation by a property-poor school district; (3) a school district may purchase attendance credits from the State; (4) a school district may contract to educate nonresident students from a property-poor school district by sending money directly to one or more property-poor school districts; (5) a school district may execute an agreement to provide students of one or more other school districts with career and technology education through a program designated as an area program for career and technology education; or (6) a school district may consolidate by agreement with one or more school districts to form a consolidated taxing school district solely to levy and distribute either M&O taxes or both M&O taxes and I&S taxes. A Chapter 49 school district may also exercise any combination of these remedies. Options (3), (4) and (6) require prior approval by the Chapter 49 school district’s voters.

Furthermore, a school district may not adopt a tax rate until its effective local revenue level is at or below the level that would produce its guaranteed entitlement under the Foundation School Program. If a school district fails to exercise a permitted option, the Education Commissioner must reduce the school district’s local revenue level to the level that would produce the school district’s guaranteed entitlement, by detaching certain types of property from the school district and annexing the property to a property-poor school district or, if necessary, consolidate the school district with a property-poor school district. Provisions governing detachment and annexation of taxable property by the Education Commissioner do not provide for assumption of any of the transferring school district’s existing debt.

THE SCHOOL FINANCE SYSTEM AS APPLIED TO THE DISTRICT

For the 2024-2025 fiscal year, the District was designated as an “excess local revenue” district by the TEA. The amount of local revenue in excess of the District’s entitlement in any year is determined by a number of variables, but is primarily driven by property values and student attendance as described above under “—LOCAL REVENUE LEVEL IN EXCESS OF ENTITLEMENT.” Pursuant to an election held on May 6, 2017, the District exercises the option of purchasing attendance credits from the State to reduce local revenues to a level that does not exceed the District’s entitlements, as described as option (3) under “—LOCAL REVENUE LEVEL IN EXCESS OF ENTITLEMENT—Options for Local Revenue Levels in Excess of Entitlement” above. The District has not been notified as to its status for the 2025-2026 school year.

The District’s expenditures to reduce excess local revenues (i.e., recapture obligation) for fiscal years 2021, 2022 and 2023 were approximately \$198 million, \$187 million and \$275 million, respectively. For fiscal year 2024, the District had \$0 in recapture obligation due to tax compression and the homestead exemption. Based on preliminary ad valorem tax values for this tax year and current estimates and projections for student attendance, the District estimates a recapture obligation of approximately \$48 million for fiscal year 2025; however, such amount could materially change based on actual enrollment and certified ad valorem tax values. Amounts of local revenue in excess of the District’s entitlement for any fiscal year may be adjusted by the TEA during the five subsequent fiscal years.

In each year that the District’s local revenues exceed its funding entitlements, the District must reduce its local revenues by exercise of one of the options described above under “—LOCAL REVENUE LEVEL IN EXCESS OF ENTITLEMENT— Options for Local Revenue Levels in Excess of Entitlement.” The District expects to continue to purchase attendance credits from the State, as necessary, as further described above. However, if the District were to consolidate (or consolidate its tax base for all purposes) with a property-poor district, the outstanding debt of each district could become payable from the consolidated district’s combined property tax base, and the District’s ratio of taxable property to debt could become diluted. If the District were to detach property voluntarily, a portion of its outstanding debt could be assumed by the district to which the property is annexed, in which case timely payment could become dependent in part on the financial performance of the annexing district. See “—Local Revenue Level in Excess of Entitlement” above. See “TABLE 11 – GENERAL FUND REVENUE AND EXPENDITURE HISTORY,” for a discussion of the District’s budgets for fiscal years 2024 and 2025.

A district’s local revenue levels must be tested for each future school year and, if local revenues exceed the district’s entitlements, the district must reduce its wealth per student by the exercise of one of the permitted wealth equalization options. Accordingly, if the District’s local revenues should exceed its entitlements in future school years, it will be required to exercise one or more of the permitted options to reduce local revenues.

For the State fiscal year ending in 2025 (the 2024-2025 school year), the State Compression Percentage was set at \$0.6855, but the District’s local compressed percentage was lower than the SCP, resulting in MCR of \$0.6516 per \$100 of taxable value. For a detailed discussion of State funding for school districts, see “CURRENT PUBLIC SCHOOL FINANCE SYSTEM – STATE FUNDING FOR SCHOOL DISTRICTS” herein.

AD VALOREM TAX PROCEDURES

The following is a summary of certain provisions of State law as it relates to ad valorem taxation and is not intended to be complete. Prospective investors are encouraged to review Title I of the Texas Tax Code, as amended (the “Property Tax Code”), for identification of property subject to ad valorem taxation, property exempt or which may be exempted from ad valorem taxation if claimed, the appraisal of property for ad valorem tax purposes, and the procedures and limitations applicable to the levy and collection of ad valorem taxes. See “CURRENT PUBLIC SCHOOL FINANCE SYSTEM – 2025 Legislative Session” for information on legislation affecting ad valorem taxation exemptions.

VALUATION OF TAXABLE PROPERTY

The Property Tax Code provides for countywide appraisal and equalization of taxable property values and establishes in each county of the State an appraisal district and an appraisal review board (the “Appraisal Review Board”) responsible for appraising property for all taxing units within the county. The appraisal of property within the District is the responsibility of the Harris Central Appraisal District (the “Appraisal District”). Except as generally described below, the Appraisal District is required to appraise all property within the Appraisal District as of January 1 of each year and on the basis of 100% of its market value and is prohibited from applying any assessment ratios. In determining market value of property, the Appraisal District is required to consider the cost method of appraisal, the income method of appraisal and the market data comparison method of appraisal, and use the method the chief appraiser of the Appraisal District considers most appropriate. The Property Tax Code requires appraisal districts to reappraise all property in its jurisdiction at least once every three (3) years. A taxing unit may require annual review at its own expense, and is entitled to challenge the determination of appraised value of property within the taxing unit by petition filed with the Appraisal Review Board. See “ – DISTRICT AND TAXPAYER REMEDIES.”

State law requires the appraised value of an owner’s principal residence (“homestead” or “homesteads”) to be based solely on the property’s value as a homestead, regardless of whether residential use is considered to be the highest and best use of the property. State law further limits the appraised value of a homestead to the lesser of (1) the market value of the property or (2) 110% of the appraised value of the property for the preceding tax year plus the market value of all new improvements to the property. The 10% increase is cumulative, meaning the maximum increase is 10% times the number of years since the property was last appraised.

Effective January 1, 2024, an appraisal district is prohibited from increasing the appraised value of real property during the 2024 tax year on certain non-homestead properties (the “Subjected Property”) whose appraised values are not more than \$5 million dollars (the “maximum property value”) to an amount not to exceed the lesser of: (1) the market value of the Subjected Property for the most recent tax year that the market value was determined by the appraisal office or (2) the sum of: (a) 20 percent of the appraised value of the Subjected Property for the preceding tax year; (b) the appraised value of the Subjected Property for the preceding tax year; and (c) the market value of all new improvements to the Subjected Property (collectively, the “Appraisal Cap”). After the 2024 tax year, through December 31, 2026 unless extended by the State legislature, the maximum property value may be increased or decreased by the product of the preceding state fiscal year’s increase or decrease in the consumer price index, as applicable, to the maximum property value. At such time, the value limitation provisions for non-homestead property will expire unless extended by the State Legislature. For the 2025 tax year, the maximum property value was increased to \$5,160,000.

State law provides that eligible owners of both agricultural land and open-space land, including open-space land devoted to farm or ranch purposes or open-space land devoted to timber production, may elect to have such property appraised for property taxation on the basis of its productive capacity. The same land may not be qualified as both agricultural and open-space land.

The appraisal values set by the Appraisal District are subject to review and change by the Appraisal Review Board. The appraisal rolls, as approved by the Appraisal Review Board, are used by taxing units, such as the District, in establishing their tax rolls and tax rates (see “ – DISTRICT AND TAXPAYER REMEDIES”).

STATE MANDATED HOMESTEAD EXEMPTIONS

State law grants, with respect to each school district in the State, (1) a \$100,000 exemption of the appraised value of all homesteads, (2) a \$10,000 exemption of the appraised value of the homesteads of persons sixty-five (65) years of age or older and the disabled, and (3) various exemptions for disabled veterans and their families, surviving spouses of members of the armed services killed in action and surviving spouses of first responders killed or fatally wounded in the line of duty. See “CURRENT PUBLIC SCHOOL FINANCE SYSTEM – 2025 LEGISLATIVE SESSION” herein for a discussion of a potential increase in the general State mandated homestead exemption from \$100,000 to \$140,000 and a potential increase in the State mandated homestead exemption of persons sixty-five (65) years of age or older and the disabled from \$10,000 to \$60,000.

LOCAL OPTION HOMESTEAD EXEMPTIONS

The governing body of a taxing unit, including a city, county, school district, or special district, at its option may grant: (1) an exemption of up to 20% of the appraised value of all homesteads (but not less than \$5,000) and (2) an additional exemption of at least \$3,000 of the appraised value of the homesteads of persons sixty-five (65) years of age or older and the disabled. Each taxing unit decides if it will offer the local option homestead exemptions and at what percentage or dollar amount, as applicable. The exemption described in (2), above, may also be created, increased, decreased or repealed at an election called by the governing body of a taxing unit upon presentment of a petition for such creation, increase, decrease, or repeal of at least 20% of the number of qualified voters who voted in the preceding election of the taxing unit.

Cities, counties and school districts are prohibited from repealing or reducing an optional homestead exemption that was granted in tax year 2022 through December 31, 2027.

STATE MANDATED FREEZE ON SCHOOL DISTRICT TAXES

Except for increases attributable to certain improvements, a school district is prohibited from increasing the total ad valorem tax on the homestead of persons sixty-five (65) years of age or older or of disabled persons above the amount of tax imposed in the year such homestead qualified for such exemption. This freeze is transferable to a different homestead if a qualifying taxpayer moves and, under certain circumstances, is also transferable to the surviving spouse of persons sixty-five (65) years of age or older, but not the disabled.

The total amount of ad valorem taxes that may be imposed for general elementary and secondary public school purposes on the residence homestead of a person who is 65 years old or older or disabled may be adjusted to reflect any statutory reduction from the preceding tax year in the MCR of the M&O taxes imposed for those purposes on the homestead.

PERSONAL PROPERTY

Tangible personal property (furniture, machinery, supplies, inventories, etc.) used in the “production of income” is taxed based on the property’s market value. Taxable personal property includes income-producing equipment and inventory. Intangibles such as goodwill, accounts receivable, and proprietary processes are not taxable. Tangible personal property not held or used for production of income, such as household goods, automobiles or light trucks, and boats, is exempt from ad valorem taxation unless the governing body of a taxing unit elects to tax such property. House Bill 9, approved by the 89th Texas Legislature, increases the exemption for tangible personal property used in the “production of income” from the current \$2,500 to \$125,000. This legislation is effective September 1, 2025 but is contingent on the passage of a Constitutional amendment at the November 2025 Statewide Constitutional election.

FREEPORT AND GOODS-IN-TRANSIT EXEMPTIONS

Certain goods that are acquired in or imported into the State to be forwarded outside the State, and are detained in the State for 175 days or less for the purpose of assembly, storage, manufacturing, processing or fabrication (“Freeport Property”) are exempt from ad valorem taxation unless a taxing unit took official action to tax Freeport Property before April 1, 1990, and has not subsequently taken official action to exempt Freeport Property. Decisions to continue taxing Freeport Property may be reversed in the future; decisions to exempt Freeport Property are not subject to reversal.

Certain goods, that are acquired in or imported into the State to be forwarded to another location within or outside the State, stored in a location that is not owned by the owner of the goods and are transported to another location within or outside the State within 175 days (“Goods-in-Transit”), are generally exempt from ad valorem taxation; however, the Property Tax Code permits a taxing unit, on a local option basis, to tax Goods-in-Transit if the taxing unit takes official action, after conducting a public hearing, before January 1 of the first tax year in which the taxing unit proposes to tax Goods-in-Transit. Goods-in-Transit and Freeport Property do not include oil, natural gas or petroleum products, and Goods-in-Transit does not include aircraft or special inventories such as manufactured housing inventory, or a dealer’s motor vehicle, boat, or heavy equipment inventory.

A taxpayer may receive only one of the Goods-in-Transit or Freeport Property exemptions for items of personal property.

TEMPORARY EXEMPTION FOR QUALIFIED PROPERTY DAMAGED BY A DISASTER

The Property Tax Code entitles the owner of certain qualified (i) tangible personal property used for the production of income, (ii) improvements to real property, and (iii) manufactured homes located in an area declared by the Governor to be a disaster area following a disaster and is at least 15 percent damaged by the disaster, as determined by the chief appraiser, to an exemption from taxation of a portion of the appraised value of the property. The amount of the exemption ranges from 15 percent to 100 percent based upon the damage assessment rating assigned by the chief appraiser. The governing body of the taxing unit is not required to take any action in order for the taxpayer to be eligible for the exemption. If a taxpayer qualifies for the exemption after the beginning of the tax year, the amount of the exemption is prorated based on the number of days left in the tax year following the day on which the Governor declares the area to be a disaster area. The Texas Legislature amended Section 11.35 of the Property Tax Code to clarify that “damage” for purposes of such statute is limited to physical damage. For more information on the exemption, reference is made to Section 11.35 of the Property Tax Code, as amended.

OTHER EXEMPT PROPERTY

Other major categories of exempt property include property owned by the State or its political subdivisions if used for public purposes, property exempt by federal law, property used for pollution control, farm products owned by producers, property of nonprofit corporations used for scientific research or educational activities benefitting a college or university, designated historic sites, solar and wind-powered energy devices, and certain classes of intangible personal property. Beginning with the 2026 tax year, all intangible personal property is exempt from State taxation.

TAX INCREMENT REINVESTMENT ZONES

A city or county, by petition of the landowners or by action of its governing body, may create one or more tax increment reinvestment zones (“TIRZ”) within its boundaries. At the time of the creation of the TIRZ, a “base value” for the real property in the TIRZ is established and the difference between any increase in the assessed valuation of taxable real property in the TIRZ in excess of the base value is known as the “tax increment.” During the existence of the TIRZ, all or a portion of the taxes levied against the tax increment by a city or county, and all other overlapping taxing units that elected to participate, are restricted to paying only planned project and financing costs within the TIRZ and are not available for the payment of other obligations of such taxing units.

Until September 1, 1999, school districts were able to reduce the value of taxable property reported to the State to reflect any taxable value lost due to TIRZ participation by the school district. The ability of the school district to deduct the taxable value of the tax increment that it contributed prevented the school district from being negatively affected in terms of state school funding. However, due to a change in law, local M&O tax rate revenue contributed to a TIRZ created on or after May 31, 1999 will count toward a school district’s Tier One entitlement (reducing Tier One State funds for eligible school districts) and will not be considered in calculating any school district’s Tier Two entitlement (see “CURRENT PUBLIC SCHOOL FINANCE SYSTEM – STATE FUNDING FOR SCHOOL DISTRICTS” and “DISTRICT APPLICATION OF THE PROPERTY TAX CODE”).

TAX LIMITATION AGREEMENTS

The Texas Economic Development Act (Chapter 313, Texas Tax Code, as amended) allows school districts to grant limitations on appraised property values to certain corporations and limited liability companies to encourage economic development within the school district. Generally, during the last eight (8) years of the ten-year term of a tax limitation agreement, a school district may only levy and collect M&O taxes on the agreed-to limited appraised property value. For the purposes of calculating its Tier One and Tier Two entitlements, the portion of a school district’s property that is not fully taxable is excluded from the school district’s taxable property values. Therefore, a school district will not be subject to a reduction in Tier One or Tier Two State funds as a result of lost M&O tax revenues due to entering into a tax limitation agreement (see “CURRENT PUBLIC SCHOOL FINANCE SYSTEM – State Funding for School Districts”). During the Regular Session of the 88th Texas Legislature, House Bill 5, codified as Chapter 403, Subchapter T, Texas Government Code (“Chapter 403T”) was enacted into law. Chapter 403T is intended as a replacement of former

Chapter 313, Texas Tax Code ("Chapter 313"), but it contains significantly different provisions than the prior program under Chapter 313. Under Chapter 403T, a school district may offer a 50% abatement on taxable value for M&O property taxes for certain eligible projects, except that projects in a federally designated economic opportunity zone receive a 75% abatement. Chapter 403T also provides a 100% abatement of M&O taxes for eligible property during a project's construction period. Eligible projects must relate to manufacturing, provision of utility services, dispatchable electric generation (such as non-renewable energy), development of natural resources, critical infrastructure, or research and development for high-tech equipment or technology, and projects must create and maintain jobs and meet certain minimum investment requirements.

For a discussion of how the various exemptions described above are applied by the District, see "DISTRICT APPLICATION OF THE PROPERTY TAX CODE."

DISTRICT AND TAXPAYER REMEDIES

Under certain circumstances, taxpayers and taxing units, including the District, may appeal the determinations of the Appraisal District by timely initiating a protest with the Appraisal Review Board. Additionally, taxing units such as the District may bring suit against the Appraisal District to compel compliance with the Property Tax Code.

Owners of certain property with a taxable value in excess of the current year "minimum eligibility amount", as determined by the State Comptroller, and situated in a county with a population of one million or more, may protest the determinations of an appraisal district directly to a three-member special panel of the appraisal review board, appointed by the chairman of the appraisal review board, consisting of highly qualified professionals in the field of property tax appraisal. The minimum eligibility amount was set at \$61,349,201 for the 2025 tax year, and is adjusted annually by the State Comptroller to reflect the inflation rate.

The Property Tax Code sets forth notice and hearing procedures for certain tax rate increases by the District and provides for taxpayer referenda that could result in the repeal of certain tax increases (see "TAX RATE LIMITATIONS – PUBLIC HEARING AND VOTER-APPROVAL TAX RATE"). The Property Tax Code also establishes a procedure for providing notice to property owners of reappraisals reflecting increased property value, appraisals which are higher than renditions, and appraisals of property not previously on an appraisal roll.

LEVY AND COLLECTION OF TAXES

The District is responsible for the collection of its taxes, unless it elects to transfer such functions to another governmental entity. Taxes are due October 1, or when billed, whichever comes later, and become delinquent after January 31 of the following year. A delinquent tax incurs a penalty of six percent (6%) of the amount of the tax for the first calendar month it is delinquent, plus one percent (1%) for each additional month or portion of a month the tax remains unpaid prior to July 1 of the year in which it becomes delinquent. If the tax is not paid by July 1 of the year in which it becomes delinquent, the tax incurs a total penalty of twelve percent (12%) regardless of the number of months the tax has been delinquent and incurs an additional penalty of up to twenty percent (20%) of the delinquent tax, penalty, and interest collected, if imposed by the District. The delinquent tax also accrues interest at a rate of one percent (1%) for each month or portion of a month it remains unpaid. The Property Tax Code also makes provision for the split payment of taxes, discounts for early payment and the postponement of the delinquency date of taxes for certain taxpayers. Furthermore, the District may provide, on a local option basis, for the split payment, partial payment, and discounts for early payment of taxes under certain circumstances.

DISTRICT'S RIGHTS IN THE EVENT OF TAX DELINQUENCIES

Taxes levied by the District are a personal obligation of the owner of the property. On January 1 of each year, a tax lien attaches to property to secure the payment of all state and local taxes, penalties, and interest ultimately imposed for the year on the property. The lien exists in favor of each taxing unit, including the District, having power to tax the property. The District's tax lien is on a parity with tax liens of such other taxing units. A tax lien on real property takes priority over the claim of most creditors and other holders of liens on the property encumbered by the tax lien, whether or not the debt or lien existed before the attachment of the tax lien; however, whether a lien of the United States is on a parity with or takes priority over a tax lien of the District is determined by applicable federal law. Personal property, under certain circumstances, is subject to seizure and sale for the payment of delinquent taxes, penalty, and interest.

At any time after taxes on property become delinquent, the District may file suit to foreclose the lien securing payment of the tax, to enforce personal liability for the tax, or both. In filing a suit to foreclose a tax lien on real property, the District must join other taxing units that have claims for delinquent taxes against all or part of the same property.

Collection of delinquent taxes may be adversely affected by the amount of taxes owed to other taxing units, adverse market conditions, taxpayer redemption rights, or bankruptcy proceedings which restrain the collection of a taxpayer's debt.

Federal bankruptcy law provides that an automatic stay of actions by creditors and other entities, including governmental units, goes into effect with the filing of any petition in bankruptcy. The automatic stay prevents governmental units from foreclosing on property and prevents liens for post petition taxes from attaching to property and obtaining secured creditor status unless, in either case, an order lifting the stay is obtained from the bankruptcy court. In many cases, post-petition taxes are paid as an administrative expense of the estate in bankruptcy or by order of the bankruptcy court.

DISTRICT APPLICATION OF PROPERTY TAX CODE

In addition to the state-mandated property tax exemptions described above, the District grants an additional exemption of 20% of the market value of residence homesteads; minimum exemption of \$5,000.⁽¹⁾

The District grants an additional \$15,000 residence homestead exemption for persons 65 years of age or older and the disabled.⁽¹⁾

The District does not grant an exemption for freeport property and has not taken action to tax goods-in-transit.

The District does not permit split payments, and discounts are not allowed.

The District does not offer tax abatements. See “TABLE 3 – EXEMPTIONS.”

The District participates in 12 tax increment reinvestment zones (each, a “TIRZ,” and collectively, the “TIRZs”) created by the City of Houston, Texas. The District has entered into interlocal agreements with each TIRZ to contribute a certain amount of tax increments realized in each TIRZ. Under the interlocal agreements, the District is remitted a portion of its tax increment to use for school facilities throughout the District. In fiscal year 2024, the District recognized approximately \$32 million in net revenue from TIRZs. In fiscal year 2025, the District expects approximately \$38 million in net revenue from TIRZs.

⁽¹⁾ See “CURRENT PUBLIC SCHOOL FINANCE SYSTEM – 2025 LEGISLATIVE SESSION” herein for a discussion of a potential increase in the general State mandated homestead exemption from \$100,000 to \$140,000 and a potential increase in the State mandated homestead exemption of persons sixty-five (65) years of age or older and the disabled from \$10,000 to \$60,000.

TAX RATE LIMITATIONS

GENERAL

The maximum tax rate for the District is \$1.70 per \$100 of assessed valuation, as approved by the voters of the District at an election held on April 7, 1962 pursuant to Article 2784g, Texas Revised Civil Statutes (the “Tax Election”).

M&O TAX RATE LIMITATIONS

The maximum M&O tax rate per \$100 of taxable value that may be adopted by the District may not exceed the lesser of (A) \$1.70 less the District’s I&S tax rate and (B) the sum of \$0.17 (subject to compression of the nine available copper pennies in a year in which the State increases the guaranteed yield on those pennies) and the school district’s MCR. A school district’s MCR is, generally, inversely proportional to the change in taxable property values both within the school district and the State, and is subject to recalculation annually. For any year, the highest possible MCR for a school district is \$0.93. See “THE NOTES – SECURITY AND SOURCE OF PAYMENT” and “CURRENT PUBLIC SCHOOL FINANCE SYSTEM – LOCAL FUNDING FOR SCHOOL DISTRICTS.”

Furthermore, a school district cannot annually increase its tax rate in excess of the school district’s Voter-Approval Tax Rate without submitting such tax rate to an election and a majority of the voters voting at such election approving the adopted rate. See “TAX RATE LIMITATIONS – PUBLIC HEARING AND VOTER-APPROVAL TAX RATE.”

I&S TAX RATE LIMITATIONS

The District may authorize the issuance of bonds and levy taxes for payment therefore subject to voter approval of one or more propositions submitted to the voters under Section 45.003(b)(2), Texas Education Code, as amended. Pursuant to the Tax Election, the District’s I&S tax rate may not exceed \$1.00 per \$100 of taxable valuation.

Section 45.0031 of the Texas Education Code, as amended, requires a school district to demonstrate to the Texas Attorney General that it has the prospective ability to pay its maximum annual debt service on a proposed issue of bonds and all previously issued bonds, other than bonds approved by voters of a school district at an election held on or before April 1, 1991 and issued before September 1, 1992 (or debt issued to refund such bonds, collectively, “exempt bonds”), from a tax levied at a rate of \$0.50 per \$100 of assessed valuation before bonds may be issued (the “50-cent Test”). In demonstrating the ability to pay debt service at a rate of \$0.50, a school district may take into account EDA and IFA allotments to the school district, which effectively reduces the school district’s local share of debt service, and may also take into account Tier One funds allotted to the school district. If a school district exercises this option, it may not adopt an I&S tax until it has credited to the school district’s I&S fund an amount equal to all State allotments provided solely for payment of debt service and any Tier One funds needed to demonstrate compliance with the threshold tax rate test and which is received or to be received in that year. Additionally, a school district may demonstrate its ability to comply with the 50-cent Test by applying the \$0.50 tax rate to an amount equal to 90% of projected future taxable value of property in the school district, as certified by a registered professional appraiser, anticipated for the earlier of the tax year five (5) years after the current tax year or the tax year in which the final payment for the bonds is

due. However, if a school district uses projected future taxable values to meet the 50-cent Test and subsequently imposes a tax at a rate greater than \$0.50 per \$100 of valuation to pay for bonds subject to the test, then for subsequent bond issues, the Attorney General must find that the school district has the projected ability to pay principal and interest on the proposed bonds and all previously issued bonds subject to the 50-cent Test from a tax rate of \$0.45 per \$100 of valuation. Once the prospective ability to pay such tax has been shown and the bonds are issued, the District may levy an I&S tax rate not to exceed \$1.00 per \$100 of taxable value, subject to the limitations imposed by the Tax Election. Refunding bonds issued pursuant to Chapter 1207, Texas Government Code, are not subject to the 50-cent Test; however, taxes levied to pay debt service on such bonds (other than bonds issued to refund exempt bonds) are included in maximum annual debt service for calculation of the 50-cent Test when applied to subsequent bond issues that are subject to the 50-cent Test.

PUBLIC HEARING AND VOTER-APPROVAL TAX RATE

A school district's total tax rate is the combination of the M&O tax rate and the I&S tax rate. Generally, the highest rate at which a school district may levy taxes for any given year without holding an election to approve the tax rate is the "Voter- Approval Tax Rate", as described below.

A school district is required to adopt its annual tax rate before the later of September 30 or the sixtieth (60th) day after the date the certified appraisal roll is received by the taxing unit, except that a tax rate that exceeds the Voter-Approval Tax Rate must be adopted not later than the seventy-first (71st) day before the next occurring November uniform election date. A school district's failure to adopt a tax rate equal to or less than the Voter-Approval Tax Rate by September 30 or the sixtieth (60th) day after receipt of the certified appraisal roll, will result in the tax rate for such school district for the tax year to be the lower of the "no-new-revenue tax rate" calculated for that tax year or the tax rate adopted by the school district for the preceding tax year. A school district's failure to adopt a tax rate in excess of the Voter-Approval Tax Rate on or prior to the seventy-first (71st) day before the next occurring November uniform election date, will result in the school district adopting a tax rate equal to or less than its Voter-Approval Tax Rate by the later of September 30 or the sixtieth (60th) day after receipt of the certified appraisal roll. "No-new-revenue tax rate" means the rate that will produce the prior year's total tax levy from the current year's total taxable values, adjusted such that lost values are not included in the calculation of the prior year's taxable values and new values are not included in the current year's taxable values.

The Voter-Approval Tax Rate for a school district is the sum of (i) the school district's MCR; (ii) the greater of (a) the school district's Enrichment Tax Rate for the preceding year, less any amount by which the school district is required to reduce its current year Enrichment Tax Rate pursuant to Section 48.202(f), Education Code, as amended, or (b) the rate of \$0.05 per \$100 of taxable value; and (iii) the school district's current I&S tax rate. A school district's M&O tax rate may not exceed the rate equal to the sum of (i) \$0.17 (subject to compression of the nine available copper pennies in a year in which the State increases the guaranteed yield on those pennies) and (ii) the school district's MCR. See "CURRENT PUBLIC SCHOOL FINANCE SYSTEM" herein, for more information regarding the State Compression Percentage, MCR, and the Enrichment Tax Rate.

The governing body of a school district generally cannot adopt a tax rate exceeding the school district's Voter-Approval Tax Rate without approval by a majority of the voters approving the higher rate at an election to be held on the next uniform election date. Further, subject to certain exceptions for areas declared disaster areas, State law requires the board of trustees of a school district to conduct an efficiency audit before seeking voter approval to adopt a tax rate exceeding the Voter-Approval Tax Rate and sets certain parameters for conducting and disclosing the results of such efficiency audit. An election is not required for a tax increase to address increased expenditures resulting from certain natural disasters in the year following the year in which such disaster occurs; however, the amount by which the increased tax rate exceeds the school district's Voter-Approval Tax Rate for such year may not be considered by the school district in the calculation of its subsequent Voter-Approval Tax Rate.

The calculation of the Voter-Approval Tax Rate may limit or impact the District's ability to set an I&S tax rate in each year sufficient to pay debt service on all of the District's tax-supported debt obligations.

Before adopting its annual tax rate, a public meeting must be held for the purpose of adopting a budget for the succeeding year. A notice of public meeting to discuss the school district's budget and proposed tax rate must be published in the time, format and manner prescribed in Section 44.004 of the Texas Education Code. Section 44.004(e) of the Texas Education Code provides that a person who owns taxable property in a school district is entitled to an injunction restraining the collection of taxes by the school district if the school district has not complied with such notice requirements or the language and format requirements of such notice as set forth in Section 44.004(b), (c), (c-1), (c-2), and (d), and, if applicable, subsection (i) of the Texas Education Code, and if such failure to comply was not in good faith. Section 44.004(e) of the Texas Education Code further provides the action to enjoin the collection of taxes must be filed before the date the school district delivers substantially all of its tax bills. A school district that elects to adopt a tax rate before the adoption of a budget for the fiscal year that begins in the current tax year may adopt a tax rate for the current tax year before receipt of the certified appraisal roll, so long as the chief appraiser of the appraisal district in which the school district participates has certified to the assessor for the school district an estimate of the taxable value of property in the school district. If a school district adopts its tax rate prior to the adoption of its budget, both the no-new-revenue tax rate and the Voter-Approval Tax Rate of the school district shall be calculated based on the school district's certified estimate of taxable value. A school district that adopts a tax rate before adopting its budget must hold a public hearing on the proposed tax rate followed by another public hearing on the proposed budget rather than holding a single hearing on the two items.

A school district must annually calculate and prominently post on its internet website and submit to the county tax assessor-collector for each county in which all or part of the school district is located, its Voter-Approval Tax Rate in accordance with forms prescribed by the State Comptroller.

FINANCIAL INFORMATION

SOURCES OF DISTRICT REVENUES

During the fiscal year ended June 30, 2024, approximately 59% of the District's revenues were derived from ad valorem taxes, 24% from federal sources, 12% from state sources, 3% from interest income, and 2% from other miscellaneous revenue. See "APPENDIX A - EXCERPTS FROM THE ANNUAL FINANCIAL REPORT" herein.

[Remainder of page intentionally left blank]

TABLE 1 - VALUATION, EXEMPTIONS AND TAX-SUPPORTED DEBT

Tax Year 2023 Taxable Assessed Valuation (100% of estimated market value)	\$	229,523,362,674	(1)
Tax Year 2024 Taxable Assessed Valuation (100% of estimated market value)	\$	238,619,804,243	(1)(2)
Total Ad Valorem Tax Debt as of July 31, 2025	\$	1,478,485,000	
Plus: The Notes		114,390,000	
Gross Debt Outstanding	\$	1,592,875,000	(3)
Less: Debt Service Fund as of June 30, 2024		(123,816,823)	
Net Debt Outstanding	\$	1,469,058,177	
Ratio of Net Debt to Tax Year 2023 Taxable Assessed Valuation		0.64%	
Ratio of Net Debt to Tax Year 2024 Taxable Assessed Valuation		0.62%	
Tax Year 2024 District Tax Rate (per \$100 T.A.V.)			
Local Maintenance	\$	0.70160	
Debt Service		0.16670	
Total	\$	0.86830	
Tax Rate Limitation (per \$100 T.A.V.)	\$	1.70000	
Average percentage of current tax collections for Tax Years 2020 through 2024		97.26%	
Average percentage of total (current and delinquent) tax collections for Tax Years 2020 through 2024		96.99%	
Peak Student Enrollment (2024)		184,109	(4)
District Population Estimate		1,514,721	(5)

(1) Source: The District, as reported by the Harris Central Appraisal District. Net of exemptions.

(2) See "CURRENT PUBLIC SCHOOL FINANCE SYSTEM - 2025 LEGISLATIVE SESSION" herein for a discussion of a potential increase in the general State mandated homestead exemption from \$100,000 to \$140,000 and a potential increase in the State mandated homestead exemption of persons sixty-five (65) years of age or older and the disabled from \$10,000 to \$60,000.

(3) Comprised of \$1,351,010,000 in bonds payable from debt service taxes and \$127,475,000 in bonds and notes payable from maintenance taxes. Does not include \$27,505,000 in lease/purchase obligations issued by the District's Public Facilities Corporation.

(4) Source: The District.

(5) Source: The District. As reported by the U.S. Census Bureau.

TABLE 2 - TAXABLE ASSESSED VALUATIONS BY CATEGORY

Category	Taxable Assessed Valuation for Tax Year					
	2024 ⁽¹⁾		2023		2022	
	Amount	% of Total	Amount	% of Total	Amount	% of Total
Real, Residential, Single-Family	\$ 144,980,972,859	44.66%	\$ 137,294,867,638	43.74%	\$ 123,822,944,484	43.71%
Real, Residential, Multi-Family	36,487,013,412	11.24%	37,928,340,920	12.08%	32,165,121,226	11.36%
Real, Vacant Lots/Tracts	6,502,633,461	2.00%	6,485,643,343	2.07%	5,640,417,857	1.99%
Real, Acreage (Land Only)	348,466,292	0.11%	355,501,873	0.11%	339,869,865	0.12%
Real, Farm and Ranch Improvements	2,135,051	0.00%	30,629,632	0.01%	1,392,006	0.00%
Real, Commercial	67,141,090,752	20.68%	64,363,727,262	20.51%	60,801,566,417	21.47%
Real, Industrial	5,117,199,598	1.58%	5,154,323,187	1.64%	4,840,857,096	1.71%
Real, Oil, Gas, and Other Mineral Reserves	18,461,670	0.01%	3,392,100	0.00%	1,865,560	0.00%
Real and Tangible Personal, Utilities	2,829,880,591	0.87%	2,485,516,245	0.79%	2,252,866,566	0.80%
Tangible Personal, Commercial	13,484,237,843	4.15%	12,691,937,736	4.04%	11,354,426,139	4.01%
Tangible Personal, Industrial	8,514,427,593	2.62%	8,268,304,536	2.63%	6,965,293,818	2.46%
Tangible Personal, Other	89,508,773	0.03%	87,418,676	0.03%	68,824,333	0.02%
Real Property Inventory	783,492,548	0.24%	848,694,670	0.27%	779,121,347	0.28%
Exempt Property	38,320,957,841	11.80%	37,886,920,010	12.07%	34,223,945,076	12.08%
Total Appraised Value Before Exemptions	\$ 324,620,478,284	100.00%	\$ 313,885,217,828	100.00%	\$ 283,258,511,790	100.00%
Less: Total Exemptions/Reductions	(86,000,674,041)		(84,361,855,154)		(65,083,373,428)	
Less: Adjustments	-		-		-	
Total Appraised Value After Exemptions	<u>\$ 238,619,804,243</u>		<u>\$ 229,523,362,674</u>		<u>\$ 218,175,138,362</u>	

Category	Taxable Assessed Valuation for Tax Year			
	2021		2020	
	Amount	% of Total	Amount	% of Total
Real, Residential, Single-Family	\$ 116,091,462,912	44.99%	\$ 106,877,322,959	42.41%
Real, Residential, Multi-Family	29,739,864,131	11.53%	28,098,485,493	11.15%
Real, Vacant Lots/Tracts	5,057,654,592	1.96%	4,956,923,717	1.97%
Real, Acreage (Land Only)	356,174,704	0.14%	331,627,698	0.13%
Real, Farm and Ranch Improvements	169,270,921	0.07%	2,108,574	0.00%
Real, Commercial	58,112,851,208	22.52%	56,546,356,161	22.44%
Real, Industrial	4,454,570,697	1.73%	4,536,897,761	1.80%
Real, Oil, Gas, and Other Mineral Reserves	2,030,130	0.00%	4,040,230	0.00%
Real and Tangible Personal, Utilities	2,032,090,510	0.79%	1,942,040,464	0.77%
Tangible Personal, Commercial	9,752,377,611	3.78%	10,842,925,093	4.30%
Tangible Personal, Industrial	5,833,465,575	2.26%	6,694,277,607	2.66%
Tangible Personal, Other	63,261,969	0.02%	59,694,793	0.02%
Real Property Inventory	636,106,816	0.25%	750,647,246	0.30%
Exempt Property	25,727,823,393	9.97%	30,381,356,972	12.05%
Total Appraised Value Before Exemptions	\$ 258,029,005,169	100.00%	\$ 252,024,704,768	100.00%
Less: Total Exemptions/Reductions	(57,354,443,544)		(55,393,030,620)	
Less: Adjustments	-		-	
Total Appraised Value After Exemptions	<u>\$ 200,674,561,625</u>		<u>\$ 196,631,674,148</u>	

Source: The District. Valuations above include both certified and uncertified taxable assessed values reported by the Harris Central Appraisal District to the State Comptroller of Public Accounts. Taxable values are subject to change throughout the year as contested values are resolved and the Harris Central Appraisal District updates records. There are appeals for prior years but, as of the date hereof, such accounts under appeal do not represent material amounts relative to the total appraised value. The District cannot predict the outcome of these matters, and, depending on the outcome of such matters adjudicated in district court, certain property owners may be entitled to a reduction in valuation and potential tax refund.

(1) See "CURRENT PUBLIC SCHOOL FINANCE SYSTEM – 2025 LEGISLATIVE SESSION" herein for a discussion of a potential increase in the general State mandated homestead exemption from \$100,000 to \$140,000 and a potential increase in the State mandated homestead exemption of persons sixty-five (65) years of age or older and the disabled from \$10,000 to \$60,000.

TABLE 3 - EXEMPTIONS

Classification of Exemption or Exclusion	2024 Tax Year (FY25) ⁽¹⁾		2023 Tax Year (FY24)		2022 Tax Year (FY23)	
	Amount	Percent	Amount	Percent	Amount	Percent
Local Option and State-Mandated Homestead Exemption	\$43,548,836,976	50.64%	\$42,559,007,666	50.45%	\$27,585,314,797	42.38%
Local Option and State-Mandated Homestead Exemption Over 65 years of age or older (up to \$15,000 AV)	987,666,339	1.15%	934,329,751	1.11%	1,196,509,946	1.84%
Disabled Veterans, Surviving Spouses and/or Children and Certain Other Disabled Persons	494,333,350	0.57%	428,777,075	0.51%	444,326,910	0.68%
Tax Abatement Exemption	-	0.00%	-	0.00%	-	0.00%
Tax Exempt (i.e., Church)	38,447,498,677	44.71%	37,917,300,704	44.95%	32,998,273,989	50.70%
Pollution Control	319,257,106	0.37%	341,468,165	0.40%	334,865,893	0.51%
Foreign Trade	418,770,005	0.49%	496,444,763	0.59%	487,629,314	0.75%
Other	1,784,311,588	2.07%	1,684,527,030	2.00%	2,036,452,579	3.13%
Total Exemptions from Assessed Value	\$86,000,674,041	100.00%	\$84,361,855,154	100.00%	\$65,083,373,428	100.00%

Source: The District.

⁽¹⁾ See “CURRENT PUBLIC SCHOOL FINANCE SYSTEM – 2025 Legislative Session” herein for a discussion of a potential increase in the general State mandated homestead exemption from \$100,000 to \$140,000 and a potential increase in the State mandated homestead exemption of persons sixty-five (65) years of age or older and the disabled from \$10,000 to \$60,000.

TABLE 4 - VALUATION AND TAX-SUPPORTED DEBT HISTORY

Fiscal Year Ended	Estimated Population ⁽¹⁾	Taxable Assessed Valuation ⁽²⁾	Taxable Assessed Valuation Per Capita	Tax Supported Debt Outstanding at End of Year ⁽³⁾	Ratio of Tax Supported Debt to Taxable Assessed Valuation	Funded Debt Per Capita
2021	1,570,773	\$196,631,674,148	\$ 125,181	\$2,564,745,000	1.30%	1,633
2022	1,579,113	200,674,561,625	127,081	2,342,940,000	1.17%	1,484
2023	1,481,171	218,175,138,362	147,299	2,084,245,000	0.96%	1,407
2024	1,497,738	229,523,362,674	153,247	1,780,715,000	0.78%	1,189
2025	1,514,721	238,619,804,243 ⁽⁴⁾	157,534	1,486,130,000	0.62%	981

⁽¹⁾ Source: U.S. Census Bureau and the District.

⁽²⁾ As reported by the Harris Central Appraisal District, subject to change throughout the year, net of exemptions. There are appeals for prior years, as of the date hereof, such accounts under appeal do not represent material amounts relative to the total appraised value. The District cannot predict the outcome of these matters, and, depending on the outcome of such matters adjudicated in district court, certain property owners may be entitled to a reduction in valuation and potential tax refund.

⁽³⁾ Includes bonds, contractual obligations and notes. Does not include lease/purchase obligations issued by the District’s Public Facilities Corporation. See “DEBT INFORMATION - TABLE 10 - LEASE/PURCHASE OBLIGATIONS.”

⁽⁴⁾ See “CURRENT PUBLIC SCHOOL FINANCE SYSTEM – 2025 Legislative Session” herein for a discussion of a potential increase in the general State mandated homestead exemption from \$100,000 to \$140,000 and a potential increase in the State mandated homestead exemption of persons sixty-five (65) years of age or older and the disabled from \$10,000 to \$60,000.

TABLE 5 - TAX RATE, LEVY, AND COLLECTIONS HISTORY

Fiscal Year Ended	Tax Rate	Maintenance and Operating Fund	Interest and Sinking Fund	Tax Levy	% Current Collections ⁽¹⁾	% Total Collections ⁽¹⁾
2021	\$1.13310	\$0.96640	\$0.16670	\$2,173,577,655	97.37%	96.36%
2022	1.09440	0.92770	0.16670	2,140,410,545	97.84%	97.32%
2023	1.03720	0.87050	0.16670	2,224,027,089	97.16%	97.16%
2024	0.86830	0.70160	0.16670	1,931,098,418	96.59%	96.59%
2025	0.86830	0.70160	0.16670	1,962,513,045	96.13% ⁽²⁾	96.13% ⁽²⁾

(1) The Source: The District and Harris County Tax Assessor collections reported for fiscal year ended June 30, 2024.

(2) In-process of collections. As of May 31, 2025.

TABLE 6 - TEN LARGEST TAXPAYERS

Name of Taxpayer	Nature of Property	2024 Taxable Assessed Valuation	% of Total Taxable Assessed Valuation
Centerpoint Energy, Inc.	Electric Utility	\$2,294,997,576	0.96%
Chevron Chemical company	Oil & Gas	761,096,432	0.32%
HG Galleria	Shopping Mall	747,282,529	0.31%
Valero Energy	Oil & Gas	653,647,861	0.27%
BSREP 1 HC - 4HC	Commercial Real Estate	652,395,173	0.27%
One Two Three Allen Center	Commercial Real Estate	649,199,743	0.27%
Four Five Oaks Place Operating	Commercial Real Estate	618,005,246	0.26%
GWP	Commercial Real Estate	559,968,115	0.23%
HCG Block 69 LLC	Commercial Real Estate	520,694,398	0.22%
Block 58 LLC	Commercial Real Estate	509,786,950	0.21%
		<u>\$7,967,074,023</u>	<u>3.34%</u>

Source: The District and Harris Central Appraisal District. There are appeals for prior years but, as of the date hereof, such accounts under appeal do not represent material amounts relative to the total appraised value. The District cannot predict the outcome of these matters, and, depending on the outcome of such matters adjudicated in district court, certain property owners may be entitled to a reduction in valuation and potential tax refund.

[Remainder of page intentionally left blank]

TABLE 7 - ESTIMATED OVERLAPPING DEBT

Expenditures of the various taxing entities within the territory of the District are paid out of ad valorem taxes levied by such entities on properties within the District. Such entities are independent of the District and may incur borrowings to finance their expenditures. This statement of estimated overlapping ad valorem tax bonds was developed from information contained in "Texas Municipal Reports" published by the Municipal Advisory Council of Texas. Except for the amounts relating to the District, the District has not independently verified the accuracy or completeness of such information, and no person should rely upon such information as being accurate or complete. Furthermore, certain of the entities listed may have issued additional bonds since the date hereof, and such entities may have programs requiring the issuance of substantial amounts of additional bonds, the amount of which cannot be determined.

Taxing Authority	2024 Taxable Assessed Value ⁽¹⁾	2024 Tax Rate ⁽¹⁾	Gross Debt Outstanding	Outstanding as of	Percent Overlapping	Amount Applicable to the District
Overlapping :						
Bellaire, City of	\$ 5,829,553,674	\$ 0.4333	\$ 92,205,000	12/31/24	100.00%	\$ 92,205,000
Fort Bend Co WC&ID #2	7,194,663,691	0.2125	173,020,000	12/31/24	2.24%	3,875,648
Harris County	665,456,298,219	0.3853	2,424,019,039	12/31/24	37.84%	917,248,804
Harris County Dept of Ed	665,603,203,278	0.0048	28,960,000	12/31/24	37.84%	10,958,464
Harris County Flood Control	651,905,793,117	0.0490	968,445,000	12/31/24	37.84%	366,459,588
Harris County Hospital District	652,006,524,098	0.1635	65,285,000	12/31/24	37.84%	24,703,844
Harris County ID #1	6,800,787,033	0.1435	35,290,000	12/31/24	100.00%	35,290,000
Harris County ID #3	4,017,220,391	0.1325	1,895,000	12/31/24	100.00%	1,895,000
Harris County MUD #122	211,776,310	0.5100	790,000	12/31/24	100.00%	790,000
Harris County MUD #148	377,820,179	0.7700	25,525,000	12/31/24	1.63%	416,058
Harris County MUD #355	863,156,575	0.0500	2,280,000	12/31/24	100.00%	2,280,000
Harris County MUD #381	272,328,743	0.4000	15,455,000	12/31/24	22.43%	3,466,557
Harris County MUD #382	284,811,085	0.3900	9,055,000	12/31/24	0.43%	38,937
Harris County MUD #390	906,094,060	0.6300	64,060,000	12/31/24	100.00%	64,060,000
Harris County MUD #393	306,701,964	0.3700	7,955,000	12/31/24	92.01%	7,319,396
Harris County MUD #404	169,990,775	0.7550	9,585,000	12/31/24	100.00%	9,585,000
Harris County MUD #407	146,446,246	0.3200	2,635,000	12/31/24	100.00%	2,635,000
Harris County MUD #410	450,337,730	0.5100	26,755,000	12/31/24	36.41%	9,741,496
Harris County MUD #411	191,346,294	0.4300	8,005,000	12/31/24	100.00%	8,005,000
Harris County MUD #420	178,765,453	1.0100	11,650,000	12/31/24	100.00%	11,650,000
Harris County MUD #439	112,339,633	0.8000	2,655,000	12/31/24	100.00%	2,655,000
Harris County MUD #451	141,488,893	0.9000	4,825,000	12/31/24	100.00%	4,825,000
Harris County MUD #460	611,332,941	0.7400	51,390,000	12/31/24	100.00%	51,390,000
Harris County MUD #529	244,273,275	0.4900	9,760,000	12/31/24	100.00%	9,760,000
Harris County MUD #537	363,238,122	0.5000	18,415,000	12/31/24	100.00%	18,415,000
Harris County MUD #575	233,768,685	0.6000	12,455,000	12/31/24	100.00%	12,455,000
Harris County MUD # 580	18,775,077	0.8500	1,755,000	12/31/24	100.00%	1,755,000
Harris County WC&ID #89	277,646,666	0.6800	1,235,000	12/31/24	100.00%	1,235,000
Harris County WC&ID #96	510,529,963	0.6550	42,000,000	12/31/24	100.00%	42,000,000
Harris County WC&ID (Fondren Road)	245,095,976	0.3800	26,400,000	12/31/24	0.05%	13,200
Houston, Community College	273,197,563,084	0.0962	422,215,000	12/31/24	87.73%	370,409,220
Houston, City of	324,070,923,822	0.5192	3,759,980,000	12/31/24	67.80%	2,549,266,440
Lower Kirby Pearland Mgmt District	636,403,999	0.7000	32,060,000	12/31/24	100.00%	32,060,000
Missouri City, City of	12,571,485,796	0.5708	186,330,000	12/31/24	5.54%	10,322,682
Pearland, City of	18,238,053,610	0.6350	569,335,000	12/31/24	4.23%	24,082,871
Piney Point Village, City of	3,156,401,830	0.2551	1,700,000	12/31/24	4.35%	73,950
Port of Houston Authority	651,817,781,500	0.0062	406,509,397	12/31/24	37.84%	153,823,156
San Jacinto CCD	85,692,539,955	0.1549	520,862,492	12/31/24	1.42%	7,396,247
Southside Place, City of	1,134,853,581	0.0000	11,525,000	12/31/24	100.00%	11,525,000
Southwest Harris Co. MUD #1	141,029,710	0.3650	615,000	12/31/24	100.00%	615,000
West University Place, City of	8,494,278,559	0.2419	75,755,000	12/31/24	100.00%	75,755,000
SUBTOTAL OVERLAPPING DEBT						4,952,456,555
Direct :						
Houston Independent School District	\$ 238,619,804,243 ⁽²⁾	0.8683	1,592,875,000 ⁽³⁾	7/31/25	100.00%	1,592,875,000
TOTAL DIRECT AND OVERLAPPING DEBT						\$ 6,545,331,555

⁽¹⁾ Source: The Texas Municipal Reports.

⁽²⁾ Source: Harris Central Appraisal District.

⁽³⁾ Includes the Notes. Includes bonds payable from debt service taxes and bonds and notes payable from maintenance taxes. Does not include lease/purchase obligations issued by the District's Public Facilities Corporation.

DEBT INFORMATION

TABLE 8 - TAX-SUPPORTED DEBT SERVICE REQUIREMENTS

Year Ended 6/30	I&S Fund Outstanding Debt Service Requirements ⁽¹⁾⁽²⁾	M&O Fund Outstanding Debt Service Requirements	Plus: The Notes ⁽³⁾			Total Debt Service Requirements
			Principal	Interest	Total	
2026	\$ 373,082,126	\$ 13,944,927	\$ -	\$ 2,621,438	\$ 2,621,438	\$ 389,648,490
2027	197,724,306	14,093,400	500,000	5,707,000	6,207,000	218,024,706
2028	139,148,368	14,091,150	500,000	5,682,000	6,182,000	159,421,518
2029	100,797,868	14,092,775	500,000	5,657,000	6,157,000	121,047,643
2030	110,286,352	14,092,150	4,320,000	5,536,500	9,856,500	134,235,002
2031	111,309,124	14,093,150	4,540,000	5,315,000	9,855,000	135,257,274
2032	109,043,134	14,094,525	4,775,000	5,082,125	9,857,125	132,994,784
2033	88,162,714	13,958,525	5,020,000	4,837,250	9,857,250	111,978,489
2034	89,176,914	13,954,150	5,275,000	4,579,875	9,854,875	112,985,939
2035	62,132,800	14,108,950	5,550,000	4,309,250	9,859,250	86,101,000
2036	58,032,700	13,801,000	5,830,000	4,024,750	9,854,750	81,688,450
2037	58,439,900	13,953,000	6,130,000	3,725,750	9,855,750	82,248,650
2038	58,793,250	13,949,500	6,445,000	3,411,375	9,856,375	82,599,125
2039	55,725,150	-	6,775,000	3,080,875	9,855,875	65,581,025
2040	55,777,650	-	7,125,000	2,733,375	9,858,375	65,636,025
2041	55,798,900	-	7,490,000	2,368,000	9,858,000	65,656,900
2042	23,294,100	-	7,875,000	1,983,875	9,858,875	33,152,975
2043	-	-	8,275,000	1,580,125	9,855,125	9,855,125
2044	-	-	8,700,000	1,155,750	9,855,750	9,855,750
2045	-	-	9,150,000	709,500	9,859,500	9,859,500
2046			9,615,000	240,375	9,855,375	9,855,375
	<u>\$ 1,746,725,355</u>	<u>\$ 182,227,202</u>	<u>\$ 114,390,000</u>	<u>\$ 74,341,188</u>	<u>\$ 188,731,188</u>	<u>\$ 2,117,683,745</u>

⁽¹⁾ Reflects June 2025 defeasance of \$52.705 million of Limited Tax Schoolhouse and Refunding Bonds, Series 2017 and \$62.715 million of Limited Tax Schoolhouse Bonds, Series 2018.

⁽²⁾ Total requirements do not take into account any federal subsidies related to the outstanding Build America Bonds.

⁽³⁾ Interest on the Notes is estimated at 5.00% after the July 15, 2028 Initial Mandatory Tender Date.

[Remainder of page intentionally left blank]

RISKS ASSOCIATED WITH BUILD AMERICA BONDS

The American Recovery and Reinvestment Act of 2009 (“ARRA”) authorized the issuance of Build America Bonds, which permitted issuers to elect to receive payments equal to 35% of the interest payable on the Build America Bonds. The District issued and currently receives payments from the federal government with respect to its Limited Tax Schoolhouse Bonds Taxable Series 2009A-2 (Build America Bonds - Direct Payment to Issuer) and its Limited Tax Schoolhouse Bonds Taxable Series 2009A-3 (Build America Bonds - Direct Payment to Issuer).

Pursuant to the requirements of the Balanced Budget and Emergency Deficit Control Act of 1985, as amended, payments to certain state and local government filers claiming payments applicable to certain qualified bonds are subject to sequestration. This means that payments from the federal government for Build America Bonds processed on or after October 1, 2020 were reduced by 5.7%, and will remain at this level until on or before September 30, 2030. The sequestration reduction rate will be applied unless and until a law is enacted that cancels or otherwise impacts the sequester, at which time the sequestration reduction rate is subject to change. The District makes no representation with respect to any future changes in funding subsidies on Build America Bonds.

TABLE 9 - AUTHORIZED BUT UNISSUED LIMITED TAX BONDS

The District does not have any authorized but unissued debt.

TABLE 10 - LEASE/PURCHASE OBLIGATIONS

The District has entered into multiple lease agreements as lessee. The leases will allow the right-to-use computers, copiers, and other assets over the term of the lease. The District is required to make annual payments on the laptop leases and monthly payments on all other leases at its incremental borrowing rate or the interest rate stated or implied within the leases. The lease rate, term, and ending lease liability are as follows:

Governmental Activities	Interest Rates	Lease Term in Years	Ending Balance
Laptops	2.27%-3.90%	3.0	\$6,390,658
Copiers	3.66%	5.0	3,254,366
Other Leases	0.55-2.60%	5.0-30.0	2,525,094
Total Governmental Activities			<u>\$12,170,118</u>

Future principal and interest payments of such lease obligations are as follows:

Fiscal Year			
Ending	Principal	Interest	Total
2025	\$8,988,993	\$234,117	\$9,223,110
2026	2,364,328	51,963	2,416,291
2027	589,829	5,084	594,913
2028	226,968	449	227,417
	<u>\$12,170,118</u>	<u>\$291,613</u>	<u>\$12,461,731</u>

Source: The District’s ACFR.

EMPLOYEES’ RETIREMENT PLANS

The District’s employees participate in a retirement plan (the “Plan”) with the State. The Plan is administered by the Teacher Retirement System of Texas (“TRS”). State contributions are made to cover costs of the TRS retirement plan up to certain statutory limits. The District is obligated for a portion of TRS costs relating to employee salaries that exceed the statutory limit. For the District’s fiscal year ended June 30, 2024, the State contributed \$84,454,248 to TRS on behalf of the District, District employees paid \$131,002,332 and contributions from the District were \$72,224,501.

The total Net Pension Liability (“NPL”) of the Plan was \$1,820,743,566, and the District’s share of the liability was \$985,320,732, as required to be reported in the District’s Annual Comprehensive Financial Report as of June 30, 2024. The NPL was measured as of August 31, 2023 and the total pension liability used to calculate the NPL was determined by an actuarial valuation as of August 31, 2022 rolled forward to August 31, 2023.

For further information, see APPENDIX A - EXCERPTS FROM THE ANNUAL FINANCIAL REPORT - Note 12.

Detailed information about the Plan is available in separately issued reports that includes financial statements and supplementary information. Such reports may be obtained by visiting https://www.trs.texas.gov/Pages/about_publications.aspx.

OTHER POST-EMPLOYMENT BENEFITS (OPEB)

The District participates in the Texas Public School Retired Employees Group Insurance Program (TRS-Care). It is a multiple-employer, cost-sharing defined Other Post-Employment Benefit plan (the "OPEB Plan") that has a special funding situation. The OPEB Plan is administered through a trust by the TRS's Board of Trustees. For the District's fiscal year ended June 30, 2024, the State contributed \$16,956,092 on behalf of the District, District employees paid \$10,377,426, and contributions from the District were \$15,243,481.

The total Net OPEB Liability ("NOL") of the OPEB Plan was \$23,944,005,302 and the District's share of the liability was \$382,621,558 as required to be reported in the District's Annual Comprehensive Financial Report as of June 30, 2024. The NOL was measured as of August 31, 2023 and the total OPEB liability used to calculate the NOL was determined by an actuarial valuation as of August 31, 2022 rolled forward to August 31, 2023.

For further information, see APPENDIX A - EXCERPTS FROM THE ANNUAL FINANCIAL REPORT - Note 12.

Detailed information about the OPEB Plan is available in separately issued reports that includes financial statements and supplementary information. Such reports may be obtained by visiting https://www.trs.texas.gov/Pages/about_publications.aspx.

[Remainder of page intentionally left blank]

TABLE 11 - GENERAL FUND REVENUE AND EXPENDITURE HISTORY

The District maintains four separate principal funds: a general fund used to finance a majority of its current operations; a special revenue fund for certain State and federal grants made for specific operating purposes; a debt service fund; and a capital renovation fund. All ad valorem taxes and a major portion of State and federal grants are allocated among such funds. All ad valorem taxes levied for maintenance are allocated to the general fund. All ad valorem taxes levied for debt service are allocated to the debt service fund.

All federal and State funds, except those for designated purposes, are placed in the general fund. Other non-revenue receipts are designated for the capital renovation fund. The general and special revenue funds are generally utilized for operating expenditures. The debt service fund and the capital renovation fund are restricted for debt service and capital renovation purposes, respectively.

The following is a summary of the District's revenues and expenditures by source for the fiscal years 2021 through 2024, and the current budgeted revenues and expenditures for fiscal year 2025. All of the information set forth in the tables below was provided by the District.

The Board unanimously approved an approximately \$2.1 billion budget for the 2025-2026 school year. As adopted, the District anticipates an approximately \$14.6 million budget deficit. Due to budget reduction measures, the shortfall may be less than anticipated. The District will use general fund revenues to address any budget shortfall.

Source	2025 ⁽¹⁾	Total Revenues			
		Fiscal Years Ended (000's Omitted)			
		2024	2023	2022	2021
Property Taxes	\$ 1,884,241	\$ 1,864,110	\$ 2,157,325	\$ 2,114,671	\$ 2,115,531
Other Local Sources	125,137	67,849	162,105	95,860	70,416
State Sources	298,705	384,247	232,848	246,078	319,255
Federal Sources	384,404	779,835	816,348	699,120	341,025
Subtotal	\$ 2,692,487	\$ 3,096,041	\$ 3,368,626	\$ 3,155,729	\$ 2,846,227
Other Sources	118,166	89,138	251,422	188,317	138,094
Total Revenues	\$ 2,810,653	3,185,179	3,620,048	3,344,046	2,984,321

⁽¹⁾ As of June 12, 2025 budget amendment.

Source	2025 ⁽¹⁾	General Fund			
		Fiscal Years Ended (000's Omitted)			
		2024	2023	2022	2021
Beginning of Fiscal Year	\$ 1,047,197	\$ 1,127,069	\$ 1,126,909	\$ 996,626	\$ 967,900
Revenues	1,899,162	1,982,609	2,154,752	2,107,492	2,139,390
Total Funds Available	2,946,359	3,109,678	3,281,661	3,104,118	\$ 3,107,290
Expenditures	\$ (2,225,766)	\$ (2,149,215)	\$ (2,175,001)	\$ (1,992,857)	\$ (2,118,499)
Other Sources	97,000	103,130	36,620	41,349	43,748
Other Uses	(16,405)	(16,396)	(16,211)	(25,701)	(35,913)
Balance, End of Fiscal Year	\$ 801,188	\$ 1,047,197	\$ 1,127,069	\$ 1,126,909	\$ 996,626

⁽¹⁾ As of June 12, 2025 budget amendment. According to the District, the FY 2025 fund balance may decrease to approximately \$785.8 million if there are delays in sale of certain property.

Special Revenue Fund					
Fiscal Years Ended (000's Omitted)					
Source	2025 ⁽¹⁾	2024	2023	2022	2021
Beginning of Fiscal Year	\$ 114,228	\$ 111,112	\$ 105,393	\$ 81,621	\$ 69,813 ⁽²⁾
Revenues	636,179	780,370	808,992	694,172	358,804
Total Funds Available	\$ 750,407	891,482	914,385	775,793	\$ 428,617
Expenditures	(630,684)	\$ (778,583)	\$ (803,273)	\$ (670,399)	\$ (348,817)
Other Sources	-	1,329	-	-	1,821
Other Uses	-	-	-	-	-
Balance, End of Fiscal Year	\$ 119,723	\$ 114,228	\$ 111,112	\$ 105,393	\$ 81,621

⁽¹⁾ As of June 12, 2025 budget amendment.

⁽²⁾ Beginning balance of \$69,813 reflects cumulative effect of the adoption of GASB 84.

Debt Service Fund					
Fiscal Years Ended (000's Omitted)					
Source	2025 ⁽¹⁾	2024	2023	2022	2021
Beginning of Fiscal Year	\$ 123,817	\$ 126,657	\$ 115,548	\$ 116,336	\$ 112,859
Revenues	388,565	384,185	358,968	322,260	316,280
Total Funds Available	\$ 512,382	\$ 510,842	\$ 474,516	\$ 438,596	\$ 429,139
Expenditures	(377,891)	\$ (409,282)	\$ (452,708)	\$ (460,688)	\$ (404,856)
Other Sources	482,824	22,257	214,802	137,640	92,053
Other Uses	(448,916)	\$ -	\$ (109,953)	0	-
Balance, End of Fiscal Year	\$ 168,399	\$ 123,817	\$ 126,657	\$ 115,548	\$ 116,336

⁽¹⁾ As of June 12, 2025 budget amendment.

Capital Renovation Fund					
Fiscal Years Ended (000's Omitted)					
Source	2025 ⁽¹⁾	2024	2023	2022 ⁽¹⁾	2021 ⁽¹⁾
Beginning of Fiscal Year	\$ 71,597	\$ 213,303	\$ 214,396	\$ 238,798	\$ 289,972
Revenues	600	38,016	45,915	31,805	31,753
Total Funds Available	\$ 72,197	\$ 251,319	\$ 260,311	\$ 270,603	\$ 321,725
Expenditures	(2,226)	\$ (103,860)	\$ (41,239)	\$ (55,163)	\$ (74,723)
Other Sources	-	-	-	9,328	472
Other Uses	(4,763)	(75,861)	(5,769)	(10,371)	(8,677)
Balance, End of Fiscal Year	\$ 65,208	\$ 71,597	\$ 213,303	\$ 214,396	\$ 238,798

⁽¹⁾ As of June 12, 2025 budget amendment.

INVESTMENTS

The District may invest its investable funds (including bond proceeds and money pledged to the payment of or as security for bonds or other indebtedness issued by the District or obligations under a lease, installment sale, or other agreement of the District) in investments authorized by State law in accordance with investment policies approved by the governing body of the District. Both State law and the District's investment policies are subject to change.

LEGAL INVESTMENTS

Under State law, the District is authorized to invest in (1) obligations, including letters of credit, of the United States or its agencies and instrumentalities, including the Federal Home Loan Banks; (2) direct obligations of the State or its agencies and instrumentalities; (3) collateralized mortgage obligations directly issued by a federal agency or instrumentality of the United States, the underlying security for which is guaranteed by an agency or instrumentality of the United States; (4) other obligations, the principal and interest of which are unconditionally guaranteed or insured by, or backed by the full faith and credit of, the State or the United States or their respective agencies and instrumentalities, including obligations that are fully guaranteed or insured by the Federal Deposit Insurance Corporation or by the explicit full faith and credit of the United States; (5) obligations of states, agencies, counties, cities, and other political subdivisions of any state rated as to investment quality by a nationally recognized investment rating firm not less than "A" or its equivalent; (6) bonds issued, assumed or guaranteed by the State of Israel; (7) interest-bearing banking deposits that are guaranteed or insured by the Federal Deposit Insurance Corporation or its successor, or the National Credit Union Share Insurance Fund or its successor; (8) interest-bearing banking deposits other than those described by clause (7) if (A) the funds invested in the banking deposits are invested through: (i) a broker with a main office or branch office in this State that the District selects from a list the governing body of the District or designated investment committee of the District adopts as required by Section 2256.025, Texas Government Code; or (ii) a depository institution with a main office or branch office in the State that the District selects; (B) the broker or depository institution selected as described by (A) above arranges for the deposit of the funds in the banking deposits in one or more federally insured depository institutions, regardless of where located, for the District's account; (C) the full amount of the principal and accrued interest of the banking deposits is insured by the United States or an instrumentality of the United States; and (D) the District appoints as the District's custodian of the banking deposits issued for the District's account: (i) the depository institution selected as described by (A) above; (ii) an entity described by Section 2257.041(d), Texas Government Code; or (iii) a clearing broker dealer registered with the SEC and operating under SEC Rule 15c3-3; (9) (i) certificates of deposit or share certificates meeting the requirements of Chapter 2256, Texas Government Code (the "Public Funds Investment Act"), that are issued by an institution that has its main office or a branch office in the State and are guaranteed or insured by the Federal Deposit Insurance Corporation or the National Credit Union Share Insurance Fund, or their respective successors, and are secured as to principal by obligations described in clauses (1) through (8) or in any other manner and provided for by law for District deposits, or (ii) certificates of deposits where (a) the funds are invested by the District through (A) a broker that has its main office or a branch office in the State and is selected from a list adopted by the District as required by law, or (B) a depository institution that has its main office or branch office in the State that is selected by the District, (b) the broker or the depository institution selected by the District arranges for the deposit of the funds in certificates of deposit in one or more federally insured depository institutions, wherever located, for the account of the District, (c) the full amount of the principal and accrued interest of each of the certificates of deposit is insured by the United States or an instrumentality of the United States, and (d) the District appoints the depository institution selected under (a) above, a custodian as described by Section 2257.041(d), Texas Government Code, or a clearing broker-dealer registered with the SEC and operating pursuant to SEC Rule 15c3-3 (17 C.F.R. Section 240.15c3-3) as custodian for the District with respect to the certificates of deposit; (10) fully collateralized repurchase agreements as defined in the Public Funds Investment Act, that have a defined termination date, are secured by a combination of cash and obligations described in clauses (1) or (13) in this paragraph or corporate bonds as described below, require the securities being purchased by the District or cash held by the District to be pledged to the District, held in the District's name, and deposited at the time the investment is made with the District or with a third party selected and approved by the District, and are placed through a primary government securities dealer, as defined by the Federal Reserve, or a financial institution doing business in the State; (11) securities lending programs if (i) the securities loaned under the program are 100% collateralized, a loan made under the program allows for termination at any time and a loan made under the program is either secured by (a) obligations that are described in clauses (1) through (8) above, (b) irrevocable letters of credit issued by a state or national bank that is continuously rated by a nationally recognized investment rating firm at not less than "A" or its equivalent or (c) cash invested in obligations described in clauses (1) through (8) above, clauses (13) through (15) below, or an authorized investment pool; (ii) securities held as collateral under a loan are pledged to the District, held in the District's name and deposited at the time the investment is made with the District or a third party designated by the District; (iii) a loan made under the program is placed through either a primary government securities dealer or a financial institution doing business in the State; and (iv) the agreement to lend securities has a term of one year or less; (12) certain bankers' acceptances with stated maturity of 270 days or less, if the short-term obligations of the accepting bank or its parent are rated not less than "A-1" or "P-1" or the equivalent by at least one nationally recognized credit rating agency; (13) commercial paper with a stated maturity of 365 days or less that is rated not less than "A-1" or "P-1" or the equivalent by either (a) two nationally recognized credit rating agencies or (b) one nationally recognized credit rating agency if the paper is fully secured by an irrevocable letter of credit issued by a United States or state bank; (14) no-load money market mutual funds registered with and regulated by the SEC that provide the District with a prospectus and other information required by the Securities Exchange Act of 1934 or the Investment Company Act of 1940 and that comply with federal SEC Rule 2a-7 (17 C.F.R.

Section 270.2a-7), promulgated under the Investment Company Act of 1940 (15 U.S.C. Section 80a-1 et seq.); and (15) no-load mutual funds registered with the SEC that have an average weighted maturity of less than two years, and have either (a) a duration of one year or more and invest exclusively in obligations described in under this heading, or (b) a duration of less than one year and the investment portfolio is limited to investment grade securities, excluding asset-backed securities. In addition, bond proceeds may be invested in guaranteed investment contracts that have a defined termination date and are secured by obligations, including letters of credit, of the United States or its agencies and instrumentalities, other than the prohibited obligations described below, in an amount at least equal to the amount of bond proceeds invested under such contract.

A political subdivision such as the District may enter into securities lending programs if (i) the securities loaned under the program are 100% collateralized, a loan made under the program allows for termination at any time and a loan made under the program is either secured by (a) obligations that are described in clauses (1) through (8) above, other than the prohibited obligations described below, (b) irrevocable letters of credit issued by a state or national bank that is continuously rated by a nationally recognized investment rating firm at not less than A or its equivalent or (c) cash invested in obligations described in clauses (1) through (8) above, clauses (13) through (15) above, or an authorized investment pool; (ii) securities held as collateral under a loan are pledged to the District, held in the District's name and deposited at the time the investment is made with the District or a third party designated by the District; (iii) a loan made under the program is placed through either a primary government securities dealer or a financial institution doing business in the State; and (iv) the agreement to lend securities has a term of one year or less.

The District may invest in such obligations directly or through government investment pools that invest solely in such obligations provided that the pools are rated no lower than "AAA" or "AAA-m" or an equivalent by at least one nationally recognized rating service if the governing body of the District authorizes such investment in the particular pool by order, ordinance, or resolution and the investment pool complies with the requirements of Section 2256.016, Texas Government Code.

The District may also contract with an investment management firm registered under the Investment Advisers Act of 1940 (15 U.S.C. Section 80b-1 et seq.) or with the State Securities Board to provide for the investment and management of its public funds or other funds under its control for a term up to two years, but the District retains ultimate responsibility as fiduciary of its assets. In order to renew or extend such a contract, the District must do so by order, ordinance, or resolution.

The District is specifically prohibited from investing in: (1) obligations whose payment represents the coupon payments on the outstanding principal balance of the underlying mortgage-backed security collateral and pays no principal; (2) obligations whose payment represents the principal stream of cash flow from the underlying mortgage-backed security and bears no interest; (3) collateralized mortgage obligations that have a stated final maturity of greater than 10 years; and (4) collateralized mortgage obligations the interest rate of which is determined by an index that adjusts opposite to the changes in a market index.

As a school district that qualifies as an issuer under Chapter 1371, the District is also authorized to purchase, sell, and invest its funds in corporate bonds that, at the time of purchase, are rated by a nationally recognized investment rating firm "AA-" or the equivalent and have a stated final maturity that is not later than the third anniversary of the date the corporate bonds were purchased. Texas law defines "corporate bonds" as senior secured debt obligations issued by a domestic business entity and rated not lower than "AA-" or the equivalent by a nationally recognized investment rating firm. The term does not include a debt obligation that is convertible into stocks or shares in the entity issuing the bond (or an affiliate or subsidy thereof) or any unsecured debt. Corporate bonds must finally mature not later than 3 years from their date of purchase by the school district. A school district may not (1) invest more than 15% of its monthly average fund balance (excluding bond proceeds, reserves, and other funds held for the payment of debt service) in corporate bonds; or (2) invest more than 25% of the funds invested in corporate bonds in any one domestic business entity (including subsidiaries and affiliates thereof). Corporate bonds held by a school district must be sold if they are at any time downgraded below "AA-" (or the equivalent thereof) or, with respect to a corporate bond rated "AA-" (or the equivalent thereof), such corporate bond is placed on negative credit watch. Corporate bonds are not an eligible investment for a public funds investment pool. To invest in corporate bonds, an eligible school district must first (i) amend its investment policy to authorize corporate bonds as an eligible investment, (ii) adopt procedures for monitoring rating changes in corporate bonds and liquidating an investment in corporate bonds, and (iii) identify funds eligible to be invested in corporate bonds. The District has taken these steps to authorize the investment of District funds in corporate bonds.

ADDITIONAL PROVISIONS

Under State law, the District is additionally required to: (1) annually review its adopted policies and strategies; (2) adopt a written instrument by rule, order, ordinance or resolution stating that it has reviewed its investment policy and investment strategies and recording any changes made to either its investment policy or investment strategy; (3) require any investment officers with personal business relationships or relatives with firms seeking to sell securities to the District to disclose the relationship and file a statement with the Texas Ethics Commission and the Board; (4) require the qualified representative of a business organization offering to engage in an investment transaction with the District to: (a) receive and review the District's investment policy, (b) acknowledge that reasonable controls and procedures have been implemented to preclude investment transactions conducted between the District and the business organization that are not authorized by the District's investment policy (except to the extent that this authorization is dependent on an analysis of the makeup of the District's entire portfolio or requires an interpretation of subjective investment

standards), and (c) deliver a written statement in a form acceptable to the District and the business organization attesting to these requirements (a business organization as defined by statute to be either an investment pool or an investment management firm under contract to manage the District's portfolio with discretionary authority); (5) perform an annual audit of the management controls on investments and adherence to the District's investment policy; (6) provide specific investment training for the treasurer, chief financial officer and investment officers; (7) restrict reverse repurchase agreements to not more than 90 days and restrict the investment of reverse repurchase agreement funds to no greater than the term of the reverse repurchase agreement; (8) restrict the investment in no-load mutual funds in the aggregate to no more than 15% of the District's monthly average fund balance, excluding bond proceeds and reserves and other funds held for debt service; (9) require local government investment pools to conform to the new disclosure, rating, net asset value, yield calculation, and advisory board requirements; and (10) at least annually review, revise and adopt a list of qualified brokers that are authorized to engage in investment transactions with the District.

DISTRICT'S INVESTMENT POLICY

The District maintains a conservative investment policy. The District's goal is to minimize credit and market risks while maintaining a competitive yield on its portfolio. Funds of the District are invested either in Certificates of Deposit, short-term U.S. Government or Agency Notes and Discount Notes, TexPool, the Lone Star Investment Pool, TexSTAR, municipal bonds, or money market accounts. All cash deposits are insured by the Federal Deposit Insurance Corporation ("FDIC") or are secured by collateral held at the Federal Reserve Bank or through Federal Home Loan Bank Letters of Credit. The District does not currently own, nor does it anticipate the inclusion of derivative products in the District's portfolio. Please refer to Note No. 3 of the District's Audited Financial Statement (APPENDIX A) for a more complete description of the District's investments.

TABLE 12 - CURRENT INVESTMENTS

As of May 31, 2025, the District's unaudited investable funds were invested in the following categories:

Description	Percent of Total	Market Value
Lone Star Investment Pool	43.00%	\$691,629,259
Texas FIT	36.61%	588,791,593
Agency Securities and Municipal Bonds	16.20%	260,630,484
Texas Range	3.11%	50,025,299
Tex Pool	0.94%	15,165,592
Texas CLASS	0.13%	2,164,114
Total Investments		<u>\$1,608,406,341</u>

TAX MATTERS

The following discussion of certain federal income tax considerations is for general information only and is not tax advice. Each prospective purchaser of the Notes should consult its own tax advisor as to the tax consequences of the acquisition, ownership and disposition of the Notes.

In the opinion of Jackson Walker LLP, Bond Counsel to the District ("Bond Counsel"), based upon an analysis of existing laws, regulations, rulings and court decisions, and assuming, among other matters, the accuracy of certain representations and compliance with certain covenants, interest on the Notes is excluded from gross income for federal income tax purposes under Section 103 of the Internal Revenue Code of 1986 (the "Code"). Bond Counsel is of the further opinion that interest on the Notes is not a specific preference item for purposes of the federal individual alternative minimum tax. Bond Counsel expresses no opinion regarding any other tax consequences related to the ownership or disposition of, or the amount, accrual or receipt of interest on, the Notes. The proposed form of opinion of Bond Counsel is set forth in APPENDIX B hereto.

To the extent the issue price of any maturity of the Notes is less than the amount to be paid at maturity of such Notes (excluding amounts stated to be interest and payable at least annually over the term of such Notes), the difference constitutes "original issue discount," the accrual of which, to the extent properly allocable to each Beneficial Owner thereof, is treated as interest on the Notes which is excluded from gross income for federal income tax purposes. For this purpose, the issue price of a particular maturity of the Notes is the first price at which a substantial amount of such maturity of the Notes is sold to the public (excluding bond houses, brokers, or similar persons or organizations acting in the capacity of underwriters, placement agents or wholesalers). The original issue discount with respect to any maturity of the Notes accrues daily over the term to maturity of such Notes on the basis of a constant interest rate compounded semiannually (with straight-line interpolations between compounding dates). The accruing original issue discount is added to the adjusted basis of such Notes to determine taxable gain or loss upon disposition (including

sale, redemption, or payment on maturity) of such Notes. Beneficial Owners of the Notes should consult their own tax advisors with respect to the tax consequences of ownership of Notes with original issue discount, including the treatment of Beneficial Owners who do not purchase such Notes in the original offering to the public at the first price at which a substantial amount of such Notes is sold to the public.

Notes purchased, whether at original issuance or otherwise, for an amount higher than their principal amount payable at maturity (or, in some cases, at their earlier call date) (“Premium Notes”) will be treated as having amortizable bond premium. No deduction is allowable for the amortizable bond premium in the case of obligations, like the Premium Notes, the interest on which is excluded from gross income for federal income tax purposes. However, the amount of tax-exempt interest received, and a Beneficial Owner’s basis in a Premium Note, will be reduced by the amount of amortizable bond premium properly allocable to such Beneficial Owner. Beneficial Owners of Premium Notes should consult their own tax advisors with respect to the proper treatment of amortizable bond premium in their particular circumstances.

The Code imposes various restrictions, conditions and requirements relating to the exclusion from gross income for federal income tax purposes of interest on obligations such as the Notes. The District has made certain representations and covenanted to comply with certain restrictions, conditions and requirements designed to ensure that interest on the Notes will not be included in federal gross income. Inaccuracy of these representations or failure to comply with these covenants may result in interest on the Notes being included in gross income for federal income tax purposes, possibly from the date of original issuance of the Notes. The opinion of Bond Counsel assumes the accuracy of these representations and compliance with these covenants. Bond Counsel has not undertaken to determine (or to inform any person) whether any actions taken (or not taken), or events occurring (or not occurring), or any other matters coming to Bond Counsel’s attention after the date of issuance of the Notes may adversely affect the value of or the tax status of interest on the Notes. Accordingly, the opinion of Bond Counsel is not intended to, and may not, be relied upon in connection with any such actions, events or matters.

Although Bond Counsel is of the opinion that interest on the Notes is excluded from gross income for federal income tax purposes, the ownership or disposition of, or the accrual or receipt of amounts treated as interest on the Notes may otherwise affect a Beneficial Owner’s federal, state or local tax liability. The nature and extent of these other tax consequences depends upon the particular tax status of the Beneficial Owner or the Beneficial Owner’s other items of income or deduction. Bond Counsel expresses no opinion regarding any such other tax consequences.

Current and future legislative proposals, if enacted into law, clarification of the Code or court decisions may cause interest on the Notes to be subject, directly or indirectly, in whole or in part, to federal income taxation or to be subject to or otherwise prevent Beneficial Owners from realizing the full current benefit of the tax status of such interest. The introduction or enactment of any such legislative proposals or clarification of the Code or court decisions may also affect the market price or marketability of the Notes. Prospective purchasers of the Notes should consult their own tax advisors regarding the potential impact of any pending or proposed federal or state tax legislation, regulations or litigation, as to which Bond Counsel expresses no opinion.

The opinion of Bond Counsel is based on current legal authority, covers certain matters not directly addressed by such authorities, and represents Bond Counsel’s judgment as to the proper treatment of the Notes for federal income tax purposes. It is not binding on the Internal Revenue Service (“IRS”) or the courts. Furthermore, Bond Counsel cannot give and has not given any opinion or assurance about the future activities of the District or about the effect of future changes in the Code, the applicable regulations, the interpretation thereof or the enforcement thereof by the IRS. The District has covenanted, however, to comply with the requirements of the Code.

CONTINUING DISCLOSURE OF INFORMATION

In the Resolution, the District has made the following agreement for the benefit of the holders and beneficial owners of the Notes. The District is required to observe the agreement for so long as it remains an “obligated person” with respect to the Notes, within the meaning of Rule 15c2-12. Under the agreement, the District will be obligated to provide certain updated financial information and operating data annually, and timely notice of certain specified events, to the MSRB.

ANNUAL REPORTS

The District will provide this updated financial information and operating data to the MSRB annually in an electronic format as prescribed by the MSRB. The information to be updated includes all quantitative financial information and operating data with respect to the District of the general type included in this Official Statement in Tables 1 through 6 and 8 through 12 and in APPENDIX A. The District will update and provide this information within six months after the end of each fiscal year.

The District may provide updated information in full text or may incorporate by reference certain other publicly available documents, as permitted by Rule 15c2-12. The updated information will include audited financial statements, if the District commissions an audit and it is completed by the required time. If audited financial statements are not available by the required

time, the District will provide audited financial statements to such persons when and if the audit report becomes available. Any financial statements will be prepared in accordance with the accounting principles described in APPENDIX A or such other accounting principles as the District may be required to employ from time to time pursuant to state law or regulation.

The District's current fiscal year end is June 30. Accordingly, it must make available updated information by the last day of December in each year, unless the District changes its fiscal year. If the District changes its fiscal year, it will notify the MSRB of the change.

EVENT NOTICES

The District also will provide timely notices of any of the following events with respect to the Notes (not in excess of ten (10) business days after the occurrence of the event): (1) principal and interest payment delinquencies; (2) non-payment related defaults, if material; (3) unscheduled draws on debt service reserves reflecting financial difficulties; (4) unscheduled draws on credit enhancements reflecting financial difficulties; (5) substitution of credit or liquidity providers, or their failure to perform; (6) adverse tax opinions, the issuance by the Internal Revenue Service of proposed or final determinations of taxability, Notices of Proposed Issue (IRS Form 5701-TEB) or other material notices or determinations with respect to the tax status of the Notes, or other material events affecting the tax status of the Notes; (7) modifications to rights of holders of the Notes, if material; (8) Bond calls, if material, and tender offers; (9) defeasances; (10) release, substitution, or sale of property securing repayment of the Notes, if material; (11) rating changes; (12) bankruptcy, insolvency, receivership, or similar event of the District; (13) the consummation of a merger, consolidation, or acquisition involving the District or the sale of all or substantially all of the assets of the District, other than in the ordinary course of business, the entry into a definitive agreement to undertake such action, or the termination of a definitive agreement relating to any such actions, other than pursuant to its terms, if material; (14) the appointment of a successor or additional trustee or change of name of the trustee, if material; (15) incurrence of a financial obligation of the District, if material, or agreement to covenants, events of default, remedies, priority rights, or other similar terms of a financial obligation of the District, any of which affect security holders, if material; and (16) default, event of acceleration, termination event, modification of terms, or other similar events under the terms of a financial obligation of the District, any of which reflect financial difficulties. Neither the Notes nor the Resolution requires the funding of debt service reserves, credit enhancement or liquidity enhancement.

For these purposes, (a) any event described in the immediately preceding paragraph (12) is considered to occur when any of the following occur: the appointment of a receiver, fiscal agent, or similar officer for the District in a proceeding under the United States Bankruptcy Code or in any other proceeding under state or federal law in which a court or governmental authority has assumed jurisdiction over substantially all of the assets or business of the District, or if such jurisdiction has been assumed by leaving the existing governing body and officials or officers in possession but subject to the supervision and orders of a court or governmental authority, or the entry of an order confirming a plan of reorganization, arrangement, or liquidation by a court or governmental authority having supervision or jurisdiction over substantially all of the assets or business of the District, and (b) the District intends the words used in the immediately preceding paragraphs (15) and (16) and the definition of "financial obligation" in this Section to have the same meanings as when they are used in Rule 15c2-12, as evidenced by SEC Release No. 34-83885, dated August 20, 2018.

In addition, the District will provide timely notice of any failure by the District to provide annual financial information, data or financial statements in accordance with its agreement described above under "Annual Reports." The District will provide each notice described in this paragraph to the MSRB in an electronic format, as prescribed by the MSRB.

AVAILABILITY OF INFORMATION

The District has agreed to provide the information only to the MSRB, accompanied by identifying information and in an electronic format, as prescribed by the MSRB. The MSRB has prescribed that such information must be filed pursuant to its EMMA system. The MSRB makes the information available to the public without charge and investors will be able to access continuing disclosure information filed with the MSRB at www.emma.msrb.org.

LIMITATIONS AND AMENDMENTS

The District has agreed to update information and to provide notices of events only as described above. The District has not agreed to provide other information that may be relevant or material to a complete presentation of its financial results of operations, condition, or prospects or agreed to update any information that has been provided except as described above. The District makes no representation or warranty concerning such information or concerning its usefulness to a decision to invest in or sell Notes at any future date. The District disclaims any contractual or tort liability for damages resulting in whole or in part from any breach of its continuing disclosure agreement or from any statement made pursuant to its agreement, although holders of Notes may seek a writ of mandamus to compel the District to comply with its agreement. Nothing in this paragraph is intended or shall act to disclaim, waive or limit the District's duties under federal or state securities laws.

The District may amend its continuing disclosure agreement to adapt to changed circumstances that arise from a change in legal requirements, a change in law, or a change in the identity, nature, status, or type of operations of the District, if, but only if (1) the agreement, as so amended, would have permitted underwriters to purchase or sell Notes in the initial primary offering in compliance with Rule 15c2-12, taking into account any amendments or interpretations of Rule 15c2-12 to the date of such amendment, as well as such changed circumstances, and (2) either (a) the holders of a majority in aggregate principal amount of the outstanding Notes consent or (b) any qualified person unaffiliated with the District (such as nationally recognized bond counsel) determines that the amendment will not materially impair the interests of the holders and beneficial owners of the Notes. The District may also amend or repeal the provisions of this continuing disclosure agreement if the SEC amends or repeals the applicable provisions of Rule 15c2-12 or a court of final jurisdiction enters judgment that such provisions of Rule 15c2-12 are invalid, but only if and to the extent that the provisions of this sentence would not prevent an underwriter from lawfully purchasing or selling Notes in the primary offering of the Notes. If the District amends its agreement, it has agreed to include with the financial information and operating data next provided, in accordance with its agreement described above under “ANNUAL REPORTS,” an explanation, in narrative form, of the reasons for the amendment and of the impact of any change in the type of information and operating data so provided.

WEATHER EVENTS

The District is located near the Texas Gulf Coast. The region is prone to seasonal hurricane activity; major hurricanes and related storms may develop. Owing in part to its relatively flat topography and moist coastal climate, certain areas of the region are subject to periodic flooding and associated severe property damage because of hurricanes and storms. For example, the District was impacted by Tropical Storm Beryl in July 2024 and a Derecho in May 2024. Tropical Storm Beryl caused structural damage to multiple District campuses and widespread power outages, while Derecho resulted in significant roof and infrastructure damage across at least 60 campuses. Despite these challenges, the District successfully recovered much of the associated costs through insurance claims and FEMA assistance.

If a future weather event significantly damaged all or part of the properties comprising the tax base within the District, the assessed value of property within the District could be substantially reduced, which could result in a decrease in tax revenues and/or necessitate an increase the District’s tax rate. Texas law allows school districts to increase property tax rates without voter approval upon the occurrence of certain disasters such as floods and upon a gubernatorial or presidential declaration of disaster. See “TAX RATE LIMITATIONS – Public Hearing and Voter-Approval Tax Rate.” There can be no assurance that a casualty loss to taxable property within the District will be covered by insurance (or that property owners will even carry flood or other casualty insurance), that any insurance company will fulfill its obligation to provide insurance proceeds, or that insurance proceeds will be used to rebuild or repair any damaged improvements within the District or be sufficient for such purposes. Even if insurance proceeds are available and improvements are rebuilt, there could be a lengthy period in which assessed values within the District could be adversely affected.

The District has developed procedures for storm damage mitigation and prevention. The procedures include, for example, developing storm emergency and disaster plans, coordinating with local authorities, equipping a facility service emergency command center and assigning responsibilities for certain officials regarding storm preparation and disaster response. In addition, many school and facility sites that were reconstructed in the 100-year flood plain have been elevated during reconstruction to reduce damage due to flooding.

CYBERSECURITY

The District, like other school districts in the State, utilizes technology in conducting its operations. As a user of technology, the District potentially faces cybersecurity threats (e.g., hacking, phishing, viruses, malware and ransomware) on its technology systems. Accordingly, the District may be the target of a cyber-attack on its technology systems that could result in adverse consequences to the District.

The District has taken steps to enhance and protect information systems and information of the District. In 2013, the District began implementing an Information Security Program, which authorizes the District’s Chief Information Officer to manage District-wide information technology risk and develop a District-wide information security program. Since 2019, the District has been required by State law to maintain a cybersecurity plan and require employees to receive annual cybersecurity training, among other requirements. The District also currently conducts annual cybersecurity risk audits. The District has adopted certain practices for the establishment and maintenance of information technology security controls. Specific objectives of the security plan include (i) establishing a secure infrastructure and a stable processing environment; (ii) effectively managing the risk of information technology security exposure or compromise within the District’s environment; (iii) protecting the District’s reputation, schools, and image; (iv) supporting the establishment and maintenance of an Information Security Program within the District; (v) establishing and communicating accountability for acceptable and unacceptable use of the District’s information assets, supporting systems and processes; (vi) communicating the responsibilities for the protection of information to each individual, as representatives of the District; (vii) protecting and preserving management’s options in the event of an information asset misuse, loss or unauthorized disclosure; and (viii) providing controls over access to data by a combination of adequate physical, system, remote access and application security.

While the District has taken steps to enhance and protect information systems and requires employees to receive cybersecurity training, as required by State law, among other efforts, cybersecurity breaches could cause material disruptions to the District's finances or operations. The costs of remedying such breaches or protecting against future cyber-attacks could be substantial. Further, cybersecurity breaches could expose the District to litigation and other legal risks, which could cause the District to incur other costs related to such legal claims or proceedings.

EXPOSURE TO OIL AND GAS INDUSTRY

In the past, the greater Houston area has been affected by adverse conditions in the oil and gas industry, and adverse conditions in the oil and gas industry and spillover effects into other industries could adversely impact the businesses of ad valorem property taxpayers and the property values in the District, resulting in a reduction in property tax revenue. The Notes are secured by a continuing direct annual ad valorem tax levied for maintenance purposes by the District, within the limits prescribed by law, on all taxable property located within the District, and a reduction in property values may require an increase in the ad valorem tax rate required to pay the Notes, subject to applicable legal limitations. Reductions in oil and gas revenues may also have an adverse effect on State revenues available during the next biennium, which may impact how the State funds education.

OTHER INFORMATION

RATINGS

The Notes are rated "Aaa" by Moody's Investors Service, Inc. ("Moody's") and "AA+" by S&P Global Ratings, a division of Standard & Poor's Financial Services LLC ("S&P").

The ratings reflect only the respective views of such organizations and the District makes no representation as to the appropriateness of the ratings. There is no assurance that such ratings will continue for any given period of time or that they will not be revised downward or withdrawn entirely by any or all of such rating companies, if in the judgment of any or all of such companies, circumstances so warrant.

The above ratings are not recommendations to buy, sell or hold the Notes. Any such downward revision or withdrawal of such ratings, or either of them, may have an adverse effect on the market price of the Notes.

Periodically, rating agencies will evaluate and, on occasion as a result of these evaluations, revise their rating methodologies and criteria for municipal issuers such as the District. A revision in a rating agency's rating methodology could result in a positive or negative change in a rating assigned by the agency, even if the rated entity has experienced no material change in financial condition or operation. Any of the rating agencies at any time while the Notes remain outstanding could undertake such an evaluation process.

LITIGATION

The District is not a party to any litigation or other proceeding pending or to its knowledge, threatened, in any court, agency or other administrative body (either state or federal) which, if decided adversely to the District, would have a material adverse effect on the District's financial position or the District's ability to deliver the Notes. At any given time, the District is a party to numerous lawsuits, complaints, pending claims or other actions in various stages of litigation ranging from early discovery to various stages of appeal. The amount of damages in some cases is limited by the Texas Tort Claims Act. The District intends to vigorously defend each of these lawsuits or claims; however, no prediction can be made as to the outcome of these matters.

On April 18, 2025, the United States Attorney's Office for the Southern District of Texas announced that a federal jury returned guilty verdicts against the District's former Chief Operating Officer, Brian Busby, and the principal of a former District contract vendor, Anthony Hutchison. Such litigation is not expected to have any material adverse effect on finances or operations.

AUDITED FINANCIAL STATEMENTS

The audited financial statements of the District for the fiscal year ended June 30, 2024 are included in APPENDIX A. The District's auditor Weaver and Tidwell, L.L.P., has not reviewed, commented on or approved and is not associated with this Official Statement. The District's auditor has not performed any procedures on any financial statements or other financial information of the District and has not been asked to consent to the inclusion of its report in this Official Statement.

REGISTRATION AND QUALIFICATION OF NOTES FOR SALE

No registration statement relating to the Notes has been filed with the SEC under the Securities Act of 1933, as amended, in reliance upon the exemption provided thereunder by Section 3(a)(2). The Notes have not been approved or disapproved by the SEC, nor

has the SEC passed upon the accuracy or adequacy of this Official Statement. The Notes have not been registered or qualified under the Securities Act of Texas in reliance upon various exemptions contained therein; nor have the Notes been registered or qualified under the securities acts of any other jurisdiction.

The District assumes no responsibility for registration or qualification of the Notes under the securities laws of any jurisdiction in which the Notes may be sold, assigned, pledged, hypothecated or otherwise transferred. This disclaimer of responsibility for registration or qualification for sale or other disposition of the Notes shall not be construed as an interpretation of any kind with regard to the availability of any exemption from securities registration or qualification provisions. It is the obligation of the Underwriters to register or qualify the sale of the Notes under the securities laws of any jurisdiction which so requires. The District agrees to cooperate, at the Underwriters' written request and sole expense, in registering or qualifying the Notes or in obtaining an exemption from registration or qualification in any state where such action is necessary; provided, however, that the District shall not be required to qualify as a foreign corporation or to execute a general or special consent to service of process in any jurisdiction.

LEGAL INVESTMENTS AND ELIGIBILITY TO SECURE PUBLIC FUNDS IN TEXAS

Under the Texas Public Security Procedures Act (Texas Government Code, Chapter 1201), the Notes are (i) negotiable instruments, (ii) investment securities to which Chapter 8 of the Texas Business and Commerce Code applies, and (iii) legal and authorized investments for (A) an insurance company, (B) a fiduciary or trustee, or (C) a sinking fund of a municipality or other political subdivision or public agency of the State of Texas. The Notes are eligible to secure deposits of any public funds of the State, its agencies and political subdivisions, and are legal security for those deposits to the extent of their market value. For political subdivisions in Texas which have adopted investment policies and guidelines in accordance with the Public Funds Investment Act (Texas Government Code, Chapter 2256), the Notes may have to be assigned a rating of at least "A" or its equivalent as to investment quality by a national rating agency before such obligations are eligible investments for sinking funds and other public funds (see "RATINGS").

In addition, various provisions of the Texas Finance Code provide that, subject to a prudent investor standard, the Notes are legal investments for state banks, savings banks, trust companies with at least \$1 million of capital and savings and loan associations. The District has made no investigation of other laws, rules, regulations or investment criteria which might apply to such institutions or entities or which might limit the suitability of the Notes for any of the foregoing purposes or limit the authority of such institutions or entities to purchase or invest in the Notes for such purposes. The District has made no review of laws in other states to determine whether the Notes are legal investments for various institutions in those states.

LEGAL MATTERS

The District will furnish to the Underwriters a complete transcript of proceedings incident to the authorization and issuance of the Notes, including the unqualified approving opinion of the Attorney General to the effect that the Notes are valid and legally binding obligations of the District payable from the proceeds of an annual ad valorem tax levied, within the limits prescribed by law, upon all taxable property in the District, and the approving legal opinion of Jackson Walker LLP, Houston, Texas, Bond Counsel to the District, in substantially the form attached as APPENDIX B.

Bond Counsel did not take part in the preparation of the Official Statement, and such firm has not assumed any responsibility with respect thereto or undertaken independently to verify any of the information contained herein, except that, in its capacity as Bond Counsel, such firm has reviewed the information under the captions and subcaptions "PLAN OF FINANCING" (except the subcaption "SOURCES AND USES OF PROCEEDS" as to which no opinion is expressed), "THE NOTES" (except for the information under the subcaptions "PAYMENT RECORD," "BOOK-ENTRY-ONLY SYSTEM" and "HOLDERS' REMEDIES," as to which no opinion is expressed), and "CONTINUING DISCLOSURE OF INFORMATION," and such firm is of the opinion that the statements and information contained therein fairly and accurately reflect the provisions of the Resolution; further, Bond Counsel has reviewed the statements and information contained in this Official Statement under the captions and subcaptions "STATE AND LOCAL FUNDING OF SCHOOL DISTRICTS IN TEXAS," "CURRENT PUBLIC SCHOOL FINANCE SYSTEM," "TAX RATE LIMITATIONS – GENERAL," "TAX MATTERS," and "OTHER INFORMATION – REGISTRATION AND QUALIFICATION OF NOTES FOR SALE," "LEGAL INVESTMENTS AND ELIGIBILITY TO SECURE PUBLIC FUNDS IN TEXAS" and "LEGAL MATTERS" (except for the last three sentences of the second paragraph of such section), and Bond Counsel is of the opinion that the statements and information contained therein are correct as to matters of law. The legal fee to be paid Bond Counsel for services rendered in connection with the issuance of the Notes is contingent upon the sale and delivery of the Notes. Certain legal matters will be passed upon for the District by Bracewell LLP, Houston, Texas, Disclosure Counsel. Certain legal matters will be passed upon for the Underwriters by McCall, Parkhurst & Horton L.L.P., Houston, Texas, Counsel for the Underwriters. The legal fees of such firms are contingent upon the sale and delivery of the Notes.

The various legal opinions to be delivered concurrently with the delivery of the Notes express the professional judgment of the attorneys rendering the opinions as to the legal issues explicitly addressed therein. In rendering a legal opinion, the attorney does not become an insurer or guarantor of the expression of professional judgment, of the transaction opined upon, or of the future

performance of the parties to the transaction. Nor does the rendering of an opinion guarantee the outcome of any legal dispute that may arise out of the transaction.

FINANCIAL ADVISOR

Estrada Hinojosa (defined below) is employed by the District as financial advisor (the “Financial Advisor”) in connection with the issuance of the Notes. The Financial Advisor’s fee for services rendered with respect to the sale of the Notes is contingent upon the issuance and delivery of the Notes.

Although the Financial Advisor has read and participated in the preparation of this Official Statement, it has not independently verified any of the information set forth herein. The information contained in this Official Statement has been obtained primarily from the District’s records and from other sources which are believed to be reliable, including financial records of the District and other entities which may be subject to interpretation. No guarantee is made as to the accuracy or completeness of any such information. No person, therefore, is entitled to rely upon the participation of the Financial Advisor as an implicit or explicit expression of opinion as to the completeness and accuracy of the information contained in this Official Statement.

Effective August 2, 2024, Texas State Bankshares, Inc., the registered bank holding company for Texas Regional Bank (collectively, “TRB”), completed its acquisition of Dallas-based investment banking group Estrada Hinojosa & Company, Inc. (“Estrada Hinojosa”). Estrada Hinojosa operates under TRB Capital Markets, LLC, a wholly-owned subsidiary of TRB, using the assumed name of “Estrada Hinojosa.”

UNDERWRITING

The Underwriters have agreed, subject to certain conditions, to purchase the Notes from the District at a price of \$120,468,389.52 (representing the par amount of the Notes, plus a premium in the amount of \$6,455,027.70, less an underwriting discount of \$376,638.18) and no accrued interest. The Underwriters will be obligated to purchase all of the Notes if any Notes are purchased.

The Underwriters have provided the following paragraphs for inclusion in this Official Statement, and the District takes no responsibility for the accuracy thereof.

The Notes to be offered to the public may be offered and sold to certain dealers (including the Underwriters and other dealers depositing Notes into investment trusts) at prices lower than the public offering prices of such Notes, and such public offering prices may be changed, from time to time, by the Underwriters.

The Underwriters have reviewed the information in this Official Statement in accordance with their respective responsibilities to investors under the federal securities laws, as applied to the facts and circumstances of this transaction, but the Underwriters do not guarantee the accuracy or completeness of such information.

The Underwriters and their respective affiliates are full service financial institutions engaged in various activities, which may include securities trading, commercial and investment banking, financial advisory, investment management, principal investment, hedging, financing and brokerage activities. Certain of the Underwriters and their respective affiliates have, from time to time, performed, and may in the future perform, various investment banking services for the District for which they received or will receive customary fees and expenses.

In the ordinary course of their various business activities, the Underwriters and their respective affiliates may make or hold a broad array of investments and actively trade debt and equity securities (or related derivative securities) and financial instruments (which may include bank loans and/or credit default swaps) for their own account and for the accounts of their customers and may at any time hold long and short positions in such securities and instruments. Such investment and securities activities may involve securities and instruments of the District.

RBC Capital Markets, LLC (“RBCCM”) has provided the following information for inclusion in this Official Statement. RBCCM and its respective affiliates are full-service financial institutions engaged in various activities, that may include securities trading, commercial and investment banking, municipal advisory, brokerage, and asset management. In the ordinary course of business, RBCCM may actively trade debt and, if applicable, equity securities (or related derivative securities) and provide financial instruments (which may include bank loans, credit support or interest rate swaps). RBCCM and its respective affiliates may engage in transactions for their own accounts involving the securities and instruments made the subject of this securities offering or other offerings of the District. RBCCM may also communicate independent investment recommendations, market color or trading ideas and publish independent research views in respect of this securities offering or other offerings of the District. RBCCM and its respective affiliates may make a market in credit default swaps with respect to municipal securities in the future.

RBCCM and its affiliates may also communicate independent investment recommendations, market color or trading ideas and

publish independent research views in respect of this securities offering or other offerings of the District. RBCCM has entered into a distribution arrangement with its affiliate City National Securities, Inc. (CNS). As part of this arrangement, RBCCM may distribute municipal securities to investors through the financial advisor network of CNS. As part of this arrangement, RBCCM may compensate CNS for its selling efforts with respect to the Notes.

SAMCO Capital Markets Inc., an Underwriter of the Notes, has entered into a retail distribution agreement with Fidelity Capital Markets, a division of National Financial Services LLC (together with its affiliates, "Fidelity"). Under this distribution agreement, SAMCO Capital Markets Inc. may distribute municipal securities to retail investors at the original issue price through Fidelity. As part of this arrangement, SAMCO Capital Markets Inc. will compensate Fidelity for its selling efforts.

PNC Capital Markets LLC ("PNCCM"), one of the Underwriters of the Notes, may offer to sell to its affiliate, PNC Investments, LLC ("PNCI"), securities in PNCCM's inventory for resale to PNCI's customers, including securities such as the Notes. Additionally, PNCCM and PNC Bank, National Association are both wholly-owned subsidiaries of PNC Financial Services Group, Inc. PNCCM is not a bank, and is a distinct legal entity from PNC Bank, National Association. PNC Bank, National Association may from time to time have other banking and financial relationships with the District.

FORWARD-LOOKING STATEMENTS DISCLAIMER

The statements contained in this Official Statement, and in any other information provided by the District, that are not purely historical, are forward-looking statements, including statements regarding the District's expectations, hopes, intentions, or strategies regarding the future. Readers should not place undue reliance on forward-looking statements. All forward-looking statements included in this Official Statement are based on information available to the District on the date hereof, and the District assumes no obligation to update any such forward-looking statements. The District's actual results could differ materially from those discussed in such forward-looking statements.

The forward-looking statements included herein are necessarily based on various assumptions and estimates and are inherently subject to various risks and uncertainties, including risks and uncertainties relating to the possible invalidity of the underlying assumptions and estimates and possible changes or developments in social, economic, business, industry, market, legal, and regulatory circumstances and conditions and actions taken or omitted to be taken by third parties, including customers, suppliers, business partners and competitors, and legislative, judicial, and other governmental authorities and officials. Assumptions related to the foregoing involve judgments with respect to, among other things, future economic, competitive, and market conditions and future business decisions, all of which are difficult or impossible to predict accurately and many of which are beyond the control of the District. Any of such assumptions could be inaccurate and, therefore, there can be no assurance that the forward-looking statements included in this Official Statement will prove to be accurate.

AUTHENTICITY OF FINANCIAL DATA AND OTHER INFORMATION

The financial data and other information contained herein have been obtained from the District's records, audited financial statements and other sources which are believed to be reliable. There is no guarantee that any of the assumptions or estimates contained herein will be realized. All of the summaries of the statutes, documents and resolutions contained in this Official Statement are made subject to all of the provisions of such statutes, documents and resolutions. These summaries do not purport to be complete statements of such provisions and reference is made to such documents for further information. Reference is made to original documents in all respects.

References to website addresses presented herein are for informational purposes only and may be in the form of a hyperlink solely for the reader's convenience. Unless specified otherwise, such websites and the information or hyperlinks contained therein are not incorporated into, and are not part of, this final Official Statement for purposes of, and as that term is defined in, the Rule.

The Resolution authorizing the issuance of the Notes delegated to certain authorized official(s) of the District the authority to approve the form and content of this Official Statement, and any addenda, supplement or amendment thereto, and the District has authorized the use of this Official Statement in the offering of the Notes by the Underwriters.

[Remainder of page intentionally left blank]

(THIS PAGE LEFT BLANK INTENTIONALLY)

APPENDIX A

HOUSTON INDEPENDENT SCHOOL DISTRICT

BASIC FINANCIAL STATEMENTS AS OF AND FOR THE YEAR ENDED JUNE 30, 2024,

REQUIRED SUPPLEMENTAL INFORMATION, AND INDEPENDENT AUDITORS' REPORT

The information contained in this Appendix consists of excerpts from the Houston Independent School District Annual Financial Report for the Year Ended June 30, 2024, and is not intended to be a complete statement of the District's financial condition. Reference is made to the complete Report for further information.

(THIS PAGE LEFT BLANK INTENTIONALLY)



2024 ANNUAL COMPREHENSIVE FINANCIAL REPORT

FINANCIAL EXCELLENCE
Supporting Academic Success

*For The Fiscal Year Ended
June 30, 2024
Houston, Texas*



2024 ANNUAL COMPREHENSIVE FINANCIAL REPORT

FINANCIAL EXCELLENCE
Supporting Academic Success

*For The Fiscal Year Ended June 30, 2024
Houston, Texas*

**Prepared by the
Office of Finance**





HOUSTON INDEPENDENT SCHOOL DISTRICT

Annual Comprehensive Financial Report

FOR THE FISCAL YEAR ENDED JUNE 30, 2024

TABLE OF CONTENTS

INTRODUCTORY SECTION	I
Certificate of Board	I
Letter of Transmittal	2
HISD Administrative Organization Chart	7
HISD 2024 School Board.....	8
Appointed Officials	9
ASBO Certificate of Excellence.....	10
GFOA Certificate of Achievement	11
Certification of Investment Policy	12
FINANCIAL SECTION	II
Basic Financial Statements:.....	iii
Independent Auditor's Report	13
Management's Discussion and Analysis (Unaudited)	17
Statement of Net Position	28
Statement of Activities	29
Balance Sheet - Governmental Funds	30
Reconciliation of the Governmental Funds Balance Sheet to the Statement of Net Position.....	31
Statement of Revenues, Expenditures, and Changes in Fund Balances - Governmental Funds.....	32
Reconciliation of the Governmental Funds Statement of Revenues, Expenditures, and Changes in Fund Balances to the Statement of Activities	33
Statement of Net Position - Proprietary Funds.....	34
Statement of Revenues, Expenses, and Changes in Fund Net Position - Proprietary Funds.....	35
Statement of Cash Flows - Proprietary Funds	36
Statement of Fiduciary Net Position Fiduciary Funds.....	37
Statement of Changes in Fiduciary Net Position - Fiduciary Funds.....	38
Notes to the Basic Financial Statements	39
Required Supplementary Information (Unaudited):	ii2
Schedule of Revenues, Expenditures, and Changes in Fund Balance Budget and Actual - General Fund	83
Schedule of the District's Proportionate Share of the Net Pension Liability - Teacher Retirement System	84
Schedule of the District's Contributions - Teacher Retirement System	85
Schedule of the District's Proportionate Share of the Net OPEB Liability - Teacher Retirement System	86
Schedule of the District's Contributions for Other Post Employment Benefits - Teacher Retirement System	87
Notes to Required Supplementary Information	88
Combining and Individual Fund Statements and Schedules:.....	ii3
Nonmajor Enterprise Funds.....	91
Combining Statement of Net Position - Nonmajor Enterprise Funds	92
Combining Statement of Revenues, Expenses, and Changes in Fund Net Position - Nonmajor Enterprise Funds.....	93
Combining Statement of Cash Flows - Nonmajor Enterprise Funds.....	94
Internal Service Funds	95
Combining Statement of Net Position - Internal Service Funds.....	96
Combining Statement of Revenues, Expenses, and Changes in Fund Net Position - Internal Service Funds	97
Combining Statement of Cash Flows - Internal Service Funds.....	98

Other Supplementary Information:	ii4
Schedule of Revenues, Expenditures, and Changes in Fund Balance - Budget and Actual - Debt Service Fund	99
Schedule of Revenues, Expenditures and Changes in Fund Balance - Budget and Actual - Nutrition Services.....	100
Use of Funds Report - Select State Allotment Programs	101
STATISTICAL SECTION (UNAUDITED).....	III
Statistical Information.....	103
Financial Trends:.....	iii1
Net Position by Component	105
Expenses, Program Revenues, and Net (Expense)/Revenue.....	106
General Revenues and Total Changes in Net Position	107
Governmental Funds Fund Balances	108
Governmental Funds Revenues.....	109
Governmental Funds Expenditures and Debt Service Ratio.....	110
Other Financing Sources and Uses and Net Change in Fund Balances	111
Revenue Capacity:	iii2
Assessed Value and Actual Value of Taxable Property	113
Property Tax Exemptions.....	114
Direct and Overlapping Property Tax Rates	115
Principal Property Taxpayers.....	116
Property Tax Levies and Collections	117
Schedule of Delinquent Taxes Receivable	118
Local Excess Revenue (Recapture)	119
Debt Capacity:	iii3
Legal Debt Margin Information.....	121
Ratios of Net General Bonded Debt Outstanding.....	122
Direct and Overlapping Governmental Activities Debt.....	123
Outstanding Debt by Type	124
Demographic and Economic Capacity:.....	iii4
Demographic Information.....	125
Principal Employers.....	126
Operating Information:.....	iii5
District Employees by Function.....	127
Student Information - General	128
Teacher Information - General	129
Teacher Salary Information - Education	130
School Building Information	131
COMPLIANCE SECTION.....	IV
Independent Auditor's Report on Internal Control over Financial Reporting and on Compliance and Other Matters Based on an Audit of Financial Statements Performed in Accordance with Government Auditing Standards.....	153
Independent Auditor's Report on Compliance for Each Major Federal and State Program and Report on Internal Control over Compliance Required by the Uniform Guidance and Texas Uniform Grant Management Standards	155
Section I – Summary of Auditor's Results	158
Section II – Findings Related to Financial Statements	160
Section III – Federal and State Award Findings and Questioned Costs	160
Section V – Findings Related to Financial Statements	161
Schedule of Expenditures of Federal Awards	162
Schedule of Expenditures of State Awards	166
Notes to Schedule of Expenditures of Federal and State Awards.....	167

2024
ANNUAL COMPREHENSIVE
FINANCIAL REPORT
**INTRODUCTORY
SECTION**

FINANCIAL EXCELLENCE
Supporting Academic Success





HOUSTON INDEPENDENT SCHOOL DISTRICT

CERTIFICATE OF BOARD

Houston Independent School District

Harris County

101-912-IV

We, the undersigned, certify that the attached auditors' report of the above-named school district was reviewed and approved for the fiscal year ended June 30, 2024, at a meeting of the School Board of such school district on the 14th day of November 2024.

Angela Lemond Flowers
Secretary, School Board
Houston Independent School District

Audrey Momanaee
President, School Board
Houston Independent School District



Board of Education
November 14, 2024

November 14, 2024

Members of the Board of Managers and Citizens of the Houston Independent School District:

The Annual Comprehensive Financial Report (ACFR) of the Houston Independent School District (the "District" or "HISD") for the fiscal year ended June 30, 2024 is hereby submitted. This document is management's report of financial operations to the Board of Managers (the "Board"), taxpayers, grantor agencies, employees, the Texas Education Agency, and other interested parties.

The Texas Education Code requires that all school districts file an annual report with the Texas Education Agency (TEA) within 150 days of the close of each fiscal year. The annual report must be prepared in accordance with generally accepted accounting principles (GAAP) as applicable to governmental entities and must be audited by a firm of independent licensed certified public accountants. This Annual Comprehensive Financial Report is submitted in fulfillment of that requirement. An audit was conducted in accordance with *Government Auditing Standards* issued by the Comptroller General of the United States and the requirements of Title 2 U.S. *Code of Federal Regulations* Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* (Uniform Guidance). The financial statements of the District have been audited by Weaver and Tidwell, L.L.P.

To the best of our knowledge and belief, the enclosed information is accurate in all material respects and is reported in a manner designed to fairly present the financial position as well as the financial condition of the District. Disclosures necessary to enable the reader to gain understanding of such financial operations have been included. Responsibility for the accuracy and completeness of the data presented, as well as the presentation of this report, rests with District management.

GAAP requires that management provide a narrative introduction, overview, and analysis to accompany the basic financial statements in the form of Management's Discussion and Analysis (MD&A). This letter of transmittal is designed to complement the MD&A and should be read in conjunction with it. The District's MD&A can be found immediately following the report of the independent auditors.

PROFILE OF THE HOUSTON INDEPENDENT SCHOOL DISTRICT

The District was created and incorporated by an act of the Thirty-Eighth Legislature of the State of Texas in 1923. As required by House Bill 1842, passed in 2015 by the Texas legislature, Texas Education Commissioner Mike Morath appointed the nine-member Board of Managers to temporarily replace the elected board of trustees on June 1, 2023. The Board of Managers has the same authority as the elected trustees and will be responsible for overseeing the management of the school district. Based on legislative authority codified in the Texas Education Code, the Board (1) has exclusive power and duty to govern and oversee the District; (2) can acquire and hold real and personal property, sue and be sued, and hold all rights and titles to school property; (3) shall have power to levy and collect taxes and to issue bonds; (4) can contract for appointed officers, teachers, and other personnel as well as for goods and services; and (5) has the right of eminent domain to acquire real property.

HISD, with an enrollment of 184,109 students, is the eighth-largest public school system in the nation and the largest in Texas. The District encompasses 333 square miles within Harris County, Texas including 51% of the current geographic area of the City of Houston and all or part of four other cities or villages. HISD is an ethnically diverse district as 61.8 percent of all students are Hispanic, 21.4 percent are African American, 9.8 percent are White, 5.0 percent are Asian and 2.0 percent are of other ethnicities.



Board of Education
November 14, 2024

Houston Independent School District provides services through 274 schools, of which 8 are early childhood centers (pre-kindergarten for four-year-old students), 159 elementary schools (grades K-5), 39 middle schools (grades 6-8), 37 high schools (grades 9-12) and 31 combination/alternative sites. The average age of the District's schools is 45 years. A list of school buildings with year of construction can be found in the Statistical Data Section. (See pages 131-152.)

Four division superintendents oversee the elementary, middle, high school and alternative/charter schools. Four senior executive directors, twelve executive directors, and twelve unit leaders report to the division superintendents. These individuals provide leadership to principals, align resources and support for teachers, and ensure that the district is providing equitable and quality educational opportunities to students. HISD's organization is designed to emphasize teaching and learning, align school goals and programs for sustained improvement, eliminate duplicated services, and provide greater oversight of data and compliance with state laws and regulations.

The District serves its diverse student population through an intensive core curriculum and specialized instructional and career programs. The District provides a full range of programs and services to its students, including elementary and secondary courses for general, vocational, and college preparatory levels, as well as magnet, and gifted and talented programs. Academic programs are supplemented by a variety of co-curricular and extracurricular activities. In addition to the regular educational programs, the District offers programs in special education, bilingual, and compensatory education. HISD contracted for the operation of 7 external performance (charter) schools which are funded with state funds that flow through the District.

ECONOMIC OUTLOOK

Houston is the largest city in Texas and the fourth most populous city in the United States with a population of 2.3 million, and 7.5 million people in the Houston metro area. The region's largest industries are energy, aerospace and aviation, life sciences and biotechnology, and transportation and logistics. Employment in the Houston Metropolitan Statistical Area stood at 3.732 million people in June 2024 per the Texas Workforce Commission, up three percent from one year earlier. Houston's economy continues to recover following the pandemic. Per the Greater Houston Partnership, Houston's economy is performing well. Exports from the port of Houston are rising, construction has picked up, airport traffic is setting records, and home prices have stabilized.

LONG-TERM FINANCIAL PLANNING

The District is subject to the state's target revenue formula for school district funding. Under the allocation methodology, the District's maintenance and operations revenue from property taxes and state aid is determined by a state formula based on weighted average daily attendance. As collections from property taxes increase, state aid is reduced. The District is challenged with providing salary increases and other inflationary fixed costs within this allocation methodology. The District is constantly adjusting future projections as costs in the market shift and as changes are proposed or adopted by the Texas Legislature.

Enrollment decreased from the 2022-23 school year by 5,825 students. The 2024-25 budget includes an additional reduction of 4,011 students. As of October 2024, the District's certified net taxable value for the 2024 tax year increased by 1.0 percent. The collection rate for fiscal year 2024 was 97 percent. The District expects to maintain a 97 percent collection rate.

With the 2017 fiscal year, the Houston Independent School District began paying recapture, now known as "contracted instructional services between public schools". Under the current state finance system, the District sends funds to the state if local revenue exceeds its entitlement. As of June 30, 2024, the District's "contracted instructional services between public schools" expense was \$0.



Board of Education
November 14, 2024

ACCOUNTING AND BUDGETARY CONTROLS

The diverse nature of the District's operations and the necessity of legal compliance preclude recording the financial transactions of the District in a single fund. The District's accounting system is organized and operated on a "fund basis." Each fund is a distinct, self-balancing accounting entity. The various funds are fully described in Note 1 of the "Notes to the Basic Financial Statements" starting on page 39.

In developing, evaluating, and improving the District's accounting system, consideration is given to the adequacy of the internal control structure. Internal controls are designed to provide management with reasonable, but not absolute, assurance that assets are safeguarded against loss from unauthorized use or disposition and those transactions are executed in accordance with management's authorization and recorded properly to permit the preparation of financial statements in accordance with GAAP. The concept of reasonable assurance recognizes that the cost of a control should not exceed the benefits likely to be derived, and the evaluation of costs and benefits requires estimates and judgments by management.

All internal control evaluations occur within the above-mentioned framework. We believe the District's internal control structure adequately safeguards assets and provides reasonable assurance of the proper recording of financial transactions.

As a recipient of federal, state, and local grants, the District is also responsible for an adequate internal control structure that ensures compliance with applicable laws and regulations related to these grants. All funded grants are subject to testing as part of the District's Single Audit as mandated by the Uniform Guidance. The internal control structure is subject to ongoing reviews by management. As a part of the District's Single Audit, tests are conducted to determine the adequacy of the internal control structure as related to state and federal award programs as well as compliance with applicable laws and regulations. The Single Audit reports are included in the compliance section of this report.

The District utilizes a line-item budget of proposed expenditures and the means of financing them. The emphasis of the budget process is to identify the activities requiring resources and to rank those activities according to the needs of the entire District. Budgetary control is maintained at the function level by organizational unit through the encumbrance of estimated purchase amounts to coincide with the execution of contracts, approval of personnel transactions, or release of purchase orders to vendors. The Board approves annual budgets for the General Fund, Debt Service Fund, and Nutrition Services Fund. Budgets for Special Revenue funds (other than the Food Service Fund) and Capital Projects Fund are prepared on a project basis, based on grant regulations or applicable bond requirements.

MAJOR INITIATIVES

In addition to appointing the Board of Managers in June 2023, the Texas Education Commissioner, Mike Morath, also named Mike Miles as the new superintendent of Houston ISD. Mr. Miles has introduced *Destination 2035* which is designed around Year 2035 competencies and *The New Education System (NES)* that provides resources and support to dramatically improve outcomes for students. These resources and support include:

- Increased salaries, incentive payments, and stipends for teachers
- More support for teachers:
 1. Discipline handled by administrators
 2. Lesson plans and materials provided by curriculum developers (grades 2-10)
 3. Differentiated assignments copies made by support personnel
 4. Papers graded by support personnel



Board of Education
November 14, 2024

- Innovative staffing model:
 1. Differentiated compensation for NES staff based on the hospital model vs. traditional salary schedules for PUA staff
 2. Eliminate non-instructional tasks from principals at NES campuses
 3. Engage community consultants for non-instructional subjects or electives
 4. Expand the reach of the best and brightest teachers
 5. Hire additional “Apprentice Teachers”
 6. Create the learning coach position

As a result of the NES implementation, HISD demonstrated notable academic progress with 80 campuses rising from D or F ratings to A or B ratings and one campus previously rated C also achieving higher performance. Most impressively, three campuses achieved a remarkable leap from F ratings to A ratings.

HISD’s 2024 school ratings highlight a positive trend in the district’s overall academic performance. Out of 264 campuses scored, 193 scored improvements compared to the previous year, reflecting the District’s commitment to raising academic standards. The number of schools rated D or F was significantly reduced from 121 in 2023 to just 41 in 2024. Additionally, HISD reported a jump in A- and B- rated schools, increasing from 93 last year to 170 this year, indicating a district-wide move toward higher academic achievement.

AWARDS AND ACKNOWLEDGMENTS

Perhaps no responsibility is as great as that of educating our youth, and all of our efforts lead back to the classroom. Given that the District’s academic advancements are dependent upon its fiscal successes, it is imperative that HISD continue to improve upon its reporting proficiencies. The following text cites awards received by the District for financial reporting excellence and the related acknowledgments in this regard.

ASBO Certificate of Excellence

The District received the Association of School Business Officials’ (“ASBO”) Certificate of Excellence in Financial Reporting for the fiscal year ended June 30, 2023. The District has received this award for 45 consecutive years. This award certifies that the Annual Comprehensive Financial Report substantially conforms to the principles and standards of financial reporting as recommended and adopted by ASBO.

GFOA Certificate of Achievement

The Government Finance Officers Association of the United States and Canada (“GFOA”) awarded a Certificate of Achievement for Excellence in Financial Reporting to the District for its Annual Comprehensive Financial Report for the fiscal year ended June 30, 2023. This was the 51st consecutive year that the District has achieved this prestigious award.

GTOT Certificate of Distinction

The District received the Government Treasurers’ Organization of Texas (GTOT) Certificate of Distinction in October 2024. The certificate is good for a two-year period. This award recognized the District’s commitment to maintaining a comprehensive written investment policy that meets the criteria set forth in the GTOT Investment Policy Checklist.

Acknowledgments

The preparation of this report on a timely basis could not be accomplished without the dedicated services of the entire staff of the District’s Office of Finance. Also, we would like to express our appreciation to other departments, schools, and individuals who assisted in its preparation.



Board of Education
November 14, 2024

Moreover, we wish to thank and express appreciation to the administrators and other employees of the District for their interest and support in planning and conducting the financial affairs of the District in a responsible and progressive manner.

Respectfully submitted,

F. Mike Miles
Superintendent of Schools

James Terry, PhD, CPA, RTSBA
Chief Finance and Operations Officer

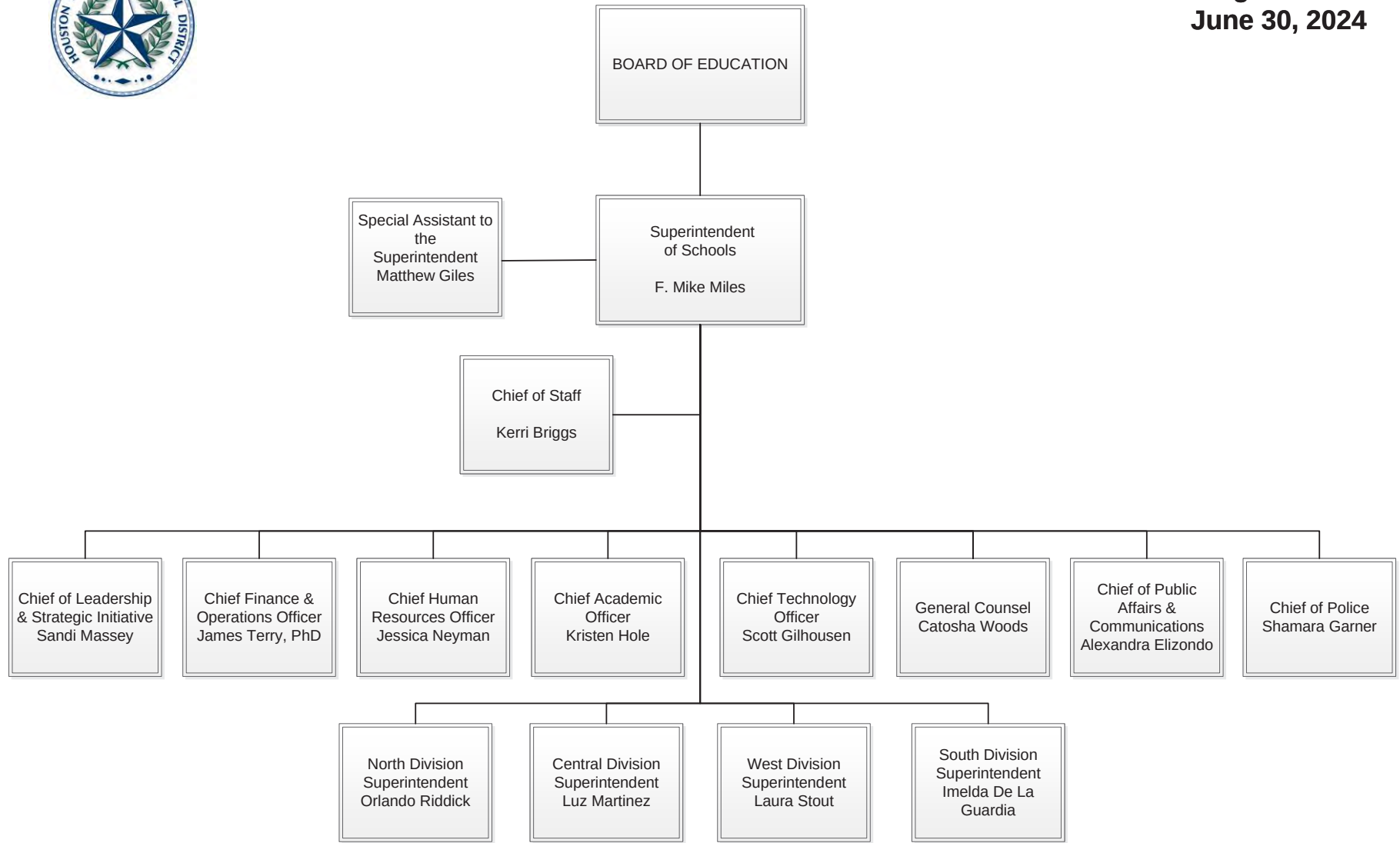
Sherrie H. Robinson
Controller



Houston Independent School District

Organization

June 30, 2024





HOUSTON INDEPENDENT SCHOOL DISTRICT

2024 SCHOOL BOARD



Audrey Momanaee
President



Ric Campo
Vice President



Angela Lemond Flowers
Secretary



Cassandra Auzenne Bandy
Board Member



Michelle Cruz Arnold
Board Member



Janette Garza Lindner
Board Member



Rolando Martinez
Board Member



Paula Mendoza
Board Member



Adam Rivon
Board Member



HOUSTON INDEPENDENT SCHOOL DISTRICT

Appointed Officials

HOUSTON INDEPENDENT SCHOOL DISTRICT

Appointed Officials as of June 30, 2024

F. Mike Miles	Superintendent of Schools
Matthew Giles	Special Assistant to Superintendent
Kerri Briggs	Chief of Staff
James Terry, PhD	Chief Finance and Operations Officer
Kristen Hole	Chief Academic Officer
Jessica Neyman	Chief Human Resources Officer
Alexandra Elizondo	Chief of Public Affairs & Communications
Sandi Massey	Chief of Leadership & Strategic Initiative
Catosha L. Woods	General Counsel
Scott Gilhousen	Chief Technology Officer
Shamara D. Garner	Chief of Police
Orlando Riddick	North Division Superintendent
Luz Martinez	Central Division Superintendent
Laura L. Stout	West Division Superintendent
Imelda De La Guardia	South Division Superintendent



**The Certificate of Excellence in Financial Reporting
is presented to**

Houston Independent School District

**for its Annual Comprehensive Financial Report
for the Fiscal Year Ended June 30, 2023.**

The district report meets the criteria established for
ASBO International's Certificate of Excellence in Financial Reporting.



A handwritten signature in black ink, reading 'Ryan S. Stechschulte'.

**Ryan S. Stechschulte
President**

A handwritten signature in black ink, reading 'James M. Rowan'.

**James M. Rowan, CAE, SFO
CEO/Executive Director**



Government Finance Officers Association

Certificate of
Achievement
for Excellence
in Financial
Reporting

Presented to

**Houston Independent School District
Texas**

For its Annual Comprehensive
Financial Report
For the Fiscal Year Ended

June 30, 2023

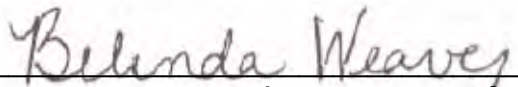
Christopher P. Morill

Executive Director/CEO

Government Treasurers' Organization of Texas
Certification of Investment Policy

Presented to the
Houston Independent School District

for developing an investment policy that meets the requirements of the Public Funds Investment Act and the standards for prudent public investing established by the Government Treasurers' Organization of Texas.


Government Treasurers' Organization of Texas
President


Investment Policy Review Committee

For the two-year period ending October 31, 2026

2024
ANNUAL COMPREHENSIVE
FINANCIAL REPORT
**FINANCIAL
SECTION**

FINANCIAL EXCELLENCE
Supporting Academic Success





FINANCIAL SECTION

2024
Basic Financial
Statements

FINANCIAL EXCELLENCE
Supporting Academic Success

Independent Auditor's Report

To the School Board and Management of
Houston Independent School District

Report on the Audit of the Financial Statements

Opinions

We have audited the financial statements of the governmental activities, the business-type activities, each major fund, and the aggregate remaining fund information of Houston Independent School District (the District), as of and for the year ended June 30, 2024, and the related notes to the financial statements, which collectively comprise the District's basic financial statements as listed in the table of contents.

In our opinion, the accompanying financial statements present fairly, in all material respects, the respective financial position of the governmental activities, the business-type activities, each major fund, and the aggregate remaining fund information of the District, as of June 30, 2024, and the respective changes in financial position and, where applicable, cash flows thereof for the year then ended in accordance with accounting principles generally accepted in the United States of America.

Basis for Opinions

We conducted our audit in accordance with auditing standards generally accepted in the United States of America (GAAS) and the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States. Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are required to be independent of the District and to meet our other ethical responsibilities, in accordance with the relevant ethical requirements relating to our audit. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinions.

Responsibilities of Management for the Financial Statements

The District's management is responsible for the preparation and fair presentation of the financial statements in accordance with accounting principles generally accepted in the United States of America, and for the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about the District's ability to continue as a going concern for twelve months beyond the financial statement date, including any currently known information that may raise substantial doubt shortly thereafter.

Weaver and Tidwell, L.L.P.
4400 Post Oak Parkway Suite 1100 | Houston, Texas 77027
Main: 713.850.8787

CPAs AND ADVISORS | WEAVER.COM

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinions. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with GAAS and *Government Auditing Standards* will always detect a material misstatement when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgment made by a reasonable user based on the financial statements.

In performing an audit in accordance with GAAS and *Government Auditing Standards*, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the financial statements.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the District's internal control. Accordingly, no such opinion is expressed.
- Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the financial statements.
- Conclude whether, in our judgment, there are conditions or events, considered in the aggregate, that raise substantial doubt about the District's ability to continue as a going concern for a reasonable period of time.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control-related matters that we identified during the audit.

Required Supplementary Information

Accounting principles generally accepted in the United States of America require that the Management's Discussion and Analysis, Schedule of Revenues, Expenditures, and Changes in Fund Balance – Budget and Actual – General Fund, Schedule of the District's Proportionate Share of the Net Pension Liability – Teacher Retirement System, Schedule of the District's Contributions for Pension – Teacher Retirement System, Schedule of District's Proportionate Share of the Net OPEB Liability – Teacher Retirement System, and Schedule of the District's Contributions for Other Postemployment Benefits – Teacher Retirement System, be presented to supplement the basic financial statements. Such information is the responsibility of management and, although not a part of the basic financial statements, is required by the Governmental Accounting Standards Board who considers it to be an essential part of financial reporting for placing the basic financial statements in an appropriate operational, economic, or historical context. We have applied certain limited procedures to the required supplementary information in accordance with auditing standards generally accepted in the United States of America, which consisted of inquiries of management about the methods of preparing the information and comparing the information for consistency with management's responses to our inquiries, the basic financial statements, and other knowledge we obtained during our audit of the basic financial statements. We do not express an opinion or provide any assurance on the information because the limited procedures do not provide us with sufficient evidence to express an opinion or provide any assurance.

Supplementary Information

Our audit was conducted for the purpose of forming opinions on the financial statements that collectively comprise the District's basic financial statements. The Combining and Individual Fund Statements and Schedules, Schedule of Expenditures of Federal Awards, as required by Title 2 U.S. Code of Federal Regulations, Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* (Uniform Guidance) and Schedule of Expenditures of State Awards, as required by Texas Grant Management Standards (TxGMS), are presented for purposes of additional analysis and are not a required part of the basic financial statements.

The Combining and Individual Fund Statements and Schedules, Schedule of Expenditures of Federal Awards and Schedule of Expenditures of State Awards are the responsibility of management and were derived from and relate directly to the underlying accounting and other records used to prepare the basic financial statements. Such information has been subjected to the auditing procedures applied in the audit of the basic financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the basic financial statements or to the basic financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, the Combining and Individual Fund Statements and Schedules, Schedule of Expenditures of Federal Awards and Schedule of Expenditures of State Awards are fairly stated, in all material respects, in relation to the basic financial statements as a whole.

The Board of Trustees and Management of
Houston Independent School District

Other Information Included in the Annual Comprehensive Financial Report (ACFR)

Management is responsible for the other information included in the ACFR. The other information comprises the Introductory Section and Statistical Section but does not include the financial statements and our auditor's report thereon. Our opinions on the financial statements do not cover the other information, and we do not express an opinion or any form of assurance thereon. In connection with our audit of the financial statements, our responsibility is to read the other information and consider whether a material inconsistency exists between the other information and the financial statements, or the other information otherwise appears to be materially misstated. If, based on the work performed, we conclude that an uncorrected material misstatement of the other information exists, we are required to describe it in our report.

Other Reporting Required by Government Auditing Standards

In accordance with *Government Auditing Standards*, we have also issued our report dated November 7, 2024, on our consideration of the District's internal control over financial reporting and on our tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements and other matters. The purpose of that report is solely to describe the scope of our testing of internal control over financial reporting and compliance and the results of that testing, and not to provide an opinion on the effectiveness of internal control over financial reporting or on compliance. That report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the District's internal control over financial reporting and compliance.

Weaver and Tidwell, L.L.P.

WEAVER AND TIDWELL, L.L.P.

Houston, Texas
November 7, 2024

**MANAGEMENT'S DISCUSSION AND ANALYSIS
(UNAUDITED)**

Our discussion and analysis of Houston Independent School District's (the "District") financial performance provides an overview of the District's financial activities for the fiscal year ended June 30, 2024. It should be read in conjunction with the transmittal letter at the front of this report and the basic financial statements which follow this section.

The Management's Discussion and Analysis provides information on both government-wide financial statements and fund financial statements.

FINANCIAL HIGHLIGHTS

- The District's total net position as presented on the Government-wide *Statement of Net Position* is \$2.350 billion. For the fiscal year ended June 30, 2024, the net position of the District decreased by \$21.8 million.
- The District's governmental funds financial statements reported a combined ending fund balance of \$1.357 billion. This balance consists of \$1.047 billion in the General Fund of which \$262.7 million is assigned, \$70 million is restricted, \$24.5 million is nonspendable, \$99.8 million is committed, and \$590 million is unassigned and available for spending at the District's discretion. The remaining restricted fund balance of \$305.7 million consists of the Special Revenue Fund, the Debt Service Fund, and the Capital Project Fund. The Capital Project Fund's fund balance also includes \$3.99 million in assigned.
- For the fiscal year ended June 30, 2024, total revenue and transfers from governmental activities in the *Statement of Activities* was \$3.133 billion. Program revenues accounted for \$919 million. General revenues and transfers accounted for \$2.214 billion.
- The General Fund had \$1.983 billion in revenues of which \$1.507 billion is property taxes. General Fund expenditures and other financing sources were \$2.149 billion and \$86.734 million, respectively. This resulted in a decrease to fund balance of \$79.87 million.
- A portion of the debt obligations of the District are rated "Aaa" by Moody's Investors Service, Inc. ("Moody's") by virtue of a guarantee by the Texas Permanent School Fund Bond Guarantee Program. The outstanding unenhanced tax-supported debt of the District is rated "Aaa" by Moody's. In addition, lease revenue bonds issued by the District's Public Facility Corporation received ratings of "Aaa" by Moody's. Rating information referenced is as of the last rating reviews in March of 2024 by Moody's.

OVERVIEW OF THE FINANCIAL STATEMENTS

This discussion and analysis is intended to serve as an introduction to the District's basic financial statements. The District's basic financial statements are comprised of three components: 1) government-wide financial statements, 2) fund financial statements, and 3) notes to the basic financial statements. This report also contains required supplementary information and other supplementary information in addition to the basic financial statements themselves.

Government-Wide Financial Statements

The government-wide financial statements are designed to provide readers a broad overview of the District's finances in a manner similar to a private-sector business and are comprised of the *Statement of Net Position* and the *Statement of Activities*. These statements provide information about the activities of the District as a whole and present both long-term and short-term information about the District's overall financial status. The District's basic services are primarily financed by property taxes and include instruction, instructional resources and media services, instructional staff development, instructional leadership, school leadership, guidance, counseling, and evaluation services, social work services, health services, student transportation, food service, co-

curricular/extracurricular activities, general administration, plant maintenance and operations, security and monitoring services, data processing services, community services, fiscal agent/member districts of shared services, juvenile justice alternative education program, tax reinvestment zone payments, tax appraisal and collection, and interest on long-term debt.

The *Statement of Net Position* presents information on all the District's assets, deferred outflows, liabilities, and deferred inflows with the difference reported as net position. Over time, increases or decreases in net position may serve as a useful indicator of whether the District's financial position is improving or deteriorating. The *Statement of Net Position* includes the District's non-fiduciary assets and liabilities.

The *Statement of Activities* presents information for all the current fiscal year's revenues and expenses. This activity is reported as soon as the underlying event giving rise to the activity occurs, regardless of the timing of related cash flows. Therefore, revenues and expenses are reported in this statement for some items that will result in cash flows in future fiscal periods (e.g., uncollected taxes and earned but unused vacation leave).

Both of the government-wide financial statements distinguish functions of the District that are principally supported by taxes and intergovernmental revenues (governmental activities) from business-type activities that are intended to recover all or a significant portion of their costs through user fees and charges.

Fund Financial Statements

The fund financial statements focus on individual parts of the government, reporting the District's operations in more detail than the government-wide statements. Funds are accounting devices that the District uses to keep track of specific sources of funding and spending for particular purposes. Some funds are required by state law and by bond covenants. The Board of Trustees establishes other funds to control and manage resources and expenditures for particular purposes or to delineate the use of certain taxes and grants.

The District has three kinds of funds:

Governmental funds are used to account for essentially the same functions reported as governmental activities in the government-wide financial statements. Most of the District's activities are included in governmental funds which focus on (1) how cash and other financial assets can readily be converted to cash flow in and out, and (2) the balances left at year end that are available. However, unlike the government-wide financial statements, governmental fund financial statements provide a detailed short-term view that helps determine whether there are more or fewer financial resources that can be spent in the near future to finance the District's programs. Because this information does not encompass the additional long-term focus of the government-wide statements, we provide additional information on the subsequent page that explains the relationship (or differences) between them.

The District maintains four governmental funds. Information is presented separately in the governmental fund balance sheet and in the governmental fund statement of revenues, expenditures, and changes in fund balances for the General Fund, the Special Revenue Fund, the Debt Service Fund, and the Capital Project Fund, all of which are considered to be major funds.

Proprietary funds are used to account for operations that are financed similarly to those found in the private sector. These funds provide both long and short-term financial information. The District maintains two types of proprietary funds. Enterprise funds are used to report the same type of information as reported in the government-wide financial statements. The District uses enterprise funds to account for the employee cafeteria (MarketPlace) and Medicaid programs. The District uses internal service funds to report activities that provide services for the District's other programs and activities, i.e., health insurance, workers' compensation, print shop, and other internal services. Because these services predominately benefit governmental rather than business-type functions, they have been included within governmental activities within the government-wide financial statements.

Fiduciary funds are used to account for assets held by the District in a trustee capacity or as a custodian for individuals, private organizations and/or other funds. The District uses fiduciary funds to account for scholarship funds and student activity funds. No fiduciary funds are used as clearing accounts to distribute financial resources to other funds. The District is responsible for ensuring that the assets reported in these funds are used for their intended purposes. All the District's fiduciary activities are reported in a separate statement of fiduciary net

position and a statement of changes in fiduciary net position. We exclude these activities from the District's government-wide financial statements because the District cannot use these assets to finance its operations.

Notes to the Basic Financial Statements

The notes to the basic financial statements provide additional information that is essential to a complete understanding of the data provided in the government-wide and fund financial statements.

Other Information

In addition to the basic financial statements and accompanying notes, this report also presents certain required supplementary information that further explains and supports the information in the financial statements. Immediately following the required supplementary information, combining statements are included for the nonmajor enterprise funds and the internal service funds.

Figure A-1 summarizes the major features of the District's financial statements, including the portion of the District's government they cover and the types of information they contain. The remainder of this overview section of the management's discussion and analysis explains the structure and contents of each of the statements.

Figure A-1. Major Features of the District's Government-wide and Fund Financial Statements				
Type of Statements	Government-wide	Governmental Funds	Proprietary Funds	Fiduciary Funds
<i>Scope</i>	All activities of the District (except fiduciary funds)	The activities of the District that are not proprietary or fiduciary	Activities the District operates similar to private businesses	Instances in which the District is the trustee or agent for someone else's resources
<i>Required financial statements</i>	• Statement of Net Position • Statement of Activities	• Balance Sheet • Statement of Revenues, Expenditures and Changes in Fund Balances	• Statement of Net Position • Statement of Revenues, Expenses and Changes in Fund Net Position • Statement of Cash Flows	• Statement of Fiduciary Net Position • Statement of Changes in Fiduciary Net Position
<i>Accounting basis and measurement focus</i>	Accrual accounting and economic resources focus	Modified accrual accounting and current financial resources focus	Accrual accounting and economic resources focus	Accrual accounting and economic resources focus
<i>Type of asset/liability information</i>	All assets and liabilities, both financial and capital, short-term and long-term	Only assets expected to be used up and liabilities that come due during the year or soon thereafter; no capital assets or long-term liabilities included	All assets and liabilities, both financial and capital, and short-term and long-term	All assets and liabilities, both short-term and long-term.
<i>Type of inflow/outflow information</i>	All revenues and expenses during year, regardless of when cash is received or paid	Revenues for which cash is received during or soon after the end of the year; expenditures when goods or services have been received and payment is due during the year or soon thereafter	All revenues and expenses during year, regardless of when cash is received or paid	All revenues and expenses during year, regardless of when cash is received or paid

GOVERNMENT-WIDE FINANCIAL ANALYSIS

As noted earlier, net position may serve as a useful indicator of the District's financial position. The District's combined net position decreased \$21.8 million. The District's net investment in capital assets is \$2.306 billion and includes investments in capital assets (e.g. land, buildings and improvements, furniture, equipment, right-to-use assets, and construction in progress) less any related debt used to acquire those assets that is still outstanding.

The District uses these capital assets to provide services to students; consequently, these assets are not available for future spending. Although the District's investment in its capital assets is reported net of related debt, it should be noted that the resources needed to repay this debt must be provided from other sources, since the capital assets themselves cannot be used to liquidate these liabilities.

The District's restricted net position of \$217 million represents resources that are subject to external restrictions on how they may be used. The remaining \$(172.5) million is unrestricted net position.

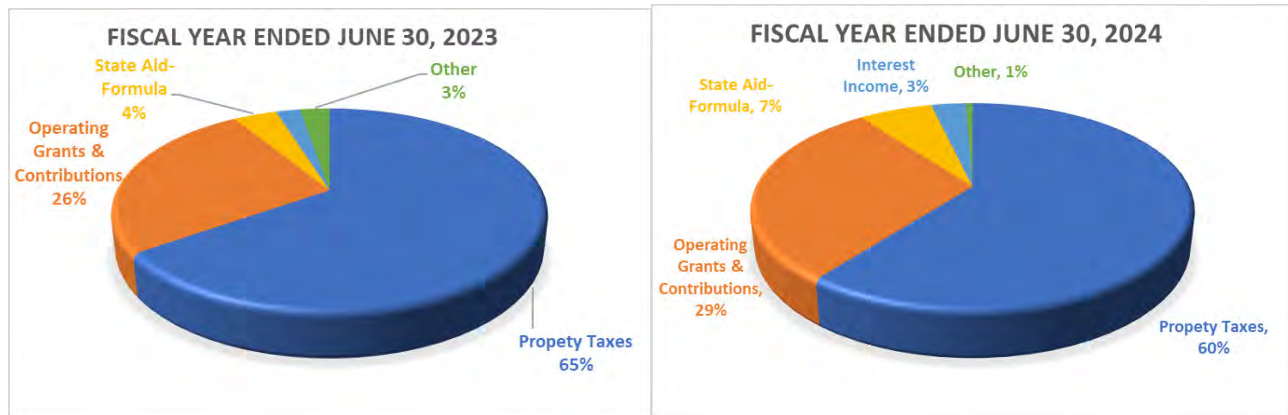
The District's Condensed Statement of Net Position (in thousands of dollars)

	<i>Governmental Activities</i>		<i>Business-type Activities</i>		<i>Total</i>		
	2024	2023	2024	2023	2024	2023	Change
Current and other assets	\$ 1,965,198	\$ 2,522,787	\$ 16,540	\$ 31,134	\$ 1,981,738	\$ 2,553,921	\$ (572,183)
Capital assets	4,143,641	4,215,158	4,900	6,929	4,148,541	4,222,087	(73,546)
Total assets	<u>6,108,839</u>	<u>6,737,945</u>	<u>21,440</u>	<u>38,063</u>	<u>6,130,279</u>	<u>6,776,008</u>	<u>(645,729)</u>
Deferred outflows	739,909	508,462	-	-	739,909	508,462	231,447
Current liabilities	716,782	1,049,641	2,327	2,621	719,109	1,052,262	(333,153)
Long term liabilities	3,102,091	3,110,057	3,279	5,127	3,105,370	3,115,184	(9,814)
Total liabilities	<u>3,818,873</u>	<u>4,159,698</u>	<u>5,606</u>	<u>7,748</u>	<u>3,824,479</u>	<u>4,167,446</u>	<u>(342,967)</u>
Deferred Inflows	695,480	745,034	-	-	695,480	745,034	(49,554)
Net position:							
Net investment in capital assets (deficit)	2,305,793	2,053,941	(89)	(296)	2,305,704	2,053,645	252,059
Restricted	217,070	224,812	-	-	217,070	224,812	(7,742)
Unrestricted (deficit)	(188,469)	62,922	15,922	30,611	(172,547)	93,533	(266,080)
Total net position	<u>\$ 2,334,394</u>	<u>\$ 2,341,675</u>	<u>\$ 15,833</u>	<u>\$ 30,315</u>	<u>\$ 2,350,227</u>	<u>\$ 2,371,990</u>	<u>\$ (21,763)</u>

HOUSTON INDEPENDENT SCHOOL DISTRICT

The District's total revenues were \$3.126 billion. A significant portion, approximately 60 percent, of the District's revenue is from property taxes. Operating grants and contributions provided 29 percent while another 7 percent is provided by state aid, 3 percent from interest income, and 1 percent from other miscellaneous revenue.

Total revenues decreased by \$253 million from the prior year due primarily to decreases in property tax collections.



Governmental Activities

The net position of the District's governmental activities decreased by a net \$7.281 million from current operations due primarily to a decrease in property tax collections and an increase in instruction expenditures. Funding for governmental activities is by specific program revenue or through general revenues such as property taxes and investment earnings. The following is a summary of the governmental activities:

- The cost of all *governmental activities* this year was \$3.14 billion.
- Some of the *governmental activities* cost was funded by program revenues directly attributable to specific activities. These program revenues amounted to \$919 million.
- The remaining cost of *governmental activities* not directly funded by program revenues was \$2.221 billion including \$1.867 billion funded by property taxes and \$201 million funded by state aid which is not restricted to specific programs.

Business-type Activities

The net position of the District's business-type activities decreased by \$14.482 million due primarily to a transfer of \$14 million to the general fund. The following is a summary of the business-type activities:

- The cost of all *business-type activities* this year was \$7.246 million.
- The specific program revenue directly attributable to specific activities was \$5.665 million.

HOUSTON INDEPENDENT SCHOOL DISTRICT

The District's Changes in Net Position (in thousands of dollars)

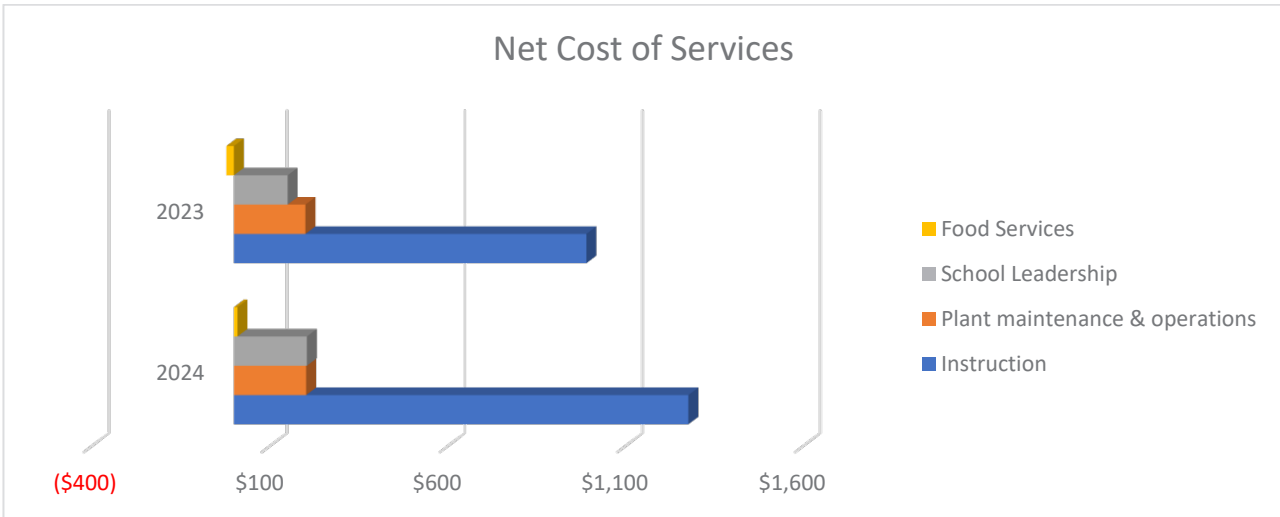
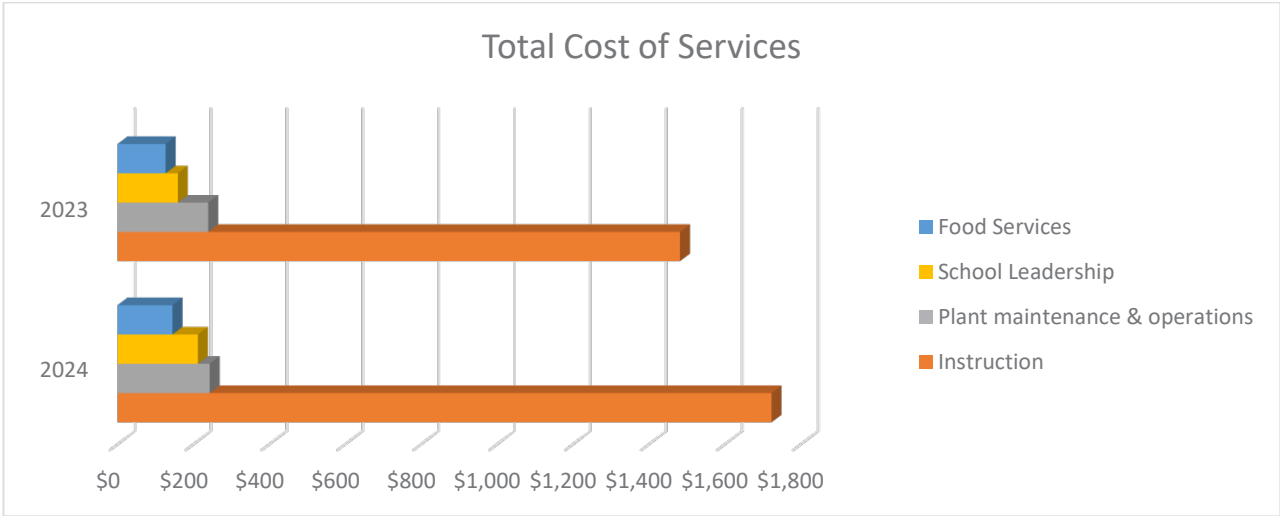
REVENUES	Governmental Activities		Business-type Activities		Total		Change
	2024	2023	2024	2023	2024	2023	
Program Revenues							
Charges for services	\$ 13,420	\$ 13,207	\$ 2,379	\$ 3,101	\$ 15,799	\$ 16,308	\$ (509)
Operating grants and contributions	905,882	866,333	3,286	15,028	909,168	881,361	27,807
General Revenues							
Property taxes	1,867,282	2,167,336	-	-	1,867,282	2,167,336	(300,054)
State aid - not restricted to specific programs	201,534	129,782	-	-	201,534	129,782	71,752
Earnings on investments	93,375	71,528	1,100	1,165	94,475	72,693	21,782
Other	37,728	111,511	-	-	37,728	111,511	(73,783)
Total revenues	3,119,221	3,359,697	6,765	19,294	3,125,986	3,378,991	(253,005)
Expenses							
Instruction	1,723,052	1,482,445	-	-	1,723,052	1,482,445	240,607
Instructional resources and media services	14,623	17,406	-	-	14,623	17,406	(2,783)
Instructional staff development	61,867	72,879	-	-	61,867	72,879	(11,012)
Instructional leadership	87,572	45,100	-	-	87,572	45,100	42,472
School leadership	212,820	159,095	-	-	212,820	159,095	53,725
Guidance, counseling and evaluation services	86,549	102,772	-	-	86,549	102,772	(16,223)
Social work services	27,374	36,241	-	-	27,374	36,241	(8,867)
Health services	47,329	42,127	-	-	47,329	42,127	5,202
Student transportation	63,081	64,817	-	-	63,081	64,817	(1,736)
Food services	145,115	126,807	-	-	145,115	126,807	18,308
Co-curricular/extracurricular activities	40,058	37,140	-	-	40,058	37,140	2,918
General administration	67,213	67,633	-	-	67,213	67,633	(420)
Plant maintenance and operations	243,298	239,340	-	-	243,298	239,340	3,958
Security and monitoring services	32,669	31,272	-	-	32,669	31,272	1,397
Data processing services	107,334	84,537	-	-	107,334	84,537	22,797
Community services	15,796	14,222	-	-	15,796	14,222	1,574
Fiscal agent/member districts of shared services arrangements	4,476	3,613	-	-	4,476	3,613	863
Juvenile justice alternative education program	583	580	-	-	583	580	3
Tax reinvestment zone payments	75,544	72,369	-	-	75,544	72,369	3,175
Tax appraisal and collection	16,454	15,768	-	-	16,454	15,768	686
Other	-	-	7,247	7,248	7,247	7,248	(1)
Interest on long-term debt	67,695	83,458	-	-	67,695	83,458	(15,763)
Contracted instructional services between public schools	-	276,396	-	-	-	276,396	(276,396)
Total expenses	3,140,502	3,076,017	7,247	7,248	3,147,749	3,083,265	64,484
Change in net position before transfers	(21,281)	283,680	(482)	12,046	(21,763)	295,726	(317,489)
Transfers	14,000	30,000	(14,000)	(30,000)	-	-	-
Change in net position	(7,281)	313,680	(14,482)	(17,954)	(21,763)	295,726	(317,489)
Beginning net position	2,341,675	2,027,995	30,315	48,269	2,371,990	2,076,264	295,726
Ending net position	\$ 2,334,394	\$ 2,341,675	\$ 15,833	\$ 30,315	\$ 2,350,227	\$ 2,371,990	\$ (21,763)



The following table presents the cost of the District's largest governmental functions as well as their related *net cost*. The net cost reflects what was funded by local tax dollars, state revenues, grants, and other miscellaneous general revenues.

(in millions of dollars)

	Total Cost of Services		Net Cost of Services	
	2024	2023	2024	2023
Instruction	\$ 1,723	\$ 1,482	\$ 1,278	\$ 991
Plant maintenance & operations	243	239	203	201
School Leadership	212	159	205	151
Food Services	145	127	10	(21)



FINANCIAL ANALYSIS OF THE DISTRICT'S FUNDS

Governmental Funds For the fiscal year ended June 30, 2024, the District's governmental funds reported ending fund balances of \$1.357 billion. Of this amount, \$590 million is unassigned and available for use in activities at the District's discretion. The remainder of the fund balance is designated as nonspendable, restricted, committed, or assigned, which indicates that it is not available for new spending because it has already been obligated for grants, debt service, bond projects and other purposes of the District.

The General Fund is the primary operating fund of the District. The fund balance of the General Fund decreased \$79.872 million during the fiscal year. At the end of the fiscal year, the unassigned fund balance of \$590 million represented 28 percent of the total General Fund expenditures.

The Debt Service Fund has a total fund balance of \$123.8 million all of which is restricted for the payment of debt service. The fund balance during the fiscal year decreased by \$2.8 million. The District makes semi-annual debt service payments in December/June, January/July, February/August and March/September of each year. Debt service payments for the fiscal year ended June 30, 2024 included all scheduled payments including payments due within 30 days of year end.

The Special Revenue Fund accounts for all grants received by the District from local, state, and federal sources. The balance increased by \$3.1 million to \$114 million due to an increase in federal funds.

The Capital Project Fund has a total fund balance of \$71.6 million. The restricted fund balance at the end of the fiscal year totaled \$67.6 million and represents bond funds for facility construction projects. The assigned fund balance totaled \$3.9 million and represents funds for the Pay-As-You-Go Capital Program. The fund balance decreased by \$141.7 million due to expenditures for bond construction projects and transfer of \$70 million of TIRZ funds to the General Fund.

Proprietary Funds The District maintains both enterprise funds and internal service funds. Information is presented separately in the proprietary funds statement of net position and in the proprietary funds statement of revenues, expenses, and changes in net position. See pages 34 and 35.

CAPITAL ASSETS AND DEBT ADMINISTRATION

CAPITAL ASSETS

As of June 30, 2024, the District has invested \$4.148 billion, net of depreciation and amortization, in a broad range of capital assets, including land, buildings and improvements, furniture and equipment, right-to-use assets, and vehicles. This represents a net decrease of \$74 million from last year.

The District's Capital Assets, Net of Depreciation and Amortization
(in thousands of dollars)

	Governmental		Business-Type		Total		Total Percentage Change
	Activities		Activities				
	2024	2023	2024	2023	2024	2023	2023-2024
Land	\$ 289,432	289,432	\$ -	-	\$ 289,432	289,432	0.00%
Construction in Progress	11,931	5,223	-	-	11,931	5,223	128.43%
Land Improvements	16,968	12,029	-	-	16,968	12,029	41.06%
Buildings and Improvements	3,732,638	3,788,690	-	-	3,732,638	3,788,690	-1.48%
Furniture and Equipment	23,094	20,541	2	4	23,096	20,545	12.42%
Library Books and Media	9,938	12,544	-	-	9,938	12,544	-20.77%
Vehicles	42,738	48,097	-	-	42,738	48,097	-11.14%
Right-to-use Subscription Assets	5,503	15,591	4,898	6,925	10,401	22,516	-53.81%
Right-to-use Lease Assets	11,399	23,011	-	-	11,399	23,011	-50.46%
Total	\$ 4,143,641	4,215,158	\$ 4,900	6,929	\$ 4,148,541	4,222,087	-1.74%

As of June 30, 2024, the District had fully funded construction commitments of \$41.3 million, \$33.7 million of which has been spent to date and \$7.6 million in remaining commitment. More detailed information about the District's capital assets is presented in Note 6 of the "Notes to the Basic Financial Statements." See pages 58 – 60.

Long Term Debt (See Note 8)

As of June 30, 2024, the District had bonded debt outstanding of \$1.670 billion. The ratio of net general bonded debt to assessed valuation and the amount of bonded debt per student are useful indicators of the District's debt position. This data reflects a decrease in the ratio of net bonded debt to assessed value to 0.74 percent, as compared to 0.90 percent last year.

The District debt totals included \$190.435 million in Variable Rate Bonds outstanding at fiscal year-end.

Outstanding variable rate debt decreased by \$45.675 million compared to prior year ending balances as a result of redemptions utilizing available debt service funds and sinking fund redemptions. Variable rate debt as a percentage of net bonded debt outstanding as of June 30, 2024, is 10.30 percent. In addition, on May 31, 2024, the District redeemed \$68.72 million par of fixed rate bonds utilizing available debt service funds

The District did not issue any maintenance tax notes during the year ended June 30, 2024. The remaining balance of maintenance tax notes issued previously is \$143.21 million as of June 30, 2024.

The District did not issue any contractual obligations during the year ended June 30, 2024.

Interest earnings on proceeds from debt issued since May 15, 1989, are subject to arbitrage regulations contained in the Federal Tax Reform Act of 1986. The District did not identify arbitrage liability as of June 30, 2024.

General Fund Budgetary Highlights

Over the course of the year, the District revised its budget several times. Significant budget adjustments include:

- Decrease in property tax revenues of \$342.0 million due to the increase in exemptions and refunds
- Increase in foundation state revenues of \$71.4 million
- Increase in expenditure budget due to carryover encumbrances of 117.7 million
- Increase due to New Education System (NES) implementation of \$69.2 million
- Decrease of \$18.2 million in performance contract schools reclass to ESSER
- Decrease in recapture of \$326.5 million
- Increase of \$27.9 million for facilities maintenance and transportation costs
- Increase in insurance proceeds from previous years' weather events in the amount of \$16 million
- Increase in transfers from other funds in the amount of \$60 million

Total actual expenditures were \$78.0 million less than the final budget. Following were the key variances:

- \$61.0 million under budget in school and department non-salary spending
- \$17.0 million in FY 2024 purchase orders which were carried forward and will be paid in FY 2025

The 2023-2024 final expenditure budget decreased by \$131.9 million from the prior year budget.

The final budgeted amount for revenues was \$1.942 billion. Actual revenues were greater than the budget by \$40.1 million primarily due to:

- \$23.8 million under budget in property tax collections
- \$12.2 million increase in interest earnings
- \$25.3 million increase in the Foundation School Program
- \$12.9 million increase in FEMA receipts related to the COVID pandemic

Budget amendments are presented to the Board of Education for consideration and approval throughout the year.

ECONOMIC FACTORS AND NEXT YEAR'S BUDGETS AND RATES

The District's General Fund is funded primarily between local property taxes and state revenue. Through the state's funding formula, a school district receives a basic allotment for each student with weights added to that allotment if the student receives additional services such as special education, at-risk (state compensatory education) bilingual, dyslexia, early education, college, career or military readiness outcomes, career and technology and transportation, which determines the district's Tier I allotment.

The 2024-2025 General Fund budget, adopted in June 2024, included projected decreases of \$63.6 million in revenues and \$127 million in expenditures. The state revenue projections are based on an estimated average daily attendance (ADA) of 160,734 or 234,346 based on a weighted average daily attendance (WADA).

In FY2024-2025, HISD's total expenditures are estimated at \$2.116 billion.

Actions of the 88th Legislature in 2023:

1. No changes to the basic allotment at \$6,160 for 2023-2024 and 2024-2025. This base amount is generated by every student in HISD.
2. Increased school safety funding from \$9.72 per ADA to \$10 per ADA. Added additional safety funding of \$15,000 per campus
3. Increased the state homestead exemption from \$40,000 to \$100,000 which was subsequently approved by voters in November 2023.

4. Reduced the Maximum Compression Rate (MCR) by an additional \$0.1070 for tax year 2023, subject to the 90% equity band.
5. Included Maintenance and Operations and Interest Sinking Hold Harmless (covers debt approved by voters as of September 1, 2023.)

Tax Rate

At budget adoption in June, it was projected that the total district tax rate per \$100 of property value would be \$0.8683. This assumed the Maintenance and Operations (M&O rate) of \$0.7016 consisting of a maximum compressed rate of \$0.6516 plus five Tier II “Golden Pennies” as well as an interest and sinking (I&S) rate of \$0.1667. These rates were approved by the Board of Managers in August.

CONTACTING THE DISTRICT'S FINANCIAL MANAGEMENT

This financial report is designed to provide our citizens, taxpayers, customers, investors, and creditors with a general overview of the District's finances and to demonstrate the District's accountability for the money it receives. If you have questions about this report or need additional financial information, contact the Chief Finance and Operations Officer at 4400 West 18th Street, Houston, Texas 77092, or call (713) 556-5500.

HOUSTON INDEPENDENT SCHOOL DISTRICT

HOUSTON INDEPENDENT SCHOOL DISTRICT STATEMENT OF NET POSITION JUNE 30, 2024

	Governmental Activities	Business-type Activities	Total
ASSETS			
Cash and cash equivalents	\$ 10,511,565	\$ 200	\$ 10,511,765
Investments	1,488,906,502	1,920,542	1,490,827,044
Delinquent taxes receivable - net of estimated uncollectible taxes	70,909,229	-	70,909,229
Accounts receivable	3,674,151	-	3,674,151
Due from other governments	362,836,978	8,567,525	371,404,503
Internal balances	(6,032,660)	6,032,660	-
Inventories	6,516,101	19,171	6,535,272
Other assets	27,876,284	-	27,876,284
Land	289,432,182	-	289,432,182
Construction in progress	11,931,392	-	11,931,392
Land improvements	19,029,997	-	19,029,997
Buildings and improvements	5,717,441,592	-	5,717,441,592
Furniture and equipment	244,525,367	457,452	244,982,819
Library and media	26,614,829	-	26,614,829
Vehicles	130,516,528	-	130,516,528
Right-to-use subscription assets	22,380,380	8,821,173	31,201,553
Right-to-use lease assets	48,243,785	-	48,243,785
Accumulated depreciation and amortization	(2,366,475,217)	(4,379,115)	(2,370,854,332)
Total assets	6,108,838,985	21,439,608	6,130,278,593
DEFERRED OUTFLOWS OF RESOURCES			
Deferred losses on debt refundings	1,850,638	-	1,850,638
Deferred outflows related to TRS-Pension	468,518,407	-	468,518,407
Deferred outflows related to TRS-OPEB	269,540,279	-	269,540,279
	739,909,324	-	739,909,324
LIABILITIES			
Accounts payable	182,259,129	151,264	182,410,393
Accrued wages payable	123,430,940	-	123,430,940
Due to other governments	27,104,926	-	27,104,926
Other liabilities	105,970,554	-	105,970,554
Unearned revenues	7,726,675	-	7,726,675
Interest payable	30,796,306	-	30,796,306
Long-term liabilities:			
Portion due or payable within one year:			
Bonds payable	182,737,491	-	182,737,491
Notes payable	7,275,000	-	7,275,000
Leases payable	8,988,993	-	8,988,993
Compensated absences payable	19,186,374	209,274	19,395,648
Claims payable	16,335,808	-	16,335,808
Subscription payable	4,970,134	1,966,657	6,936,791
Portion due or payable after one year:			
Bonds payable	1,539,154,197	-	1,539,154,197
Notes payable	135,935,000	-	135,935,000
Leases payable	3,181,125	-	3,181,125
Compensated absences payable	53,642,557	256,681	53,899,238
Claims payable	1,348,686	-	1,348,686
Subscription payable	887,461	3,022,445	3,909,906
Net pension liability (District's share)	985,320,732	-	985,320,732
Net OPEB liability (District's share)	382,621,558	-	382,621,558
Total liabilities	3,818,873,646	5,606,321	3,824,479,967
DEFERRED INFLOWS OF RESOURCES			
Deferred inflows related to TRS-Pension	68,577,277	-	68,577,277
Deferred inflows related to TRS-OPEB	626,903,099	-	626,903,099
	695,480,376	-	695,480,376
NET POSITION			
Net investment in capital assets (deficit)	2,305,792,743	(89,592)	2,305,703,151
Restricted for:			
Debt service	102,842,185	-	102,842,185
Grants	114,228,504	-	114,228,504
Unrestricted (deficit)	(188,469,145)	15,922,879	(172,546,266)
Total net position	\$ 2,334,394,287	\$ 15,833,287	\$ 2,350,227,574

The notes to the basic financial statements are an integral part of this statement.

HOUSTON INDEPENDENT SCHOOL DISTRICT

HOUSTON INDEPENDENT SCHOOL DISTRICT STATEMENT OF ACTIVITIES FOR THE FISCAL YEAR ENDED JUNE 30, 2024

Functions/Programs	Program Revenues			Net (Expense) Revenue and Changes in Net Position		
	Expenses	Charges for Services	Operating Grants and Contributions	Governmental Activities	Business-type Activities	Total
Governmental activities:						
Instruction	\$ 1,723,051,662	\$ 2,411,012	\$ 442,300,028	\$ (1,278,340,622)	\$ -	\$ (1,278,340,622)
Instructional resources and media services	14,622,709	-	1,525,113	(13,097,596)	-	(13,097,596)
Instructional staff development	61,866,741	-	39,318,792	(22,547,949)	-	(22,547,949)
Instructional leadership	87,572,450	-	25,836,919	(61,735,531)	-	(61,735,531)
School leadership	212,820,052	-	8,231,575	(204,588,477)	-	(204,588,477)
Guidance, counseling, and evaluation services	86,549,574	-	21,349,263	(65,200,311)	-	(65,200,311)
Social work services	27,374,499	-	23,113,278	(4,261,221)	-	(4,261,221)
Health services	47,328,843	-	4,265,187	(43,063,656)	-	(43,063,656)
Student transportation	63,081,071	-	14,237,537	(48,843,534)	-	(48,843,534)
Food service	145,114,681	5,141,035	130,150,424	(9,823,222)	-	(9,823,222)
Co-curricular/extracurricular activities	40,057,606	5,136,966	22,488,529	(12,432,111)	-	(12,432,111)
General administration	67,212,911	-	48,722,659	(18,490,252)	-	(18,490,252)
Plant maintenance and operations	243,298,331	730,642	39,539,500	(203,028,189)	-	(203,028,189)
Security and monitoring services	32,668,893	-	1,976,684	(30,692,209)	-	(30,692,209)
Data processing services	107,334,299	-	46,219,936	(61,114,363)	-	(61,114,363)
Community services	15,795,831	-	9,310,059	(6,485,772)	-	(6,485,772)
Fiscal agent/member districts of shared services	4,476,468	-	4,787,677	311,209	-	311,209
Juvenile justice alternative education program	583,200	-	-	(583,200)	-	(583,200)
Tax reinvestment zone payments	75,544,048	-	-	(75,544,048)	-	(75,544,048)
Tax appraisal and collection	16,453,702	-	-	(16,453,702)	-	(16,453,702)
Interest on long-term debt	67,694,686	-	22,509,127	(45,185,559)	-	(45,185,559)
Total governmental activities	<u>3,140,502,257</u>	<u>13,419,655</u>	<u>905,882,287</u>	<u>(2,221,200,315)</u>	<u>-</u>	<u>(2,221,200,315)</u>
Business-type activities:						
Medicaid	6,889,667	2,001,295	3,286,676	-	(1,601,696)	(1,601,696)
The Marketplace	356,992	377,244	-	-	20,252	20,252
Total business-type activities	<u>7,246,659</u>	<u>2,378,539</u>	<u>3,286,676</u>	<u>-</u>	<u>(1,581,444)</u>	<u>(1,581,444)</u>
Total activities	<u>\$ 3,147,748,916</u>	<u>\$ 15,798,194</u>	<u>\$ 909,168,963</u>	<u>\$ (2,221,200,315)</u>	<u>\$ (1,581,444)</u>	<u>\$ (2,222,781,759)</u>
General revenues:						
Taxes:						
Maintenance & operations property taxes				1,509,641,654	-	1,509,641,654
Debt service property taxes				357,639,974	-	357,639,974
State aid - not restricted to specific programs				201,534,211	-	201,534,211
Tax increment reinvestment zone				33,387,318	-	33,387,318
Unrestricted investment earnings				93,375,084	1,099,942	94,475,026
Miscellaneous				4,340,986	-	4,340,986
Transfers in (out)				14,000,000	(14,000,000)	-
Total general revenues and transfers				<u>2,213,919,227</u>	<u>(12,900,058)</u>	<u>2,201,019,169</u>
Change in net position				(7,281,088)	(14,481,502)	(21,762,590)
Net position - beginning				2,341,675,375	30,314,789	2,371,990,164
Net position - ending				<u>\$ 2,334,394,287</u>	<u>\$ 15,833,287</u>	<u>\$ 2,350,227,574</u>

The notes to the basic financial statements are an integral part of this statement.

HOUSTON INDEPENDENT SCHOOL DISTRICT

HOUSTON INDEPENDENT SCHOOL DISTRICT BALANCE SHEET - GOVERNMENTAL FUNDS JUNE 30, 2024

	MAJOR				
	General Fund	Special Revenue Fund	Debt Service Fund	Capital Project Fund	Total Governmental Funds
ASSETS					
Cash and cash equivalents	\$ 10,511,465	\$ 100	\$ -	\$ -	\$ 10,511,565
Investments	1,130,003,896	81,959,264	131,343,139	67,179,313	1,410,485,612
Delinquent taxes receivable - net of estimated uncollectible taxes	61,050,432	-	9,858,797	-	70,909,229
Accounts receivable	3,109,482	522,987	-	4,503	3,636,972
Due from other governments	135,396,345	224,882,731	2,557,902	-	362,836,978
Due from other funds	106,175,840	-	674,228	15,995,035	122,845,103
Inventories	4,374,432	2,141,669	-	-	6,516,101
Other assets	21,852,992	6,023,292	-	-	27,876,284
Total assets	<u>\$ 1,472,474,884</u>	<u>\$ 315,530,043</u>	<u>\$ 144,434,066</u>	<u>\$ 83,178,851</u>	<u>\$ 2,015,617,844</u>
LIABILITIES					
Accounts payable	\$ 73,341,080	\$ 88,311,918	\$ -	\$ 11,582,182	\$ 173,235,180
Debt service payable	-	-	10,795,575	-	10,795,575
Accrued wages payable	123,430,940	-	-	-	123,430,940
Due to other governments	27,102,306	2,620	-	-	27,104,926
Other liabilities	105,970,554	-	-	-	105,970,554
Due to other funds	31,537,654	105,260,326	-	-	136,797,980
Unearned revenues	-	7,726,675	-	-	7,726,675
Total liabilities	<u>361,382,534</u>	<u>201,301,539</u>	<u>10,795,575</u>	<u>11,582,182</u>	<u>585,061,830</u>
DEFERRED INFLOWS OF RESOURCES					
Unavailable revenue - property taxes	60,894,166	-	9,821,668	-	70,715,834
Unavailable revenue - grants/donations	3,001,484	-	-	-	3,001,484
Total deferred inflows of resources	<u>63,895,650</u>	<u>-</u>	<u>9,821,668</u>	<u>-</u>	<u>73,717,318</u>
FUND BALANCES					
Nonspendable	24,549,497	-	-	-	24,549,497
Restricted	70,000,000	114,228,504	123,816,823	67,606,370	375,651,697
Committed	99,874,040	-	-	-	99,874,040
Assigned	262,705,301	-	-	3,990,299	266,695,600
Unassigned	590,067,862	-	-	-	590,067,862
Total fund balances	<u>1,047,196,700</u>	<u>114,228,504</u>	<u>123,816,823</u>	<u>71,596,669</u>	<u>1,356,838,696</u>
Total liabilities, deferred inflows of resources, and fund balances	<u>\$ 1,472,474,884</u>	<u>\$ 315,530,043</u>	<u>\$ 144,434,066</u>	<u>\$ 83,178,851</u>	<u>\$ 2,015,617,844</u>

The notes to the basic financial statements are an integral part of this statement.



HOUSTON INDEPENDENT SCHOOL DISTRICT

HOUSTON INDEPENDENT SCHOOL DISTRICT RECONCILIATION OF THE GOVERNMENTAL FUNDS BALANCE SHEET TO THE STATEMENT OF NET POSITION JUNE 30, 2024

Total Fund Balances— Governmental Funds \$ 1,356,838,696

Amounts reported for governmental activities in the statement of net position are different because:

Capital assets used in governmental activities are not financial resources, and therefore, are not reported as assets in governmental funds. The cost of the assets is \$6,480,674,354 and the accumulated depreciation and amortization is \$2,344,109,360. 4,136,564,994

Property taxes and other receivables are not available soon enough to pay for the current period's expenditures, and therefore, are deferred in the funds. 73,717,318

Internal service funds are used by the District's management to charge the costs of workers' compensation, health insurance, and print shop activities to the funds. The assets and liabilities of the internal service funds are included with governmental activities. 61,688,877

Long-term liabilities, including bonds payable, are not due and payable in the current period and therefore, are not reported as liabilities in the funds. Long term liabilities at year-end consist of:

Bonds payable	\$	(1,670,345,000)	
Notes payable		(135,935,000)	
Compensated absences payable		(71,236,676)	
Leases payable		(8,705,566)	
Subscriptions payable		(5,857,595)	
Premium on bonds and notes payable		(51,546,688)	
			(1,943,626,525)

Accrued interest is not due and payable in the current period and therefore is not reported as a liability in the governmental funds. (27,275,731)

Deferred losses on the refunding of bonds are not reported in the funds but are considered deferred outflows in the statement of net position. 1,850,638

Included in the items related to long-term liabilities is the recognition of the District's proportionate share of the pension liability:

Net pension liability	\$	(985,320,732)	
Deferred resource inflow related to TRS		(68,577,277)	
Deferred resource outflow related to TRS		468,518,407	
Decrease in Net Position			(585,379,602)

Included in the items related to long-term liabilities is the recognition of the District's proportionate share of the OPEB liability:

Net OPEB liability	\$	(382,621,558)	
Deferred resource inflow related to TRS-OPEB		(626,903,099)	
Deferred resource outflow related to TRS-OPEB		269,540,279	
Decrease in Net Position			(739,984,378)

Total Net Position of Governmental Activities \$ 2,334,394,287

The notes to the basic financial statements are an integral part of this statement.

HOUSTON INDEPENDENT SCHOOL DISTRICT

HOUSTON INDEPENDENT SCHOOL DISTRICT STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCES GOVERNMENTAL FUNDS FOR THE FISCAL YEAR ENDED JUNE 30, 2024

	MAJOR				
	General Fund	Special Revenue Fund	Debt Service Fund	Capital Project Fund	Total Governmental Funds
REVENUES					
Property taxes	\$ 1,506,848,009	\$ -	\$ 357,262,478	\$ -	\$ 1,864,110,487
Earnings on investments	72,775,580	3,480,714	8,948,824	3,932,385	89,137,503
Miscellaneous local sources	5,347,301	28,418,646	-	34,083,215	67,849,162
State sources	319,532,249	46,741,484	17,973,535	-	384,247,268
Federal sources	78,105,613	701,729,394	-	-	779,835,007
Total revenues	<u>1,982,608,752</u>	<u>780,370,238</u>	<u>384,184,837</u>	<u>38,015,600</u>	<u>3,185,179,427</u>
EXPENDITURES					
Current					
Instruction	1,150,954,093	390,459,047	-	26,049,727	1,567,462,867
Instructional resources and media services	13,830,385	1,184,172	-	-	15,014,557
Instructional staff development	25,815,707	36,278,112	-	-	62,093,819
Instructional leadership	63,063,461	23,002,049	-	-	86,065,510
School leadership	215,392,395	5,123,617	-	-	220,516,012
Guidance, counseling and evaluation services	64,717,439	18,450,770	-	-	83,168,209
Social work services	4,712,785	20,651,737	-	-	25,364,522
Health services	24,201,089	3,644,848	-	-	27,845,937
Student transportation	57,023,753	4,844,617	-	-	61,868,370
Food services	71,239	141,341,267	-	-	141,412,506
Co-curricular/extracurricular activities	25,280,790	14,270,284	-	10,892	39,561,966
General administration	53,050,919	9,483,135	-	3,936,861	66,470,915
Plant maintenance and operations	235,307,348	7,525,694	-	6,244,594	249,077,636
Security and monitoring services	32,091,167	1,531,395	-	185,985	33,808,547
Data processing services	58,440,335	42,819,250	-	744,491	102,004,076
Community services	7,050,496	8,550,036	-	-	15,600,532
Fiscal agent/member districts of shared services arrangements	-	4,476,468	-	-	4,476,468
Juvenile justice alternative education program	583,200	-	-	-	583,200
Tax reinvestment zone payments	75,544,048	-	-	-	75,544,048
Tax appraisal and collection	16,453,702	-	-	-	16,453,702
Debt service					
Principal	18,411,360	267,197	310,030,000	-	328,708,557
Interest	586,823	5,061	99,177,827	-	99,769,711
Fiscal charges	-	-	74,084	-	74,084
Capital outlay					
Facilities acquisition and construction	6,632,145	44,674,080	-	66,687,882	117,994,107
Total expenditures	<u>2,149,214,679</u>	<u>778,582,836</u>	<u>409,281,911</u>	<u>103,860,432</u>	<u>3,440,939,858</u>
Excess (deficiency) of revenues over (under) expenditures	<u>(166,605,927)</u>	<u>1,787,402</u>	<u>(25,097,074)</u>	<u>(65,844,832)</u>	<u>(255,760,431)</u>
OTHER FINANCING SOURCES (USES)					
Transfers in	84,000,000	-	22,256,775	-	106,256,775
Transfers out	(16,395,650)	-	-	(75,861,125)	(92,256,775)
Insurance Recovery	18,165,781	-	-	-	18,165,781
Issuance of leases and SBITAs	963,576	1,329,343	-	-	2,292,919
Total other financing sources (uses)	<u>86,733,707</u>	<u>1,329,343</u>	<u>22,256,775</u>	<u>(75,861,125)</u>	<u>34,458,700</u>
Net change in fund balances	(79,872,220)	3,116,745	(2,840,299)	(141,705,957)	(221,301,731)
Fund balances - beginning	<u>1,127,068,920</u>	<u>111,111,759</u>	<u>126,657,122</u>	<u>213,302,626</u>	<u>1,578,140,427</u>
Fund balances - ending	<u>\$ 1,047,196,700</u>	<u>\$ 114,228,504</u>	<u>\$ 123,816,823</u>	<u>\$ 71,596,669</u>	<u>\$ 1,356,838,696</u>

The notes to the basic financial statements are an integral part of this statement.

**HOUSTON INDEPENDENT SCHOOL DISTRICT
RECONCILIATION OF THE GOVERNMENTAL FUNDS STATEMENT OF
REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCES
TO THE STATEMENT OF ACTIVITIES FOR THE FISCAL YEAR ENDED JUNE 30, 2024**

Total Net Change in Fund Balances—Governmental Funds \$ (221,301,731)

Amounts reported for governmental activities in the statement of activities are different because:

Governmental funds report capital outlays as expenditures. However, in the statement of activities, the cost of those assets is allocated over their estimated useful lives as depreciation and amortization expense. This is the amount by which capital assets changed in the current period.

Facilities acquisition and construction and other acquisitions	106,473,424	
Disposals	(72,324,711)	
Depreciation expense	(171,908,234)	
Depreciation on disposals	<u>69,791,198</u>	(67,968,323)

Issuance of long-term debt provides current financial resources to governmental funds, but issuing debt increases long-term liabilities in the statement of net position.

Issuance of leases and subscriptions	<u>(2,292,919)</u>	(2,292,919)
--------------------------------------	--------------------	-------------

Repayment of principal is an expenditure in the governmental funds, but the repayment reduces long-term liabilities in the statement of net position. Lease and subscription terminations reduce long-term liabilities in statement of net position, but are not current financial resources in the governmental funds.

The change in long-term liabilities reported in governmental activities consists of the following:

Bonds payable	302,755,000	
Notes payable	7,275,000	
Leases payable	5,579,610	
Subscription payable	<u>13,098,947</u>	328,708,557

Interest on long-term debt in the statement of activities differs from the amount reported in the governmental funds because interest is recognized as an expenditure in the funds when it is due, and thus, requires the use of current financial resources. In the statement of activities, however interest expense is recognized as the interest accrues, regardless of when it is due. The changes reported in the statement of activities consists of the following:

Accrued interest on bonds payable decreased	4,123,539	
Amortization of premium on bonds payable	29,450,957	
Amortization of deferred loss on refundings	<u>(1,229,627)</u>	32,344,869

Property taxes and other receivables, that will not be collected until after the District's fiscal year end, are not considered "available" revenues and are deferred in the governmental funds. Deferred inflows for taxes and other revenues decreased by this amount.

(35,553,327)

The (increase) decrease in compensated absences is reported in the statement of activities but does not require the use of current financial resources and, therefore, is not reported as expenditures in the governmental fund

(1,933,833)

Internal service funds are used by management to charge the costs of certain activities, such as workers' compensation, health insurance, and print shop activities, to individual funds. The net revenue (expense) of the internal service funds is reported with governmental activities.

(19,284,888)

The net change in net pension liability, deferred outflows, and deferred inflows is reported in the statement of activities but does not require the use of current financial resources and, therefore, is not reported as expenditures in the governmental funds. The net change consists of the following:

Deferred outflows increased	130,969,019	
Deferred inflows decreased	47,837,841	
Net pension liability increased	<u>(275,440,964)</u>	(96,634,104)

The net change in net other postemployment benefit liability, deferred outflows, and deferred inflows is reported in the statement of activities but does not require the use of current financial resources and, therefore, is not reported as expenditures in the governmental funds. The net change consists of the following:

Deferred outflows increased	101,718,173	
Deferred inflows decreased	1,715,462	
Net OPEB liability increased	<u>(26,799,024)</u>	<u>76,634,611</u>

Change in Net Position of Governmental Activities \$ (7,281,088)

The notes to the basic financial statements are an integral part of this statement.

HOUSTON INDEPENDENT SCHOOL DISTRICT

HOUSTON INDEPENDENT SCHOOL DISTRICT STATEMENT OF NET POSITION PROPRIETARY FUNDS JUNE 30, 2024

	Business-type Activities - Nonmajor Enterprise Funds	Governmental Activities - Internal Service Funds
ASSETS		
Current assets:		
Cash and cash equivalents	\$ 200	\$ -
Investments	1,920,542	78,420,890
Receivables	-	37,179
Due from other governments	8,567,525	-
Due from other funds	6,077,737	8,790,654
Inventories	19,171	-
Total current assets	<u>16,585,175</u>	<u>87,248,723</u>
Noncurrent assets:		
Land improvements	-	1,100,767
Buildings and improvements	-	2,146,578
Furniture and equipment	457,452	2,833,913
Vehicles	-	220,603
Right-to-use subscription assets	8,821,173	-
Right-to-use lease assets	-	23,139,837
Less accumulated depreciation and amortization	<u>(4,379,115)</u>	<u>(22,365,857)</u>
Total noncurrent assets	<u>4,899,510</u>	<u>7,075,841</u>
Total assets	<u>21,484,685</u>	<u>94,324,564</u>
LIABILITIES		
Current liabilities:		
Accounts payable	151,264	9,023,949
Due to other funds	45,077	870,437
Compensated absences payable	209,274	419,472
Claims and judgments payable	-	16,335,808
Leases payable	-	3,464,552
Subscriptions payable	1,966,657	-
Total current liabilities	<u>2,372,272</u>	<u>30,114,218</u>
Noncurrent liabilities:		
Compensated absences payable	256,681	1,172,783
Claims and judgments payable	-	1,348,686
Subscriptions payable	3,022,445	-
Total noncurrent liabilities	<u>3,279,126</u>	<u>2,521,469</u>
Total liabilities	<u>5,651,398</u>	<u>32,635,687</u>
NET POSITION		
Net investment in capital assets (deficit)	(89,592)	3,611,289
Unrestricted	15,922,879	58,077,588
Total net position	<u>\$ 15,833,287</u>	<u>\$ 61,688,877</u>

The notes to the basic financial statements are an integral part of this statement.

HOUSTON INDEPENDENT SCHOOL DISTRICT

HOUSTON INDEPENDENT SCHOOL DISTRICT STATEMENT OF REVENUES, EXPENSES, AND CHANGES IN FUND NET POSITION PROPRIETARY FUNDS FOR THE FISCAL YEAR ENDED JUNE 30, 2024

	Business-type Activities - Nonmajor Enterprise Funds	Governmental Activities- Internal Service Funds
OPERATING REVENUES:		
Charges for sales and services:		
Sales to customers	\$ 377,244	\$ 13,882,482
Consulting services	2,001,295	-
Charges to employees and other funds	-	196,996,745
Miscellaneous	-	15,251,991
Total operating revenues	<u>2,378,539</u>	<u>226,131,218</u>
OPERATING EXPENSES:		
Payroll costs	3,518,511	15,922,030
Purchased and contracted services	810,530	11,336,927
Supplies and materials	547,271	2,662,221
Other operating expenses	192,634	2,827,084
Claims and judgments	-	211,785,206
Depreciation and amortization	2,029,710	4,878,970
Total operating expenses	<u>7,098,656</u>	<u>249,412,438</u>
Operating loss	<u>(4,720,117)</u>	<u>(23,281,220)</u>
NONOPERATING REVENUES (EXPENSES):		
School health services (SHARS)	3,286,676	-
Earnings on investments	1,099,942	4,237,581
Interest	(148,003)	(241,249)
Total nonoperating revenue (expenses)	<u>4,238,615</u>	<u>3,996,332</u>
Income (loss) before transfers	(481,502)	(19,284,888)
Transfers out	<u>(14,000,000)</u>	<u>-</u>
Change in net position	(14,481,502)	(19,284,888)
Total net position—beginning	30,314,789	80,973,765
Total net position—ending	<u>\$ 15,833,287</u>	<u>\$ 61,688,877</u>

The notes to the basic financial statements are an integral part of this statement.

HOUSTON INDEPENDENT SCHOOL DISTRICT

**HOUSTON INDEPENDENT SCHOOL DISTRICT
STATEMENT OF CASH FLOWS
PROPRIETARY FUNDS
FOR THE FISCAL YEAR ENDED JUNE 30, 2024**

	Business-type Activities - Nonmajor Enterprise Funds	Governmental Activities- Internal Service Funds
CASH FLOWS FROM OPERATING ACTIVITIES		
Receipts from user charges	\$ 2,652,720	\$ 210,858,519
Other receipts	-	7,675,096
Payments to suppliers	(37,586,146)	(13,650,081)
Payments to employees	(3,515,968)	(15,801,801)
Other payments	-	(210,989,790)
Net cash used in operating activities	<u>(38,449,394)</u>	<u>(21,908,057)</u>
CASH FLOWS FROM NONCAPITAL FINANCING ACTIVITIES		
Receipts from SHARS program	12,179,803	-
Transfers to other funds	(14,000,000)	-
Net cash used in noncapital financing activities	<u>(1,820,197)</u>	<u>-</u>
CASH FLOWS FROM CAPITAL AND RELATED FINANCING ACTIVITIES		
Purchases of capital assets	-	(972,386)
Principal paid on leases	-	(4,994,037)
Principal paid on subscriptions	(2,236,255)	-
Interest paid	(148,003)	(241,249)
Net cash used in capital and related financing activities	<u>(2,384,258)</u>	<u>(6,207,672)</u>
CASH FLOWS FROM INVESTING ACTIVITIES		
Purchase of investments	(20,992,053)	(263,818,589)
Proceeds from sales and maturities of investments	62,545,960	287,696,737
Interest and dividends	1,099,942	4,237,581
Net cash provided by investing activities	<u>42,653,849</u>	<u>28,115,729</u>
 Net decrease in cash and cash equivalents	 <u>-</u>	 <u>-</u>
Balances—beginning of the year	<u>200</u>	<u>-</u>
Balances—end of the year	\$ <u>200</u>	\$ <u>-</u>
Reconciliation of operating loss to net cash provided by (used in) operating activities:		
Operating loss	\$ (4,720,117)	\$ (23,281,220)
Adjustments to reconcile operating loss to net cash provided by operating activities:		
Depreciation and amortization expense	2,029,710	4,878,970
Change in assets and liabilities:		
Receivables	-	(20,708)
Other assets	-	-
Due from other governments	274,182	-
Inventories	(4,861)	-
Due from other funds	(6,065,671)	(7,576,896)
Accounts payables	91,848	2,497,827
Due to other funds	(30,057,028)	678,324
Compensated absences payable	2,543	120,230
Current portion of claims and judgments	-	1,430,787
Other long term claims and judgments	-	(635,371)
Net cash provided by (used in) operating activities	\$ <u>(38,449,394)</u>	\$ <u>(21,908,057)</u>

The notes to the basic financial statements are an integral part of this statement.



HOUSTON INDEPENDENT SCHOOL DISTRICT

HOUSTON INDEPENDENT SCHOOL DISTRICT STATEMENT OF FIDUCIARY NET POSITION FIDUCIARY FUNDS JUNE 30, 2024

	Private-Purpose Trust Funds	Custodial Funds
ASSETS		
Investments	\$ 6,047,386	\$ 1,634,771
Total assets	<u>6,047,386</u>	<u>1,634,771</u>
LIABILITIES		
Accounts payable	<u>43,669</u>	<u>172,143</u>
Total liabilities	<u>43,669</u>	<u>172,143</u>
NET POSITION		
Restricted for:		
Scholarships	6,003,717	-
Student groups	<u>-</u>	<u>1,462,628</u>
Total Net Position	<u>\$ 6,003,717</u>	<u>\$ 1,462,628</u>

The notes to the basic financial statements are an integral part of this statement.



HOUSTON INDEPENDENT SCHOOL DISTRICT

HOUSTON INDEPENDENT SCHOOL DISTRICT STATEMENT OF CHANGES IN FIDUCIARY NET POSITION FIDUCIARY FUNDS FOR THE FISCAL YEAR ENDED JUNE 30, 2024

	Private-Purpose Trust Funds	Custodial Funds
ADDITIONS		
Gifts and contributions	\$ 612,081	\$ -
Student activity receipts	-	1,900,393
Earnings on investments	296,109	-
Total additions	<u>908,190</u>	<u>1,900,393</u>
DEDUCTIONS		
Scholarships awarded	155,750	-
Student activity expenses	-	1,842,105
Total deductions	<u>155,750</u>	<u>1,842,105</u>
Net increase in position	752,440	58,288
Net position - beginning of the year	<u>5,251,277</u>	<u>1,404,340</u>
Net position - end of the year	<u><u>\$ 6,003,717</u></u>	<u><u>\$ 1,462,628</u></u>

The notes to the basic financial statements are an integral part of this statement.

***HOUSTON INDEPENDENT SCHOOL DISTRICT
NOTES TO THE BASIC FINANCIAL STATEMENTS
FOR THE FISCAL YEAR ENDED JUNE 30, 2024***

NOTE 1: SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

REPORTING ENTITY

The Houston Independent School District ("District") is an independent school district created and incorporated through legislation enacted by the Thirty-Eighth Texas State Legislature in 1923. The District is the largest school district in Texas and is governed by the Board of Managers, appointed by the Texas Commissioner of Education in June 2023.

In accordance with Governmental Accounting Standards, a financial reporting entity consists of the primary government and its component units. Component units are legally separate organizations for which the elected officials of the District are financially accountable, or for which the relationship to the District is such that exclusion would cause the District's financial statements to be misleading or incomplete. The District's blended component unit, although a legally separate entity, is in substance a part of the District's operations, and so data from this entity is combined with data of the primary government.

The criteria used to determine whether an organization is a component unit of the District includes: financial accountability of the District for the component unit, whether the District appoints a voting majority of the entity's board, the ability to impose the District's will on the component unit, fiscal dependency criterion, if it is a financial benefit to or burden to the District, and whether services are provided entirely or almost entirely to the District.

For financial reporting purposes, the Houston Independent School District GEAR UP Trust ("GEAR UP Trust") is included in the fiduciary activities of the District because of the financial accountability of the District, the appointment of a voting majority, and the fiscal dependency criteria whereby the GEAR UP Trust serves the District's students exclusively. The GEAR UP Trust was incorporated to ensure that the scholarship funds are properly spent and to guarantee a college scholarship to the eligible students at participating schools of the GEAR UP program. The GEAR UP financial information is blended with that of the District in the Private-Purpose Trust Funds column in the Statement of Fiduciary Net Position. Separate financial statements for GEAR UP Trust are not issued.

IMPLEMENTATION OF NEW ACCOUNTING PRONOUNCEMENTS

GASB Statement No. 99, Omnibus 2022 (GASB 99), enhances comparability in accounting and financial reporting and improves consistency of authoritative literature by addressing 1) practice issues that have been identified during implementation and application of certain GASB statements and 2) accounting and financial reporting for financial guarantees. The requirements related to extension of the use of LIBOR, accounting for SNAP distributions, disclosures of nonmonetary transactions, pledges of future revenues by pledging governments, clarification of certain provisions in Statement 34, as amended, and terminology updates related to Statement 53 and Statement 63 are effective upon issuance. The requirements related to leases were implemented in the District's fiscal year 2022 financial statements in conjunction with GASB 87. The requirements related to PPPs and SBITAs are effective for fiscal years beginning after June 15, 2022, and all reporting periods thereafter. These requirements for GASB 99 were implemented in the District's fiscal year 2023 financial statements in conjunction with GASB 94 and GASB 96. The requirements related to financial guarantees and the classification and reporting of derivative instruments within the scope of Statement 53 are effective for fiscal years beginning after June 15, 2023, and all reporting periods thereafter. These requirements for GASB 99 were implemented in the District's fiscal year 2024 financial statements with no impact to amounts previously reported.

GASB Statement No. 100, Accounting Changes and Error Corrections (GASB 100) enhances accounting and financial reporting requirements for accounting changes and error corrections to provide more understandable, reliable, relevant, consistent, and comparable information for making decisions or assessing accountability. The statement 1) defines accounting changes and corrections of errors; 2) prescribes the accounting and financial reporting for each type of accounting

**HOUSTON INDEPENDENT SCHOOL DISTRICT
NOTES TO THE BASIC FINANCIAL STATEMENTS
FOR THE FISCAL YEAR ENDED JUNE 30, 2024**

change and error corrections; and 3) clarifies required note disclosures. The requirements of this statement are effective for reporting periods beginning after June 15, 2023, with earlier application encouraged. GASB 100 was implemented in the District's fiscal year 2024 financial statements with no impact to amounts previously reported.

RECENT ACCOUNTING PRONOUNCEMENTS

GASB Statement No. 101, *Compensated Absences* (GASB 101), improves the information needs of financial statements users by updating the recognition and measurement guidance for compensated absences under a unified model and amending certain previously required disclosures. The requirements of this statement are effective for reporting periods beginning after December 15, 2023, with earlier application encouraged. GASB 101 will be implemented in the District's fiscal year 2025 financial statements and the impact has not yet been determined.

GASB Statement No. 102, *Certain Risk Disclosures* (GASB 102), improves financial reporting by providing users of financial statements with essential information regarding certain concentrations of constraints and related events that have occurred or have begun to occur that make a government vulnerable to a substantial impact. The requirements of this statement are effective for reporting periods beginning after June 15, 2024, with earlier application encouraged. GASB 102 will be implemented in the District's fiscal year 2025 financial statements and the impact has not yet been determined.

GASB Statement No. 103, *Financial Reporting Model Improvements* (GASB 103), improves key components of the financial reporting model to enhance its effectiveness in providing information that is essential for decision making and assessing a government's accountability. This statement also addresses certain application issues. The requirements of this statement are effective for reporting periods beginning after June 15, 2025, with earlier application encouraged. GASB 103 will be implemented in the District's fiscal year 2026 financial statements and the impact has not yet been determined.

GASB Statement No. 104, *Disclosure of Certain Capital Assets* (GASB 104), establishes requirements for certain types of capital assets to be disclosed separately in the capital assets note disclosures. It also establishes requirements for capital assets held for sale, including additional disclosures for those capital assets. The requirements of this statement are effective for reporting periods beginning after June 15, 2025, with earlier application encouraged. GASB 104 will be implemented in the District's fiscal year 2026 financial statements and the impact has not yet been determined.

GOVERNMENT-WIDE AND FUND FINANCIAL STATEMENTS

The Statement of Net Position and the Statement of Activities of the government-wide financial statements report information on all the nonfiduciary activities of the District and its blended component unit. The District eliminates from the Statement of Net Position and the Statement of Activities most interfund receivables, payables, and transfers between funds. Interfund services provided and used are eliminated in the process of consolidation. Governmental activities, which normally are supported by taxes and intergovernmental revenues, are reported separately from business-type activities, which rely to a significant extent on fees and charges for support.

The Statement of Activities demonstrates the degree to which the direct expenses of a given function are offset by program revenues. Program revenues include (1) charges to customers or applicants for goods or services provided, and (2) grants and contributions that are restricted to meeting operational requirements of a particular function. Program revenues included in the Statement of Activities reduce the cost of the function to be financed from general revenues. Taxes and other items not restricted to specific programs are properly excluded from program revenues and reported instead as general revenues.

**HOUSTON INDEPENDENT SCHOOL DISTRICT
NOTES TO THE BASIC FINANCIAL STATEMENTS
FOR THE FISCAL YEAR ENDED JUNE 30, 2024**

The District reports all direct expenses by function in the Statement of Activities. Direct expenses are those clearly identifiable with a function. Depreciation and amortization expense is specifically identified by function and is included in the direct expense to each function. Separate financial statements are provided for governmental funds, proprietary funds, and fiduciary funds. In accordance with the provisions of GASB Statement No. 34, the fiduciary funds are excluded from the government-wide financial statements. Major individual governmental funds are reported as separate columns in the fund financial statements.

MEASUREMENT FOCUS, BASIS OF ACCOUNTING AND FINANCIAL STATEMENT PRESENTATION

Government-wide Financial Statements - The government-wide financial statements are reported using the *economic resources measurement focus* and the *accrual basis of accounting*. Revenues, expenses, gains, losses, assets, deferred outflows of resources, liabilities, and deferred inflows of resources resulting from exchange and exchange-like transactions are recognized when the exchange takes place, regardless of the timing of the related cash flows. Revenues, expenses, gains, losses, assets, deferred outflows of resources, liabilities, and deferred inflows of resources resulting from nonexchange transactions are recognized in accordance with GASB Statement No. 33, as amended. Property taxes are recognized as revenues in the year for which they are levied. Grants, and similar items, are recognized as revenue as soon as all eligibility requirements have been met and funds are available to meet current expenditures.

Fund Financial Statements - Governmental fund financial statements are reported using the *current financial resources measurement focus* and the *modified accrual basis of accounting*. Revenues are recognized as soon as they are both measurable and available. State aid and miscellaneous revenues, other than property taxes and state and federal grants, are considered to be available if collected within the current period or within 90 days of the fiscal year end to pay liabilities of the current period. Property taxes are considered to be available if collected within 60 days of the fiscal year end. State and federal grants are considered to be available if collected within 120 days of the fiscal year end. Expenditures are generally recognized under the modified accrual basis of accounting in the accounting period in which the fund liability is incurred, if measurable. However, debt service expenditures are recognized in the current fiscal period for debt service principal and interest payments due within 30 days in the subsequent fiscal period as these funds have been set aside for that purpose. Compensated absences and claims and judgments are recorded only when payment is due. Both Proprietary fund statements and Fiduciary fund statements are reported using the *economic resources measurement focus* and the *accrual basis of accounting*.

FUNDS

The District's accounting system is organized and operated with the use of funds, each of which is a separate accounting entity with a self-balancing set of accounts. The District's resources are allocated to and accounted for in individual funds based on the intended purposes for spending and the means by which spending activities are controlled. The following fund types are included in the financial statements:

Governmental Funds

Governmental Funds are those through which most governmental functions of the District are financed. The acquisition, use, and balances of the District's expendable financial resources, and the related liabilities are accounted for through governmental funds. The following are the District's major governmental funds:

- *General Fund* - The General Fund is the general operating fund of the District and accounts for all revenues and expenditures of the District not encompassed within other funds.
- *Special Revenue Fund* - The Special Revenue Fund is used to account for and report the proceeds of specific revenue sources that are restricted or committed to expenditures

**HOUSTON INDEPENDENT SCHOOL DISTRICT
NOTES TO THE BASIC FINANCIAL STATEMENTS
FOR THE FISCAL YEAR ENDED JUNE 30, 2024**

for specified purposes other than debt service or capital projects. The District's Special Revenue Fund includes the National School Breakfast and Lunch Program, United States Department of Education grants, Campus Activity Funds, and all other federal, state and locally funded grants and programs. These grants are awarded to the District for the purpose of accomplishing specific educational tasks as defined in the grant awards. The schedules of federal and state awards are included in the compliance section of the Annual Comprehensive Financial Report.

- *Debt Service Fund* - The Debt Service Fund is used to account for the accumulation of resources for, and the retirement of, general long-term debt and related costs.
- *Capital Project Fund* - The Capital Project Fund is used to account for financial resources to be used for the acquisition, renovation, or construction of capital facilities.

Proprietary Funds

Proprietary Funds are used to account for operations that are financed in a manner similar to those found in the private sector, where the determination of net income is appropriate for sound financial administration.

- *Enterprise Funds* - The Enterprise Funds are used to account for operations that are financed and operated similar to a private enterprise where the District's intent is to provide services financed primarily through user charges. The District's enterprise funds include Medicaid and the Marketplace activities.
- *Internal Service Funds* - The Internal Service Funds are used to account for operations related to the Print Shop, Alternative Certification Program, Athletics, University Interscholastic League ("UIL"), Shared Services, and risk financing activities of the District.

Proprietary funds distinguish operating revenues and expenses from nonoperating items. Operating revenues and expenses generally result from providing services and producing and delivering goods in connection with a proprietary fund's principal ongoing operations. The principal operating revenues of the District's proprietary funds are charges to customers and other funds for sales and services. Operating expenses for proprietary funds include the cost of sales and services, administrative expenses, and depreciation on capital assets. All revenues and expenses not meeting this definition are reported as nonoperating revenues and expenses.

Fiduciary Funds

Fiduciary Funds are used to account for assets held by the District in a trustee capacity or as a custodian for individuals, private organizations and/or other funds.

- *Private-Purpose Trust Funds* - Private-purpose trust funds are used to account for resources legally held in trust under which principal and income benefit individuals, private organizations or other governments. The District's private-purpose trust funds represent scholarship funds being held in trust for students.
- *Custodial Funds* - Custodial funds are used to account for resources that the District has custody of, but is not the district's own-source revenue, and does not control the use of revenues. The District's custodial funds represent school class and club activity funds.

Management's Use of Estimates

The preparation of financial statements in conformity with generally accepted accounting principles requires management to make estimates and assumptions that affect certain reported amounts and disclosures. Actual results could differ from those estimates.

**HOUSTON INDEPENDENT SCHOOL DISTRICT
NOTES TO THE BASIC FINANCIAL STATEMENTS
FOR THE FISCAL YEAR ENDED JUNE 30, 2024**

Change in Accounting Estimate

In October 2023, the Texas Department of Health and Human Services Commission updated their policy in relation to reimbursement for Medicaid services provided by local education agencies through the School Health and Related Services program, resulting in a decrease in the expected funding from the 2022 federal fiscal year claim submitted in March 2023. This funding policy change resulted in an increase to the allowance for doubtful accounts. The effect of these changes on revenue and changes in net position was a decrease of approximately \$14 million for the year ended June 30, 2024.

Stewardship, Compliance, and Accountability

The District is required by law to prepare and file a budget with the Texas Education Agency (TEA). Activities of the General Fund, Nutrition Services Fund, and Debt Service Fund are included in the District's formally adopted budget. Budgets for the Special Revenue Fund (other than Nutrition Services) and Capital Project Fund are approved on a project basis. The District is required to present the adopted and final amended budgeted revenues and expenditures and actual revenues and expenditures for the General Fund, Nutrition Services Fund, and Debt Service Fund. These budgets are in the financial section of the Annual Comprehensive Financial Report.

Pensions

The fiduciary net position of the Teacher Retirement System of Texas (TRS) has been determined using the flow of economic resources measurement focus and full accrual basis of accounting. This includes for purposes of measuring the net pension liability, deferred outflows of resources and deferred inflows of resources related to pensions, pension expense, and information about assets, liabilities, and additions to/deductions from TRS's fiduciary net position. Benefit payments (including refunds of employee contributions) are recognized when due and payable in accordance with the benefit terms. Investments are reported at fair value.

Other Post-Employment Benefits (OPEB)

The fiduciary net position of the Teacher Retirement System of Texas (TRS) Care Plan has been determined using the flow of economic resources measurement focus and full accrual basis of accounting. This includes for purposes of measuring the net OPEB liability, deferred outflows of resources and deferred inflows of resources related to other post-employment benefits, OPEB expense, and information about assets, liabilities, and additions to/deductions from TRS Care's fiduciary net position. Benefit payments are recognized when due and payable in accordance with the benefit terms. There are no investments as this is a pay-as-you-go plan and all cash is held in a cash account.

ASSETS, LIABILITIES, AND DEFERRED OUTFLOWS AND INFLOWS OF RESOURCES

Cash and Cash Equivalents

The District requires all deposits to be fully collateralized with depository insurance; obligations of the United States of America or its agencies and instrumentalities (excluding those mortgage backed securities prohibited by the Public Funds Investment Act). At all times, such securities are to have a fair value sufficient to fully collateralize deposit balances as adjusted by the amount of applicable depository insurance pursuant to the Collateral for Public Funds Act, Texas Government Code Section 2257.022.

The District considers cash and cash equivalents to be cash on hand and demand deposits. All other monetary assets are treated as investments including certificates of deposit, investment pools, money market instruments, and other securities defined under the Public Funds Investment Act.

**HOUSTON INDEPENDENT SCHOOL DISTRICT
NOTES TO THE BASIC FINANCIAL STATEMENTS
FOR THE FISCAL YEAR ENDED JUNE 30, 2024**

Investments

Investments are stated at fair value where applicable under the GASB statements, which is the amount at which the investment can be exchanged in a current transaction between willing parties. Management of the District believes that in the areas of investment practice, management reports, and establishment of appropriate policies, the District adhered to the requirements of the State of Texas Public Funds Investment Act. Additionally, management of the District believes that investment practices of the District were in accordance with local policies.

Receivables

All trade and property tax receivables are shown net of allowance for uncollectible balances. The property tax receivable allowance is 52.00 percent of outstanding property taxes at June 30, 2024.

Inventories

Under the moving average inventory method, the average cost of each inventory item in stock is recalculated after every inventory purchase. This method tends to yield inventory valuations and cost of goods sold that are in-between those derived under the first in, first out (FIFO) method and the last in, last out (LIFO) method. These materials and supplies are subsequently charged to expenditures when consumed. Inventories include instructional materials, plant maintenance operating supplies, as well as nutrition services food and supplies. Revenue for donated commodities is recognized when the commodities are received. Non-food inventories are offset at fiscal year-end by non-spendable fund balance in the governmental fund financial statements.

Other Assets

Other assets include accrued interest, prepaid insurance, and prepaid travel. Prepaids are charged to expenditures when consumed and are offset at year end by non-spendable fund balance in the governmental fund financial statements.

Encumbrances

Encumbrance accounting, under which purchase orders, contracts, and other commitments for the expenditure of funds are recorded in the accounting system in order to reserve the portion of the applicable appropriation, is employed in the Governmental Fund Types on the governmental fund financial statements. Encumbrances outstanding at year end are reported as restricted or assigned, as appropriate.

At June 30, 2024, encumbrances included in governmental fund balances are as follows:

	Restricted Fund Balance	Committed Fund Balance	Assigned Fund Balance
General Fund	\$ -	\$ -	\$ 17,303,771
Special Revenue Fund	56,270,226	-	-
Debt Service Fund	-	-	-
Capital Project Fund	19,564,987	-	808,459
Total Encumbrances	\$ 75,835,213	\$ -	\$ 18,112,230

**HOUSTON INDEPENDENT SCHOOL DISTRICT
NOTES TO THE BASIC FINANCIAL STATEMENTS
FOR THE FISCAL YEAR ENDED JUNE 30, 2024**

The General Fund outstanding encumbrances in the amount of \$17,303,771 at June 30, 2024 were charged to the following functions:

Function 34 - Student Transportation	\$6,395,924
Function 53 - Data Processing Services	\$5,027,098
Function 51 - Plant Maintenance & Operations	\$2,393,104
Function 11 - Instruction	\$1,370,208
Function 81 - Capital Outlay	\$640,109
Function 52 - Security and Monitoring Services	\$628,617
Various other functions	\$848,711

Capital Assets

Capital assets, which include land, land improvements, buildings and improvements, construction in progress, furniture and equipment, library books and media, vehicles, and right-to-use assets are reported in the applicable governmental and business-type activities columns in the government-wide financial statements and proprietary fund financial statements. Capital acquisition and construction are reflected as expenditures in governmental funds. Land, land improvements, buildings and improvements, furniture and equipment, and vehicles are recorded at historical cost if purchased or constructed. The capitalization threshold is a unit cost of \$5,000. Donated capital assets are recorded at estimated acquisition value at the date of donation. Depreciation or amortization on all depreciable capital assets begins on the date the asset is placed into service using the straight-line method of depreciation.

The costs of normal maintenance and repairs that do not add to the value of the asset or materially extend the life of the asset are not capitalized. Major outlays for capital assets and improvements are capitalized as projects are constructed.

Capital assets, including right-to-use assets, are depreciated or amortized over the following estimated useful lives

Asset Classification	Useful Life
Buildings and improvements	40 Years
Land improvements	20 years
Vehicles:	
Buses	12 years
Medium	7 years
Small	5 years
Furniture	4 years
Equipment	5 years
Right-to-use assets	Shorter of Term or useful life

**HOUSTON INDEPENDENT SCHOOL DISTRICT
NOTES TO THE BASIC FINANCIAL STATEMENTS
FOR THE FISCAL YEAR ENDED JUNE 30, 2024**

Leases

The District is a lessee for noncancellable leases of property and equipment. The District recognizes a lease liability, reported with long-term debt, and a right-to-use lease asset (lease asset), reported with other capital assets, in the government-wide and proprietary fund financial statements. The District recognizes lease liabilities with an initial, individual value of \$5,000 or more.

At the commencement of a lease, the District initially measures the lease liability at the present value of payments expected to be made during the lease term. Subsequently, the lease liability is reduced by the principal portion of lease payments made. The lease asset is initially measured as the initial amount of the lease liability, adjusted for lease payments made at or before the lease commencement date, plus certain initial direct costs. Subsequently, the lease asset is amortized on a straight-line basis over the shorter of the lease term or its useful life.

Key estimates and judgments related to leases include how the District determines (1) the discount rate it uses to discount the expected lease payments to present value, (2) lease term, and (3) lease payments.

The District uses the interest rate charged by the lessor as the discount rate. When the interest rate charged by the lessor is not provided, the District generally uses its estimated incremental borrowing rate as the discount rate for leases.

The lease term includes the noncancellable period of the lease.

Lease payments included in the measurement of the lease liability are composed of fixed payments, variable payments fixed in substance or that depend on an index or a rate, purchase option price that the District is reasonably certain to exercise, lease incentives receivable from the lessor, and any other payments that are reasonably certain of being required based on an assessment of all relevant factors.

The District monitors changes in circumstances that would require a remeasurement of its leases and will remeasure the lease asset and liability if certain changes occur that are expected to significantly affect the amount of the lease liability.

Subscription-Based Information Technology Agreements (SBITAs)

The District has noncancellable contracts with SBITA vendors for the right to use information technology (IT) software, alone or in combination with tangible capital assets (the underlying IT assets). The District recognizes a subscription liability, reported with long-term debt, and a right-to-use subscription asset (an intangible asset), reported with other capital assets, in the government-wide and proprietary fund financial statements. The District recognizes subscription liabilities with an initial, individual value of \$5,000 or more.

At the commencement of an SBITA, the District initially measures the subscription liability at the present value of payments expected to be made during the subscription term. Subsequently, the subscription liability is reduced by the principal portion of SBITA payments made. The subscription asset is initially measured as the initial amount of the subscription liability, adjusted for SBITA payments made at or before the SBITA commencement date, plus certain initial implementation costs. Subsequently, the subscription asset is amortized on a straight-line basis over the shorter of the subscription term or the useful life of the underlying IT assets.

Key estimates and judgments related to SBITAs include how the District determines (1) the discount rate it uses to discount the expected subscription payments to present value, (2) subscription term, and (3) subscription payments.

The District uses the interest rate charged by the SBITA vendor as the discount rate. When the interest rate charged by the SBITA vendor is not provided, the District generally uses its estimated incremental borrowing rate as the discount rate for SBITAs.

**HOUSTON INDEPENDENT SCHOOL DISTRICT
NOTES TO THE BASIC FINANCIAL STATEMENTS
FOR THE FISCAL YEAR ENDED JUNE 30, 2024**

The subscription term includes the noncancellable period of the SBITA.

Subscription payments included in the measurement of the subscription liability are composed of fixed payments, variable payments fixed in substance or that depend on an index or a rate, termination penalties if the District is reasonably certain to exercise such options, subscription contract incentives receivable from the SBITA vendor, and any other payments that are reasonably certain of being required based on an assessment of all relevant factors.

The District monitors changes in circumstances that would require a remeasurement of its SBITAs and will remeasure the subscription asset and liability if certain changes occur that are expected to significantly affect the amount of the subscription liability.

Interfund Transactions

Activities between funds that are representative of lending/borrowing arrangements outstanding at the end of the fiscal year are referred to as "due to/from other funds." All other balances between funds are reported as transfers. Any residual balances outstanding between the governmental activities and business-type activities are reported in the government-wide statements as "internal balances."

A description of the basic types of interfund transactions and the related accounting policies are as follows:

- Charges for services are reported as revenues for the performing fund and expenditures/expenses of the requesting fund.
- Transactions to reimburse a fund for expenditures made by it for the benefit of another fund are recorded as expenditures or expenses in the reimbursing fund and as a reduction of expenditures or expenses in the fund that is reimbursed.
- All other interfund transfers, such as legally authorized transfers from a fund receiving revenue to the fund through which the resources are to be expended, are transfers. Transfers are classified as other financing sources or uses in the Statement of Revenues, Expenditures, and Changes in Fund Balances.

For reporting at the government-wide financial statement level, the District eliminates direct interfund charges for services and the balances created within the same activity categories (i.e. governmental vs. business-type). This process ensures neither governmental nor business-type activities report direct internal revenue/expenditures. Interfund activity and balances resulting from transactions with the fiduciary funds are not eliminated. Instead, the fiduciary interfund activity and balances are treated as transactions with an external party. The Internal Service Funds are essentially repositories for income, expenses, assets and liabilities of the District's health insurance, worker's compensation, print shop, alternative certification, athletics, shared services, and UIL activities.

Compensated Absences

The District's contract employees earn one day of personal leave per month for all months under contract, which may either be taken or accumulated with no limitation. Accumulated sick leave balances are paid upon termination from the District to employees meeting certain criteria and hired before October 10, 1972. In addition, the District may "buy-back" accrued but unused state leave in accordance with the "Attendance Incentive Plan."

Twelve-month employees earn vacation ranging from two to four weeks per year based on length of service. Beginning with FY 2021, vacation days may be carried over from one contract year to another with a maximum limit of 50 days compared to previous years when only 30 days could be carried over. For twelve-month employees, the contract year runs from September 1st through August 31st.

**HOUSTON INDEPENDENT SCHOOL DISTRICT
NOTES TO THE BASIC FINANCIAL STATEMENTS
FOR THE FISCAL YEAR ENDED JUNE 30, 2024**

The District accrues vacation, state personal leave, and eligible sick leave in the government-wide and proprietary fund financial statements. A liability and related expenditure for these amounts is reported in the governmental funds only if they have matured as a result of employee retirements or resignations and are due.

Long-term Liabilities

In the government-wide financial statements, long-term debt and other long-term obligations are reported as liabilities in the Statement of Net Position. Bond premiums and discounts are amortized over the life of the bonds using the effective interest method. Gains and losses on refunds are amortized over the life of the bonds using the straight-line method. Bond issuance costs are expensed as incurred.

In the fund financial statements, governmental funds recognize bond premiums and discounts, as well as bond issuance costs, during the current period. The face amount of the debt issued is reported as other financing sources. Premiums received on debt issuances are reported as other financing sources while discounts on debt issuances are reported as other financing uses. Issuance costs, whether or not withheld from the actual debt proceeds received, are reported as debt service expenditures.

Deferred Outflows and Inflows of Resources

In addition to assets, the Statement of Net Position includes a separate section for deferred outflows of resources which represents a consumption of net assets that applies to a future period(s) and therefore, will not be recognized as an outflow of resources (expenses/expenditures) until then. Included in this category are deferred losses on refunding, TRS pension costs, and TRS OPEB costs.

In addition to liabilities, the Statement of Net Position includes a separate section for deferred inflows of resources which represents an acquisition of net assets that applies to a future period(s) and therefore, will not be recognized as an inflow of resources (revenue) until then. Included in this category are TRS pension and OPEB. The Governmental Funds Balance Sheet also includes a section for deferred inflows of resources. Unavailable revenue is reported as deferred inflows of resources only in the Governmental Funds Balance Sheet.

NET POSITION AND FUND BALANCES

Government-wide Financial Statements

The District's net position is composed of the following:

Net Investment in Capital Assets - the component of net position that reports capital assets less both the accumulated depreciation and amortization and the outstanding balance of debt that is directly attributable to the acquisition, construction, or improvement of these capital assets.

Restricted for Debt Service - the component of net position that reports the difference between assets and liabilities of the Debt Service Fund adjusted on a government-wide basis that consists of assets with constraints placed on their use by the bond covenants.

Restricted for Grants - the component of net position that reports the difference between assets and liabilities of the Special Revenue Fund that consists of assets with constraints placed on their use by the Department of Education, Department of Agriculture, TEA, and other grantor agencies and organizations.

Unrestricted - the difference between the assets and liabilities that are not reported in net position invested in capital assets, net position restricted for debt service, and net position restricted for grants.

The District applies restricted resources before unrestricted resources when an expense is incurred for which restricted net position is available.

**HOUSTON INDEPENDENT SCHOOL DISTRICT
NOTES TO THE BASIC FINANCIAL STATEMENTS
FOR THE FISCAL YEAR ENDED JUNE 30, 2024**

Governmental Fund Financial Statements

In the fund financial statements, governmental funds report fund balances as either a non-spendable fund balance or a spendable fund balance.

Non-spendable Fund Balance

Non-spendable fund balance is that portion of fund balance that is not expendable (such as inventories) or is legally earmarked for a specific use. Non-spendable fund balance reserves include inventories and prepaid items.

Spendable Fund Balance

Spendable fund balance is the portion of fund balance that is comprised of restricted, committed, assigned, and unassigned fund balances.

Restricted Fund Balance - the component of the spendable fund balance constrained to a specific purpose by the provider, such as a grantor. Restricted fund balance includes funds for the Nutrition Services program, funds restricted for construction programs, funds used to retire debt, and resources from other granting agencies.

Committed Fund Balance - the component of the spendable fund balance constrained to a specific purpose by a resolution approved by the Board. Those committed amounts cannot be used for any other purpose unless the Board removes or changes the specified use by taking the same action used to establish it. Committed fund balance includes funds for potential litigation, claims, and judgments.

Assigned Fund Balance - the component of the spendable fund balance that is earmarked for a specific purpose by the Superintendent or Chief Financial Officer. The assigned amounts can only be removed by the Superintendent or Chief Financial Officer. Assigned fund balance includes funds for encumbrances which are purchase orders, contracts, and other commitments for the expenditure of funds that are carried forward, insurance deductibles, specific program costs, and other legal issues.

Unassigned Fund Balance - the component of the spendable fund balance within the General Fund which may be spent for any legal purpose. This portion of the total fund balance in the general fund is available to finance operating expenditures. Per Board Policy, the District's unassigned fund balance at year end shall equal at least three months of operating expenditures.

In general, it is the District's policy to consider restricted resources to have been spent first when an expenditure is incurred for purposes for which restricted and unrestricted (i.e. committed, assigned, or unassigned) fund balances are available, followed by committed and then assigned fund balances. Unassigned amounts are used only after the other resources have been used.

HOUSTON INDEPENDENT SCHOOL DISTRICT

HOUSTON INDEPENDENT SCHOOL DISTRICT NOTES TO THE BASIC FINANCIAL STATEMENTS FOR THE FISCAL YEAR ENDED JUNE 30, 2024

<u>FUND BALANCES</u>	<u>General Fund</u>	<u>Special Revenue Fund</u>	<u>Debt Service Fund</u>	<u>Capital Project Fund</u>	<u>Total Governmental Funds</u>
Nonspendable					
Inventory	\$ 4,374,432	\$ -	\$ -	\$ -	\$ 4,374,432
Prepays	20,175,065	-	-	-	20,175,065
Restricted					
Special Revenue/Grants	-	114,228,504	-	-	114,228,504
Debt Service	-	-	123,816,823	-	123,816,823
Capital Projects	70,000,000	-	-	67,606,370	137,606,370
Committed					
Contingency Operating Reserve	99,874,040	-	-	-	99,874,040
Assigned					
Auto/General Liability	4,766,549	-	-	-	4,766,549
Insurance Programs	25,000,000	-	-	-	25,000,000
Encumbrances	17,303,771	-	-	-	17,303,771
Instructional Reserve	215,634,981	-	-	-	215,634,981
PFC Debt Service/Capital Projects	-	-	-	3,990,299	3,990,299
Unassigned	590,067,862	-	-	-	590,067,862
Total fund balances	<u>\$ 1,047,196,700</u>	<u>\$ 114,228,504</u>	<u>\$ 123,816,823</u>	<u>\$ 71,596,669</u>	<u>\$ 1,356,838,696</u>

NOTE 2: HISD PUBLIC FACILITY CORPORATION

The Houston Independent School District Public Facility Corporation is a public non-profit corporation, the creation of which was sponsored by the District pursuant to the Public Facility Corporation Act, Article 717s, Vernon's Texas Civil Statutes, as amended (the "Public Facility Corporation Act"). The Public Facility Corporation Act authorizes the creation and utilization by school districts of public facility corporations to issue bonds to provide for the acquisition, construction, rehabilitation, renovation, repair, equipping, furnishing and placing in service of public facilities of its governmental sponsor and further authorizes the governmental sponsor to incur lease purchase obligations in favor of the corporation to serve as security for the bonds issued by the Public Facility Corporation.

To accomplish the financings, the Public Facility Corporation and the District have entered into a number of "Leases With An Option to Purchase" pursuant to the terms of which the District will pay to the Public Facility Corporation such lease payments at such times and in such amounts as will be required to pay the principal and premium, if any, and interest on the lease revenue bonds as they become due.

The Public Facility Corporation has utilized this structure to issue Lease Revenue Bonds for building two high schools in 1998, a food warehouse facility in 2006, four elementary schools in 2010 and three instructional facilities in 2015. The Public Facility Corporation refunded the Series 2006 (food warehouse) bonds in fiscal year 2017 for the purpose of decreasing debt service costs in future years. In fiscal year 2020 the Public Facility Corporation refunded the Series 2010B (BAB) bonds for the purpose of decreasing debt service costs in future years. In fiscal year 2023, Series 2014A-1B bonds were refunded for the purpose of decreasing debt services costs in future years.

**HOUSTON INDEPENDENT SCHOOL DISTRICT
NOTES TO THE BASIC FINANCIAL STATEMENTS
FOR THE FISCAL YEAR ENDED JUNE 30, 2024**

NOTE 3: CASH DEPOSITS AND INVESTMENTS

Statutes of the State of Texas and policies mandated by the District's School Board authorize the District to invest in obligations of the U.S. Government or its agencies, repurchase agreements, commercial paper, corporate bonds, public fund investment pools, mutual funds and money market accounts. All investments are held separately in each of the funds. All bank demand accounts are recorded within the General Fund.

With the exception of one occasion, a three day period during the weekend of January 26 - 28, 2024, District funds held at the depository bank were properly secured during the fiscal year ended June 30, 2024. During January 26 - 28, 2024, District funds were undercollateralized by \$3,511,381.

Cash, Demand and Time Deposits

As of June 30, 2024, the carrying amount of the District's demand deposits and cash on hand was \$10,511,765. The \$35,266,160 bank balance was fully covered on June 30, 2024 by a combination of federal deposit insurance through the FDIC and collateralization by securities held by the District's depository in joint safekeeping at the Federal Reserve Bank in the District's name.

The District purchased nonnegotiable certificates of deposit issued by Independent Bank and Unity Bank, of \$31,000,000 and \$95,044, respectively, as of June 30, 2024, for a total of \$31,095,044, or 2.12 percent of the total investment portfolio. The collateral for the Independent Bank certificate of deposit is comprised of Federal Home Loan Bank Letter of Credits in the amount of \$13 million issued with the District as beneficiary as well as \$22.9 million of pledged U.S. agency securities. Unity Bank's certificate of deposit is covered in full by the FDIC; therefore, require no additional collateral is required under the Public Funds Investment Act, Section 2257.022. Certificates of deposit are reported at cost by the District.

Investments

The District's investments in public funds investment pools and money market mutual funds at June 30, 2024 include those with the Lone Star Investment Pool ("LSIP"), TexPool and Texas Fixed Income Trust (TX-FIT). The value of the District's position in the above pools is the same as the value of the pool shares, which are measured at amortized cost or net asset value (NAV).

LSIP is a public funds investment pool created pursuant to the Interlocal Cooperation Act of the State of Texas, Article 4413(32c), Vernon's Texas Civil Statutes, as amended, and is designed to provide participating local governments with investment vehicles for local funds that may be required for immediate expenditure. The primary objective of the LSIP is to emphasize the importance of safety of principal and liquidity of pool assets. The administrator and distributor of LSIP is First Public, LLC, a Texas limited liability company. Investment advisory services are provided by American Beacon Advisors and Mellon Investments Corporation. The custodial account is managed by State Street Bank.

The Lone Star Government Overnight Fund is a stable net asset value fund rated AAAM by Standard & Poor's rating service, Lone Star Corporate Overnight Fund is a stable net asset value fund rated AAAM by Standard & Poor's, and the Lone Star Corporate Overnight Plus Fund is a stable net asset value rated AAAf/S1+ by Standard & Poor's. All of these funds seek to maintain a stable \$1.00 net asset value.

The District's investment in LSIP's Corporate Overnight Fund, and the Corporate Overnight Plus Fund, as of June 30, 2024 was \$724,078 and \$766,186,929 respectively, for a total of \$766,911,007, representing 52.2 percent of the total portfolio.

TexPool is a public funds investment pool operated by the Texas Treasury Safekeeping Trust Company, an entity of which the Texas Comptroller of Public Accounts is the sole officer, director, and shareholder. Administrative and investment services are provided by Federated Hermes. TexPool and TexPool Prime funds are rated AAAM by Standard & Poor's.

**HOUSTON INDEPENDENT SCHOOL DISTRICT
NOTES TO THE BASIC FINANCIAL STATEMENTS
FOR THE FISCAL YEAR ENDED JUNE 30, 2024**

As of June 30, 2024, the District's investment in TexPool Prime was \$431,138,514, representing 29.4 percent of the total portfolio.

TX-FIT is a public funds investment pool designed to provide local governments with investment vehicles for local funds that may be required for immediate expenditure. It emphasizes safety of principal and liquidity of pool assets. Texas FIT is managed by U.S. Fixed Income Trust. The value of the District's position in the pool is the same as the value of the pool shares, measured at amortized cost or net asset value (NAV). The TX-FIT Pools are currently rated by Fitch Ratings. The TX-FIT Cash Pool is currently rated AA+mf. The TX-FIT Government Pool is currently rated AA+mmf.

The TX-FIT investments in each of the pools within the Trust are measured and reported at fair market value using the guidelines established by Generally Accepted Accounting Principles (GAAP). The Trust follows Financial Accounting Standards Board (FASB) Accounting Standards Topic (ASC) 820 Fair Value Measurement and Disclosure for financial reporting purposes. ASC 820 defines fair value, establishes a single framework for measuring fair value, and requires disclosures about fair value measurement. TX-FIT does not meet all of the specific criteria outlined in GASB 79 paragraph 4, therefore TX-FIT investments are measured at fair value as provided in paragraph 11 of GASB Statement 31.

As of June 30, 2024, the District's investment in Texas FIT was \$140,866,867, representing 9.6 percent of the total portfolio.

GASB Statement No. 40, Deposit and Investment Risk Disclosures, an amendment to GASB Statement No. 3, establishes and modifies disclosure requirements related to deposits and investment risks: credit risk (including custodial credit risk and concentrations of credit risk), interest rate risk, and foreign currency risk.

To ensure compliance with the various risk factors addressed in GASB Statement No. 40, the Cash Management and Investment Policy is reviewed at least annually and presented to the School Board for approval. The Investment Officers submit Quarterly Investment Reports to the School Board certifying that all investments were purchased in compliance with the Public Fund Investment Act.

The District's Cash Management and Investment Policy contains the following objectives:

- (1) assure the safety of District's funds;
- (2) maintain sufficient liquidity to provide adequate and timely working funds;
- (3) maintenance of the public trust as custodians and managers responsible for the investing of funds subject to state and federal laws;
- (4) optimization of yield as expressed in terms of rate of return and interest earnings;
- (5) diversification of investments as relating to maturity, instruments, and issuers shall be considered a priority within the context of the overall investment policy; and
- (6) avoid investments for speculation.

All objectives are approached with the judgment and care, under the circumstances then prevailing, which persons of prudence, discretion, and intelligence exercise in the management of their own affairs, not for speculation, but for investment, considering the safety of the capital, as well as the probable income to be derived. Preservation of District capital is of highest importance. All participants in the investment process seek to act responsibly as custodians of the public trust. Investment officials avoid any transaction that might impair public confidence in the District's ability to govern effectively.

**HOUSTON INDEPENDENT SCHOOL DISTRICT
NOTES TO THE BASIC FINANCIAL STATEMENTS
FOR THE FISCAL YEAR ENDED JUNE 30, 2024**

Interest Rate Risk

As a means of limiting its exposure to fair value losses that could occur from rising interest rates, the District's investment policy limits the maturities of investments and prohibits any investment for speculative gains. The available funds in the General Fund may be invested for greater than one year provided that all cash flow requirements have been met. Bond proceeds can be invested for a period up to five years provided that the drawdown schedules permit such maturities.

The District recognizes that investment risks can result from market price changes to mitigate the risk, all securities are purchased with the intention of holding to maturity. Portfolio diversification is employed as a way to control risk. Investment officers are expected to display prudence in the selection of securities, as a way to minimize risk. No individual investment transaction shall be undertaken which jeopardizes the total capital position of the overall portfolio.

At June 30, 2024, the District's exposure to interest rate risk as measured by segmented time distribution by investment type, including fiduciary funds is summarized as follows:

	6/30/2024	Issuer Concentration	Investment Maturities in Years	
			Less than 1 year	1-5 years
Agency Securities	\$ 94,914,167	4.42%	\$ -	\$ 94,914,167
Municipal Bonds	9,187,324	0.63%	-	9,187,324
Treasury Notes	24,396,278	1.66%	24,396,278	-
Total Securities	128,497,769	6.71%	24,396,278	104,101,491
Lone Star Investment Pool	766,911,007	52.22%	766,911,007	-
TexPool	431,138,514	29.36%	431,138,514	-
Texas FIT	140,866,867	9.59%	140,866,867	-
Total Investment Pools	1,338,916,388	91.17%	1,338,916,388	-
Certificates of Deposit	31,095,044	2.12%	31,095,044	-
Total Investments	\$ 1,498,509,201	100.00%	\$ 1,394,407,710	\$ 104,101,491

As of June 30, 2024, the weighted average maturity of the total portfolio, assuming investments are held to final maturity date and not call dates, was 7 days.

Credit Risk

The District's *Cash Management and Investment Policy* allows for investments in commercial paper provided it meets the following criteria:

1. the maximum maturity does not exceed 365 days from the date of issuance;
2. it is rated at least A1 or P1 by two nationally recognized credit rating agencies;
3. be issued for a specific face amount;
4. be issued either through a direct placement or through broker dealers; and
5. the District will diversify its investment in commercial paper by issuer and by length of maturity.

As of June 30, 2024, the District did not have any direct investments in commercial paper. The District's exposure to credit risk at June 30, 2024 is presented below by investment category as rated by Standard & Poor's along with the District's level of input hierarchy utilized to measure fair values:

**HOUSTON INDEPENDENT SCHOOL DISTRICT
NOTES TO THE BASIC FINANCIAL STATEMENTS
FOR THE FISCAL YEAR ENDED JUNE 30, 2024**

	6/30/2024	Fair Value	
	Value	Measurement	Rating
		Input Level	
Agency Securities	\$ 94,914,167	Level 2	Aaa, AA+
Municipal Bonds	9,187,324	Level 2	Aa3, AA, AA
Treasury Notes	24,396,278	Level 2	Not rated
Total Securities	128,497,769		
Lone Star Investment Pool	\$ 766,911,007	N/A	AAAm, AAAs/S1+
TexPool	431,138,514	N/A	AAAm
Texas FIT	140,866,867	N/A	AAAm
Total Investment Pools	1,338,916,388		
Certificates of Deposit	31,095,044	N/A	Not rated
Total Investments	\$ 1,498,509,201		

GASB Statement Number 72 established a hierarchy that prioritizes the inputs used to measure fair value. Certain investment types utilized by the District are not required to be measured at fair value.

The District has investments in TexPool, including both TexPool and TexPool Prime, which maintain stable net asset values of \$1 per share and utilize the amortized cost method as allowed by GASB 79. The District has investments in Texas FIT which maintains a stable net asset value of \$1 and measures fair value as provided in paragraph 11 of GASB Statement 31. The District invests in the Lone Star Corporate Overnight Fund which maintains a stable net asset value of \$1 and the underlying pool investments are reported at amortized cost per GASB 79. The District invests in the Lone Star Corporate Overnight Plus Fund which maintains a stable net asset value of \$1 and the pool utilizes fair value reporting per GASB 72. The District has no unfunded commitments to these pools and may redeem investments at any time.

Custodial Credit Risk - Investments purchased for the District are made in the name of the Houston Independent School District. All investments are purchased with the delivery versus payment method and are recorded in the District's name on the Federal Reserve's book entry system and confirmed to the District via safekeeping receipt maintained on the books of the depository bank's safekeeping department.

Concentration of Credit Risk - The investment portfolio is diversified to eliminate the risk of loss resulting from over concentration of assets in a specific maturity, a specific issue, or a specific class of securities. Within the cash flow requirement constraints, investment maturities are staggered in a way that avoids undue concentration of assets in a specific maturity sector.

The District does not invest its portfolio in any single investment pool. Funds are subdivided between various pools for diversification and security reasons.

The District is prohibited from investing in the following types of investments:

- obligations whose payment represents the coupon payments on the outstanding principal balance of the underlying mortgage-backed security collateral and pays no principal;
- obligations whose payment represents the principal stream of cash flow from the underlying mortgage-backed security collateral and bears no interest;
- collateralized mortgage obligations that have a stated final maturity date of greater than 10 years; and
- collateralized mortgage obligations whose interest rate is determined by an index that adjusts opposite to the changes in a market index.

**HOUSTON INDEPENDENT SCHOOL DISTRICT
NOTES TO THE BASIC FINANCIAL STATEMENTS
FOR THE FISCAL YEAR ENDED JUNE 30, 2024**

The District neither enters into reverse repurchase agreements nor trades in options or future contracts. Additionally, the District does not participate in any securities lending program.

Foreign Currency Risk

The District does not engage in any deposit or investment transactions involving foreign currency.

NOTE 4: PROPERTY TAXES AND STATE AID REVENUE

PROPERTY TAXES

The appraisal of property within the District is the responsibility of the Harris County Appraisal District ("Appraisal District"). The District's ad valorem property tax is levied annually in October on the assessed value as of the prior January 1 for all real and business personal property located in the District. Taxes are due on receipt of the tax bill and are delinquent if not paid by January 31 of the next calendar year. Such taxes are applicable to the fiscal year in which they are levied and become delinquent with an enforceable lien on property after January 31 of the subsequent calendar year. Delinquent taxes receivable on the government-wide statement of net position and the governmental fund balance sheet is net of estimated uncollectible taxes.

For the current fiscal year, the Board of Education set a tax rate of \$0.8683 per \$100 of assessed valuation. The maintenance and debt service portions of such rate are \$0.7016 and \$0.1667 respectively. The 2023 tax year assessed valuation was \$229,523,362,674 which resulted in a gross tax levy of \$1,992,951,588 for the current fiscal year. After deductions of all exemptions and reductions provided by law and those granted by the District, the 2023 tax year levy was \$1,931,098,418 as of June 30, 2024.

Property taxes which are measurable (quantifiable) and available (collectible within the current period or soon enough thereafter to finance expenditures of the current period, which the District has estimated to be collected in the two months after the fiscal year end) are recognized as revenue in the year of levy in the governmental fund financial statements. Property taxes, which are measurable but not available, are recorded net of estimated uncollectible amounts, as unavailable revenues in the year of the levy in the governmental financial statements. Such unavailable revenues are recognized in the fund financial statements as revenue in the fiscal year in which they become available. In the government-wide financial statements, property taxes are recognized as revenues in the year for which the taxes are levied. Uncollectible property taxes in the current period increased the allowance for uncollectible property taxes in the government-wide and fund financial statements by \$13,435,788.

Delinquent taxes receivable and the related allowance for uncollectible taxes in the governmental fund financial statements as of June 30, 2024 are as follows:

	<u>Delinquent Taxes Receivables, Gross</u>	<u>Allowance for Uncollectible Taxes</u>	<u>Delinquent Taxes Receivable, Net</u>
General Fund	\$ 123,075,311	\$ 62,024,879	\$ 61,050,432
Debt Service Fund	<u>24,595,894</u>	<u>14,737,097</u>	<u>9,858,797</u>
Total	\$ <u><u>147,671,205</u></u>	\$ <u><u>76,761,976</u></u>	\$ <u><u>70,909,229</u></u>

HOUSTON INDEPENDENT SCHOOL DISTRICT

HOUSTON INDEPENDENT SCHOOL DISTRICT NOTES TO THE BASIC FINANCIAL STATEMENTS FOR THE FISCAL YEAR ENDED JUNE 30, 2024

STATE AID REVENUE

The Texas Education Agency, through its application of state law, allocates state revenues to school districts by formula allocation. The District receives two allocations: a per capita allocation and a foundation program allocation. The District also recognizes revenues for the state's share of the contributions to the Teacher Retirement System of Texas (TRS). See Note 12 for additional information on the employees' retirement plan. Other state revenues are received through other state miscellaneous programs on an allocated basis. The components of state aid as shown in the governmental fund financial statements are as follows:

Revenues	General Fund	Special Revenue Fund	Debt Service Fund	Total
Per Capita Revenues	\$ 70,931,424	\$ -	\$ -	\$ 70,931,424
Foundation Fund Revenues	139,019,349	-	-	139,019,349
Other State	90,739	46,741,484	17,973,535	64,805,758
TRS On-Behalf	109,490,737	-	-	109,490,737
Total State Revenues	<u>\$ 319,532,249</u>	<u>\$ 46,741,484</u>	<u>\$ 17,973,535</u>	<u>\$ 384,247,268</u>

NOTE 5: RECEIVABLES AND PAYABLES

Receivables as of June 30, 2024 for the District's individual major funds and nonmajor enterprise funds and internal service funds in the aggregate are as follows:

	General Fund	Special Revenue Fund	Debt Service Fund	Capital Project Fund	Non Major and Other Funds	Total
Due from the State of Texas	\$ 116,342,623	\$ 222,363,814	\$ 2,557,902	\$ -	\$ 8,567,525	\$ 349,831,864
Due from the Federal Government	17,686,628	1,861,307	-	-	-	19,547,935
Due from Other Governments	1,367,094	657,609	-	-	-	2,024,703
Total due from other governments	<u>\$ 135,396,345</u>	<u>\$ 224,882,731</u>	<u>\$ 2,557,902</u>	<u>\$ -</u>	<u>\$ 8,567,525</u>	<u>\$ 371,404,503</u>
Other Accounts Receivables	<u>\$ 3,109,482</u>	<u>\$ 522,987</u>	<u>\$ -</u>	<u>\$ 4,503</u>	<u>\$ 37,179</u>	<u>\$ 3,674,151</u>

HOUSTON INDEPENDENT SCHOOL DISTRICT

HOUSTON INDEPENDENT SCHOOL DISTRICT NOTES TO THE BASIC FINANCIAL STATEMENTS FOR THE FISCAL YEAR ENDED JUNE 30, 2024

Governmental funds report unearned revenues and deferred inflows in connection with revenues that are not considered to be available to liquidate liabilities of the current period. At June 30, 2024, the various components of deferred inflows and unearned revenue reported in the governmental funds expected to be received during the subsequent fiscal year are as follows:

Liabilities

Grant advances (unearned), Special Revenue Fund	\$ 7,726,675
	<u>7,726,675</u>

Deferred inflows of resources

Unavailable property taxes, General Fund	60,894,166
Unavailable property taxes, Debt Service Fund	9,821,668
Unavailable grants, General Fund	<u>3,001,484</u>
Total deferred inflows	<u>73,717,318</u>

Total Unearned Revenues and Deferred Inflows	\$ <u>81,443,993</u>
--	----------------------

Payables as of June 30, 2024 for the District's individual major funds and nonmajor enterprise funds and internal service funds in the aggregate are as follows:

	<u>General Fund</u>	<u>Special Revenue Fund</u>	<u>Debt Service Fund</u>	<u>Capital Project Fund</u>	<u>Nonmajor and other Funds</u>	<u>Total</u>
Vendors Payable	\$ 73,341,080	\$ 88,311,918	\$ -	\$ 9,561,273	\$ 9,175,213	\$ 180,389,484
Retainage Payable	-	-	-	2,020,909	-	2,020,909
Total Payables	<u>\$ 73,341,080</u>	<u>\$ 88,311,918</u>	<u>\$ -</u>	<u>\$ 11,582,182</u>	<u>\$ 9,175,213</u>	<u>\$ 182,410,393</u>

HOUSTON INDEPENDENT SCHOOL DISTRICT

HOUSTON INDEPENDENT SCHOOL DISTRICT NOTES TO THE BASIC FINANCIAL STATEMENTS FOR THE FISCAL YEAR ENDED JUNE 30, 2024

NOTE 6: CAPITAL ASSETS

A summary of capital asset activity during the fiscal year ended June 30, 2024 follows:

<u>Governmental activities:</u>	<u>Balance July 1,2023</u>	<u>Increases</u>	<u>Decreases</u>	<u>Balance June 30,2024</u>
Capital assets not being depreciated:				
Land	\$ 289,432,182	\$ -	\$ -	\$ 289,432,182
Construction in progress	5,223,438	7,340,357	(632,403)	11,931,392
Total capital assets not being depreciated	294,655,620	7,340,357	(632,403)	301,363,574
Capital assets being depreciated:				
Land Improvements	13,377,518	5,927,129	(274,650)	19,029,997
Buildings and improvements	5,639,813,411	77,628,181	-	5,717,441,592
Furniture and equipment	233,308,379	11,410,045	(193,057)	244,525,367
Library Books and Media	26,037,115	577,714	-	26,614,829
Vehicles	155,410,297	3,302,044	(28,195,813)	130,516,528
Right-to-use subscription assets	28,895,238	1,414,410	(7,929,268)	22,380,380
Right-to-use lease assets-Land	762,000	-	-	762,000
Right-to-use lease assets-Buildings	2,741,310	203,649	-	2,944,959
Right-to-use lease assets-Furniture & Equipment	79,636,346	-	(35,099,520)	44,536,826
Total Right-to-use lease assets	83,139,656	203,649	(35,099,520)	48,243,785
Total capital assets being depreciated	6,179,981,614	100,463,172	(71,692,308)	6,208,752,478
Less accumulated depreciation for:				
Land Improvements	(1,348,240)	(714,528)	1,144	(2,061,624)
Buildings and improvements	(1,851,123,932)	(133,976,215)	295,754	(1,984,804,393)
Furniture and equipment	(212,767,912)	(8,687,574)	24,147	(221,431,339)
Library Books and Media	(13,493,387)	(3,183,845)	-	(16,677,232)
Vehicles	(107,312,997)	(7,478,809)	27,013,407	(87,778,399)
Right-to-use subscription assets	(13,303,979)	(10,930,325)	7,357,226	(16,877,078)
Right-to-use lease assets-Land	(139,700)	(152,400)	-	(292,100)
Right-to-use lease assets-Buildings	(996,840)	(585,698)	-	(1,582,538)
Right-to-use lease assets-Furniture & Equipment	(58,992,224)	(11,077,810)	35,099,520	(34,970,514)
Total Accumulated Amortization, Right-to-use lease assets	(60,128,764)	(11,815,908)	35,099,520	(36,845,152)
Total accumulated depreciation	(2,259,479,211)	(176,787,204)	69,791,198	(2,366,475,217)
Governmental activities capital assets, net	\$ 4,215,158,023	\$ (68,983,675)	\$ (2,533,513)	\$ 4,143,640,835
<u>Business-type Activities:</u>	<u>Balance July 1,2023</u>	<u>Increases</u>	<u>Decreases</u>	<u>Balance June 30,2024</u>
Capital assets being depreciated:				
Furniture and Equipment	\$ 457,452	\$ -	\$ -	\$ 457,452
Right-to-use subscription assets	9,502,070	-	(680,897)	8,821,173
Total capital assets being depreciated:	9,959,522	-	(680,897)	9,278,625
Less Accumulated depreciation for:				
Furniture and Equipment	(453,610)	(1,356)	-	(454,966)
Right-to-use subscription assets	(2,576,692)	(2,028,354)	680,897	(3,924,149)
Total accumulated depreciation	(3,030,302)	(2,029,710)	680,897	(4,379,115)
Business-type activities capital assets, net	\$ 6,929,220	\$ (2,029,710)	\$ -	\$ 4,899,510

**HOUSTON INDEPENDENT SCHOOL DISTRICT
NOTES TO THE BASIC FINANCIAL STATEMENTS
FOR THE FISCAL YEAR ENDED JUNE 30, 2024**

Internal Service Funds capital assets are included in the governmental activities in the summary of capital asset activity.

The net amount of \$4,899,510 in Business-type activities are capital assets related to the non-major Medicaid and Marketplace Funds for the 2023-2024 fiscal year.

Depreciation and amortization expense was charged to functions/programs of the primary government as follows:

Governmental activities:

Instruction	\$ 147,597,785
Instructional resources and media services	38,902
Instructional staff development	48,394
Instructional leadership	2,900,993
School leadership	16,749
Guidance, counseling and evaluation services	4,226,394
Attendance And Social Work Services	464,693
Health Services (Nurse)	746
Student Transportation	4,332,441
Food Services	1,111,101
Co-curricular/extracurricular Activities	175,702
General administration	7,151,180
Plant maintenance and operations	3,890,190
Security and monitoring services	259,314
Data Processing Services	4,571,181
Community Services	1,439

Total depreciation and amortization expense, governmental activities	\$ <u>176,787,204</u>
--	-----------------------

Business-type activities:

Other nonmajor business business-type activities	<u>2,029,710</u>
--	------------------

Total depreciation and amortization expense	\$ <u>2,029,710</u>
---	---------------------

Grand Total	<u>178,816,914</u>
--------------------	---------------------------

**HOUSTON INDEPENDENT SCHOOL DISTRICT
NOTES TO THE BASIC FINANCIAL STATEMENTS
FOR THE FISCAL YEAR ENDED JUNE 30, 2024**

Construction Commitments

The District has active construction projects as of June 30, 2024. These projects include new school construction, renovation of existing schools, non-school facilities, safety and security projects, and technology upgrades. At June 30, 2024, the District had fully funded commitments for the following categories:

Project	Spent-To-Date	Remaining Commitment
New Schools	\$ 604,845	\$ 82,957
Renovated Schools	9,315,856	11,744
Non-school Facilities	5,434,612	264,449
Technology Upgrades	7,317,228	1,820,680
Safety and Security	<u>11,009,164</u>	<u>5,437,160</u>
Total	<u>\$ 33,681,705</u>	<u>\$ 7,616,990</u>

Impairments

GASB Statement No.42, *Accounting and Financial Reporting for Impairment of Capital Assets and Insurance Recoveries*, requires the disclosure of impairment losses and associated insurance recoveries. In fiscal year 2024, the District did not have any significant impairments to be reported. The District received \$2.2 million and \$16.0 million in insurance recovery in connection with the Winter Storm of February 2021 and Hurricane Harvey in August 2017, respectively.

**HOUSTON INDEPENDENT SCHOOL DISTRICT
NOTES TO THE BASIC FINANCIAL STATEMENTS
FOR THE FISCAL YEAR ENDED JUNE 30, 2024**

NOTE 7: INTERFUND RECEIVABLES, PAYABLES, AND TRANSFERS

The composition of interfund balances in the fund financial statements as of June 30, 2024 was as follows.

<u>GENERAL FUND</u>	Special Revenue Fund	\$ 105,260,326
	Other Internal Service Funds	416,156
	Print Shop Fund	53,183
	Marketplace Fund	45,077
	Worker's Comp Fund	401,098
	DUE FROM OTHER FUNDS	\$ 106,175,840
<u>GENERAL FUND</u>	Capital Project Fund	\$ (15,995,035)
	Debt Service Fund	(674,228)
	Medicaid Fund	(6,077,737)
	Insurance Fund	(8,790,654)
	DUE TO OTHER FUNDS	\$ (31,537,654)
<u>CAPITAL PROJECT FUND</u>	General Fund	15,995,035
	DUE FROM OTHER FUNDS	\$ 15,995,035
<u>Debt Service Fund</u>	General Fund	674,228
	DUE FROM OTHER FUNDS	\$ 674,228
<u>SPECIAL REVENUE FUND</u>	General Fund	(105,260,326)
	DUE TO OTHER FUNDS	\$ (105,260,326)
<u>MEDICAID FUND</u>	General Fund	6,077,737
	DUE FROM OTHER FUNDS	\$ 6,077,737
<u>MARKETPLACE FUND</u>	General Fund	(45,077)
	DUE TO OTHER FUNDS	\$ (45,077)
<u>PRINT SHOP FUND</u>	General Fund	(53,183)
	DUE TO OTHER FUNDS	\$ (53,183)
<u>INSURANCE FUND</u>	General Fund	8,790,654
	DUE FROM OTHER FUNDS	\$ 8,790,654
<u>WORKERS' COMPENSATION FUND</u>	General Fund	(401,098)
	DUE TO OTHER FUNDS	\$ (401,098)
<u>OTHER INTERNAL SERVICE FUND</u>	General Fund	(416,156)
	DUE TO OTHER FUNDS	\$ (416,156)

**HOUSTON INDEPENDENT SCHOOL DISTRICT
NOTES TO THE BASIC FINANCIAL STATEMENTS
FOR THE FISCAL YEAR ENDED JUNE 30, 2024**

These balances result from the time lag between the dates that (1) interfund goods and services are provided or reimbursable expenditures occur, (2) transactions are recorded in the accounting system, and (3) payments from funding agencies are received.

The following is a summary of the District's transfers for the fiscal year ended June 30, 2024:

\$16,395,650	From General Fund to the Debt Service Fund for interest and principal debt payments
5,861,125	From the Capital Project Fund to the Debt Service Fund for TIRZ High School and Elementary School debt payments
70,000,000	From the Capital Project Fund to the General Fund for restricted TIRZ funded capital projects
14,000,000	From the Nonmajor Medicaid Enterprise Fund to the General Fund for use of unrestricted revenues. This is an annual transfer.
\$106,256,775	Total transfers

Transfers are used to (1) move revenues from the fund that statute or budget requires to collect them to the fund that statute or budget requires to expend them, (2) move receipts restricted to debt service from the funds collecting the receipts to the debt service fund as debt service payments become due, (3) use unrestricted revenues collected in the general fund to finance various programs accounted for in other funds in accordance with budgetary authorizations, and (4) use unrestricted revenues collected in a proprietary fund to finance activities in the general fund or another proprietary fund.

NOTE 8: LONG-TERM LIABILITIES AND RELATED DEFERRED INFLOWS AND OUTFLOWS

The District's long-term liabilities consist of bond and note indebtedness, leases and subscriptions, health insurance, workers' compensation, compensated absences, net pension liability and net OPEB liability. The current requirements for general obligation bonds principal and interest expenditures are accounted for in the debt service fund. Current funding requirements for leases, subscriptions, health insurance, and workers' compensation are accounted for in the governmental and proprietary funds. Pension and OPEB long-term liabilities are generally liquidated with resources of the general fund.

HOUSTON INDEPENDENT SCHOOL DISTRICT

HOUSTON INDEPENDENT SCHOOL DISTRICT NOTES TO THE BASIC FINANCIAL STATEMENTS FOR THE FISCAL YEAR ENDED JUNE 30, 2024

The following is a summary of the District's long-term liabilities for the fiscal year ended June 30, 2024:

	Balance			Balance	Amortizable/Payable
	July 1, 2023	Increases	Decreases	June 30, 2024	within
Governmental activities:					One year
Bonds payable	\$ 1,973,100,000	\$ -	\$ (302,755,000)	\$ 1,670,345,000	\$ 159,965,000
Notes payable	150,130,000	-	(6,920,000)	143,210,000	7,275,000
Total Debt Payable	2,123,230,000	-	(309,675,000)	1,813,555,000	167,240,000
Premium/discount	80,997,645	-	(29,450,957)	51,546,688	22,772,491
Total Debt Payable	2,204,227,645	-	(339,125,957)	1,865,101,688	190,012,491
Leases payable	22,375,833	203,649	(10,409,364)	12,170,118	8,988,993
Subscriptions payable	16,977,708	2,089,270	(13,209,383)	5,857,595	4,970,134
Compensated absences payable	70,774,868	25,546,760	(23,492,697)	72,828,931	19,186,374
Claims payable	16,889,078	192,541,585	(191,746,169)	17,684,494	16,335,808
Net Pension Liability	709,879,768	349,174,517	(73,733,553)	985,320,732	-
Net OPEB liability	355,822,534	84,552,934	(57,753,910)	382,621,558	-
Total other long-term liabilities payable	1,192,719,789	654,108,715	(370,345,076)	1,476,483,428	49,481,309
Total governmental activities long-term liabilities	\$ 3,396,947,434	\$ 654,108,715	\$ (709,471,033)	\$ 3,341,585,116	\$ 239,493,800
Business-type activities					
Subscriptions payable	\$ 7,405,973	\$ -	\$ (2,416,871)	\$ 4,989,102	\$ 1,966,657
Compensated absences payable	463,413	303,091	(300,548)	465,956	209,274
Total business-type activities long-term liabilities	\$ 7,869,386	\$ 303,091	\$ (2,717,419)	\$ 5,455,058	\$ 2,175,931

Internal Service Funds predominantly serve the governmental funds. Accordingly, long-term liabilities for them are included as part of the above totals for governmental activities. At year end, \$1,592,255 of Internal Service Funds' compensated absences payable and \$17,684,494 of claims payable is included in the above governmental activities amounts. For the governmental activities, claims and judgments, and compensated absences are generally liquidated by the General Fund.

Debt Payable-Governmental Activities

At June 30, 2024, the District had \$1,813,555,000 outstanding of general obligation and lease revenue bonds, and maintenance tax notes. These debt obligations were issued at various dates from November 1, 2009, through March 21, 2023, with interest rates ranging from 1.00 percent to 6.17 percent, for the purpose of new construction, and equipment of facilities and maintenance of facilities. All debt obligations fully mature at various dates through February 15, 2043. As of June 30, 2024, the District had no authorized but unissued debt capacity.

Of the District's \$1,813,555,000 total debt outstanding at June 30, 2024, \$32,840,000 of bonds payable are attributable to lease revenue bonds issued by the Public Facility Corporation.

In current and prior years, the District legally defeased certain bonds by placing cash and/or proceeds of refunding bond issues in an irrevocable trust to provide for all future debt service payments on the refunded debt. Accordingly, the trust account assets and the liability for the defeased bonds are not included in the District's financial statements. As of June 30, 2024, there were no outstanding defeased bonds.

**HOUSTON INDEPENDENT SCHOOL DISTRICT
NOTES TO THE BASIC FINANCIAL STATEMENTS
FOR THE FISCAL YEAR ENDED JUNE 30, 2024**

On May 30, 2024, the District defeased \$40,450,500 in outstanding par on the Variable Rate Limited Tax Schoolhouse Bonds, Series 2013B, that were sold with a final maturity date of June 1, 2036. The District utilized available debt service funds for the full redemption of the bond series.

Also, on May 30, 2024, the District defeased \$68,720,000 of outstanding par on the Limited Tax Refunding Bonds, Series 2014B using available cash resources from the debt service fund. The Limited Tax Refunding Bonds, Series 2014B were originally issued on December 16, 2014, in a par amount of \$365,395,000.

During the fiscal year ended June 30, 2024, the District did not issue any new debt or engage in any refunding activities. Consequently, there are no new debt service savings or economic gains to report for this period.

Premiums or discounts on each bond transaction are amortized over the life of the bonds. Pursuant to GASB 65 underwriter's discounts and issuance costs have been expensed in the period reported.

The District issues variable rate debt for term periods and interest rate modes which may be changed should the District elect to do so at remarketing dates. The maximum rate of the variable rate debt cannot exceed the maximum net effective interest rate permitted under Chapter 1204 Texas Government Code, as amended. Following the new rate periods, the bonds will convert to and bear interest at a term rate to be determined by the remarketing agent. Subsequent to the new rate periods, the interest rate modes may be changed to a weekly rate, monthly rate, quarterly rate, semiannual rate, flexible rate or converted to a fixed rate until stated maturity. The Bonds are subject to mandatory tender at the end of the new rate period. In the event of a failed remarketing for any series, a step rate of 7.00 percent (Series 2014A-2, Series 2023C) will be invoked until such time as the bonds are successfully remarketed. A failed remarketing will not be considered an event of default.

The following is a summary of all variable rate unlimited tax school building bonds outstanding at June 30, 2024:

	Principal Amount	Issue Date	Initial or Current Rate Period	Stated Maturity Date	Initial or Remarketed Interest Rate	Initial or Remarketed Yield	Stepped Rate
Series 2014A-2	\$ 109,650,000	6/1/2022	6/1/2025	6/1/2039	3.50%	3.50%	7.00%
Series 2023C	\$ 80,785,000	3/21/2023	6/1/2025	6/1/2039	4.00%	4.00%	7.00%

HOUSTON INDEPENDENT SCHOOL DISTRICT

HOUSTON INDEPENDENT SCHOOL DISTRICT NOTES TO THE BASIC FINANCIAL STATEMENTS FOR THE FISCAL YEAR ENDED JUNE 30, 2024

The following table summarizes by type the annual debt service requirements of the outstanding debt issues on June 30, 2024 to maturity.

June 30	Bond Principal	Bond Interest	Totals
2025	\$ 159,965,000	\$ 78,227,718	\$ 238,192,718
2026	135,895,000	71,580,968	207,475,968
2027	76,690,000	64,593,406	141,283,406
2028	107,950,000	60,517,218	168,467,218
2029	86,175,000	54,935,393	141,110,393
2030-2034	577,410,000	192,330,738	769,740,738
2035-2039	360,290,000	82,402,425	442,692,425
2040-2043	165,970,000	13,916,000	179,886,000
Total	\$ 1,670,345,000	\$ 618,503,866	\$ 2,288,848,866

June 30	Notes Principal	Notes Interest	Totals
2025	\$ 7,275,000	\$ 6,859,275	\$ 14,134,275
2026	7,645,000	6,486,275	14,131,275
2027	8,040,000	6,094,150	14,134,150
2028	8,450,000	5,681,900	14,131,900
2029	8,885,000	5,248,525	14,133,525
2030-2034	51,750,000	18,922,000	70,672,000
2035-2039	51,165,000	5,369,450	56,534,450
2040-2043	-	-	-
Total	\$ 143,210,000	\$ 54,661,575	\$ 197,871,575

June 30	Total Principal Requirements	Total Principal Requirements	Totals
2025	\$ 167,240,000	\$ 85,086,993	\$ 252,326,993
2026	143,540,000	78,067,243	221,607,243
2027	84,730,000	70,687,556	155,417,556
2028	116,400,000	66,199,118	182,599,118
2029	95,060,000	60,183,918	155,243,918
2030-2034	629,160,000	211,252,738	840,412,738
2035-2039	411,455,000	87,771,875	499,226,875
2040-2043	165,970,000	13,916,000	179,886,000
Total	\$ 1,813,555,000	\$ 673,165,441	\$ 2,486,720,441

HOUSTON INDEPENDENT SCHOOL DISTRICT

HOUSTON INDEPENDENT SCHOOL DISTRICT NOTES TO THE BASIC FINANCIAL STATEMENTS FOR THE FISCAL YEAR ENDED JUNE 30, 2024

The following table displays total principal debt outstanding by issuance as of June 30, 2024

Date of Issue	Description/Purpose	Type	Interest Rate (%)	Original Issue Amount (\$)	Final Maturity Date	Debt Principal Outstanding
11/1/2009	Limited Tax Sch Bonds, Taxable Series 2009A-2 (BABs) Construction, acquisition and equipment of school buildings	GO	6.07 to 6.17	148,850,000	2/15/2034	148,850,000
11/1/2009	Limited Tax Sch Bonds, Taxable Series 2009A-3 (BABs) Construction, acquisition and equipment of school buildings	GO	4.76 to 6.13	183,750,000	2/15/2028	81,500,000
12/16/2014	Limited Tax Refunding Bonds, Series 2014B Refund a portion of the District's outstanding indebtedness	GO	1.00 to 5.00	365,395,000	2/15/2033	92,260,000
4/12/2016	Limited Tax Sch and Ref Bonds, Series 2016A Construction of school building and refund indebtedness	GO	4.00 to 5.00	757,195,000	2/15/2041	520,065,000
5/23/2017	Limited Tax Sch and Ref Bonds, Series 2017 Construction of school building and refund indebtedness	GO	2.25 to 5.00	848,740,000	2/15/2042	480,205,000
6/29/2017	Public Facility Corp Lease Rev Bonds, Series 2017 Refund all of the Corporation's Lease Revenue Series 2006 outstanding	LR	2.00 to 5.00	21,550,000	9/15/2030	12,275,000
6/27/2018	Limited Tax Sch Bonds, Series 2018 Construction, acquisition and equipment of school buildings	GO	4.00 to 5.00	86,960,000	2/15/2043	77,870,000
10/22/2019	Public Facility Corp Lease Rev Ref Bonds, Series 2019 Refund all of the Corporation's Lease Revenue Series 2010B(BABs) outstanding debt	LR	5.00	29,675,000	9/15/2029	20,565,000
6/1/2022	Variable Rate Limited Tax Sch Bonds, Series 2014A-2 Refund and remarket a portion of the District's outstanding variable rate debt	GO	3.50	110,520,000	6/1/2039	109,650,000
3/21/2023	Variable Rate Limited Tax Sch Bonds, Series 2023C Refund and remarket a portion of the District's outstanding variable rate debt	GO	4.00	80,785,000	6/1/2039	80,785,000
3/21/2023	Limited Tax Refunding Bonds, Series 2023A Refund a portion of the District's outstanding indebtedness	GO	5.00	104,255,000	2/15/2038	46,320,000
				Bonds Payable		
						<u>2,737,675,000</u>
						<u>1,670,345,000</u>
6/27/2018	Maintenance Tax Notes, Series 2018 Maintenance of existing facilities including repair and renovation along with replacement of building system	NT	4.00 to 5.00	174,615,000	1/15/2038	143,210,000
				Notes Payable		
						<u>174,615,000</u>
						<u>143,210,000</u>
				Total Debt Payable - Principal		
						<u>\$2,912,290,000</u>
						<u>\$1,813,555,000</u>

**HOUSTON INDEPENDENT SCHOOL DISTRICT
NOTES TO THE BASIC FINANCIAL STATEMENTS
FOR THE FISCAL YEAR ENDED JUNE 30, 2024**

Other long-term debt

Federal Arbitrage - The Tax Reform Act of 1986 instituted certain arbitrage restrictions consisting of complex regulations with respect to issuance of tax-exempt bond proceeds at an interest yield greater than the interest yield paid to bondholders. Generally, all interest paid to bondholders can be retroactively rendered taxable if applicable rebates are not reported and paid to the Internal Revenue Service at least every five years for applicable bond issues. Accordingly, there is the risk that if such calculations are not performed or are not performed correctly, a liability to the District could result. The District periodically engages an arbitrage consultant to perform the calculations in accordance with the Internal Revenue Service's rules and regulations. The District did not identify arbitrage liability as of June 30, 2024.

Compensated Absences - On retirement or death of certain employees hired before October 10, 1972, the District pays any accumulated unused sick leave. Additionally, the District may "buy back" any accrued but unused state leave from employees in accordance with the *Attendance Incentive Plan*. Also, certain employees are entitled to receive accrued vacation pay in a lump-sum cash payment upon termination of employment with the District. The General Fund has typically been used in prior years to liquidate compensated absences.

NOTE 9: LEASES

The District has entered into multiple lease agreements as lessee. The leases allow the right-to-use computers, copiers and other assets over the term of the lease. The District is required to make annual payments on the laptop leases and monthly payments on all other leases at its incremental borrowing rate or the interest rate stated or implied within the leases. The lease rate, term and ending lease liability are as follows:

	Interest Rate(s)	Lease Term in Years	Ending Balance
Governmental Activities			
Laptops	2.27-3.90%	3.0	\$ 6,390,658
Copiers	3.66%	5.0	\$ 3,254,366
Other Leases	0.55-2.60%	5.0-30.0	\$ 2,525,094
Total governmental activities			\$ <u>12,170,118</u>

The Future principal and interest lease payments as of fiscal year end are as follows:

Fiscal Year Ending	Principal	Interest	Total
2025	\$ 8,988,993	\$ 234,117	\$ 9,223,110
2026	\$ 2,364,328	\$ 51,963	\$ 2,416,291
2027	\$ 589,829	\$ 5,084	\$ 594,913
2028	\$ 226,968	\$ 449	\$ 227,417
Total Governmental activities	\$ <u>12,170,118</u>	\$ <u>291,613</u>	\$ <u>12,461,731</u>

The Value of the right-to-use lease assets as of the end of the current fiscal year was \$48,243,785 and had accumulated amortization of \$36,845,152.

**HOUSTON INDEPENDENT SCHOOL DISTRICT
NOTES TO THE BASIC FINANCIAL STATEMENTS
FOR THE FISCAL YEAR ENDED JUNE 30, 2024**

NOTE 10: SUBSCRIPTION-BASED INFORMATION TECHNOLOGY AGREEMENTS

The District has entered into multiple subscription-based information technology agreements. The agreement allow the right-to-use softwares and other assets over the term of the agreement. The District is required to make monthly/annual payments at its incremental borrowing rate or the interest rate stated or implied within the agreement.

As of June 30, 2024, Houston Independent School District had 21 active subscriptions. The combined value of the right to use asset, as of June 30, 2024 of \$31,201,553 with accumulated amortization of \$20,801,227 is included within the Subscription Class activities table found below.

Governmental Activities	<u>Interest Rate(s)</u>	<u>Lease Term in Years</u>	<u>Ending Balance</u>
Software	1.58-3.497%	0.1 - 2.0	\$ <u>5,857,595</u>
Total Subscriptions			\$ <u>5,857,595</u>

Business-Type Activities	<u>Interest Rate(s)</u>	<u>Lease Term in Years</u>	<u>Ending Balance</u>
Software	1.894-2.186%	0.9 - 3.6	\$ <u>4,989,102</u>
Total Subscriptions			\$ <u>4,989,102</u>

The future principal and interest payments as of fiscal year end are as follows:

Governmental Activities			
<u>Fiscal Year Ending</u>	<u>Principal</u>	<u>Interest</u>	<u>Total</u>
2025	\$ 4,970,134	\$ 128,541	\$ 5,098,675
2026	598,315	30,942	629,257
2027	159,472	10,105	169,577
2028	<u>129,674</u>	<u>4,535</u>	<u>134,209</u>
Total Governmental Activities	\$ <u>5,857,595</u>	\$ <u>174,123</u>	\$ <u>6,031,718</u>
Business-Type Activities			
<u>Fiscal Year Ending</u>	<u>Principal</u>	<u>Interest</u>	<u>Total</u>
2025	\$ 1,966,657	\$ 93,383	\$ 2,060,040
2026	2,010,081	49,959	2,060,040
2027	<u>1,012,364</u>	<u>8,709</u>	<u>1,021,073</u>
Total Business-Type Activities	\$ <u>4,989,102</u>	\$ <u>152,051</u>	\$ <u>5,141,153</u>

NOTE 11: RISK MANAGEMENT

The District is exposed to various risks of loss related to torts, theft of, damage to and destruction of assets, errors and omissions, injuries to employees, and natural disasters. The District's risk management program encompasses various means of protecting the District against losses through policies with commercial insurance carriers or through self-insurance.

**HOUSTON INDEPENDENT SCHOOL DISTRICT
NOTES TO THE BASIC FINANCIAL STATEMENTS
FOR THE FISCAL YEAR ENDED JUNE 30, 2024**

Workers' Compensation

The District maintains a self-insurance program for workers' compensation. Contributions are paid from all governmental and proprietary funds to the Workers' Compensation Internal Service Fund from which all claims and administrative expenses are paid. Claims administration, loss control, and consultant services are provided by a third-party administrator. The District maintains a catastrophic loss insurance policy for catastrophic losses exceeding \$1,000,000 per occurrence up to statutory limit of liability.

An accrual for incurred but not reported claims in the amount of \$3,371,714 (discounted at 5.00%), of which \$2,023,028 is the current portion, has been recorded in the fund as of June 30, 2024. Claims payable, including an estimate of claims incurred but not reported, was actuarially determined based on the District's historical claims experience and an estimate of the remaining liability on known claims.

At June 30, 2024 the fund had net position of \$26,211,353. Changes in claims payable for the fiscal years ended June 30, 2024 and 2023 are as follows:

	<u>2024</u>	<u>2023</u>
Claims payable, beginning of fiscal year	\$ 3,094,515	\$ 3,404,418
Incurred claims and claim adjustment expenses for insured events of the current fiscal year	2,088,041	1,800,086
Increase (decrease) in provision for insured events of prior fiscal year	<u>2,001,782</u>	<u>1,639,749</u>
Total incurred claims and claim adjustment expenses	<u>4,089,823</u>	<u>3,439,835</u>
<u>Payments:</u>		
Claims and claim adjustment expenses attributable to insured events of the current fiscal year	2,297,920	1,821,675
Claims and claim adjustment expenses attributable to insured events of the prior fiscal year	<u>1,514,704</u>	<u>1,928,063</u>
Total payments	<u>3,812,624</u>	<u>3,749,738</u>
Claims payable, end of fiscal year	<u>\$ 3,371,714</u>	<u>\$ 3,094,515</u>

**HOUSTON INDEPENDENT SCHOOL DISTRICT
NOTES TO THE BASIC FINANCIAL STATEMENTS
FOR THE FISCAL YEAR ENDED JUNE 30, 2024**

Health Insurance

Effective January 1, 2002, the District established a self-insurance program for health insurance. Contributions are paid from all governmental and proprietary funds to the Health Insurance Internal Service Fund from which all claims and administrative expenses are paid. Claims administration and consultant services are provided by a third party administrator. The District maintains aggregate stop loss coverage for medical cost.

The District is insured for covered medical paid and incurred during the plan year by Aetna under an annual aggregate insurance contract. The coverage provides that the insurer will reimburse the District for such paid claims that exceed an annual aggregate attachment point that is determined by a monthly amount per covered employee based on the tier of coverage enrolled.

An accrual for incurred but not reported claims in the amount of \$14,312,780, of which \$14,312,780 is the current portion, has been recorded in the fund as of June 30, 2024. Claims payable, including an estimate of claims incurred but not reported, was actuarially determined based on an estimate of the remaining liability on known claims.

At June 30, 2024, the fund had net position of \$20,707,823. Changes in claims payable for the fiscal years ended June 30, 2024 and 2023 are as follows:

	<u>2024</u>	<u>2023</u>
Claims payable, beginning of fiscal year	\$ 13,794,563	\$ 13,720,000
Incurred claims and claim adjustment expenses		
for insured events of the current fiscal year	189,183,437	169,638,600
Increase (decrease) in provision for insured events of prior fiscal year	(731,675)	8,248,527
	<u>188,451,762</u>	<u>177,887,127</u>
Total incurred claims and claim adjustment expenses		
<u>Payments:</u>		
Claims and Claim adjustment expenses attributable		
to insured events of the current fiscal year	175,552,218	152,661,650
Claims and Claim adjustment expenses attributable		
to insured events of the prior fiscal year	<u>12,381,327</u>	<u>25,150,914</u>
Total Payments	<u>187,933,545</u>	<u>177,812,564</u>
Claims payable, end of fiscal year	\$ <u><u>14,312,780</u></u>	\$ <u><u>13,794,563</u></u>

**HOUSTON INDEPENDENT SCHOOL DISTRICT
NOTES TO THE BASIC FINANCIAL STATEMENTS
FOR THE FISCAL YEAR ENDED JUNE 30, 2024**

Property, Casualty, General and Professional Liability

The District purchases All-Risk Property Insurance with limits of \$250,000,000. The policies include sublimits of \$100,000,000 per occurrence for flood, \$75,000,000 for quake and \$150,000,000 per occurrence for Named Storms. General and Professional Liability risks are insured with limits of \$9,750,000. Within these policy limits, the District's exposure for covered losses is limited to the policy deductibles and self-insured retentions. Automobile liability exposures are self-insured in Texas and insurance coverage is purchased for out of state risks with a \$1,000,000 limit. The District is self-insured for workers compensation and employer's liability risk exposure. The District has not had any claims in excess of its policy limits in the past three years.

NOTE 12: EMPLOYEES' RETIREMENT PLAN

Pensions

Plan Description

The District participates in a cost-sharing multiple-employer defined benefit pension that has a special funding situation. The plan is administered by the Teacher Retirement System of Texas (TRS). It is a defined benefit pension plan established and administered in accordance with the Texas Constitution, Article XVI, Section 67 and Texas Government Code, Title 8, Subtitle C. The pension trust fund is a qualified pension trust under Section 401(a) of the Internal Revenue Code. The Texas Legislature establishes benefits and contribution rates within the guidelines of the Texas Constitution. The pension's Board of Trustees does not have the authority to establish or amend benefit terms. All employees of public, state-supported educational institutions in Texas who are employed for one-half or more of the standard workload and who are not exempted from membership under Texas Government Code, Title 8, Section 822.002 are covered by the system.

Pension Plan Fiduciary Net Position

Detail information about the Teacher Retirement System's Fiduciary Net Position is available in a separately issued Annual Comprehensive Financial Report that includes financial statements and required supplementary information. That report may be obtained by visiting https://www.trs.texas.gov/Pages/about_publications.aspx; by writing to the TRS at 1000 Red River Street, Austin, Texas 78701-2698; or by calling (512) 542-6592.

The information in the Notes to the Financial Statements of the TRS 2023 Annual Comprehensive Financial Report provides the Pension Plan fiduciary net position for the year ending August 31, 2023 as follow:

<u>Net Pension Liability</u>	<u>Total</u>
Total Pension Liability	\$ 255,860,886,500
Less: Plan Fiduciary Net Position	<u>187,170,535,558</u>
Net Pension Liability	<u>\$ 68,690,350,942</u>
Net Position as % of Total Pension Liability	73.15%

**HOUSTON INDEPENDENT SCHOOL DISTRICT
NOTES TO THE BASIC FINANCIAL STATEMENTS
FOR THE FISCAL YEAR ENDED JUNE 30, 2024**

Benefit Provisions and Service Requirements

TRS administers retirement, disability, and death and survivor benefits to employees and beneficiaries of employees of the public school system of Texas. The pension formula is calculated using 2.3 percent times the average of the five highest annual creditable salaries times years of credited service to arrive at the annual standard annuity except for members who are grandfathered, the three highest annual salaries are used. Service requirements are as follows:

Normal -- Age 65 with 5 years of credited service, or when the sum of member's age and years of credit equals or exceeds 80.

Reduced -- Age 55 with at least 5 years of credited service, or earlier than 55 with 30 or more years of credited service.

Members are fully vested after five years of creditable service and are entitled to any benefit for which eligibility requirements have been met. There are additional provisions for reduced retirement if the sum of the member's age and years of service credit total at least 80, but the member is less than age 60 or 62 depending on date of employment, or if the member was grandfathered under a previous rule. For more detail about benefits see the Summary of Benefits section of TRS 2023 Annual Comprehensive Financial Report. There are no automatic post-employment benefit changes, including automatic COLAs. Ad hoc post-employment benefit changes, including ad hoc COLAs can be granted by the Texas Legislature as noted in the Plan description.

Texas Government Code section 821.006 prohibits benefit improvements, if, as a result of the particular action, the time required to amortize TRS unfunded actuarial liabilities would be increased to a period that exceeds 31 years, or, if the amortization period already exceeds 31 years, the period would be increased by such action. Actuarial implications of the funding provided in the manner are determined by the System's actuary.

Contributions

Contribution requirements are established or amended pursuant to Article 16, section 67 of the Texas Constitution which requires the Texas legislature to establish a member contribution rate of not less than 6 percent of the member's annual compensation and a state contribution of not less than 6 percent and not more than 10 percent of the aggregate annual compensation paid to members of the system during the fiscal year.

Employee contribution rates are set in state statute, Texas Government Code 825.402. The TRS Pension Reform Bill (Senate Bill 12) of the 86th Texas Legislature amended Texas Government Code 825.402 for member contributions and increased employee and employer contribution rates for fiscal years 2020 through 2025.

	<u>2023</u>	<u>2024</u>
Member	8.00%	8.25%
Non-Employer Contributing Entity (State)	8.00%	8.25%
Employers	8.00%	8.25%
District's 2024 District Contributions	\$	72,224,501
District's 2024 Member Contributions	\$	131,002,332
District's 2024 NECE On-Behalf Contributions	\$	84,454,248

Contributors to the plan include members, employers, and the State of Texas as the only non-employer contributing entity. The State contributes to the plan in accordance with state statutes and the General Appropriations Act (GAA).

**HOUSTON INDEPENDENT SCHOOL DISTRICT
NOTES TO THE BASIC FINANCIAL STATEMENTS
FOR THE FISCAL YEAR ENDED JUNE 30, 2024**

As the non-employer contributing entity for public education, the State contributes to the retirement system an amount equal to the current District's contribution rate times the aggregate annual compensation of all participating members of the pension trust fund during that fiscal year reduced by the amounts described below which are paid by the District. The District is required to pay the employer contribution rate in the following instances:

- On the portion of the member's salary that exceeds the statutory minimum for members entitled to the statutory minimum under Section 21.402 of the Texas Education Code
- During a new member's first 90 days of employment
- When any part or all of an employee's salary is paid by federal funding source, a privately sponsored source, from non-educational and general, or local funds

In addition to the employer contributions listed above, the District is required to pay the following surcharges:

- 1.8 percent of the member's salary beginning in fiscal year 2023, gradually increasing to 2 percent in fiscal year 2025
- When employing a retiree of the Teacher Retirement System, the District shall pay both the member contribution and the state contribution as an employment after retirement surcharge

Actuarial Methods and Assumptions

The total pension liability in the August 31, 2022 actuarial valuation was determined using the following actuarial methods and assumptions:

Valuation Date	August 31, 2022 rolled forward to August 31, 2023
Actuarial Cost Method	Individual Entry Age Normal
Asset Valuation Method	Fair Value
Single Discount Rate	7.00%
Long-term Expected Rate	7.00%
Municipal Bond Rate as of August 2023	4.13%. Source for the rate is the Fixed Income Market Data/Yield Curve/Data Municipal Bonds with 20 years to maturity that include only federally Tax-exempt municipal bonds as reported in Fidelity Index's "20-Year Municipal GO AA Index."
Last year ending August 31 in Projection period (100 years)	2122
Inflation	2.30%
Salary Increases	2.95% to 8.95%, including inflation
Ad hoc post-employment benefit changes	None

The actuarial methods and assumptions are the same assumptions used in the actuarial valuation as of August 31, 2022.

**HOUSTON INDEPENDENT SCHOOL DISTRICT
NOTES TO THE BASIC FINANCIAL STATEMENTS
FOR THE FISCAL YEAR ENDED JUNE 30, 2024**

Discount Rate and Long-term Expected Rate of Return

A single discount rate of 7.00 percent was used to measure the total pension liability. The single discount rate was based on the expected rate of return on pension plan investments of 7.00 percent. The projection of cash flows used to determine the single discount rate assumed that contributions from active members, employers and the non-employer contributing entity will be made at the statutorily required rates set during the 2019 session. It is assumed that future employer and state contributions will be 9.50 percent of payroll in fiscal year 2024 increasing to 9.56 percent of in fiscal year 2025 and thereafter. This includes all employer and state contributions for active and rehired retirees. Based on these assumptions, the pension plan's fiduciary net position was projected to be available to make all future benefit payments of current plan members. Therefore, the long-term expected rate of return on pension plan investments was applied to all periods of projected benefit payments to determine the total pension liability. The long-term rate of return on pension plan investments was determined using a building-block method in which best estimates ranges of expected future real rates of return (expected returns, net of pension plan investment expense and inflation) are developed for each major asset class. These ranges are combined to produce the long-term expected rate of return by weighing the expected future real rates of return by the target asset allocation percentage and by adding expected inflation. Best estimates of geometric real rates of return for each major asset class included in TRS's target asset allocation as of August 31, 2023 are summarized below:

Asset Class*	Target Allocation** %	Long-Term Expected Geometric Real Rate of Return***	Expected Contribution to Long-Term Portfolio Returns
Global Equity			
USA	18.0 %	4.0 %	1.0 %
Non-U.S. Developed	13.0 %	4.5 %	0.9 %
Emerging Markets	9.0 %	4.8 %	0.7 %
Private Equity*	14.0 %	7.0 %	1.5 %
Stable Value			
Government Bonds	16.0 %	2.5 %	0.5 %
Absolute Return *	0.0 %	3.6 %	0.0 %
Stable Value Hedge Funds	5.0 %	4.1 %	0.2 %
Real Return			
Real Estate	15.0 %	4.9 %	1.1 %
Energy, Natural Resources & Infrastructure	6.0 %	4.8 %	0.4 %
Commodities	0.0 %	4.4 %	0.0 %
Risk Parity	8.0 %	4.5 %	0.4 %
Asset Allocation Leverage			
Cash	2.0 %	3.7 %	0.0 %
Asset Allocation Leverage	(6.0) %	4.4 %	(0.1) %
Inflation Expectation			2.3 %
Volatility Drag****			(0.9) %
Expected Return	100.0 %		8.0 %

* Absolute Return includes Credit Sensitive Investments.

** Target allocations are based on the FY2023 policy model

*** Capital market Assumptions come from Aon Hewitt (as of 06/30/2023)

**** The volatility drag results from the conversion between arithmetic and geometric mean returns.

**HOUSTON INDEPENDENT SCHOOL DISTRICT
NOTES TO THE BASIC FINANCIAL STATEMENTS
FOR THE FISCAL YEAR ENDED JUNE 30, 2024**

Discount Rate Sensitivity Analysis

The following schedule shows the impact of the Net Pension Liability if the discount rate used was 1 percent less than and 1 percent greater than the current discount rate that was used (7.00 percent) in measuring the Net Pension Liability.

	1% Decrease (6.00%)	Current Single Discount Rate (7.00%)	1% Increase (8.00%)
District's proportionate share of the net pension liability:	\$1,473,109,060	\$985,320,732	\$579,724,474

Pension Liabilities, Pension Expense, and Deferred Outflows of Resources and Deferred Inflows of Resources Related to Pensions

On June 30, 2024, the District reported a net pension liability of \$ 985,320,732 for its proportionate share of the TRS's net pension liability. The amount recognized by the District as its proportionate share of the net pension liability, the related State support, and the total portion of the net pension liability that was associated with the District were as follows:

District's proportionate share of the collective net pension liability	\$ 985,320,732
State's proportionate share that is associated with the District	835,422,834
Total	<u>\$ 1,820,743,566</u>

The net pension liability was measured as of August 31, 2022, and rolled forward to August 31, 2023 and the total pension liability used to calculate the net pension liability was determined by an actuarial valuation as of August 31, 2022. The employer's proportion of the net pension liability was based on the employer's contributions to the pension plan relative to the contributions of all employers to the plan for the period September 1, 2022, through August 31, 2023.

On August 31, 2023, the District's proportion of the collective net pension liability was 0.014344383425 which was an increase of 0.002386988799 from its proportion measured as of August 31, 2022.

For the measurement period August 31, 2023, the District recognized total pension expense of \$292,563,231 of which \$126,141,624 was on behalf contributions. The District also recognized revenue of \$126,141,624 for support provided by the State.

On June 30, 2024, the District reported its deferred outflows of resources for contributions made subsequent to the measurement date and its proportionate share of the TRS's deferred outflows of resources and deferred inflows of resources related to pensions from the following sources:

	Deferred Outflows of Resources	Deferred Inflows of Resources
Difference between expected and actual actuarial experience	\$ 35,107,311	\$ 11,931,156
Changes in assumptions	93,192,041	22,806,217
Difference between projected and actual investment earnings	143,388,084	-
Changes in proportion and differences between the employer's contributions and the proportionate share of contributions	137,300,223	33,839,904
Contributions paid to TRS subsequent to the measurement date	59,530,748	-
Total	<u>\$ 468,518,407</u>	<u>\$ 68,577,277</u>

**HOUSTON INDEPENDENT SCHOOL DISTRICT
NOTES TO THE BASIC FINANCIAL STATEMENTS
FOR THE FISCAL YEAR ENDED JUNE 30, 2024**

Contributions of \$59,530,748 will be recognized as a reduction of the net pension liability in the year ending June 30, 2025. Other net amounts of the District's balances of deferred outflows and (inflows) of resources related to pensions will be recognized in pension expense as follows:

Year ended June 30:		Pension Expense Amount
2025	\$	60,687,905
2026		51,802,980
2027		148,167,818
2028		63,226,928
2029		16,524,751
Thereafter		-
Total		340,410,382

Changes since the Prior Measurement Date

The actuarial assumptions and methods are the same as used in the determination of prior year's net pension liability.

The Texas 2023 Legislature passed legislation that provides a one-time stipend to certain retired teachers. The stipend was paid to retirees beginning in September of 2023. The Legislature appropriated funds to pay for this one-time stipend so there will be no impact on the Net Position Liability of TRS. In addition, the Legislature also provided for a cost of living adjustment (COLA) to retirees which was approved during the November 2023 election which was paid January 2024. Therefore, this contingent liability was not reflected as of measurement period ending August 31, 2023.

Other Post-Employment Benefit Plans

Health Care Plan Description (TRS-Care)

The District participates in the Texas Public School Retired Employees Group Insurance Program (TRS- Care). It is a multiple-employer, cost-sharing defined Other Post-Employment Benefit (OPEB) plan that has a special funding situation. The plan is administered through a trust by the Teacher Retirement System of Texas (TRS) Board of Trustees. It is established and administered in accordance with the Texas Insurance Code, Chapter 1575. The Board of Trustees is granted the authority to establish basic and optional group insurance coverage for participants as well as to amend benefit terms as needed under Chapter 1575.052. The Board may adopt rules, plans, procedures, and orders reasonably necessary to administer the program, including minimum benefits and financing standards.

**HOUSTON INDEPENDENT SCHOOL DISTRICT
NOTES TO THE BASIC FINANCIAL STATEMENTS
FOR THE FISCAL YEAR ENDED JUNE 30, 2024**

OPEB Plan Fiduciary Net Position

Detail information about the TRS-Care's fiduciary net position is available in a separately issued TRS Annual Comprehensive Financial Report that includes financial statements and required supplementary information. That report may be obtained by visiting https://www.trs.texas.gov/Pages/about_publications.aspx; by writing to the TRS at 1000 Red River Street, Austin, Texas 78701-2698; or by calling (512) 542-6592.

The following information regards to OPEB plan fiduciary net position for the year ending August 31, 2023

<u>Net OPEB Liability</u>	<u>Total</u>
Total OPEB Liability	\$ 26,028,070,267
Less: Plan Fiduciary Net Position	<u>3,889,765,203</u>
Net OPEB Liability	<u>\$ 22,138,305,064</u>
Net Position as % of Total OPEB Liability	14.94%

Benefit Provided

TRS-Care provides health insurance coverage to retirees from public schools who are members of the TRS pension plan. Optional dependent coverage is available for an additional fee.

Eligible non-Medicare retirees and their dependents may enroll in TRS-Care Standard, a high-deductible health plan. Eligible Medicare retirees and their dependents may enroll in the TRS-Care Medicare Advantage medical plan and the TRS-Care Medicare Rx prescription drug plan. To qualify for TRS-Care coverage, a retiree must have at least 10 years of service credit in the TRS pension system. There are no automatic post-employment benefit changes, including automatic COLAs.

The premium rates for retirees are reflected in the following table.

TRS-Care Monthly Premium Rates

	<u>Medicare</u>	<u>Non-Medicare</u>
Retiree or Surviving Spouse	\$ 135	\$ 200
Retiree and Spouse	529	689
Retiree or Surviving Spouse and Children	468	408
Retiree and Family	1,020	999

**HOUSTON INDEPENDENT SCHOOL DISTRICT
NOTES TO THE BASIC FINANCIAL STATEMENTS
FOR THE FISCAL YEAR ENDED JUNE 30, 2024**

Contributions

Contribution rates for the TRS-Care plan are established in state statute by the Texas Legislature, and there is no continuing obligation to provide benefits beyond each fiscal year. The TRS-Care plan is currently funded on a pay-as-you-go basis and is subject to change based on available funding. Funding for TRS-Care is provided by retiree premium contributions and contributions from the state, active employees, and school districts based upon public school district payroll. The TRS Board of trustees does not have the authority to set or amend contribution rates.

Texas Insurance Code, section 1575.202 establishes the state's contribution rate which is 1.25 percent of the employee's salary. Section 1575.203 establishes the active employee's rate which is 0.65 percent of pay. Section 1575.204 establishes an employer contribution rate of not less than 0.25 percent or not more than 0.75 percent of the salary of each active employee of the public school. The actual employer contribution rate is prescribed by the Legislature in the General Appropriations Act. The following table shows contributions to the TRS-Care plan by type of contributor.

Contribution Rates		
	<u>2023</u>	<u>2024</u>
Active Employee	0.65%	0.65%
Non-Employer Contributing Entity (State)	1.25%	1.25%
Employers	0.75%	0.75%
Federal/private Funding remitted by Employers	1.25%	1.25%
District's 2024 District Contributions	\$	15,243,481
District's 2024 Member Contributions	\$	10,377,426
District's 2024 NECE On-Behalf Contributions	\$	16,956,092

In addition to the employer contributions listed above, there is an additional surcharge District is subject to. When the District hires a TRS retiree, it is required to pay to TRS Care a monthly surcharge of \$535 per retiree.

TRS-Care received supplemental appropriations in the amount of \$21.3 million in 2023 from Rider 14 of the Senate Bill GAA of the 87th Legislature.

Actuarial Methods and Assumptions

The actuarial valuation of the total OPEB liability was performed as of August 31, 2022. Update procedures were used to roll forward the Total OPEB Liability to August 31, 2023.

The actuarial valuation of the OPEB plan offered through TRS-Care is similar to the actuarial valuation performed to the pension plan, except that the OPEB valuation is more complex. The demographic assumptions were updated based on the experience study performed for TRS for the period ending August 31, 2021. The following assumptions and other inputs used for members of TRS-Care are based on an established pattern of practice and are identical to the assumptions used in the August 31, 2022 TRS pension actuarial valuation that was rolled forward to August 31, 2023:

Rates of Mortality	Rates of Disability
Rates of Retirement	General Inflation
Rates of Termination	Wage Inflation

**HOUSTON INDEPENDENT SCHOOL DISTRICT
NOTES TO THE BASIC FINANCIAL STATEMENTS
FOR THE FISCAL YEAR ENDED JUNE 30, 2024**

The active mortality rates were based on PUB (2010), Amount-Weighted, Below-Median Income, Teacher male and female tables (with a two-year set forward for males). The post-retirement mortality rates for healthy lives were based on the 2021 TRS of Texas Healthy Pensioner Mortality Tables. The rates were projected on a fully generational basis using the ultimate improvement rates from the mortality projection scale MP-2021.

The following methods and additional assumptions were used in the TRS-Care OPEB valuation:

Valuation Date	August 31, 2022 rolled forward to August 31, 2023
Actuarial Cost Method	Individual Entry-Age Normal
Inflation	2.30%
Single Discount Rate	4.13% as of August 31, 2023
Aging Factors	Based on plan specific experience
Expenses	Third-party administrative expenses related to the delivery of health care benefits are included in the age-adjusted claims costs.
Salary Increases	2.95% to 8.95%, including inflation
Ad hoc post-employment Benefit changes	None

Discount Rate

A single discount rate of 4.13 percent was used to measure the total OPEB liability. There was an increase of 0.22 percent in the discount rate since the previous year. Because the investments are held in cash and there is no intentional objective to advance fund the benefits, the Single Discount Rate is equal to the prevailing municipal bond rate.

The source of the municipal bond rate is the Fidelity "20-year Municipal GO AA Index" as of August 31, 2023, using the Fixed Income Market Data/Yield Curve/Data Municipal bonds with 20 years to maturity that include only federally tax-exempt municipal bonds.

Discount Rate Sensitivity Analysis

The following schedule shows the impact of the Net OPEB Liability if the discount rate used was 1 percent less than and 1 percent greater than the discount rate that was used (4.13 percent) in measuring Net OPEB Liability.

	1% Decrease (3.13%)	Current Single Discount Rate (4.13 %)	1% Increase (5.13%)
District's proportionate share of the Net OPEB liability:	\$ 450,648,522	\$ 382,621,558	\$ 327,109,946

Healthcare Cost Trend Rates Sensitivity Analysis

The following schedule shows the impact of the Net OPEB Liability if a healthcare trend rate that is 1 percent less than and 1 percent greater than the assumed rate.

	1% Decrease	Current Single Healthcare Trend Rate	1% Increase
District's proportionate share of the Net OPEB liability:	\$ 315,069,704	\$382,621,558	\$ 469,527,248

**HOUSTON INDEPENDENT SCHOOL DISTRICT
NOTES TO THE BASIC FINANCIAL STATEMENTS
FOR THE FISCAL YEAR ENDED JUNE 30, 2024**

OPEB Liabilities, OPEB Expense, and Deferred Outflows of Resources and Deferred Inflows of Resources Related to OPEBs

On June 30, 2024, the District reported a liability of \$ 382,621,558 for its proportionate share of the TRS's Net OPEB liability. The amount recognized by the District as its proportionate share of the net OPEB liability, the related State support, and the total portion of the Net OPEB Liability that was associated with the District were as follows:

District's Proportionate share of the collective Net OPEB liability	\$ 382,621,558
State's proportionate share that is associated with the District	<u>461,691,721</u>
Total	<u>\$ 844,313,279</u>

The Net OPEB liability was measured as of August 31, 2022 and rolled forward to August 31, 2023 and the total OPEB liability used to calculate the Net OPEB liability was determined by an actuarial valuation as of August 31, 2022. The employer's proportion of the Net OPEB liability was based on the employer's contributions to OPEB relative to the contributions of all employers to the plan for the period September 1, 2022 through August 31, 2023.

On August 31, 2023, the District's proportion of the collective Net OPEB Liability was 0.017283236298 which is an increase of 0.002422625923 from its proportion measured as of August 31, 2022.

Changes since the Prior Measurement Date

The following were changes to the actuarial assumptions or other inputs that affected measurement of the Total OPEB liability since the prior measurement period:

- The single discount rate was changed from 3.91 percent as of August 31, 2022 to 4.13 percent as of August 31, 2023, accompanied by revised demographic and economic assumptions based on the TRS experience study.

Changes of Benefit Terms Since the Prior Measurement Date – There were no changes in benefit terms since the prior measurement date.

For the measurement period August 31, 2023, the District recognized total OPEB revenue of \$160,679,178 due to recognition of deferred inflows in excess of deferred outflows and current year expense. OPEB revenue of \$98,699,945 was recognized for support provided by the State.

On June 30, 2024, the District reported its proportionate share of the TRS's deferred outflows of resources and deferred inflows of resources related to other post-employment benefits from the following sources:

	Deferred Outflows of Resources	Deferred Inflows of Resources
Difference between expected and actual actuarial experience	\$ 17,310,725	\$ 321,903,564
Changes in assumptions	52,225,054	234,289,330
Difference between projected and actual investment earnings	165,314	-
Changes in proportion and difference between the employer's contributions and proportionate share of contributions	187,443,038	70,710,205
Contributions paid to TRS subsequent to the measurement date	12,396,148	-
Total	\$ 269,540,279	\$ 626,903,099

**HOUSTON INDEPENDENT SCHOOL DISTRICT
NOTES TO THE BASIC FINANCIAL STATEMENTS
FOR THE FISCAL YEAR ENDED JUNE 30, 2024**

Contributions paid subsequent to the measurement date will be recognized as a reduction of the net OPEB liability in the year ending June 30, 2025.

Other amounts of the District's balances of deferred outflows and (inflows) of resources related to OPEB will be recognized in OPEB expense as follows:

Year ended June 30:	OPEB Expense Amount
2025	\$ (93,505,562)
2026	(75,954,200)
2027	(52,192,820)
2028	(65,159,037)
2029	(49,978,283)
Thereafter	(32,969,066)
Total	\$ (369,758,968)

Medicare Part D

The Medicare Modernization Act of 2003 (MMA) created an outpatient prescription drug benefit program known as Medicare Part D. The Texas Public School Retired Employee Group Insurance Program (TRS-Care) is offering a Medicare Part D Plan and is participating in the Retiree Drug Subsidy plan for eligible TRS-Care participants. For the years ended August 31, 2024 and August 31, 2023, the subsidy payments received by TRS-Care on behalf of the District were \$8,080,397 and \$7,150,321, respectively. TRS issues a publicly available financial report. That report may be found by visiting the TRS Web site at www.trs.texas.gov/Pages/re_gasb_24.aspx.

NOTE 13: COMMITMENTS AND CONTINGENCIES

The District received significant financial assistance from numerous federal and state governmental agencies in the form of grants. The disbursements of funds received under these programs generally requires compliance with terms and conditions specified in the grant agreements and are subject to audit by the grantor agencies and the Texas Education Agency. Any disallowed claims resulting from such audits could become a liability of the General Fund.

The District is party to various other legal actions, none of which is believed by the administration or legal counsel to have a material effect on the financial condition of the District. Accordingly, no provision for losses has been recorded in the accompanying financial statements for such contingencies.

NOTE 14: NONMONETARY TRANSACTIONS

During fiscal year 2024, the District received goods purchased by the State of Texas for the benefit of the District through the Instructional Materials and Technology Allotment program. The instructional materials have been recorded in the amount \$80 thousand in the special revenue fund as both state revenues and expenditures, which represent the amount of consideration given by the State of Texas.

Approximately twenty-six middle schools and high schools were selected to participate in the Verizon Innovative Learning School (VILS), the education initiative of Verizon. Verizon awarded data plans to the District in fiscal year 2023. In-kind donations in the amount of approximately \$1.3 million have been recorded in the special revenue fund as both local revenues and expenditures. The program was terminated effective November 17, 2023.

***HOUSTON INDEPENDENT SCHOOL DISTRICT
NOTES TO THE BASIC FINANCIAL STATEMENTS
FOR THE FISCAL YEAR ENDED JUNE 30, 2024***

The District received an award from TEA for the Learning Acceleration Support Opportunities (LASO) Grant which focused on K-5 math and literacy comprehensive instructional support. In-kind donations in the amount of \$29.077 million for high quality instructional materials, professional development, and stipends have been recorded in the special revenue fund as both state revenues and expenditures in fiscal year 2024.



FINANCIAL SECTION

2024
Required
Supplementary
Information
(Unaudited)

FINANCIAL EXCELLENCE
Supporting Academic Success

HOUSTON INDEPENDENT SCHOOL DISTRICT

HOUSTON INDEPENDENT SCHOOL DISTRICT REQUIRED SUPPLEMENTARY INFORMATION SCHEDULE OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCE BUDGET AND ACTUAL - GENERAL FUND FOR THE FISCAL YEAR ENDED JUNE 30, 2024

	Budgeted Amounts		Actual	Variance with Final Budget
	Original	Final		
REVENUES				
Property taxes	\$ 1,872,590,384	\$ 1,530,625,310	\$ 1,506,848,009	\$ (23,777,301)
Earnings on investments	60,537,932	60,537,932	72,775,580	12,237,648
Miscellaneous local sources	2,500,000	2,500,000	5,347,301	2,847,301
State sources	196,658,385	286,263,599	319,532,249	33,268,650
Federal sources	62,538,142	62,538,142	78,105,613	15,567,471
Total revenues	<u>2,194,824,843</u>	<u>1,942,464,983</u>	<u>1,982,608,752</u>	<u>40,143,769</u>
EXPENDITURES				
Current				
Instruction	1,137,458,757	1,199,024,696	1,150,954,093	48,070,603
Instructional resources and media services	20,575,943	13,964,580	13,830,385	134,195
Instructional staff development	27,569,001	25,967,376	25,815,707	151,669
Instructional leadership	30,977,071	62,966,364	63,063,461	(97,097)
School leadership	174,941,609	212,399,124	215,392,395	(2,993,271)
Guidance, counseling and evaluation services	79,520,172	65,124,641	64,717,439	407,202
Social work services	8,382,235	5,437,770	4,712,785	724,985
Health services	25,650,688	25,542,942	24,201,089	1,341,853
Student transportation	53,505,616	66,468,695	57,023,753	9,444,942
Food Services	136,117	89,059	71,239	17,820
Co-curricular/extracurricular activities	19,521,086	26,511,529	25,280,790	1,230,739
General administration	50,002,399	55,681,422	53,050,919	2,630,503
Plant maintenance and operations	233,833,447	248,793,169	235,307,348	13,485,821
Security and monitoring services	30,601,520	32,840,069	32,091,167	748,902
Data processing services	61,307,083	61,684,520	58,440,335	3,244,185
Community services	2,030,863	8,779,155	7,050,496	1,728,659
Contracted instructional services between public schools	326,539,245	-	-	-
Juvenile justice alternative education programs	792,000	792,000	583,200	208,800
Tax reinvestment zone payments	77,304,451	75,720,089	75,544,048	176,041
Tax appraisal and collection	16,501,316	16,501,316	16,453,702	47,614
Debt service				
Principal	-	15,054,927	18,411,360	(3,356,433)
Interest and fiscal charges	-	-	586,823	(586,823)
Capital outlay				
Facilities acquisition and construction	-	7,911,999	6,632,145	1,279,854
Total expenditures	<u>2,377,150,619</u>	<u>2,227,255,442</u>	<u>2,149,214,679</u>	<u>78,040,763</u>
Excess (deficiency) of revenues over (under) expenditures	<u>(182,325,776)</u>	<u>(284,790,459)</u>	<u>(166,605,927)</u>	<u>118,184,532</u>
OTHER FINANCING SOURCES (USES)				
Issuance of leases and SBITAs	-	805,000	963,576	158,576
Insurance recovery	-	16,000,000	18,165,781	2,165,781
Transfers in	30,000,000	90,000,000	84,000,000	(6,000,000)
Transfers out	(16,213,650)	(16,395,650)	(16,395,650)	-
Total other financing sources (uses)	<u>13,786,350</u>	<u>90,409,350</u>	<u>86,733,707</u>	<u>(3,675,643)</u>
Net change in fund balances	(168,539,426)	(194,381,109)	(79,872,220)	114,508,889
Fund balances-beginning	<u>1,127,068,920</u>	<u>1,127,068,920</u>	<u>1,127,068,920</u>	<u>-</u>
Fund balances-ending	<u>\$ 958,529,494</u>	<u>\$ 932,687,811</u>	<u>\$ 1,047,196,700</u>	<u>\$ 114,508,889</u>

The notes to required supplementary information are an integral part of this schedule.

HOUSTON INDEPENDENT SCHOOL DISTRICT

HOUSTON INDEPENDENT SCHOOL DISTRICT SCHEDULE OF THE DISTRICT'S PROPORTIONATE SHARE OF THE NET PENSION LIABILITY TEACHER RETIREMENT SYSTEM FOR THE LAST TEN FISCAL YEARS ENDING JUNE 30TH

	2024	2023	2022	2021	2020	2019	2018	2017	2016	2015
District's proportion of the net pension liability	0.014344383	0.011957395	0.010275354	0.010387994	0.011431951	0.012248650	0.014532544	0.01757928	0.008479058	0.010781403
District's proportionate share of the net pension liability	\$ 985,320,732	\$ 709,879,768	\$ 261,676,905	\$ 556,359,739	\$ 594,268,532	\$ 674,195,407	\$ 464,672,473	\$ 664,294,849	\$ 299,723,414	287,986,184
State's proportionate share of the net pension liability associated with the District	835,422,834	812,265,533	387,987,162	839,290,004	807,327,463	911,547,549	460,406,284	648,209,392	645,866,011	510,071,049
Total	<u>\$ 1,820,743,566</u>	<u>\$ 1,522,145,301</u>	<u>\$ 649,664,067</u>	<u>\$ 1,395,649,743</u>	<u>\$ 1,401,595,995</u>	<u>\$ 1,585,742,956</u>	<u>\$ 925,078,757</u>	<u>\$ 1,312,504,241</u>	<u>\$ 945,589,425</u>	<u>798,057,233</u>
District's covered payroll	\$ 1,452,433,879	\$ 1,314,489,134	\$ 1,224,307,787	\$ 1,225,879,256	\$ 1,167,177,661	\$ 1,216,307,679	\$ 1,208,366,962	\$ 1,173,667,245	\$ 1,159,791,606	1,107,330,812
District's proportionate share of the net pension liability as a percentage of its Covered Payroll	67.84%	54.00%	21.37%	45.38%	50.92%	55.43%	38.45%	56.60%	25.84%	26.01%
Plan fiduciary net position as a percentage of the total pension liability	73.15%	75.62%	88.79%	75.54%	75.24%	73.74%	82.17%	78.00%	78.43%	83.25%

Note: GASB Codification, Vol. 2, P50.238 states that the information on this schedule should be determined as of the measurement date. Therefore, the amounts reported are based on the August 31st measurement date of the prior year.

The notes to the required supplementary information are an integral part of this schedule.

HOUSTON INDEPENDENT SCHOOL DISTRICT

HOUSTON INDEPENDENT SCHOOL DISTRICT SCHEDULE OF THE DISTRICT'S CONTRIBUTIONS TEACHER RETIREMENT SYSTEM FOR THE LAST TEN FISCAL YEARS ENDING JUNE 30TH

	2024	2023	2022	2021	2020	2019	2018	2017	2016	2015
Contractually Required Contribution	\$ 72,224,501	\$ 74,674,199	\$ 51,597,823	\$ 41,627,333	\$ 42,327,919	\$ 36,063,434	\$ 42,988,120	\$ 50,787,112	\$ 44,318,451	\$ 35,477,854
Contribution in Relation to the Contractually Required Contribution	<u>(72,224,501)</u>	<u>(74,674,199)</u>	<u>(51,597,823)</u>	<u>(41,627,333)</u>	<u>(42,327,919)</u>	<u>(36,063,434)</u>	<u>(42,988,120)</u>	<u>(50,787,112)</u>	<u>(44,318,451)</u>	<u>(35,477,854)</u>
Contribution Deficiency (Excess)	<u>\$ -</u>	<u>\$ -</u>	<u>\$ -</u>	<u>\$ -</u>	<u>\$ -</u>	<u>\$ -</u>	<u>\$ -</u>	<u>\$ -</u>	<u>\$ -</u>	<u>\$ -</u>
District's Covered Payroll	1,596,051,949	1,420,530,603	1,266,504,509	1,207,300,696	1,222,971,688	1,187,024,982	1,209,753,335	1,173,667,245	1,221,845,231	1,153,641,436
Contributions as a Percentage of Covered Payroll	4.53%	5.26%	4.07%	3.45%	3.46%	3.04%	3.55%	4.33%	3.63%	3.08%

The notes to the required supplementary information are an integral part of this schedule.

HOUSTON INDEPENDENT SCHOOL DISTRICT

HOUSTON INDEPENDENT SCHOOL DISTRICT SCHEDULE OF THE DISTRICT'S PROPORTIONATE SHARE OF THE NET OPEB LIABILITY TEACHER RETIREMENT SYSTEM FOR THE LAST SEVEN FISCAL YEARS ENDING JUNE 30TH

	2024	2023	2022	2021	2020	2019	2018
District's proportion of the net OPEB liability	0.017283236	0.014860610	0.013786832	0.014228358	0.015150755	0.015868296	0.015015496
District's proportionate share of the net OPEB liability	\$ 382,621,558	\$ 355,822,534	\$ 531,819,720	\$ 540,884,130	\$ 716,497,750	\$ 792,318,535	\$ 652,967,581
State's proportionate share of the net OPEB liability associated with the District	461,691,721	434,047,588	712,519,905	726,818,617	952,065,245	991,937,695	892,054,326
Total	<u>\$ 844,313,279</u>	<u>\$ 789,870,122</u>	<u>\$ 1,244,339,625</u>	<u>\$ 1,267,702,747</u>	<u>\$ 1,668,562,995</u>	<u>\$ 1,784,256,230</u>	<u>\$ 1,545,021,907</u>
District's covered payroll	1,452,433,879	1,314,489,134	1,224,307,787	1,225,879,256	1,167,177,661	1,216,307,679	1,208,366,962
District's proportionate share of the net OPEB liability as a percentage of its Covered Payroll	26.34%	27.07%	43.44%	44.12%	61.39%	65.14%	54.04%
Plan fiduciary net position as a percentage of the total OPEB liability	14.94%	11.52%	6.18%	4.99%	2.66%	1.57%	0.91%

Note: GASB Codification, Vol. 2, P50.238 states that the information on this schedule should be determined as of the measurement date. Therefore, the amounts reported are based on the August 31st measurement date of the prior year.

This schedule shows only the years for which this information is available. Additional information will be added until 10 years of data are available and reported.

HOUSTON INDEPENDENT SCHOOL DISTRICT

HOUSTON INDEPENDENT SCHOOL DISTRICT SCHEDULE OF THE DISTRICT'S CONTRIBUTIONS FOR OTHER POST EMPLOYMENT BENEFITS TEACHER RETIREMENT SYSTEM FOR THE LAST TEN FISCAL YEARS ENDING JUNE 30TH

	2024	2023	2022	2021	2020	2019	2018	2017	2016	2015
Contractually Required Contribution	\$ 15,243,481	\$ 14,669,167	\$ 11,450,504	\$ 10,379,299	\$ 10,608,341	\$ 10,482,849	\$ 10,561,622	\$ 7,844,378	\$ 8,414,747	\$ 7,742,748
Contribution in Relation to the Contractually Required Contribution	(15,243,481)	(14,669,167)	(11,450,504)	(10,379,299)	(10,608,341)	(10,482,849)	(10,561,622)	(7,844,378)	(8,414,747)	(7,742,748)
Contribution Deficiency (Excess)	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -
District's Covered Payroll	1,596,051,949	1,420,530,603	1,266,504,509	1,207,300,696	1,222,971,688	1,187,024,982	1,209,753,335	1,173,667,245	1,221,845,231	1,153,641,436
Contributions as a Percentage of Covered Payroll	0.96%	1.03%	0.90%	0.86%	0.87%	0.88%	0.87%	0.67%	0.69%	0.67%

The notes to the required supplementary information are an integral part of this schedule.

**HOUSTON INDEPENDENT SCHOOL DISTRICT
NOTES TO REQUIRED SUPPLEMENTARY INFORMATION
FOR THE FISCAL YEAR ENDED JUNE 30, 2024**

Note 1: Stewardship, Compliance, and Accountability

The District uses the following procedures in establishing the budgets reflected in the financial statements:

- Prior to June 30th of the preceding fiscal year, the District prepares a budget for the next succeeding fiscal year beginning July 1. The operating budget includes proposed expenditures and the means of financing them.
- Public hearings are conducted to obtain citizens' comments. However, the final priorities and funding of projects are determined by the Board of Managers that establishes a tax rate to support the approved budget.
- A meeting of the Board of Managers is then called for the purpose of adopting the proposed budget.
- Budgets are approved on a fund-by-fund basis. The District can make amendments to the budget at any time during the year; however, amendments changing functional expenditure categories (as defined in the Texas Education Agency's *Financial Accountability System Resource Guide*) must be ratified by the Board of Managers. Budget amendments are presented to the Board of Managers monthly or as needed.
- Budgets are considered a management control and planning tool and, as such, are incorporated into the accounting system of the District.
- Annual budgets are legally adopted for the General Fund, the Debt Service Fund, and the Nutrition Services Fund. The budgets are prepared on a basis of accounting that is used for reporting in accordance with generally accepted accounting principles and are monitored by the Budget and Financial Planning Office. By state law, expenditures may not legally exceed budgeted appropriations, as amended, at the function level by fund. Unexpended appropriations lapse at the end of the fiscal year.
- Per TEA requirements, the expenditure in any functional category should not exceed the approved budget. For the year ended June 30, 2024:

General Fund, Function 21, Instructional Leadership exceeded budget due to payroll costs

General Fund, Function 23, School Leadership exceeded budget due to payroll costs

General Fund, Function 71, Debt Service exceeded budget due to SBITA payments.

Nutrition Services Fund, Function 51, Plant Maintenance and Operations exceeded budget due to payroll costs

Nutrition Services Fund, Function 71, Debt Service exceeded budget due to SBITA payments

Note 2. Net Pension Liability and Net OPEB Liability

The following factors significantly affect trends in the amounts reported for the District's proportionate share of the net pension liability and net OPEB liability:

Changes in actuarial assumptions and inputs

Measurement Date August 31,	Net Pension Liability		Net OPEB
	Discount	Long-Term	Discount
2023	7.000%	7.000%	4.130%
2022	7.000%	7.000%	3.910%
2021	7.250%	7.250%	1.950%
2020	7.250%	7.250%	2.330%
2019	7.250%	7.250%	2.630%
2018	6.907%	7.250%	3.690%
2017	8.000%	8.000%	3.420%
2016	8.000%	8.000%	
2015	8.000%	8.000%	
2014	8.000%	8.000%	

Changes in demographic and economic assumptions

For Measurement Date August 31, 2018 – Net Pension Liability and Net OPEB Liability:

- Demographic assumptions including post-retirement mortality, termination rates, and rates of retirement and economic assumptions, including rates of salary increase for individual participants were updated based on the experience study performed for TRS for the period ending August 31, 2017.

Changes in benefit terms

For Measurement Date August 31, 2023 – Net Pension Liability:

- One-time stipend was paid to certain retired teachers in September of 2023 as per legislation passed in 2023. Additionally, cost of living adjustment (COLA) was provided to retirees in January 2024. These payments have no impact on the Net Pension Liability as of August 31, 2023.

For Measurement Date August 31, 2018 – Net OPEB Liability:

- Changes of benefit terms were made effective September 1, 2017 by the 85th Texas Legislature.

Other changes

For Measurement Date August 31, 2022 – Net OPEB Liability:

- The participation rate for pre-65 retirees was lowered from 65% to 62%. The participation rate for post-65 retirees was lowered from 40% to 25%.

For Measurement Date August 31, 2020 – Net OPEB Liability:

- The participation rate for post-65 retirees was lowered from 50% to 40%.
- The ultimate health care trend rate assumption decreased to reflect the repeal of the excise (Cadillac) tax on high-cost employer health plans.

For Measurement Date August 31, 2019 – Net Pension Liability:

- With the enactment of SB3 by the 2019 Texas Legislature, an assumption was made about how this would impact future salaries. It is assumed that eligible active members will each receive a \$2,700 increase in fiscal year 2020. This is in addition to the salary increase expected based on the actuarial assumptions.

For Measurement Date August 31, 2019 – Net OPEB Liability:

- The participation rate for pre-65 retirees was lowered from 70% to 65%. The participation rate for post-65 retirees was lowered from 75% to 50%. 25% of pre-65 retirees are assumed to discontinue their coverage at age 65.

- The trend rates were reset to better reflect the plan's anticipated experience.
- The percentage of retirees who are assumed to have two-person coverage was lowered from 20% to 15%. In addition, the participation assumption for the surviving spouses of employees that die while actively employed was lowered from 20% to 10%.

For Measurement Date August 31, 2018 – Net OPEB Liability:

- Adjustments were made for retirees that were known to have discontinued their health care coverage in fiscal year 2018.
- The health care trend rate assumption was updated to reflect the anticipated return of the Health Insurer Fee (HIF) in 2020.



FINANCIAL SECTION

2024
Combining
and Individual
Fund Statements
and Schedules

FINANCIAL EXCELLENCE
Supporting Academic Success

NONMAJOR ENTERPRISE FUNDS

The **Medicaid Fund** is used to account for the financial operations of the district's school-based federal Medicaid program that provides health and medical services to Medicaid eligible special education students. In addition, the district currently provides consulting services and Medicaid claims management services to approximately 120 Texas school districts.

The **Marketplace Fund** is used to account for the financial operations of the Starbucks® coffee and snack bar located on the first level of the Hattie Mae White (HMW) Educational Support Center. The district established this Marketplace as a benefit to employees working in the HMW building. The Starbucks® coffee and snack bar provides a variety Starbucks® drinks and grab-and-go items made available to guests and employees at HMW.

HOUSTON INDEPENDENT SCHOOL DISTRICT

HOUSTON INDEPENDENT SCHOOL DISTRICT COMBINING STATEMENT OF NET POSITION NONMAJOR ENTERPRISE FUNDS JUNE 30, 2024

	<u>Medicaid</u>	<u>The Marketplace</u>	<u>Totals</u>
ASSETS			
Current assets:			
Cash and cash equivalents	\$ -	\$ 200	\$ 200
Investments	1,702,275	218,267	1,920,542
Due from other governments	8,567,525	-	8,567,525
Due from other funds	6,077,737	-	6,077,737
Inventories	-	19,171	19,171
Total current assets	<u>16,347,537</u>	<u>237,638</u>	<u>16,585,175</u>
Noncurrent assets:			
Furniture and equipment	442,250	15,202	457,452
Right-to-use subscription assets	8,821,173	-	8,821,173
Less accumulated depreciation and amortization	<u>(4,363,913)</u>	<u>(15,202)</u>	<u>(4,379,115)</u>
Total noncurrent assets	<u>4,899,510</u>	<u>-</u>	<u>4,899,510</u>
Total assets	<u>21,247,047</u>	<u>237,638</u>	<u>21,484,685</u>
LIABILITIES			
Current liabilities:			
Accounts payable	141,238	10,026	151,264
Due to other funds	-	45,077	45,077
Compensated absences payable	207,236	2,038	209,274
Subscriptions payable	1,966,657	-	1,966,657
Total current liabilities	<u>2,315,131</u>	<u>57,141</u>	<u>2,372,272</u>
Noncurrent liabilities:			
Compensated absences payable	254,181	2,500	256,681
Subscriptions payable	<u>3,022,445</u>	<u>-</u>	<u>3,022,445</u>
Total noncurrent liabilities	<u>3,276,626</u>	<u>-</u>	<u>3,279,126</u>
Total liabilities	<u>5,591,757</u>	<u>59,641</u>	<u>5,651,398</u>
NET POSITION			
Net investment in capital assets (deficit)	(89,592)	-	(89,592)
Unrestricted	15,744,882	177,997	15,922,879
Total net position	<u>\$ 15,655,290</u>	<u>\$ 177,997</u>	<u>\$ 15,833,287</u>

HOUSTON INDEPENDENT SCHOOL DISTRICT

HOUSTON INDEPENDENT SCHOOL DISTRICT COMBINING STATEMENT OF REVENUES, EXPENSES, AND CHANGES IN FUND NET POSITION NONMAJOR ENTERPRISE FUNDS FOR THE FISCAL YEAR ENDED JUNE 30, 2024

	<u>Medicaid</u>	<u>The Marketplace</u>	<u>Totals</u>
OPERATING REVENUES			
Charges for sales and services:			
Sales to customers	\$ -	\$ 377,244	\$ 377,244
Consulting Services	2,001,295	-	2,001,295
Total operating revenues	<u>2,001,295</u>	<u>377,244</u>	<u>2,378,539</u>
OPERATING EXPENSES			
Payroll costs	3,423,913	94,598	3,518,511
Purchased and contracted services	802,359	8,171	810,530
Supplies and materials	308,095	239,176	547,271
Other operating expenses	177,587	15,047	192,634
Depreciation and amortization	2,029,710	-	2,029,710
Total operating expenses	<u>6,741,664</u>	<u>356,992</u>	<u>7,098,656</u>
Operating income (loss)	<u>(4,740,369)</u>	<u>20,252</u>	<u>(4,720,117)</u>
NONOPERATING REVENUES (EXPENSES)			
Earnings on investments	1,088,062	11,880	1,099,942
Interest	(148,003)	-	(148,003)
School health services (SHARS)	3,286,676	-	3,286,676
Total nonoperating revenue	<u>4,226,735</u>	<u>11,880</u>	<u>4,238,615</u>
Income (loss) before transfers	(513,634)	32,132	(481,502)
Transfers out	<u>(14,000,000)</u>	<u>-</u>	<u>(14,000,000)</u>
Change in net position	(14,513,634)	32,132	(14,481,502)
Total net position - beginning	30,168,924	145,865	30,314,789
Total net position - ending	<u>\$ 15,655,290</u>	<u>\$ 177,997</u>	<u>\$ 15,833,287</u>

HOUSTON INDEPENDENT SCHOOL DISTRICT

**HOUSTON INDEPENDENT SCHOOL DISTRICT
COMBINING STATEMENT OF CASH FLOWS
NONMAJOR ENTERPRISE FUNDS
FOR THE FISCAL YEAR ENDED JUNE 30, 2024**

	<u>Medicaid</u>	<u>The Marketplace</u>	<u>Totals</u>
CASH FLOWS FROM OPERATING ACTIVITIES			
Receipts from user charges	\$ 2,275,476	\$ 377,244	\$ 2,652,720
Payments to suppliers	(37,378,244)	(207,902)	(37,586,146)
Payments to employees	(3,425,339)	(90,629)	(3,515,968)
Net cash provided (used) in operating activities	<u>(38,528,107)</u>	<u>78,713</u>	<u>(38,449,394)</u>
CASH FLOWS FROM NONCAPITAL FINANCING ACTIVITIES			
Receipts from SHARS program	12,179,803	-	12,179,803
Transfers to other funds	(14,000,000)	-	(14,000,000)
Net cash used in noncapital financing activities	<u>(1,820,197)</u>	<u>-</u>	<u>(1,820,197)</u>
CASH FLOWS FROM CAPITAL AND RELATED FINANCING ACTIVITIES			
Principal paid on subscriptions	(2,236,255)	-	(2,236,255)
Interest paid on subscriptions	(148,003)	-	(148,003)
Net cash used in capital and related financing activities	<u>(2,384,258)</u>	<u>-</u>	<u>(2,384,258)</u>
CASH FLOWS FROM INVESTING ACTIVITIES			
Purchase of investments	(20,526,987)	(465,066)	(20,992,053)
Proceeds from sales and maturities of investments	62,171,487	374,473	62,545,960
Interest and dividends	1,088,062	11,880	1,099,942
Net cash provided (used) in investing activities	<u>42,732,562</u>	<u>(78,713)</u>	<u>42,653,849</u>
Net decrease in cash and cash equivalents	<u>-</u>	<u>-</u>	<u>-</u>
Cash and cash equivalents - beginning of the year	<u>-</u>	<u>200</u>	<u>200</u>
Cash and cash equivalents - end of the year	<u>\$ -</u>	<u>\$ 200</u>	<u>\$ 200</u>
Reconciliation of operating loss to net cash provided by (used in) operating activities:			
Operating loss	\$ (4,740,369)	\$ 20,252	\$ (4,720,117)
Adjustments to reconcile operating loss to net cash provided by (used in) operating activities:			
Depreciation and amortization expense	2,029,710	-	2,029,710
Change in assets and liabilities:			
Due from other governments	274,182	-	274,182
Due from other funds	(6,077,737)	12,066	(6,065,671)
Inventories	-	(4,861)	(4,861)
Accounts payable	89,638	2,210	91,848
Due to other funds	(30,102,105)	45,077	(30,057,028)
Compensated absences payable	(1,426)	3,969	2,543
Net cash provided (used) in operating activities	<u>\$ (38,528,107)</u>	<u>\$ 78,713</u>	<u>\$ (38,449,394)</u>

INTERNAL SERVICE FUNDS

The **Print Shop Fund** is used to account for all the printing and distribution activities of the District's two print shop facilities. Schools and departments are charged for the costs of printing and distribution requests. During non-peak times, the Print Shop contracts with other governmental agencies requiring assistance during their peak periods. In addition, the Print Shop handles the districtwide copier contract/services for all schools and departments.

The **Health Insurance Fund** is used to account for the health insurance plan administered by the District. The plan is a self-insured plan requiring the District and its employees to contribute the cost. The District contributes approximately 81.87 percent of the annual cost of the plan with employees paying for the remaining 18.13 percent. These contributions are paid from all governmental and proprietary funds to the Health Insurance Fund from which all claims and administrative expenses are paid.

The **Workers' Compensation Fund** is used to account for risk financing activities related to the self-insured workers' compensation program. All employees of the District are covered by this plan for injuries occurring on the job. The District contributes 100 percent of the funding for this program.

The **Internal Services Fund** is used to account for the fee-for-services offered by the District to serve the specific needs of schools and departments. The Alternative Certification, Athletics, UIL, and Shared Services programs are accounted for within this fund.



HOUSTON INDEPENDENT SCHOOL DISTRICT

HOUSTON INDEPENDENT SCHOOL DISTRICT COMBINING STATEMENT OF NET POSITION INTERNAL SERVICE FUNDS JUNE 30, 2024

	Print Shop	Health Insurance	Workers' Compensation	Internal Services	Total Internal Service Funds
ASSETS					
Current assets:					
Cash and cash equivalents	\$ -	\$ -	\$ -	\$ -	\$ -
Investments	7,228,673	33,383,013	30,494,246	7,314,958	78,420,890
Receivables	37,179	-	-	-	37,179
Due from other funds	-	8,790,654	-	-	8,790,654
Total current assets	<u>7,265,852</u>	<u>42,173,667</u>	<u>30,494,246</u>	<u>7,314,958</u>	<u>87,248,723</u>
Noncurrent assets:					
Land improvements	-	-	-	1,100,767	1,100,767
Buildings and improvements	555,828	-	-	1,590,750	2,146,578
Furniture and equipment	1,435,770	-	5,827	1,392,316	2,833,913
Vehicles	107,665	-	-	112,938	220,603
Right-to-use lease assets	23,139,837	-	-	-	23,139,837
Less accumulated depreciation and amortization	<u>(20,309,461)</u>	<u>-</u>	<u>(5,827)</u>	<u>(2,050,569)</u>	<u>(22,365,857)</u>
Total noncurrent assets	<u>4,929,639</u>	<u>-</u>	<u>-</u>	<u>2,146,202</u>	<u>7,075,841</u>
Total assets	<u>12,195,491</u>	<u>42,173,667</u>	<u>30,494,246</u>	<u>9,461,160</u>	<u>94,324,564</u>
LIABILITIES					
Current liabilities:					
Accounts payable	1,435,826	6,934,630	418,765	234,728	9,023,949
Due to other funds	53,183	-	401,098	416,156	870,437
Compensated absences payable	40,679	57,545	24,057	297,191	419,472
Claims and judgments payable	-	14,312,780	2,023,028	-	16,335,808
Leases payable	3,464,552	-	-	-	3,464,552
Total current liabilities	<u>4,994,240</u>	<u>21,304,955</u>	<u>2,866,948</u>	<u>948,075</u>	<u>30,114,218</u>
Noncurrent liabilities:					
Compensated absences payable	113,731	160,889	67,259	830,904	1,172,783
Claims and judgments payable	-	-	1,348,686	-	1,348,686
Total noncurrent liabilities	<u>113,731</u>	<u>160,889</u>	<u>1,415,945</u>	<u>830,904</u>	<u>2,521,469</u>
Total liabilities	<u>5,107,971</u>	<u>21,465,844</u>	<u>4,282,893</u>	<u>1,778,979</u>	<u>32,635,687</u>
NET POSITION					
Net investment in capital assets	1,465,087	-	-	2,146,202	3,611,289
Unrestricted	5,622,433	20,707,823	26,211,353	5,535,979	58,077,588
Total net position	<u>\$ 7,087,520</u>	<u>\$ 20,707,823</u>	<u>\$ 26,211,353</u>	<u>\$ 7,682,181</u>	<u>\$ 61,688,877</u>

HOUSTON INDEPENDENT SCHOOL DISTRICT

**HOUSTON INDEPENDENT SCHOOL DISTRICT
COMBINING STATEMENT OF REVENUES, EXPENSES,
AND CHANGES IN FUND NET POSITION
INTERNAL SERVICE FUNDS
FOR THE FISCAL YEAR ENDED JUNE 30, 2024**

	<u>Print Shop</u>	<u>Health Insurance</u>	<u>Workers' Compensation</u>	<u>Internal Services</u>	<u>Total Internal Service Funds</u>
OPERATING REVENUES:					
Charges for sales and services:					
Sales to customers	\$ 12,429,777	\$ -	\$ -	\$ 1,452,705	\$ 13,882,482
Charges to employees and other funds	-	178,690,394	3,498,860	14,807,491	196,996,745
Miscellaneous	-	15,184,617	67,374	-	15,251,991
Total operating revenues	<u>12,429,777</u>	<u>193,875,011</u>	<u>3,566,234</u>	<u>16,260,196</u>	<u>226,131,218</u>
OPERATING EXPENSES:					
Payroll costs	1,771,404	2,069,347	1,190,006	10,891,273	15,922,030
Purchased and contracted services	1,468,373	5,551,110	2,687,185	1,630,259	11,336,927
Supplies and materials	1,358,748	14,029	2,106	1,287,338	2,662,221
Other operating expenses	4,710	8,089	1,570,584	1,243,701	2,827,084
Claims and judgments	-	207,695,383	4,089,823	-	211,785,206
Depreciation and amortization	4,761,388	-	-	117,582	4,878,970
Total operating expenses	<u>9,364,623</u>	<u>215,337,958</u>	<u>9,539,704</u>	<u>15,170,153</u>	<u>249,412,438</u>
Operating income (loss)	<u>3,065,154</u>	<u>(21,462,947)</u>	<u>(5,973,470)</u>	<u>1,090,043</u>	<u>(23,281,220)</u>
NONOPERATING REVENUES (EXPENSES):					
Earnings on investments	384,176	1,580,228	1,841,005	432,172	4,237,581
Interest	(241,249)	-	-	-	(241,249)
Total nonoperating revenues (expenses)	<u>142,927</u>	<u>1,580,228</u>	<u>1,841,005</u>	<u>432,172</u>	<u>3,996,332</u>
Change in net position	3,208,081	(19,882,719)	(4,132,465)	1,522,215	(19,284,888)
Total net position—beginning	3,879,439	40,590,542	30,343,818	6,159,966	80,973,765
Total net position—ending	<u>\$ 7,087,520</u>	<u>\$ 20,707,823</u>	<u>\$ 26,211,353</u>	<u>\$ 7,682,181</u>	<u>\$ 61,688,877</u>

HOUSTON INDEPENDENT SCHOOL DISTRICT

HOUSTON INDEPENDENT SCHOOL DISTRICT COMBINING STATEMENT OF CASH FLOWS INTERNAL SERVICE FUNDS FOR THE FISCAL YEAR ENDED JUNE 30, 2024

	Print Shop	Health Insurance	Workers' Compensation	Internal Services	Total Internal Service Funds
CASH FLOWS FROM OPERATING ACTIVITIES					
Receipts from user charges	\$ 12,409,069	\$ 178,690,394	\$ 3,498,860	\$ 16,260,196	\$ 210,858,519
Other receipts	-	7,607,722	67,374	-	7,675,096
Payments to suppliers	(1,362,361)	(4,794,209)	(3,521,504)	(3,972,007)	(13,650,081)
Payments to employees	(1,781,431)	(1,990,640)	(1,144,096)	(10,885,634)	(15,801,801)
Claims paid	-	(207,177,166)	(3,812,624)	-	(210,989,790)
Net cash provided (used) by operating activities	9,265,277	(27,663,899)	(4,911,990)	1,402,555	(21,908,057)
CASH FLOWS FROM CAPITAL AND RELATED FINANCING ACTIVITIES					
Purchases of capital assets	(925,340)	-	-	(47,046)	(972,386)
Principal paid on leases	(4,994,037)	-	-	-	(4,994,037)
Interest paid on leases	(241,249)	-	-	-	(241,249)
Net cash used by capital and related financing activities	(6,160,626)	-	-	(47,046)	(6,207,672)
CASH FLOWS FROM INVESTING ACTIVITIES					
Purchase of investments	(4,803,920)	(205,028,067)	(19,617,317)	(34,369,285)	(263,818,589)
Proceeds from sales and maturities of investments	1,315,093	231,111,738	22,688,302	32,581,604	287,696,737
Interest and dividends	384,176	1,580,228	1,841,005	432,172	4,237,581
Net cash provided (used) by investing activities	(3,104,651)	27,663,899	4,911,990	(1,355,509)	28,115,729
Net increase (decrease) in cash and cash equivalents	-	-	-	-	-
Cash and cash equivalents - beginning of the year	-	-	-	-	-
Cash and cash equivalents - end of the year	\$ -	\$ -	\$ -	\$ -	\$ -
Reconciliation of operating income (loss) to net cash provided (used) by operating activities:					
Operating income (loss)	3,065,154	(21,462,947)	(5,973,470)	1,090,043	(23,281,220)
Adjustments to reconcile operating income (loss) to net cash provided (used) by operating activities:					
Depreciation expense and amortization	4,761,388	-	-	117,582	4,878,970
Change in assets and liabilities:					
Receivables	(20,708)	-	-	-	(20,708)
Other Assets	-	-	-	-	-
Due from other funds	-	(7,576,896)	-	-	(7,576,896)
Accounts payable	1,432,032	779,019	361,728	(74,952)	2,497,827
Due to other funds	37,438	-	376,643	264,243	678,324
Compensated absences payable	(10,027)	78,708	45,910	5,639	120,230
Current portion of claims and judgments	-	1,207,945	222,842	-	1,430,787
Other long term claims and judgments	-	(689,728)	54,357	-	(635,371)
Net cash provided (used) by operating activities	\$ 9,265,277	\$ (27,663,899)	\$ (4,911,990)	\$ 1,402,555	\$ (21,908,057)



FINANCIAL SECTION

2024
Other
Supplementary
Information

FINANCIAL EXCELLENCE
Supporting Academic Success



HOUSTON INDEPENDENT SCHOOL DISTRICT

HOUSTON INDEPENDENT SCHOOL DISTRICT SCHEDULE OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCE BUDGET AND ACTUAL - DEBT SERVICE FUND FOR THE FISCAL YEAR ENDED JUNE 30, 2024

	Budgeted Amounts		Actual	Variance with Final Budget
	Original	Final		
REVENUES				
Local maintenance taxes	\$ 383,375,475	\$ 360,203,295	\$ 357,262,478	\$ (2,940,817)
Earnings on investments	3,334,309	8,463,835	8,948,824	484,989
State sources	1,910,080	18,384,423	17,973,535	(410,888)
Total revenues	<u>388,619,864</u>	<u>387,051,553</u>	<u>384,184,837</u>	<u>(2,866,716)</u>
EXPENDITURES				
Debt service				
Principal	311,153,181	310,030,500	310,030,000	500
Interest	98,541,458	99,177,829	99,177,827	2
Fiscal charges	1,000,000	100,000	74,084	25,916
Total expenditures	<u>410,694,639</u>	<u>409,308,329</u>	<u>409,281,911</u>	<u>26,418</u>
Excess (Deficiency) of Revenues Over (Under) Expenditures	<u>(22,074,775)</u>	<u>(22,256,776)</u>	<u>(25,097,074)</u>	<u>(2,840,298)</u>
OTHER FINANCING SOURCES (USES)				
Transfers in	22,074,775	22,256,775	22,256,775	-
Total other financing sources	<u>22,074,775</u>	<u>22,256,775</u>	<u>22,256,775</u>	<u>-</u>
Net change in fund balance	-	(1)	(2,840,299)	(2,840,298)
Fund balance-beginning	<u>126,657,122</u>	<u>126,657,122</u>	<u>126,657,122</u>	<u>-</u>
Fund balance-ending	<u>\$ 126,657,122</u>	<u>\$ 126,657,121</u>	<u>\$ 123,816,823</u>	<u>\$ (2,840,298)</u>



HOUSTON INDEPENDENT SCHOOL DISTRICT

HOUSTON INDEPENDENT SCHOOL DISTRICT SCHEDULE OF REVENUES, EXPENDITURES AND CHANGES IN FUND BALANCE BUDGET AND ACTUAL - NUTRITION SERVICES FOR THE FISCAL YEAR ENDED JUNE 30, 2024

	Budgeted Amounts		Actual	Variance with Final Budget
	Original	Final		
REVENUES				
Food sales	\$ 5,248,094	\$ 5,116,323	\$ 5,079,853	\$ (36,470)
Interest income	2,507,625	3,488,859	3,480,714	(8,145)
Miscellaneous local sources	65,321	218,050	90,655	(127,395)
State matching funds and others	537,594	7,699,170	458,239	(7,240,931)
Child nutrition programs/Summer food program	116,709,109	125,128,273	118,385,758	(6,742,515)
Donated commodities	9,704,660	9,565,219	9,149,756	(415,463)
Total revenues	<u>134,772,403</u>	<u>151,215,894</u>	<u>136,644,975</u>	<u>(14,570,919)</u>
EXPENDITURES				
Food services	146,311,228	157,523,928	141,335,483	16,188,445
General administration	-	5,138	4,688	450
Plant maintenance and operations	3,082,526	3,108,531	3,257,338	(148,807)
Debt Service	-	-	272,257	(272,257)
Total expenditures	<u>149,393,754</u>	<u>160,637,597</u>	<u>144,869,766</u>	<u>15,767,831</u>
Net change in fund balance	(14,621,351)	(9,421,703)	(8,224,791)	1,196,912
Fund balance-beginning	<u>72,110,725</u>	<u>72,110,725</u>	<u>72,110,725</u>	<u>-</u>
Fund balance-ending	<u>\$ 57,489,374</u>	<u>\$ 62,689,022</u>	<u>\$ 63,885,934</u>	<u>\$ 1,196,912</u>

**HOUSTON INDEPENDENT SCHOOL DISTRICT
USE OF FUNDS REPORT - SELECT STATE ALLOTMENT PROGRAMS
FOR THE FISCAL YEAR ENDED JUNE 30, 2024**

<u>Data Codes</u>		<u>Responses</u>
<u>Section A: Compensatory Education Programs</u>		
AP1	Did your LEA expend any state compensatory education program state allotment funds during the District's fiscal year?	Yes
AP2	Does the LEA have written policies and procedures for its state compensatory education program?	Yes
AP3	List the total state allotment funds received for state compensatory education programs during the District's fiscal year.	\$ 234,835,993
AP4	List the actual direct program expenditures for state compensatory education programs during the LEA's fiscal year. (PICs 24, 26, 28, 29, 30)	\$ 74,383,435
<u>Section B: Bilingual Education Programs</u>		
AP5	Did your LEA expend any bilingual education program state allotment funds during the LEA's fiscal year?	Yes
AP6	Does the LEA have written policies and procedures for its bilingual education program?	Yes
AP7	List the total state allotment funds received for bilingual education programs during the LEA's fiscal year.	\$ 41,784,654
AP8	List the actual direct program expenditures for bilingual education programs during the LEA's fiscal year. (PIC 25)	\$ 13,000,929



This page
intentionally
left blank

2024
ANNUAL COMPREHENSIVE
FINANCIAL REPORT
**STATISTICAL
SECTION (UNAUDITED)**

FINANCIAL EXCELLENCE
Supporting Academic Success



**HOUSTON INDEPENDENT SCHOOL DISTRICT
STATISTICAL INFORMATION
(UNAUDITED)**

The Statistical Section of the District's annual comprehensive financial report presents detailed information as a context for understanding what the information in the financial statements, note disclosures, and required supplementary information says about the District's overall financial health.

CONTENTS

Financial Trends

These schedules contain information to help the reader understand how the District's financial performance has changed over time.

Revenue Capacity

These schedules contain information to help the reader assess the District's major revenue sources.

Debt Capacity

These schedules contain information to help the reader assess the affordability of the District's current levels of outstanding debt and the District's ability to issue additional debt in the future.

Demographic and Economic Information

These schedules offer demographic and economic indicators to help the reader understand the environment within which the District's financial activities take place.

Operating Information

These schedules contain service and infrastructure data to help the reader understand how the information in the district's financial report relates to the services the District provides and activities it performs.

SOURCES

Unless otherwise noted, the information in these schedules is derived from the annual comprehensive financial reports for the relevant year.



This page
intentionally
left blank



STATISTICAL SECTION

2024 Financial Trends

FINANCIAL EXCELLENCE
Supporting Academic Success

HOUSTON INDEPENDENT SCHOOL DISTRICT

HOUSTON INDEPENDENT SCHOOL DISTRICT NET POSITION BY COMPONENT LAST TEN FISCAL YEARS (ACCRUAL BASIS OF ACCOUNTING) (UNAUDITED)

	Fiscal Year									
	<u>2024</u>	<u>2023</u>	<u>2022</u>	<u>2021</u>	<u>2020</u>	<u>2019</u>	<u>2018</u>	<u>2017</u>	<u>2016</u>	<u>2015</u>
Governmental activities										
Net investment in capital assets	\$ 2,305,792,743	\$ 2,053,940,719	\$ 1,874,870,657	\$ 1,901,087,087	\$ 1,772,875,824	\$ 1,588,774,533	\$ 1,420,746,056	\$ 1,365,783,744	\$ 1,248,306,026	\$ 1,251,173,392
Restricted	217,070,689	224,812,666	198,530,329	167,557,978	127,918,111	151,610,825	139,895,641	97,427,017	78,988,962	47,832,498
Unrestricted	<u>(188,469,145)</u>	<u>62,921,990</u>	<u>(45,405,679)</u>	<u>(284,029,224)</u>	<u>(351,433,703)</u>	<u>(368,945,114)</u>	<u>(468,639,284)</u>	<u>484,463,989</u>	<u>604,451,655</u>	<u>536,765,712</u>
Total governmental activities	<u>\$ 2,334,394,287</u>	<u>\$ 2,341,675,375</u>	<u>\$ 2,027,995,307</u>	<u>\$ 1,784,615,841</u>	<u>\$ 1,549,360,232</u>	<u>\$ 1,371,440,244</u>	<u>\$ 1,092,002,413</u>	<u>\$ 1,947,674,750</u>	<u>\$ 1,931,746,643</u>	<u>\$ 1,835,771,602</u>
Business-type activities										
Net investment in capital assets	\$ (89,592)	\$ (296,137)	\$ 5,198	\$ 9,316	\$ 30,241	\$ 72,810	\$ 126,544	\$ 3,377,334	\$ 3,543,365	\$ 2,312,189
Restricted	-	-	-	-	-	-	-	7,310,854	5,268,295	7,004,373
Unrestricted	<u>15,922,879</u>	<u>30,610,926</u>	<u>48,263,714</u>	<u>26,011,493</u>	<u>21,914,825</u>	<u>25,977,695</u>	<u>32,930,896</u>	<u>29,264,803</u>	<u>34,936,560</u>	<u>43,924,804</u>
Total business-type activities	<u>\$ 15,833,287</u>	<u>\$ 30,314,789</u>	<u>\$ 48,268,912</u>	<u>\$ 26,020,809</u>	<u>\$ 21,945,066</u>	<u>\$ 26,050,505</u>	<u>\$ 33,057,440</u>	<u>\$ 39,952,991</u>	<u>\$ 43,748,220</u>	<u>\$ 53,241,366</u>
Total										
Net investment in capital assets	\$ 2,305,703,151	\$ 2,053,644,582	\$ 1,874,875,855	\$ 1,901,096,403	\$ 1,772,906,065	\$ 1,588,847,343	\$ 1,420,872,600	\$ 1,369,161,078	\$ 1,251,849,391	\$ 1,253,485,581
Restricted	217,070,689	224,812,666	198,530,329	167,557,978	127,918,111	151,610,825	139,895,641	104,737,871	84,257,257	54,836,871
Unrestricted	<u>(172,546,266)</u>	<u>93,532,916</u>	<u>2,858,035</u>	<u>(258,017,731)</u>	<u>(329,518,878)</u>	<u>(342,967,419)</u>	<u>(435,708,388)</u>	<u>513,728,792</u>	<u>639,388,215</u>	<u>580,690,516</u>
Total net position	<u>\$ 2,350,227,574</u>	<u>\$ 2,371,990,164</u>	<u>\$ 2,076,264,219</u>	<u>\$ 1,810,636,650</u>	<u>\$ 1,571,305,298</u>	<u>\$ 1,397,490,749</u>	<u>\$ 1,125,059,853</u>	<u>\$ 1,987,627,741</u>	<u>\$ 1,975,494,863</u>	<u>\$ 1,889,012,968</u>

HOUSTON INDEPENDENT SCHOOL DISTRICT

HOUSTON INDEPENDENT SCHOOL DISTRICT EXPENSES, PROGRAM REVENUES, AND NET (EXPENSE)/REVENUE LAST TEN FISCAL YEARS (ACCRUAL BASIS OF ACCOUNTING) (UNAUDITED)

	Fiscal Year									
	2024	2023	2022	2021	2020	2019	2018	2017	2016	2015
Expenses										
Governmental activities:										
Instruction	\$ 1,723,051,662	\$ 1,482,445,295	\$ 1,377,135,766	\$ 1,400,564,873	\$ 1,435,884,407	\$ 1,323,127,345	\$ 993,744,972	\$ 1,354,643,323	\$ 1,321,923,485	\$ 1,209,883,205
Instructional resources and media services	14,622,709	17,405,973	6,249,198	9,493,884	8,970,002	10,977,023	11,024,125	8,606,334	6,736,868	7,702,863
Instructional staff development	61,866,741	72,879,396	54,680,622	66,241,028	67,208,807	67,733,815	56,629,458	56,859,881	61,690,290	60,005,763
Curriculum development	-	-	-	-	-	-	-	-	9,683,262	5,717,871
Instructional leadership	87,572,450	45,100,262	36,492,691	42,921,979	43,213,325	43,360,921	26,716,134	41,414,704	31,044,536	28,477,630
School leadership	212,820,052	159,095,322	137,456,591	152,211,118	168,545,819	156,579,651	96,092,512	142,369,897	144,729,360	129,495,908
Guidance, counseling, and evaluation services	86,549,574	102,772,324	79,326,178	86,781,298	88,399,437	73,049,354	45,699,226	59,189,470	56,613,106	46,638,994
Social work services	27,374,499	36,240,696	31,141,964	20,256,267	16,537,125	10,961,771	2,085,558	3,680,254	3,667,034	2,920,092
Health services	47,328,843	42,127,065	58,947,700	50,605,158	27,037,545	25,368,169	13,620,061	21,968,601	21,657,215	20,326,190
Student transportation services	63,081,071	64,817,413	54,428,066	53,948,029	69,556,241	70,407,658	59,264,188	67,016,009	60,617,212	56,262,972
Food service	145,114,681	126,807,464	112,890,696	92,614,094	127,966,809	139,924,627	95,083,392	7,594	260,243	735,266
Co-curricular/extracurricular activities	40,057,606	37,139,862	30,488,730	32,214,595	24,267,944	17,397,958	17,097,818	20,825,642	19,065,366	17,216,086
General administration	67,212,911	67,632,844	41,834,802	40,190,844	41,927,221	47,456,366	29,646,295	45,509,427	36,675,151	35,366,990
Plant maintenance and operations	243,298,331	239,340,098	244,398,338	211,502,616	202,730,249	202,841,435	205,899,444	188,418,295	259,431,697	175,914,882
Security and monitoring services	32,668,893	31,271,482	29,852,687	31,107,380	27,551,246	26,356,333	17,118,026	26,353,998	26,590,964	22,506,620
Data processing services	107,334,299	84,536,654	66,766,288	116,779,003	75,602,561	71,500,038	73,051,368	93,903,264	93,903,264	95,132,817
Community services	15,795,831	14,222,218	9,849,925	14,419,764	17,705,140	9,218,974	6,306,700	7,855,726	7,124,283	6,532,422
Fiscal agent/member districts of shared services	4,476,468	3,612,568	3,132,300	3,685,275	3,598,894	3,719,430	3,045,173	2,911,732	2,260,646	2,704,595
Juvenile justice alternative education program	583,200	579,600	724,500	792,000	792,000	792,000	792,000	792,117	792,000	792,000
Tax reinvestment zone payments	75,544,048	72,368,633	65,956,709	61,491,720	61,321,789	58,465,450	56,170,397	55,616,783	52,100,723	49,360,389
Tax appraisal and collection	16,453,702	15,767,806	15,553,451	15,517,042	14,980,471	14,990,752	13,814,336	13,995,353	13,355,890	12,555,327
Contracted instructional svcs between public schools	-	276,396,220	184,470,759	197,810,414	80,843,995	265,231,840	204,404,117	93,080,703	-	-
Interest on long-term debt	67,694,686	83,457,575	85,538,906	85,456,949	95,002,219	95,506,991	93,472,234	84,888,843	87,029,681	89,351,058
Total governmental activities expenses	3,140,502,257	3,076,016,770	2,727,316,867	2,786,605,330	2,699,643,246	2,734,967,901	2,120,777,534	2,383,203,354	2,316,952,276	2,075,599,940
Business-type activities:										
Nutrition services	-	-	-	-	-	-	-	129,529,363	128,435,220	122,401,383
Business development	-	-	-	-	-	-	3,760,760	4,720,556	4,576,260	4,490,622
Medicaid	6,889,667	6,970,330	6,111,003	6,012,579	6,548,041	6,964,911	6,327,467	6,630,716	6,992,294	4,287,529
Marketplace	356,992	277,979	427,845	243,765	1,144,716	1,457,388	1,130,270	1,088,138	1,163,580	1,007,281
Total business-type activities expenses	7,246,659	7,248,309	6,538,848	6,256,344	7,692,757	8,422,299	11,218,497	141,968,773	141,167,354	132,186,815
Total expenses	\$ 3,147,748,916	\$ 3,083,265,079	\$ 2,733,855,715	\$ 2,792,861,674	\$ 2,707,336,003	\$ 2,743,390,200	\$ 2,131,996,031	\$ 2,525,172,127	\$ 2,458,119,630	\$ 2,207,786,755
Program Revenues										
Governmental activities:										
Charges for services:										
Instruction	\$ 2,411,012	\$ 2,102,282	\$ 2,468,187	\$ 882,261	\$ 812,190	\$ 2,534,647	\$ 2,334,403	\$ 2,121,163	\$ 1,615,963	\$ 1,406,428
Food Service	5,141,035	5,804,680	3,617,639	65,027	3,316,403	4,992,232	-	-	-	-
Co-curricular/extracurricular activities	5,136,966	4,830,873	3,907,771	501,409	544,044	302,933	400,260	400,260	369,886	814,171
Plant maintenance and operations	730,642	469,224	79,132	37,559	355,534	495,455	366,504	294,928	451,698	326,551
Operating grants and contributions	905,882,287	866,332,992	744,953,724	545,877,557	634,111,967	545,582,105	132,119,461	257,062,737	284,606,909	283,688,955
Total governmental entities program revenues	919,301,942	879,540,051	755,026,453	547,363,453	639,140,138	554,907,372	135,220,628	259,879,088	287,044,456	286,236,105
Business-type activities:										
Charges for services:										
Nutrition services	-	-	-	-	-	-	-	7,816,438	7,287,832	8,374,719
Business development	-	-	-	-	-	-	3,504,667	5,616,323	5,047,196	4,944,367
Medicaid	2,001,295	2,828,629	2,996,406	1,802,677	2,004,850	2,490,659	2,639,068	3,212,201	2,366,643	3,345,480
Marketplace	377,244	272,381	400,833	333,246	768,251	1,292,392	1,400,135	569,122	598,726	755,925
Operating grants and contributions	3,286,676	15,027,714	45,306,187	30,678,675	22,821,331	25,435,615	36,237,575	150,103,306	143,417,677	144,334,759
Total business-type activities program revenues	5,665,215	18,128,724	48,703,426	32,814,598	25,594,432	29,218,666	43,781,445	167,317,390	158,718,074	161,755,250
Total program revenues	\$ 924,967,157	\$ 897,668,775	\$ 803,729,879	\$ 580,178,051	\$ 664,734,570	\$ 584,126,038	\$ 179,002,073	\$ 427,196,478	\$ 445,762,530	\$ 447,991,355
Net (Expense)/Revenue										
Governmental activities	\$ (2,221,200,315)	\$ (2,196,476,719)	\$ (1,972,290,414)	\$ (2,239,241,877)	\$ (2,060,503,108)	\$ (2,180,060,529)	\$ (1,985,556,906)	\$ (2,123,324,266)	\$ (2,029,907,820)	\$ (1,789,363,835)
Business-type activities	(1,581,444)	10,880,415	42,164,578	26,558,254	17,901,675	20,796,367	32,562,948	25,348,617	17,550,720	29,568,435
Total net expense	\$ (2,222,781,759)	\$ (2,185,596,304)	\$ (1,930,125,836)	\$ (2,212,683,623)	\$ (2,042,601,433)	\$ (2,159,264,162)	\$ (1,952,993,958)	\$ (2,097,975,649)	\$ (2,012,357,100)	\$ (1,759,795,400)

HOUSTON INDEPENDENT SCHOOL DISTRICT

HOUSTON INDEPENDENT SCHOOL DISTRICT GENERAL REVENUES AND TOTAL CHANGES IN NET POSITION LAST TEN FISCAL YEARS (ACCRUAL BASIS OF ACCOUNTING) (UNAUDITED)

	Fiscal Year									
	<u>2024</u>	<u>2023</u>	<u>2022</u>	<u>2021</u>	<u>2020</u>	<u>2019</u>	<u>2018</u>	<u>2017</u>	<u>2016</u>	<u>2015</u>
General Revenues										
Governmental activities:										
Taxes:										
Maintenance & operations property taxes	\$ 1,509,641,654	\$ 1,817,671,688	\$ 1,782,143,018	\$ 1,850,112,868	\$ 1,710,176,310	\$ 1,735,078,589	\$ 1,701,821,616	\$ 1,616,374,560	\$ 1,524,975,899	\$ 1,397,469,254
Debt service property taxes	357,639,974	349,664,760	317,625,733	322,626,776	293,568,308	276,269,130	272,242,638	289,758,068	247,590,294	232,266,371
State aid - not restricted to specific programs	201,534,211	129,781,577	139,481,703	203,923,675	128,245,356	313,004,066	157,551,822	116,880,152	219,041,630	286,405,460
Tax increment reinvestment zone	33,387,318	36,725,241	31,173,605	30,599,263	28,622,580	29,611,649	30,250,708	29,369,236	28,256,492	25,200,451
Unrestricted investment earnings	93,375,084	71,527,732	4,604,870	2,908,571	25,410,000	42,717,816	26,551,157	13,156,226	6,979,458	3,724,932
Miscellaneous	4,340,986	74,785,789	65,083,085	28,349,139	28,787,839	33,441,505	25,298,359	20,277,442	17,286,979	19,274,951
Sale of real and personal property	-	-	-	472,372	1,302,703	1,240,622	22,516,326	(10,252,446)	(7,730,853)	53,413,990
On-behalf contribution relating to pension-GASB 68	-	-	-	-	-	-	-	33,289,135	59,082,962	-
Transfers	14,000,000	30,000,000	20,000,000	22,500,000	22,310,000	28,134,983	39,776,855	30,400,000	30,400,000	30,400,000
Total governmental activities	<u>2,213,919,227</u>	<u>2,510,156,787</u>	<u>2,360,112,014</u>	<u>2,461,492,664</u>	<u>2,238,423,096</u>	<u>2,459,498,360</u>	<u>2,276,009,481</u>	<u>2,139,252,373</u>	<u>2,125,882,861</u>	<u>2,048,155,409</u>
Business-type activities:										
Unrestricted investment earnings	1,099,942	1,165,462	83,525	16,436	302,886	331,681	304,954	510,543	146,707	57,514
Miscellaneous	-	-	-	1,053	-	-	13,402	745,611	619,151	425,772
On-behalf contribution relating to pension-GASB 68	-	-	-	-	-	-	-	-	2,590,276	-
Transfers	(14,000,000)	(30,000,000)	(20,000,000)	(22,500,000)	(22,310,000)	(28,134,983)	(39,776,855)	(30,400,000)	(30,400,000)	(30,400,000)
Total business-type activities	<u>(12,900,058)</u>	<u>(28,834,538)</u>	<u>(19,916,475)</u>	<u>(22,482,511)</u>	<u>(22,007,114)</u>	<u>(27,803,302)</u>	<u>(39,458,499)</u>	<u>(29,143,846)</u>	<u>(27,043,866)</u>	<u>(29,916,714)</u>
Total general revenues	<u>\$ 2,201,019,169</u>	<u>\$ 2,481,322,249</u>	<u>\$ 2,340,195,539</u>	<u>\$ 2,439,010,153</u>	<u>\$ 2,216,415,982</u>	<u>\$ 2,431,695,058</u>	<u>\$ 2,236,550,982</u>	<u>\$ 2,110,108,527</u>	<u>\$ 2,098,838,995</u>	<u>\$ 2,018,238,695</u>
Change in Position										
Governmental activities	\$ (7,281,088)	\$ 313,680,068	\$ 387,821,600	\$ 222,190,787	\$ 177,919,988	\$ 279,437,831	\$ 290,452,575	\$ 15,928,107	\$ 95,975,041	\$ 259,243,364
Business-type activities	(14,481,502)	(17,954,123)	22,248,103	4,075,743	(4,105,439)	(7,006,935)	(6,895,551)	(3,795,229)	(9,493,146)	(800,069)
Total change in net position	<u>\$ (21,762,590)</u>	<u>\$ 295,725,945</u>	<u>\$ 410,069,703</u>	<u>\$ 226,266,530</u>	<u>\$ 173,814,549</u>	<u>\$ 272,430,896</u>	<u>\$ 283,557,024</u>	<u>\$ 12,132,878</u>	<u>\$ 86,481,895</u>	<u>\$ 258,443,295</u>

HOUSTON INDEPENDENT SCHOOL DISTRICT

HOUSTON INDEPENDENT SCHOOL DISTRICT GOVERNMENTAL FUNDS FUND BALANCES LAST TEN FISCAL YEARS (MODIFIED ACCRUAL BASIS OF ACCOUNTING) (UNAUDITED)

	Fiscal Year									
	2024	2023	2022	2021	2020	2019	2018	2017	2016	2015
General Fund Balances										
Nonspendable	\$ 24,549,497	\$ 26,255,559	\$ 16,488,097	\$ 20,562,375	\$ 14,510,708	\$ 11,893,235	\$ 11,394,093	\$ 10,115,337	\$ 10,166,319	\$ 11,234,622
Restricted	70,000,000	-	-	-	-	-	-	-	-	5,686,179
Committed	99,874,040	98,991,251	97,481,219	94,146,930	46,364,840	46,364,840	46,364,840	102,364,840	91,482,865	89,706,733
Assigned	262,705,301	411,754,248	348,770,724	325,593,638	251,970,374	248,407,583	165,504,729	222,413,318	250,970,779	256,992,372
Unassigned	590,067,862	590,067,862	664,168,528	556,322,769	655,054,226	512,328,146	389,415,008	366,955,184	385,625,902	282,545,916
Total general fund	<u>\$ 1,047,196,700</u>	<u>\$ 1,127,068,920</u>	<u>\$ 1,126,908,568</u>	<u>\$ 996,625,712</u>	<u>\$ 967,900,148</u>	<u>\$ 818,993,804</u>	<u>\$ 612,678,670</u>	<u>\$ 701,848,679</u>	<u>\$ 738,245,865</u>	<u>\$ 646,165,822</u>
All Other Governmental Funds										
Restricted, reported in:										
Special Revenue Fund	\$ 114,228,504	\$ 111,111,759	\$ 105,392,874	\$ 81,620,744	\$ 56,747,896	\$ 89,613,030	\$ 62,903,803	\$ 37,058,450	\$ 34,657,380	\$ 28,091,528
Debt Service Fund	123,816,823	126,657,122	115,547,958	116,335,814	112,859,097	104,574,389	120,557,656	129,036,673	123,124,995	125,699,276
Capital Project Fund	67,606,370	176,767,699	176,972,696	205,617,002	249,171,715	453,423,732	734,975,292	921,555,203	876,943,939	648,942,505
Public Facility Corporation	-	-	-	2,251,061	2,956,240	17,553,240	17,399,029	28,509,693	63,955,273	93,235,178
Committed, reported in:										
Capital Project Fund	-	-	-	-	-	1,728,295	2,729,367	7,922,067	21,000,196	38,462,761
Assigned, reported in:										
Capital Renovations Fund	3,990,299	36,534,927	37,423,192	30,929,474	37,843,663	73,571,578	76,731,028	52,416,845	59,896,209	70,481,908
Total all other governmental funds	<u>\$ 309,641,996</u>	<u>\$ 451,071,507</u>	<u>\$ 435,336,720</u>	<u>\$ 436,754,095</u>	<u>\$ 459,578,611</u>	<u>\$ 740,464,264</u>	<u>\$ 1,015,296,175</u>	<u>\$ 1,176,498,931</u>	<u>\$ 1,179,577,992</u>	<u>\$ 1,004,913,156</u>

NOTES: Governmental Funds Balances includes fund balances from the following funds: General, Special Revenue, Debt Service, and Capital Project.
The nonmajor governmental fund (Public Facility Corporation) is included in years 2015-2022.

HOUSTON INDEPENDENT SCHOOL DISTRICT

HOUSTON INDEPENDENT SCHOOL DISTRICT GOVERNMENTAL FUNDS REVENUES LAST TEN FISCAL YEARS (MODIFIED ACCRUAL BASIS OF ACCOUNTING) (UNAUDITED)

	Fiscal Year									
	<u>2024</u>	<u>2023</u>	<u>2022</u>	<u>2021</u>	<u>2020</u>	<u>2019</u>	<u>2018</u>	<u>2017</u>	<u>2016</u>	<u>2015</u>
Local sources:										
Property taxes	\$ 1,864,110,487	2,157,325,323	\$ 2,114,671,149	\$ 2,115,531,365	\$ 2,010,279,432	\$ 2,024,206,276	\$ 1,983,988,484	\$ 1,893,322,642	\$ 1,777,993,410	\$ 1,620,768,964
Earnings on investments	89,137,503	68,180,320	4,423,438	2,781,757	24,338,742	41,075,497	25,732,548	12,674,863	6,537,913	3,227,580
Miscellaneous local sources	67,849,162	93,924,762	91,436,524	67,633,938	64,380,498	83,112,013	70,388,913	55,920,082	53,679,466	46,389,598
Total local sources	<u>2,021,097,152</u>	<u>2,319,430,405</u>	<u>2,210,531,110</u>	<u>2,185,947,060</u>	<u>2,098,998,672</u>	<u>2,148,393,786</u>	<u>2,080,109,945</u>	<u>1,961,917,587</u>	<u>1,838,210,789</u>	<u>1,670,386,142</u>
State sources:										
Per capita	70,931,424	109,660,859	95,775,051	91,895,823	60,517,457	94,244,907	40,054,418	76,341,323	35,116,457	49,580,221
Foundation school program	139,019,349	23,366,522	50,889,775	111,670,653	71,137,762	227,892,870	127,331,532	49,296,541	193,435,639	247,558,062
On behalf payments	109,490,737	81,866,878	81,873,575	86,923,365	85,470,235	76,909,310	75,597,807	32,914,554	42,570,730	46,763,431
Other state sources	64,805,758	17,953,916	17,539,418	28,765,063	31,203,794	40,381,995	20,467,949	23,740,776	39,394,909	7,355,681
Total state sources	<u>384,247,268</u>	<u>232,848,175</u>	<u>246,077,819</u>	<u>319,254,904</u>	<u>248,329,248</u>	<u>439,429,082</u>	<u>263,451,706</u>	<u>182,293,194</u>	<u>310,517,735</u>	<u>351,257,395</u>
Federal sources	779,835,007	816,347,774	699,119,666	341,024,809	352,643,888	332,883,354	352,337,407	185,375,265	185,158,431	213,682,616
Total revenues	<u>\$ 3,185,179,427</u>	<u>3,368,626,354</u>	<u>\$ 3,155,728,595</u>	<u>\$ 2,846,226,773</u>	<u>\$ 2,699,971,808</u>	<u>\$ 2,920,706,222</u>	<u>\$ 2,695,899,058</u>	<u>\$ 2,329,586,046</u>	<u>\$ 2,333,886,955</u>	<u>\$ 2,235,326,153</u>

NOTE: Governmental Funds Revenues include those received by the following funds: General, Special Revenue, Debt Service, and Capital Project. The nonmajor governmental fund (Public Facility Corporation) is included in years 2015-2022.

HOUSTON INDEPENDENT SCHOOL DISTRICT

HOUSTON INDEPENDENT SCHOOL DISTRICT GOVERNMENTAL FUNDS EXPENDITURES AND DEBT SERVICE RATIO LAST TEN FISCAL YEARS (MODIFIED ACCRUAL BASIS OF ACCOUNTING) (UNAUDITED)

	Fiscal Year									
	2024	2023	2022	2021	2020	2019	2018	2017	2016	2015
Instruction	\$ 1,567,462,867	\$ 1,427,313,193	\$ 1,314,296,961	\$ 1,196,269,543	\$ 1,202,777,885	\$ 1,099,683,185	\$ 1,196,178,528	\$ 1,099,037,778	\$ 1,156,049,711	\$ 1,104,440,814
Instructional resources and media services	15,014,557	18,640,811	7,050,177	9,116,676	7,841,317	9,953,448	9,436,233	8,963,155	6,593,406	7,952,267
Instructional staff development	62,093,819	75,330,757	62,973,067	61,482,497	57,587,847	61,344,044	68,555,448	54,161,088	60,270,149	59,107,913
Curriculum development	-	-	-	-	-	-	-	-	9,394,342	5,697,622
Instructional leadership	86,065,510	43,753,072	40,014,699	37,690,930	33,514,852	34,238,527	29,936,424	33,352,131	29,042,244	27,204,848
School leadership	220,516,012	168,354,493	151,217,951	147,505,862	151,004,365	146,089,651	151,711,305	132,074,470	138,095,849	128,611,645
Guidance, counseling, and evaluation services	83,168,209	102,536,172	85,625,240	80,091,127	78,083,313	64,754,757	62,330,230	55,556,445	53,831,166	45,117,000
Social work services	25,364,522	37,208,193	32,814,631	19,475,168	14,372,266	9,745,580	3,038,670	3,430,189	3,549,028	2,899,837
Health services	27,845,937	30,375,000	61,589,383	49,808,556	24,846,323	23,797,821	21,626,132	21,288,305	20,779,347	19,860,156
Student transportation	61,868,370	64,405,954	58,938,599	51,077,454	58,804,058	63,477,203	72,577,424	70,696,961	58,910,024	54,059,722
Food services	141,412,506	126,832,535	118,786,147	84,259,938	112,485,682	128,750,448	124,090,805	13,090	253,641	591,158
Co-curricular/extracurricular activities	39,561,966	37,583,348	30,482,613	29,528,800	20,549,019	16,468,189	21,400,667	18,388,966	18,942,687	17,083,246
General administration	66,470,915	65,724,653	45,487,503	38,408,254	37,876,811	44,963,888	40,567,588	42,607,689	35,182,633	35,119,538
Plant maintenance and operations	249,077,636	257,313,452	256,351,951	217,615,229	195,632,262	199,177,637	240,650,346	181,942,691	165,977,640	173,825,216
Security and monitoring services	33,808,547	34,388,550	32,208,515	31,148,808	24,918,852	24,356,065	26,041,443	24,841,791	25,332,111	22,425,128
Data processing services	102,004,076	81,528,823	69,950,272	114,020,696	67,147,720	60,175,446	71,130,255	73,362,175	85,484,194	89,624,688
Community services	15,600,532	14,587,118	12,030,010	12,840,111	14,720,370	8,079,861	8,216,172	7,479,612	6,963,614	6,467,383
Fiscal agent/member districts of shared services arrangements	4,476,468	3,612,568	3,132,300	3,647,127	3,598,894	3,719,430	3,045,173	2,911,732	2,260,646	2,704,595
Juvenile justice alternative education program	583,200	579,600	724,500	792,000	792,000	792,000	792,000	792,117	792,000	792,000
Tax reinvestment zone payments	75,544,048	72,368,633	65,956,709	61,491,720	61,321,789	58,465,450	56,170,397	55,616,783	52,100,723	49,360,389
Tax appraisal and collection	16,453,702	15,767,806	15,553,451	15,517,042	14,980,471	14,990,752	13,814,336	13,995,353	13,355,890	12,555,327
Contracted instructional services between public schools	-	276,396,220	184,470,759	197,810,414	80,843,995	265,231,840	204,404,117	93,080,703	-	-
Debt service										
Principal	328,708,557	284,885,593	243,197,858	239,412,882	222,246,235	216,959,476	216,850,992	215,034,493	140,278,176	117,446,886
Interest	99,769,711	111,051,783	121,948,831	130,948,939	136,657,894	144,967,361	130,364,390	130,444,013	157,739,465	132,138,517
Fiscal charges	74,084	1,436,662	402,533	262,502	1,017,674	547,878	740,121	2,808,883	1,959,956	2,728,904
Payments to escrow agent- current refunding	-	82,966,939	110,520,000	49,050,000	168,815,269	162,110,000	-	601,759,534	203,287,228	752,140,331
Capital outlay										
Facilities acquisition and construction	117,994,107	37,278,630	53,383,866	67,622,124	280,500,797	339,354,224	593,524,936	603,314,687	429,290,307	241,104,027
Total expenditures	<u>\$ 3,440,939,858</u>	<u>\$ 3,472,220,558</u>	<u>\$ 3,179,108,526</u>	<u>\$ 2,946,894,399</u>	<u>\$ 3,072,937,960</u>	<u>\$ 3,202,194,161</u>	<u>\$ 3,367,194,132</u>	<u>\$ 3,546,954,834</u>	<u>\$ 2,875,716,177</u>	<u>\$ 3,111,059,157</u>
(1) Debt service as a percentage of non-capital expenditures	12.85%	12.01%	12.28%	13.13%	13.83%	13.53%	12.85%	14.75%	13.21%	11.88%
(2) Debt service as a percentage of non-capital expenditures including payments to escrow agent	12.85%	14.17%	15.42%	14.61%	19.10%	18.47%	12.85%	32.17%	20.39%	35.11%

NOTES: Governmental Funds expenditures include those made by the following funds: General, Special Revenue, Debt Service, Capital Project, and the nonmajor governmental fund (Public Facility Corporation) for 2015-2022

- The payment to escrow agents - current refundings in fiscal years 2015, 2016, 2017, 2019, 2020, 2021, 2022, and 2023 have been deducted from non-capital expenditures in order to insure comparability between years, as these amounts are remarketing of variable interest debt, not a true debt refunding.
- Debt service ratio is equal to (Principal+Interest+payments to escrow agents)/ (Total Expenditures-Total Capital Assets Being Depreciated - as reported in the Reconciliation of the Governmental Funds Statement of Revenues, Expenditures, and Changes in Fund Balances to the Statement of Activities.
The 2024 Debt Service Ratio is calculated as follows:
(328,708,557+99,769,711) / (3,440,939,858 - 106,473,424) where 106,473,424 is total Capital Assets Being Depreciated as reflected in the Reconciliation of the Governmental Funds Statement of Revenues, Expenditures, and Changes in Fund Balances to the Statement of Activities.
The ratio of 18.47% was restated from the original 19.59% published in fiscal year 2019.

HOUSTON INDEPENDENT SCHOOL DISTRICT

HOUSTON INDEPENDENT SCHOOL DISTRICT OTHER FINANCING SOURCES AND USES AND NET CHANGE IN FUND BALANCES GOVERNMENTAL FUNDS LAST TEN FISCAL YEARS (MODIFIED ACCRUAL BASIS OF ACCOUNTING) (UNAUDITED)

	Fiscal Year									
	<u>2024</u>	<u>2023</u>	<u>2022</u>	<u>2021</u>	<u>2020</u>	<u>2019</u>	<u>2018</u>	<u>2017</u>	<u>2016</u>	<u>2015</u>
Excess (deficiency) of revenues over (under) expenditures	\$ (255,760,431)	\$ (103,594,204)	\$ (23,379,930)	\$ (100,667,626)	\$ (372,966,152)	\$ (281,487,939)	\$ (671,295,074)	\$ (1,217,368,788)	\$ (541,829,222)	\$ (875,733,004)
Other Financing Sources (Uses)										
Sale of real and personal property	-	-	-	472,372	1,302,706	-	-	484,960	3,049,975	-
Issuance of leases and subscriptions	2,292,919	6,620,068	21,156,000	-	35,099,520	-	23,481,683	562,012	8,640,097	19,814,339
Issuance of bonds and other debt	-	-	-	-	148,895,000	159,945,000	261,575,000	488,670,000	492,880,000	1,132,865,000
Issuance of refunding debt	-	185,040,000	109,650,000	45,675,000	-	-	-	531,575,000	461,945,000	-
Payments to escrow agents	-	(109,953,369)	-	-	-	-	-	-	(313,982,644)	(51,072,776)
Premium on sale of bonds	-	-	-	-	17,082,670	2,650,288	40,253,761	53,599,739	69,665,118	65,105,203
Premium on sale of refunding debt	-	7,782,644	1,246,720	3,608,782	-	-	-	72,600,830	55,976,555	-
Insurance Recovery	18,165,781	-	-	21,247,698	16,296,947	24,375,874	40,478,727	-	-	61,799,149
Transfers in	106,256,775	51,979,575	56,281,996	67,089,941	86,844,378	85,807,398	151,069,290	97,486,060	69,663,964	79,648,453
Transfers out	<u>(92,256,775)</u>	<u>(21,979,575)</u>	<u>(36,089,305)</u>	<u>(44,589,941)</u>	<u>(64,534,378)</u>	<u>(59,807,398)</u>	<u>(95,936,152)</u>	<u>(67,086,060)</u>	<u>(39,263,964)</u>	<u>(49,732,387)</u>
Total other financing sources (uses)	<u>34,458,700</u>	<u>119,489,343</u>	<u>152,245,411</u>	<u>93,503,852</u>	<u>240,986,843</u>	<u>212,971,162</u>	<u>420,922,309</u>	<u>1,177,892,541</u>	<u>808,574,101</u>	<u>1,258,426,981</u>
Net change in fund balances	<u>\$ (221,301,731)</u>	<u>\$ 15,895,139</u>	<u>\$ 128,865,481</u>	<u>\$ (7,163,774)</u>	<u>\$ (131,979,309)</u>	<u>\$ (68,516,777)</u>	<u>\$ (250,372,765)</u>	<u>\$ (39,476,247)</u>	<u>\$ 266,744,879</u>	<u>\$ 382,693,977</u>

NOTE: Governmental Funds include the following: General, Special Revenue, Debt Service, Capital Renovation, and the nonmajor governmental fund (Public Facility Corporation) for 2015-2022.



This page
intentionally
left blank



STATISTICAL SECTION

2024

Revenue Capacity

FINANCIAL EXCELLENCE
Supporting Academic Success



HOUSTON INDEPENDENT SCHOOL DISTRICT

HOUSTON INDEPENDENT SCHOOL DISTRICT ASSESSED VALUE AND ACTUAL VALUE OF TAXABLE PROPERTY LAST TEN FISCAL YEARS (UNAUDITED)

Fiscal Year	Real Property	Personal Property	Less Exemptions	Assessed Value	Total Direct Rate	Actual Value
2015	137,640,731,747	41,268,373,303	39,328,697,496	139,580,407,554	1.196700	183,562,093,146
2016	153,367,413,252	44,404,146,318	44,911,076,773	152,860,482,797	1.196700	206,223,497,079
2017	168,120,296,681	44,977,402,521	47,236,054,537	165,861,644,665	1.206700	218,146,974,374
2018	174,959,532,253	45,435,432,088	48,784,335,870	171,610,628,471	1.206700	223,346,451,297
2019	177,702,168,246	46,441,069,441	50,219,607,578	173,923,630,109	1.206700	225,614,769,174
2020	189,412,295,055	49,526,043,170	53,402,804,139	185,535,534,086	1.136700	241,869,462,270
2021	201,350,571,241	50,674,133,527	55,393,030,620	196,631,674,148	1.133100	254,622,445,438
2022	207,761,078,835	50,267,926,334	57,354,443,544	200,674,561,625	1.094400	261,122,664,175
2023	227,761,078,835	55,650,893,894	65,083,373,428	218,175,138,362	1.037200	289,410,570,643
2024	251,608,617,979	62,276,599,849	84,361,855,154	229,523,362,674	0.868300	323,352,954,180

SOURCE: Harris County Appraisal District (HCAD)

NOTES: The real property numbers were derived by using the tax roll for the corresponding year and adding the totals for all items designated as "real" in the category description. Personal property represents items not identified as "real" in the category description. Actual value is the Market value as reported by HCAD.

HOUSTON INDEPENDENT SCHOOL DISTRICT

HOUSTON INDEPENDENT SCHOOL DISTRICT PROPERTY TAX EXEMPTIONS LAST TEN FISCAL YEARS (UNAUDITED)

Classification of Exemption or Exclusion	2024		2023		2022		2021		2020	
	Amount	Percent	Amount	Percent	Amount	Percent	Amount	Percent	Amount	Percent
State-Mandated Homestead Exemption	\$ 22,761,711,663	26.98%	\$ 9,160,060,420	14.07%	\$ 5,621,338,173	6.66%	\$ 5,565,795,737	10.05%	\$ 5,505,794,882	10.31%
Local Optional Homestead Exemption-20%	19,797,296,003	23.47%	18,425,254,377	28.31%	16,943,922,193	20.08%	16,114,289,049	29.09%	15,434,565,836	28.90%
State-Mandated Homestead Over 65 of age or older (up to \$10,000)	639,538,117	0.76%	811,938,571	1.25%	813,025,315	0.96%	786,921,220	1.42%	761,561,493	1.43%
Local Optional homestead Exemption Over 65 years of age or older (up to \$5,000)	294,791,634	0.35%	384,571,375	0.59%	389,338,948	0.46%	375,414,474	0.68%	360,781,207	0.68%
Disabled Veterans, Surviving Spouses and/or Children and Certain Other Disabled Persons	428,777,075	0.51%	444,326,910	0.68%	402,050,574	0.48%	350,407,385	0.63%	313,350,241	0.59%
Tax Exempt (i.e., Church)	37,917,300,704	44.95%	32,998,273,989	50.70%	30,996,031,601	36.74%	30,247,885,171	54.61%	29,133,413,328	54.55%
Pollution Control	341,468,165	0.40%	334,865,893	0.51%	271,573,419	0.32%	290,241,248	0.52%	301,864,183	0.57%
Foreign Trade	496,444,763	0.59%	487,629,314	0.75%	478,099,204	0.57%	518,228,931	0.94%	579,039,714	1.08%
Other	1,684,527,030	2.00%	2,036,452,579	3.13%	1,439,064,117	1.71%	1,143,847,405	2.06%	1,012,433,255	1.90%
Total Exemptions from Assessed Value	\$ 84,361,855,154	100.00%	\$ 65,083,373,428	100.00%	\$ 57,354,443,544	100.00%	\$ 55,393,030,620	100.00%	\$ 53,402,804,139	100.00%

Classification of Exemption or Exclusion	2019		2018		2017		2016		2015	
	Amount	Percent	Amount	Percent	Amount	Percent	Amount	Percent	Amount	Percent
State-Mandated Homestead Exemption	\$ 5,474,129,241	10.90%	\$ 5,503,302,214	11.28%	\$ 5,519,475,126	11.68%	\$ 5,494,410,657	12.23%	\$ 3,279,738,859	8.34%
Local Optional Homestead Exemption-20%	14,684,637,216	29.24%	14,596,860,920	29.92%	13,879,357,773	29.38%	12,707,575,690	28.29%	11,267,046,402	28.65%
State-Mandated Homestead Over 65 of age or older (up to \$10,000)	734,023,741	1.46%	719,401,885	1.47%	702,727,547	1.49%	674,962,293	1.50%	695,325,465	1.77%
Local Optional homestead Exemption Over 65 years of age or older (up to \$5,000)	344,648,451	0.69%	334,933,195	0.69%	322,946,075	0.68%	306,798,323	0.68%	326,876,145	0.83%
Disabled Veterans, Surviving Spouses and/or Children and Certain Other Disabled Persons	277,628,487	0.55%	254,924,472	0.52%	233,689,438	0.49%	207,074,683	0.46%	208,202,297	0.53%
Tax Exempt (i.e., Church)	27,104,231,423	53.97%	26,091,717,785	53.48%	25,123,729,903	53.19%	23,862,120,885	53.13%	21,929,143,755	55.76%
Pollution Control	318,792,626	0.63%	299,434,085	0.61%	328,871,032	0.70%	312,294,880	0.70%	307,945,565	0.78%
Foreign Trade	669,123,302	1.33%	377,921,871	0.77%	192,057,213	0.41%	299,554,557	0.67%	370,778,596	0.94%
Other	612,393,091	1.22%	605,839,443	1.24%	933,200,430	1.98%	1,046,284,805	2.33%	943,640,412	2.40%
Total Exemptions from Assessed Value	\$ 50,219,607,578	100.00%	\$ 48,784,335,870	100.00%	\$ 47,236,054,537	100.00%	\$ 44,911,076,773	100.00%	\$ 39,328,697,496	100.00%

SOURCE: Harris Central (County) Appraisal District

HOUSTON INDEPENDENT SCHOOL DISTRICT

HOUSTON INDEPENDENT SCHOOL DISTRICT DIRECT AND OVERLAPPING PROPERTY TAX RATES LAST TEN FISCAL YEARS (RATE PER \$100 OF ASSESSED VALUE) (UNAUDITED)

Fiscal Year	District Direct Rates			Overlapping Rates									
	General Fund	Debt Service Fund	Total	Harris County	City of Houston	City of Bellaire	Jacinto City	Missouri City	City of Southside Place	City of West University Place	Houston Community College	Various Harris County MUD'S	
2015	\$ 1.026700	\$ 0.170000	\$ 1.196700	\$ 0.417310	\$ 0.631080	\$ 0.393600	\$ 0.799907	\$ 0.565000	\$ 0.337159	\$ 0.361790	\$ 0.106890	\$ 0.143450	\$ 1.400000
2016	1.026700	0.170000	1.196700	0.419230	0.601120	0.380500	0.783554	0.544680	0.324000	0.331790	0.101942	0.143450	1.290000
2017	1.026700	0.180000	1.206700	0.416560	0.586420	0.387400	0.783554	0.560100	0.324000	0.316800	0.100263	0.143450	1.250000
2018	1.040000	0.166700	1.206700	0.418010	0.584210	0.415900	0.783554	0.600000	0.320000	0.316800	0.100263	0.143450	1.250000
2019	1.040000	0.166700	1.206700	0.418580	0.588310	0.431300	0.783554	0.630000	0.318768	0.316800	0.100263	0.143450	0.845000
2020	0.970000	0.166700	1.136700	0.407130	0.567920	0.447300	0.783554	0.630000	0.318768	0.309210	0.100263	0.143450	0.785000
2021	0.966400	0.166700	1.133100	0.391160	0.561840	0.447300	0.774604	0.598035	0.318768	0.294066	0.100263	0.143450	0.750000
2022	0.927700	0.166700	1.094400	0.376930	0.550830	0.447300	0.773590	0.578035	0.318768	0.278522	0.099092	0.143450	0.680000
2023	0.870500	0.166700	1.037200	0.343730	0.533640	0.447300	0.655880	0.573750	0.318768	0.277402	0.095569	0.143450	0.650000
2024	0.701600	0.166700	0.868300	0.350070	0.519190	0.437000	0.596874	0.570825	0.340896	0.260840	0.092231	0.143450	0.605000

SOURCE: Harris County Appraisal District and Missouri City

NOTE: The rate reported for Harris County consists of the rates for Harris County, Harris County Flood Control District, Harris County Department of Education, Harris County Port Authority, and the Harris County Hospital District.

HOUSTON INDEPENDENT SCHOOL DISTRICT

HOUSTON INDEPENDENT SCHOOL DISTRICT PRINCIPAL PROPERTY TAXPAYERS CURRENT YEAR AND NINE YEARS AGO (UNAUDITED)

<u>Taxpayer</u>	<u>Fiscal Year Ending 2024</u>			<u>Fiscal Year Ending 2015</u>		
	<u>Assessed</u>	<u>Rank</u>	<u>Percentage</u> <u>of Total</u> <u>Assessed</u> <u>Value</u>	<u>Assessed</u>	<u>Rank</u>	<u>Percentage</u> <u>of Total</u> <u>Assessed</u> <u>Value</u>
	<u>Value</u>		<u>Value</u>	<u>Value</u>		<u>Value</u>
Centerpoint Energy Inc.	\$ 1,998,283,355	1	0.8706 %	\$ 1,246,875,808	1	0.8933 %
Chevron Chemical Company	843,247,726	2	0.3674	1,047,703,331	2	0.7506
HG Galleria	724,838,884	3	0.3158	475,503,575	9	0.3407
BSREP 1HC - 4HC	693,724,836	4	0.3022	-	-	-
One, Two, and Three Allen Center	691,831,860	5	0.3014	-	-	-
GWP (Greenway Plaza)	688,799,498	6	0.3001	-	-	-
Four Five Oaks Place	648,035,552	7	0.2823	464,133,747	10	0.3325
Valero Energy Corp.	638,490,695	8	0.2782	-	-	-
Finger FSC	520,096,721	9	0.2266	-	-	-
TPG Properties LP	517,448,108	10	0.2254	900,839,125	4	0.6454
Crescent Real Estate Equities	-	-	-	917,216,307	3	0.6571
AT&T/Southwestern Bell	-	-	-	476,242,744	8	0.3412
Texas Tower Ltd.	-	-	-	562,735,621	5	0.4032
Busycon Properties LLC	-	-	-	536,989,676	6	0.3847
1000 Louisiana LP	-	-	-	504,063,645	7	0.3611
	<u>\$ 7,964,797,235</u>		<u>3.4701 %</u>	<u>\$ 7,132,303,579</u>		<u>5.1098 %</u>

SOURCE: Harris County Appraisal District.



HOUSTON INDEPENDENT SCHOOL DISTRICT

HOUSTON INDEPENDENT SCHOOL DISTRICT PROPERTY TAX LEVIES AND COLLECTIONS LAST TEN FISCAL YEARS (UNAUDITED)

Fiscal Year	Taxes Levied for the Fiscal Year	Collected within the Fiscal Year of the Levy		Collections in Subsequent Years	Total Collections to Date	
		Amount	Percentage of Levy		Amount	Percentage of Levy
2015	1,626,867,734	1,593,140,114	97.93%	(2,502,310)	1,590,637,804	97.77%
2016	1,776,902,751	1,738,512,893	97.84%	13,125,726	1,751,638,619	98.58%
2017	1,938,101,993	1,904,734,976	98.28%	(18,310,014)	1,886,424,962	97.33%
2018	2,002,012,192	1,963,918,398	98.10%	(9,119,179)	1,954,799,218	97.64%
2019	2,039,948,464	1,999,695,187	98.03%	(2,093,766)	1,997,601,422	97.92%
2020	2,048,599,091	1,993,877,549	97.33%	3,637,816	1,997,515,365	97.51%
2021	2,173,577,655	2,116,422,090	97.37%	(22,010,404)	2,094,411,686	96.36%
2022	2,140,410,545	2,094,213,784	97.84%	(11,198,383)	2,083,015,401	97.32%
2023	2,224,027,089	2,160,912,769	97.16%	(21,934,340)	2,160,912,769	97.16%
2024	1,931,098,418	1,865,340,503	96.59%	-	1,865,340,503	96.59%

SOURCE: Harris County Tax Assessor

HOUSTON INDEPENDENT SCHOOL DISTRICT

HOUSTON INDEPENDENT SCHOOL DISTRICT SCHEDULE OF DELINQUENT TAXES RECEIVABLE FOR THE FISCAL YEAR ENDED JUNE 30, 2024 (UNAUDITED)

Fiscal Year Ended	Tax Rates		Assessed Taxable Value For School Tax Purposes	Fiscal Year Beginning Balance	Current Year Levy	Maintenance & Operations Collections	Debt Service Collections	Entire Year's Adjustments	Fiscal Year Ending Balance	Total Taxes Refunded Under Section 26.1115(c)
	Maintenance	Debt Service								
2015 and prior	various	various	various	\$ 33,000,219	\$ -	\$ 836,780	\$ 114,293	\$ (17,291,528)	\$ 14,757,618	
2016	1.026700	0.170000	152,860,482,797	3,176,985	-	137,939	22,840	(42,140)	2,974,066	
2017	1.026700	0.180000	165,861,644,665	3,931,518	-	289,048	50,676	70,908	3,662,702	
2018	1.040000	0.166700	171,610,628,471	4,859,228	-	268,824	43,089	(27,319)	4,519,996	
2019	1.040000	0.166700	173,923,630,109	5,207,609	-	372,639	59,730	(89,294)	4,685,946	
2020	0.970000	0.166700	185,535,534,086	(7,868,681)	-	116,945	20,098	14,704,251	6,698,527	
2021	0.966400	0.166700	196,631,674,148	11,744,475	-	(1,648,256)	(284,317)	(4,684,934)	8,992,114	
2022	0.927700	0.166700	200,674,561,625	17,909,250	-	(2,962,987)	(532,425)	(9,211,127)	12,193,535	
2023	0.870500	0.166700	218,175,138,362	64,252,196	-	(18,409,027)	(3,525,313)	(62,757,751)	23,428,785	
2024	0.701600	0.166700	229,523,362,674	-	1,931,098,418	1,507,224,343	358,116,160	-	65,757,915	
1000 Total				\$ <u>136,212,799</u>	\$ <u>1,931,098,418</u>	\$ <u>1,486,226,248</u>	\$ <u>354,084,831</u>	\$ <u>(79,328,933)</u>	\$ <u>147,671,205</u>	
8000 Taxes refunded under Section 26.1115, Tax Code, for owners who received for owners who received an exemption as provided by Section 11.42(f), Tax Code										\$ <u>1,518,671</u>
9000 Portion of Row 1000 for Taxes Paid into Tax Increment Zone under Chapter 311, Tax Code						\$ <u>39,286,256</u>	\$ <u>9,155,486</u>		\$ <u>48,441,742</u>	



HOUSTON INDEPENDENT SCHOOL DISTRICT

HOUSTON INDEPENDENT SCHOOL DISTRICT LOCAL EXCESS REVENUE (RECAPTURE) FOR THE LAST EIGHT FISCAL YEARS ENDING JUNE 30

<u>Fiscal Year</u>	<u>Revenue</u>
2017	\$ 91,544,985
2018	\$ 168,325,648
2019	\$ 185,111,161
2020	\$ 74,910,822 *
2021	\$ 198,143,888
2022	\$ 186,526,718
2023	\$ 275,327,222
2024	\$ - **

In fiscal year 2017, Houston ISD began sending "local excess revenue" to the state. The district is considered property rich and is required to send back local tax revenue in excess of entitlement.

Chapter 49 of the Texas Education Code (TEC) makes provisions for certain school districts to share their local tax revenue with other school districts. These provisions are sometimes referred to as "share the wealth", "Robin Hood" or "recapture" because recaptured funds are redistributed by the school finance system.

* Decrease in local excess revenue payment due to impact of HB3 which revised the formula

** No payment required due to tax compression and \$100k homestead exemption



This page
intentionally
left blank



STATISTICAL SECTION

2024 Debt Capacity

FINANCIAL EXCELLENCE
Supporting Academic Success

HOUSTON INDEPENDENT SCHOOL DISTRICT

HOUSTON INDEPENDENT SCHOOL DISTRICT LEGAL DEBT MARGIN INFORMATION LAST TEN FISCAL YEARS (UNAUDITED)

	2024	2023	2022	2021	2020	2019	2018	2017	2016	2015
Debt Limit	\$ 17,607,182,093	\$ 17,782,508,687	\$ 16,356,112,586	\$ 16,026,594,415	\$ 15,122,196,192	\$ 14,175,760,293	\$ 13,987,237,567	\$ 13,518,662,850	\$ 12,458,994,566	\$ 11,376,593,266
Total Net Debt Applicable to Limit	1,619,049,503	1,963,860,929	2,262,071,102	2,530,940,430	2,800,313,188	3,044,000,722	3,268,500,408	3,394,612,558	3,075,365,261	2,674,555,713
Legal Debt Margin	<u>\$ 15,988,132,590</u>	<u>\$ 15,818,647,758</u>	<u>\$ 14,094,041,484</u>	<u>\$ 13,495,653,985</u>	<u>\$ 12,321,883,004</u>	<u>\$ 11,131,759,571</u>	<u>\$ 10,718,737,159</u>	<u>\$ 10,124,050,292</u>	<u>\$ 9,383,629,305</u>	<u>\$ 8,702,037,553</u>
Total Net Debt Applicable to the Limit as a Percentage of Debt Limit	9.20%	11.04%	13.83%	15.79%	18.52%	21.47%	23.37%	25.11%	24.68%	23.51%

Legal Debt Margin Calculation for Fiscal Year 2024:

Assessed Value	\$229,523,362,674
Maximum Tax Rate (1)	\$0.50
Number of Years (2)	40
Maximum Principal	\$ -
Outstanding Principal (3)	\$ 1,619,049,503

Notes:

- (1) Per Section 45.0031 of the Texas Education Code, the District has to have a projected ability to pay the principal and interest on the bonds from a tax at a rate not to exceed \$0.50 per \$100 valuation.
- (2) Per Section 45.001, the Bonds must mature serially or otherwise not more than 40 years from their date.
- (3) Outstanding principal of General Obligation and Lease Revenue Bonds net of premiums, accretions for capital appreciation bonds, and funds restricted for payment of principal on the related debt. Net debt applicable to the legal debt margin is equal to net bonded debt.

HOUSTON INDEPENDENT SCHOOL DISTRICT

HOUSTON INDEPENDENT SCHOOL DISTRICT RATIOS OF NET GENERAL BONDED DEBT OUTSTANDING TO ASSESSED VALUE AND NET BONDED DEBT PER STUDENT LAST TEN FISCAL YEARS (UNAUDITED)

<u>Fiscal Year Ended</u>	<u>Gross Bonded Debt (1)</u>	<u>Less Restricted For Debt Service</u>	<u>Net Bonded Debt</u>	<u>Ratio of Net Bonded Debt to Assessed Value (2)</u>	<u>Net Bonded Debt Per Student (3)</u>	<u>Net Bonded Debt Per Capita (4)</u>
2015	2,771,510,713	96,955,000	2,674,555,713	1.92	12,427	1,851
2016	3,154,354,223	78,988,962	3,075,365,261	2.01	14,262	2,078
2017	3,462,409,946	67,797,388	3,394,612,558	2.05	15,708	2,245
2018	3,320,324,548	51,824,140	3,268,500,408	1.90	15,261	2,137
2019	3,082,881,941	38,881,219	3,044,000,722	1.75	14,511	1,963
2020	2,846,481,269	46,168,081	2,800,313,188	1.51	13,331	1,788
2021	2,584,617,692	53,677,262	2,530,940,430	1.29	12,851	1,611
2022	2,322,132,646	60,061,544	2,262,071,102	1.13	11,624	1,432
2023	2,042,319,272	78,458,343	1,963,860,929	0.90	10,375	1,326
2024	1,721,891,688	102,842,185	1,619,049,503	0.74	8,808	1,093

Notes: (1) Includes general obligation bonds as well as lease revenue bonds issued by the Houston Independent School District Public Facility Corporation, a component unit of the District. See Note 2 of the financial statements for additional detail.

(2) See assessed value and actual value of taxable property schedule. Ratio is per \$100 of assessed value.

(3) See student information schedule.

(4) See population of demographic information.

HOUSTON INDEPENDENT SCHOOL DISTRICT

HOUSTON INDEPENDENT SCHOOL DISTRICT DIRECT AND OVERLAPPING GOVERNMENTAL ACTIVITIES DEBT (UNAUDITED)

Taxing Authority	Gross Debt Outstanding	Outstanding as of	Percent Overlapping	Amount Applicable to the District
Overlapping :				
Bellaire, City of	\$ 92,205,000	06/30/24	100.00%	\$ 92,205,000
Fort Bend Co WC&ID #2	134,430,000	06/30/24	2.24%	3,011,232
Harris County	1,994,511,319	06/30/24	35.98%	717,625,172
Harris County Dept of Ed	28,960,000	06/30/24	35.98%	10,419,808
Harris County Flood Control	991,095,000	06/30/24	35.98%	356,595,981
Harris County Hospital District	65,285,000	06/30/24	35.98%	23,489,543
Harris County ID #1	37,805,000	06/30/24	100.00%	37,805,000
Harris County ID #3	1,895,000	06/30/24	100.00%	1,895,000
Harris County MUD #122	790,000	06/30/24	100.00%	790,000
Harris County MUD #148	18,885,000	06/30/24	2.13%	402,251
Harris County MUD #355	2,995,000	06/30/24	100.00%	2,995,000
Harris County MUD #381	15,905,000	06/30/24	27.71%	4,407,276
Harris County MUD #382	9,055,000	06/30/24	1.16%	105,038
Harris County MUD #390	51,640,000	06/30/24	100.00%	51,640,000
Harris County MUD #393	8,340,000	06/30/24	92.01%	7,673,634
Harris County MUD #404	9,770,000	06/30/24	100.00%	9,770,000
Harris County MUD #407	2,925,000	06/30/24	100.00%	2,925,000
Harris County MUD #410	20,335,000	06/30/24	37.31%	7,586,989
Harris County MUD #411	8,270,000	06/30/24	100.00%	8,270,000
Harris County MUD #420	11,850,000	06/30/24	100.00%	11,850,000
Harris County MUD #439	2,705,000	06/30/24	100.00%	2,705,000
Harris County MUD #451	5,095,000	06/30/24	100.00%	5,095,000
Harris County MUD #460	51,390,000	06/30/24	100.00%	51,390,000
Harris County MUD #529	10,240,000	06/30/24	100.00%	10,240,000
Harris County MUD #537	18,415,000	06/30/24	100.00%	18,415,000
Harris County MUD #575	12,685,000	06/30/24	100.00%	12,685,000
Harris County WC&ID #89	43,705,000	06/30/24	100.00%	43,705,000
Harris County WC&ID #96	29,640,000	06/30/24	0.79%	234,156
Harris County WC&ID (Fondren Road)	1,235,000	06/30/24	100.00%	1,235,000
Houston, Community College	422,215,000	06/30/24	87.73%	370,409,220
Houston, City of	2,967,085,000	06/30/24	67.80%	2,011,683,630
Lower Kirby Pearland Mgmt District	33,210,000	06/30/24	100.00%	33,210,000
Missouri City, City of	175,555,000	06/30/24	5.54%	9,725,747
Pearland, City of	434,965,000	06/30/24	4.23%	18,399,020
Piney Point Village, City of	1,700,000	06/30/24	4.79%	81,430
Port of Houston Authority	426,134,397	06/30/24	35.98%	153,323,156
San Jacinto CCD	520,862,492	06/30/24	1.42%	7,396,247
Southside Place, City of	11,525,000	06/30/24	100.00%	11,525,000
Southwest Harris Co. MUD #1	615,000	06/30/24	100.00%	615,000
West University Place, City of	75,755,000	06/30/24	100.00%	75,755,000
SUBTOTAL OVERLAPPING DEBT				4,189,289,530
Direct :				
Houston Independent School District				1,831,582,713
TOTAL DIRECT AND OVERLAPPING DEBT				\$ 6,020,872,243

Notes: Information furnished by Texas Municipal Advisory Council, except for the net debt of the Houston Independent School District.

The percentage of overlapping debt is estimated using property market values. Percentages were estimated by determining the portion of the overlapping taxing authority's market value contained within the District's boundaries and dividing it by the overlapping taxing authority's total market value.

Net debt for the Houston Independent School District includes the following:

Bonds	\$ 1,637,505,000
Notes	143,210,000
PFC debt	32,840,000
Leases payable	12,170,118
Subscriptions payable	5,857,595
	<u>\$ 1,831,582,713</u>

HOUSTON INDEPENDENT SCHOOL DISTRICT

HOUSTON INDEPENDENT SCHOOL DISTRICT OUTSTANDING DEBT BY TYPE LAST TEN FISCAL YEARS (UNAUDITED)

Fiscal Year Ended	Governmental Activities					Business-Type Activities Subscriptions	Total Primary Government	Ratio of Debt to Assessed Value (1)	Debt Per Student (2)	Total Debt Per Capita (3)
	General Obligation Bonds	Lease Revenue Bonds	Contractual Obligations	Notes Payable	Leases and Subscriptions					
2015	\$ 2,564,919,056	\$ 206,591,656	\$ 17,468,401	\$ 45,360,000	\$ 31,008,613	\$ -	\$ 2,865,347,726	2.05	13,313	1,983
2016	2,961,137,471	193,216,752	8,387,221	40,360,000	29,416,353	-	3,232,517,797	2.11	14,991	2,184
2017	3,298,533,887	163,876,059	5,657,240	35,360,000	16,742,354	-	3,520,169,540	2.12	16,289	2,328
2018	3,180,310,237	140,014,311	2,809,325	229,569,460	24,223,370	-	3,576,926,703	2.08	16,701	2,339
2019	2,967,014,762	115,867,179	1,400,000	216,382,946	13,598,328	-	3,314,263,215	1.91	15,799	2,137
2020	2,759,294,436	87,186,833	-	199,103,994	52,603,995	-	3,098,189,258	1.69	14,749	1,979
2021	2,523,988,537	60,629,154	-	180,194,920	36,340,506	-	2,801,153,117	1.42	14,223	1,783
2022	2,272,875,574	49,257,072	-	171,098,025	40,734,466	-	2,533,965,138	1.26	13,021	1,605
2023	1,999,739,076	42,580,194	-	161,908,375	39,353,541	7,405,973	2,250,987,159	1.12	11,567	1,425
2024	1,637,505,000	32,840,000	-	143,210,000	18,027,713	4,989,102	1,836,571,815	0.92	9,437	1,163

Notes: (1) See assessed value and actual value of taxable property schedule. Ratio is per \$100 of assessed value.

(2) See student information schedule.

(3) See population of demographic information schedule.



STATISTICAL SECTION

2024
Demographic
and Economic
Capacity

FINANCIAL EXCELLENCE
Supporting Academic Success

HOUSTON INDEPENDENT SCHOOL DISTRICT

HOUSTON INDEPENDENT SCHOOL DISTRICT DEMOGRAPHIC INFORMATION LAST TEN CALENDAR YEARS (UNAUDITED)

<u>Fiscal Year</u>	<u>Population</u>	<u>Average Daily Attendance</u>	<u>Weighted Average Daily Attendance</u>	<u>Unemployment Rate</u>	<u>Residential Units</u>	<u>Total Assessed Value of Residential Units</u>	<u>Average Assessed Value of Residential Units</u>
2015	1,445,277	188,957	267,813.25	4.20	332,960	56,700,980,749	170,294
2016	1,480,107	193,965	268,703.78	5.80	335,533	63,143,658,828	188,189
2017	1,512,221	194,935	265,900.08	5.30	338,185	69,142,683,603	204,452
2018	1,529,513	194,049	269,020.82	4.60	339,806	73,027,017,795	214,908
2019	1,550,689	187,105	268,504.14	3.20	343,065	74,460,981,034	217,046
2020	1,565,856	173,665	253,297.70	9.90	345,454	80,110,954,207	231,900
2021	1,570,773	177,716	253,554.47	7.40	348,274	83,812,170,063	240,650
2022	1,579,113	174,359	246,358.50	4.80	351,432	88,804,509,136	252,693
2023	1,481,171	167,391	239,507.08	4.50	354,889	94,776,454,140	267,059
2024	1,497,738	163,594	237,889.66	4.80	358,839	93,650,224,241	260,981

NOTES: Population data for the district boundaries is from US Census Bureau, Small Area Income and Poverty Program (SAIPE).

Average Daily Attendance and Weighted Average Daily Attendance obtained from
PEIMS (Public Education Information Management System)

Unemployment rate for the City of Houston, as reported by the US Bureau of Labor Statistics

Residential Unit data obtained from the Harris County Appraisal District - Certified Values Only
(Single Family and Mobile Homes)

HOUSTON INDEPENDENT SCHOOL DISTRICT

HOUSTON INDEPENDENT SCHOOL DISTRICT PRINCIPAL EMPLOYERS CURRENT YEAR AND NINE YEARS AGO (UNAUDITED)

<u>Employer</u>	<u>Fiscal Year Ending 2024</u>			<u>Fiscal Year Ending 2015</u>		
	<u>Employees</u>	<u>Rank</u>	<u>Percentage of Total Employment</u>	<u>Employees</u>	<u>Rank</u>	<u>Percentage of Total Employment</u>
Memorial Hermann Health System	19,500	1	0.5687 %	20,055	4	0.6750 %
Continental Airlines, Inc	16,000	2	0.4666	-	-	-
UT MD Anderson Cancer Center	15,000	3	0.4374	20,357	3	0.6851
Shell Oil Co.	13,000	4	0.3791	12,050	10	0.4056
Exxon Mobil Corp	13,000	5	0.3791	12,814	8	0.4313
Kroger Co	12,000	6	0.3500	15,216	6	0.5121
National Oilwell Varco	10,000	7	0.2916	-	-	-
Houston Methodist	9,991	8	0.2914	16,961	5	0.5708
UT Medical at Galveston	9,318	9	0.2717	-	-	-
Baylor College of Medicine	9,232	10	0.2692	-	-	-
H-E-B	-	-	-	21,471	2	0.7226
McDonald's Corp.	-	-	-	-	-	-
United Airlines	-	-	-	15,108	7	0.5085
Schlumberger	-	-	-	12,207	9	0.4108
Wal-Mart Stores	-	-	-	32,000	1	1.0770
Total	<u>127,041</u>		<u>3.7049 %</u>	<u>178,239</u>		<u>5.9988 %</u>

Sources: Fiscal year 2024 data was obtained from Kress Employment Screening.
Fiscal year 2015 data was obtained from the Houston Chronicle.

Notes: Percentage of total employment was calculated using total non-agricultural employment for the Houston-Sugarland-Baytown MSA and was obtained directly from the U.S. Bureau of Economic Statistics via DATAbook Houston.

These lists exclude employment numbers for Houston ISD and the City of Houston



STATISTICAL SECTION

2024
Operating
Information

FINANCIAL EXCELLENCE
Supporting Academic Success

HOUSTON INDEPENDENT SCHOOL DISTRICT

HOUSTON INDEPENDENT SCHOOL DISTRICT DISTRICT EMPLOYEES BY FUNCTION LAST TEN FISCAL YEARS (UNAUDITED)

		Employees as of June 30									
		<u>2024</u>	<u>2023</u>	<u>2022</u>	<u>2021</u>	<u>2020</u>	<u>2019</u>	<u>2018</u>	<u>2017</u>	<u>2016</u>	<u>2015</u>
11	Instruction	12,603	11,656	11,226	11,769	12,211	11,919	12,539	13,564	13,763	13,502
12	Instructional resources and media services	79	200	68	75	88	109	96	74	68	78
13	Instructional staff development	160	395	373	493	456	479	356	351	390	360
14	Curriculum development	-	-	-	-	-	-	-	-	65	73
21	Instructional leadership	628	316	324	326	306	272	253	242	236	238
23	School leadership	2,265	2,287	2,216	2,152	2,273	2,182	2,318	2,347	2,520	2,391
31	Guidance, counseling, and evaluation services	649	939	802	779	734	670	631	560	550	472
32	Social work services	55	394	361	301	220	175	45	-	57	53
33	Health services	221	271	246	259	250	293	286	293	285	295
34	Student transportation services	864	899	953	995	1,108	1,076	1,195	1,332	1,383	1,294
35	Nutrition service	1,393	1,608	1,488	1,498	1,823	1,824	1,922	1,964	1,861	1,909
36	Co-curricular/extracurricular activities	103	99	92	84	99	96	98	253	80	73
41	General administration	471	561	459	449	436	385	320	384	426	422
51	Plant maintenance and operations	1,535	2,115	2,172	1,871	1,814	1,785	1,833	1,975	1,954	2,031
52	Security and monitoring services	750	797	776	775	787	796	838	883	842	826
53	Data processing services	281	400	379	361	320	327	298	328	328	296
61	Community services	94	149	133	158	179	128	105	107	134	111
81	Facilities acquisition and construction	5	12	13	17	18	70	82	67	60	74
Total		22,156	23,098	22,081	22,362	23,122	22,586	23,215	24,724	25,001	24,496

Source: District records

Note: Count includes both FTE and hourly employees (excluding hourly employees where the position is not their primary job) and excludes substitutes.



HOUSTON INDEPENDENT SCHOOL DISTRICT

HOUSTON INDEPENDENT SCHOOL DISTRICT STUDENT INFORMATION - GENERAL LAST TEN CALENDAR YEARS (UNAUDITED)

Calendar Year	Enrollment	Teacher Count	Student / Teacher Ratio	State Student / Teacher Ratio	Operating Expenditures	Cost Per Pupil	Percentage of Students Eligible for Free or Reduced-Price Meals
2015	215,225	11,679	18.4	15.2	1,794,759,572	8,339	77.60%
2016	215,627	12,010	18.0	15.2	1,909,369,634	8,855	75.39%
2017	216,106	12,062	18.7	15.1	1,993,593,224	9,225	81.20%
2018	214,175	12,368	17.3	15.1	2,354,485,916	10,978	89.90%
2019	209,772	11,569	18.1	15.1	2,312,607,490	11,024	97.10%
2020	210,061	11,856	18.0	15.1	2,432,515,360	11,580	97.71%
2021	196,943	11,866	16.6	14.5	2,508,647,952	12,738	96.90%
2022	194,607	11,192	17.4	14.6	2,760,175,438	14,183	98.70%
2023	189,934	11,143	17.0	14.8	3,061,729,773	16,120	90.00%
2024	184,109	11,907	15.5	N/A	2,865,717,426	15,565	79.55%

Sources: TAPR (Texas Academic Performance Report)
PEIMS (Public Education Information Management System)

NOTES: Operating Expenditures are total governmental expenditures less debt service and capital outlay.

State Student/Teacher Ratio was not available at time of printing.



HOUSTON INDEPENDENT SCHOOL DISTRICT

HOUSTON INDEPENDENT SCHOOL DISTRICT TEACHER INFORMATION - GENERAL LAST TEN FISCAL YEARS (UNAUDITED)

Fiscal Year	Average Beginning Salary			Average Salary		
	HISD	Region	State	HISD	Region	State
2015	48,949	48,275	44,540	53,698	54,157	50,715
2016	51,051	49,117	45,507	55,431	55,580	51,891
2017	50,541	50,173	46,199	53,471	55,992	52,525
2018	48,539	52,725	47,667	54,538	57,076	53,334
2019	47,385	51,122	47,218	54,125	57,707	54,122
2020	47,742	53,229	49,868	56,340	60,292	57,091
2021	49,883	54,636	50,849	56,664	60,798	57,641
2022	50,771	53,963	51,054	59,161	62,589	58,887
2023	54,587	58,169	53,300	64,954	64,502	60,717
2024	50,290	58,169	N/A	68,431	66,411	62,975

Sources: 2015-2023 TAPR (Texas Academic Performance Report)
2024 PEIMS (Public Education Information Management System)

Note: State information for 2024 was not available at time of printing.
Certain prior year amounts have been updated based on updated data from PEIMS and TAPR.

HOUSTON INDEPENDENT SCHOOL DISTRICT

HOUSTON INDEPENDENT SCHOOL DISTRICT TEACHER SALARY INFORMATION - EDUCATION LAST TEN CALENDAR YEARS (UNAUDITED)

Fiscal Year	Bachelor's Degree			Master's Degree			Doctorate		
	Minimum	Maximum	Teacher Count	Minimum	Maximum	Teacher Count	Minimum	Maximum	Teacher Count
2015	49,100	69,956	7,897.2	49,100	69,956	3,206.6	49,100	69,956	184.3
2016	51,500	71,500	8,080.7	51,500	71,500	3,112.4	51,500	71,500	199.9
2017	51,500	71,500	7,744.5	51,500	71,500	2,920.7	51,500	71,500	171.9
2018	52,530	74,360	7,203.3	52,530	74,360	2,631.1	52,530	74,360	148.3
2019	52,530	74,360	8,124.7	52,530	74,360	2,645.0	52,530	74,360	163.2
2020	54,369	80,309	7,921.0	54,369	80,309	2,522.0	54,369	80,309	175.2
2021	56,869	84,309	7,882.5	56,869	84,309	2,497.1	56,869	84,309	174.6
2022	56,869	84,309	8,205.6	56,869	84,309	2,374.4	56,869	84,309	165.1
2023	61,500	87,500	7,471.1	61,500	87,500	2,385.7	61,500	87,500	164.4
2024	61,500	87,500	8,039.8	61,500	87,500	2,424.9	61,500	87,500	171.8

Sources: Teacher Count information obtained from PEIMS (Public Education Information Management System)
Teacher Salary information obtained from HISD Compensation Manual

HOUSTON INDEPENDENT SCHOOL DISTRICT

SCHOOL BUILDING INFORMATION - LAST TEN FISCAL YEARS (UNAUDITED)

	Fiscal Year									
	<u>2024</u>	<u>2023</u>	<u>2022</u>	<u>2021</u>	<u>2020</u>	<u>2019</u>	<u>2018</u>	<u>2017</u>	<u>2016</u>	<u>2015</u>
Elementary										
Alcott (1953)										
Square feet	59,400	59,400	59,400	59,400	59,400	60,936	60,936	60,497	60,497	60,497
Capacity	594	594	594	771	771	771	771	771	774	774
Enrollment	224	202	131	198	237	237	267	299	326	322
Almeda (2011)										
Square feet	86,044	86,044	86,044	86,044	86,044	86,044	86,044	86,073	86,073	86,073
Capacity	729	729	729	783	783	783	783	783	752	752
Enrollment	828	799	759	819	838	849	856	845	827	857
Anderson (1959)										
Square feet	65,917	65,917	65,917	68,221	68,221	72,829	72,829	76,110	76,110	76,110
Capacity	867	867	867	1,105	1,039	1,039	1,039	1,039	1,039	1039
Enrollment	595	645	532	713	772	758	807	833	812	672
Arabic Immersion (2015)										
Square feet	103,392	103,392	103,392	103,392	103,392	36,632	36,632	36,632	34,570	N/A
Capacity	572	572	572	844	327	327	364	364	358	N/A
Enrollment	590	525	509	463	392	329	273	190	127	N/A
Ashford (1971)										
Square feet	86,063	86,063	86,063	86,083	86,083	86,083	86,083	86,083	83,294	83,294
Capacity	606	606	606	691	691	691	691	691	690	690
Enrollment	574	517	480	554	625	641	746	659	546	539
Askew (1977/2018)										
Square feet	110,830	110,830	110,830	109,269	109,269	109,269	58,167	48,951	48,951	67,383
Capacity	855	855	855	991	1,134	1,134	991	991	856	856
Enrollment	884	874	781	833	928	931	902	911	908	968
Atherton (1927/2013)										
Square feet	86,000	86,000	86,000	89,072	89,072	89,072	89,072	85,900	85,900	85,900
Capacity	665	665	665	703	690	690	615	615	669	669
Enrollment	467	450	364	487	574	591	584	577	589	568
Barrick (1949)										
Square feet	51,493	51,493	51,493	53,797	53,797	59,173	59,173	57,857	57,857	57,857
Capacity	719	719	719	883	817	817	817	817	806	806
Enrollment	466	484	455	562	630	652	703	705	715	695
Bastian (2005)										
Square feet	107,952	107,952	107,952	107,952	107,952	107,952	107,952	107,952	105,276	105,276
Capacity	938	938	938	972	972	972	972	972	962	962
Enrollment	691	682	683	614	666	656	696	643	635	688
Bell (1978)										
Square feet	56,373	56,373	56,373	70,197	70,197	71,733	71,733	56,373	55,279	70,639
Capacity	997	997	997	986	986	986	967	967	773	773
Enrollment	554	544	485	602	695	714	752	759	763	819
Bellfort ECC (1960)										
Square feet	44,560	44,560	44,560	44,560	44,560	44,560	44,560	44,560	43,583	43,583
Capacity	379	379	379	373	373	373	373	373	376	376
Enrollment	302	328	347	334	365	350	365	343	372	374
Benavidez (1962)										
Square feet	76,729	76,729	76,729	93,625	93,625	94,393	94,393	93,786	93,786	93,786
Capacity	1,116	1,116	1,116	1,665	1,181	1,181	1,181	1,181	1,182	1182
Enrollment	839	933	829	924	1,064	1,059	1,031	1,127	1,128	1072

HOUSTON INDEPENDENT SCHOOL DISTRICT

SCHOOL BUILDING INFORMATION - LAST TEN FISCAL YEARS (UNAUDITED)

	Fiscal Year									
	<u>2024</u>	<u>2023</u>	<u>2022</u>	<u>2021</u>	<u>2020</u>	<u>2019</u>	<u>2018</u>	<u>2017</u>	<u>2016</u>	<u>2015</u>
Benbrook (1968)										
Square feet	37,786	37,786	37,786	42,394	42,394	48,538	48,538	44,595	44,595	44,595
Capacity	645	645	645	862	636	636	598	598	573	573
Enrollment	470	454	453	494	553	590	614	620	600	613
Berry (2012)										
Square feet	87,137	87,137	87,137	87,137	87,137	87,137	87,137	87,137	85,988	85,988
Capacity	829	829	829	819	819	819	819	819	806	806
Enrollment	769	801	741	767	825	799	824	836	808	809
Blackshear (1916)										
Square feet	57,274	57,274	57,274	57,814	57,274	57,274	57,274	96,976	96,976	96,976
Capacity	550	550	550	778	778	778	778	778	711	711
Enrollment	297	308	255	326	399	412	485	520	519	531
Bonham (1962)										
Square feet	41,485	41,485	41,485	73,741	73,741	78,349	78,349	83,201	83,201	83,201
Capacity	1,189	1,189	1,189	2,221	1,335	1,335	1,297	1,297	1,236	1236
Enrollment	1,012	943	1,055	865	963	944	988	1,049	1,140	1091
Bonner (1948)										
Square feet	82,395	82,395	82,395	96,219	96,219	95,451	95,451	102,316	102,316	102,316
Capacity	994	994	994	1,436	1,021	1,021	1,040	1,040	982	982
Enrollment	605	616	587	683	772	799	860	955	1,001	989
Braeburn (2020)										
Square feet	117,250	117,250	117,250	110,000	59,668	81,172	81,172	84,218	84,218	84,218
Capacity	927	927	927	1,468	1,116	1,116	1,116	1,116	1,075	1075
Enrollment	895	825	751	759	602	644	770	930	902	870
Briargrove (2008)										
Square feet	104,233	104,233	104,233	104,233	102,025	102,025	102,025	103,585	103,585	103,585
Capacity	813	813	813	823	823	823	823	823	788	815
Enrollment	893	845	751	808	899	911	917	837	869	838
Briarmeadow (2001)										
Square feet	95,415	95,415	95,415	95,415	122,759	122,759	122,759	136,689	136,689	136,689
Capacity	710	710	710	725	621	621	621	621	606	606
Enrollment	552	576	544	566	608	575	594	595	594	595
Briscoe (1928)										
Square feet	56,305	56,305	56,305	56,305	56,305	56,305	56,305	56,305	53,829	53,829
Capacity	548	548	548	655	655	655	655	655	690	690
Enrollment	225	200	181	233	271	269	330	381	385	381
Brookline (1952)										
Square feet	55,586	55,586	55,586	67,874	67,874	87,074	87,074	121,979	121,979	121,979
Capacity	1,053	1,053	1,053	1,692	1,396	1,396	1,340	1,340	1,290	1290
Enrollment	648	734	664	777	874	907	922	962	962	955
Browning (1927)										
Square feet	40,735	40,735	40,735	49,951	49,951	52,255	52,255	52,570	52,570	52,570
Capacity	634	634	634	917	653	653	653	653	585	585
Enrollment	414	427	388	429	521	486	541	557	559	556
Bruce (2005)										
Square feet	82,648	82,648	82,648	82,648	82,648	82,648	82,648	82,648	80,916	80,916
Capacity	742	742	742	739	739	739	739	739	732	732
Enrollment	305	298	258	393	432	501	516	571	601	627

HOUSTON INDEPENDENT SCHOOL DISTRICT

SCHOOL BUILDING INFORMATION - LAST TEN FISCAL YEARS (UNAUDITED)

	Fiscal Year									
	<u>2024</u>	<u>2023</u>	<u>2022</u>	<u>2021</u>	<u>2020</u>	<u>2019</u>	<u>2018</u>	<u>2017</u>	<u>2016</u>	<u>2015</u>
Burbank (1927)										
Square feet	74,753	74,753	74,753	77,825	77,825	82,433	82,433	81,647	81,647	81,647
Capacity	905	905	905	1,128	1,059	1,059	1,040	1,040	985	985
Enrollment	746	784	777	853	916	905	904	943	856	860
Burnet (1926)										
Square feet	77,339	77,339	77,339	77,339	77,339	77,339	77,339	77,339	76,801	76,801
Capacity	689	689	689	780	780	780	780	780	788	836
Enrollment	367	388	365	417	439	473	497	511	501	521
Burrus (1926)										
Square feet	72,128	72,128	72,128	72,128	72,128	72,128	72,128	72,128	71,372	71,372
Capacity	570	570	570	678	678	678	678	678	690	690
Enrollment	215	244	226	292	364	421	471	436	484	506
Bush (1992)										
Square feet	73,961	73,961	73,961	79,337	79,337	80,105	80,105	87,803	87,803	87,803
Capacity	820	511	820	1,046	892	892	892	892	878	878
Enrollment	706	422	727	809	870	869	899	837	833	860
Cage (1907) / Chrysalis MS										
Square feet	44,067	44,067	44,067	56,355	56,355	64,803	64,803	60,205	60,205	60,205
Capacity	511	511	511	1,135	1,120	1,120	783	783	806	1128
Enrollment	385	422	400	458	510	517	524	538	575	617
Carrillo (1993)										
Square feet	77,428	77,428	77,428	79,732	46,371	48,675	48,675	80,281	80,281	80,281
Capacity	661	661	661	919	853	853	853	853	857	857
Enrollment	346	360	343	450	526	505	549	585	610	613
Codwell (1977)										
Square feet	59,416	59,416	59,416	62,488	48,194	54,338	54,338	58,946	58,946	58,946
Capacity	613	613	613	465	465	465	577	577	555	555
Enrollment	353	342	356	367	422	404	451	417	451	501
Condit (2017)										
Square feet	88,968	88,968	88,968	82,698	82,698	91,146	91,146	82,698	46,502	46,502
Capacity	678	678	678	750	934	934	692	692	731	731
Enrollment	743	737	604	715	783	773	760	725	667	707
Cook (2007)										
Square feet	121,370	121,370	121,370	121,370	121,370	121,370	121,370	121,370	89,049	89,049
Capacity	727	727	727	853	853	853	853	853	815	815
Enrollment	474	483	399	540	644	628	654	654	712	712
Coop (2005)										
Square feet	85,504	85,504	85,504	85,504	84,504	84,504	84,504	84,504	83,409	83,409
Capacity	708	708	708	746	746	746	746	746	690	690
Enrollment	553	559	457	631	698	745	747	712	759	745
Cornelius (1960)										
Square feet	52,010	52,010	52,010	71,978	71,978	78,122	78,122	76,904	76,904	76,904
Capacity	816	816	816	1,670	1,136	1,136	1,098	1,098	1,057	1057
Enrollment	762	777	701	798	860	857	921	911	942	983
Crespo (1991)										
Square feet	73,295	73,295	73,295	85,583	85,583	84,047	84,047	85,508	85,508	85,508
Capacity	841	841	841	1,414	1,025	1,025	1,062	1,062	1,170	1170
Enrollment	522	537	516	630	716	772	874	908	979	946

HOUSTON INDEPENDENT SCHOOL DISTRICT

SCHOOL BUILDING INFORMATION - LAST TEN FISCAL YEARS (UNAUDITED)

	Fiscal Year									
	<u>2024</u>	<u>2023</u>	<u>2022</u>	<u>2021</u>	<u>2020</u>	<u>2019</u>	<u>2018</u>	<u>2017</u>	<u>2016</u>	<u>2015</u>
Crockett (1980/2011)										
Square feet	59,744	59,744	59,744	59,744	59,744	59,744	59,744	63,783	63,783	63,783
Capacity	557	557	557	582	582	582	582	582	573	573
Enrollment	550	543	524	556	562	572	563	543	500	486
Cunningham (2012)										
Square feet	88,687	88,687	88,687	88,687	88,687	88,687	88,687	88,687	84,500	84,500
Capacity	745	745	745	783	783	783	783	783	716	716
Enrollment	568	573	513	589	697	710	722	732	724	755
Daily (2007)										
Square feet	86,044	86,044	86,044	82,572	82,572	82,572	82,572	82,572	82,572	82,572
Capacity	708	708	708	1,181	729	729	729	729	699	699
Enrollment	813	822	752	715	800	789	828	751	733	700
Davila (1990)										
Square feet	79,231	79,231	79,231	79,231	79,231	79,231	79,231	80,396	80,396	80,396
Capacity	749	749	749	866	866	866	866	866	878	878
Enrollment	412	405	356	391	441	409	401	417	454	460
DeChaumes (1956)										
Square feet	86,847	86,847	86,847	86,847	86,847	86,847	86,847	86,847	84,650	84,650
Capacity	822	822	822	765	765	765	765	765	752	716
Enrollment	694	695	686	745	835	838	834	841	834	826
DeZavala (1928)										
Square feet	69,969	69,969	69,969	65,505	65,505	67,041	67,041	64,141	64,141	64,141
Capacity	647	647	647	901	857	857	857	857	898	898
Enrollment	232	381	366	528	576	538	586	605	564	547
DeAnda (2011)										
Square feet	90,904	90,904	90,904	90,904	90,904	90,904	90,904	90,904	85,450	85,450
Capacity	728	728	728	767	767	767	767	767	734	857
Enrollment	647	620	612	578	666	690	674	724	719	781
Dogan (1949)										
Square feet	93,136	93,136	93,136	93,136	93,136	93,136	93,136	93,136	87,500	87,500
Capacity	665	665	665	725	725	725	725	725	732	732
Enrollment	453	509	405	530	614	578	618	630	681	649
Durham (1967)										
Square feet	45,343	45,343	45,343	46,111	46,111	49,951	49,951	70,003	70,003	70,003
Capacity	537	537	537	726	616	616	616	616	609	609
Enrollment	583	568	557	554	611	567	558	590	591	555
Durkee (1954)										
Square feet	59,479	59,479	59,479	62,319	62,319	64,623	64,623	72,334	72,334	72,334
Capacity	666	666	666	1,069	847	847	959	959	931	931
Enrollment	452	469	445	483	555	611	591	653	713	714
Eliot (1926) / EL DAEP										
Square feet	79,754	79,754	79,754	79,754	79,754	79,754	79,754	86,834	86,834	86,834
Capacity	984	984	984	735	735	735	735	735	734	734
Enrollment	511	529	543	576	599	599	583	608	627	597
Elmore (2000)*										
Square feet	123,225	123,225	123,225	123,225	123,225	123,225	123,225	124,800	124,800	124,800
Capacity	693	693	693	718	718	718	718	718	681	788
Enrollment	515	520	457	615	678	623	633	656	671	713

HOUSTON INDEPENDENT SCHOOL DISTRICT

SCHOOL BUILDING INFORMATION - LAST TEN FISCAL YEARS (UNAUDITED)

	Fiscal Year									
	<u>2024</u>	<u>2023</u>	<u>2022</u>	<u>2021</u>	<u>2020</u>	<u>2019</u>	<u>2018</u>	<u>2017</u>	<u>2016</u>	<u>2015</u>
Elrod (1964)										
Square feet	39,441	39,441	39,441	54,801	54,801	60,945	60,945	66,456	66,456	66,456
Capacity	836	836	836	1,354	1,008	1,008	914	914	842	842
Enrollment	708	693	633	701	769	751	776	742	695	697
Emerson (1963)										
Square feet	83,569	83,569	83,569	83,569	79,754	79,754	79,754	79,754	65,364	65,364
Capacity	849	849	849	856	856	856	856	856	860	774
Enrollment	1,043	986	958	917	939	907	956	919	919	955
Farias ECC (2005)										
Square feet	40,155	40,155	40,155	38,885	38,885	38,885	38,885	39,885	39,885	39,885
Capacity	418	418	418	374	374	374	374	374	418	418
Enrollment	370	366	716	333	411	414	414	408	368	368
Field (1928)										
Square feet	52,073	52,073	52,073	52,841	52,841	56,681	56,681	54,809	54,809	54,809
Capacity	676	676	676	732	728	728	710	710	732	732
Enrollment	464	442	431	430	434	452	490	508	516	476
Foerster (1969)										
Square feet	49,920	49,920	49,920	59,136	59,136	66,816	66,816	67,013	67,013	67,013
Capacity	854	854	854	1,196	932	932	932	932	898	898
Enrollment	553	650	532	644	784	721	715	672	669	758
Fondren (1960)										
Square feet	23,766	23,766	23,766	31,446	31,446	39,126	39,126	40,001	40,001	40,001
Capacity	413	413	413	793	592	592	573	573	647	647
Enrollment	341	320	269	317	318	321	366	402	420	423
Fonwood ECC (2017)*										
Square feet	85,158	85,158	85,158	89,147	89,147	89,147	89,147	89,147	75,900	75,900
Capacity	583	583	583	617	617	617	617	617	609	609
Enrollment	413	434	405	349	523	538	561	520	465	419
Foster (1949)										
Square feet	87,704	87,704	87,704	87,704	87,704	87,704	87,704	87,704	79,998	79,998
Capacity	687	687	687	729	729	729	729	729	753	753
Enrollment	378	358	291	354	417	422	426	419	432	435
Franklin (1948)										
Square feet	64,126	64,126	64,126	64,894	64,894	68,734	68,734	64,274	64,274	64,274
Capacity	630	630	630	746	761	761	724	724	770	982
Enrollment	232	299	259	325	398	443	423	441	440	445
Frost (2012)										
Square feet	87,054	87,054	87,054	87,054	87,054	87,054	87,054	87,054	89,277	89,277
Capacity	729	729	729	766	766	766	766	766	716	716
Enrollment	431	504	354	526	608	598	652	630	623	647
Gallegos (1992)										
Square feet	73,958	73,958	73,958	73,958	73,958	75,494	75,494	73,958	73,925	73,925
Capacity	704	704	704	798	798	798	798	798	836	836
Enrollment	364	336	354	322	353	363	380	422	481	502
Garcia (1992)										
Square feet	78,664	78,664	78,664	78,664	78,664	83,272	83,272	111,056	111,056	111,056
Capacity	806	806	806	872	872	872	872	872	836	836
Enrollment	300	327	323	444	516	583	629	643	745	747

HOUSTON INDEPENDENT SCHOOL DISTRICT

SCHOOL BUILDING INFORMATION - LAST TEN FISCAL YEARS (UNAUDITED)

	Fiscal Year									
	<u>2024</u>	<u>2023</u>	<u>2022</u>	<u>2021</u>	<u>2020</u>	<u>2019</u>	<u>2018</u>	<u>2017</u>	<u>2016</u>	<u>2015</u>
Garden Oaks Montessori (1949/2018)										
Square feet	104,800	104,800	104,800	103,958	103,958	103,958	114,710	41,306	41,306	41,306
Capacity	961	961	961	638	756	756	638	638	645	645
Enrollment	777	790	759	816	840	850	804	799	768	693
Garden Villas (1931)										
Square feet	68,135	58,569	68,135	88,871	88,871	85,799	85,799	93,762	93,762	93,762
Capacity	812	812	812	1,662	1,105	1,105	1,068	1,068	899	899
Enrollment	372	374	356	505	582	674	778	833	892	847
Golfcrest (1949)										
Square feet	58,569	58,569	58,569	66,249	66,249	73,161	73,161	71,475	71,475	71,475
Capacity	816	816	816	894	894	894	838	838	877	877
Enrollment	432	442	391	471	592	653	653	730	787	766
Gregg (2012)										
Square feet	84,908	84,908	84,908	84,908	84,908	94,892	94,892	84,908	84,704	84,704
Capacity	771	771	771	748	991	991	748	748	716	716
Enrollment	377	357	332	388	457	539	567	577	606	575
Gregory-Lincoln (2007)										
Square feet	114,786	114,786	114,786	114,786	114,786	125,538	125,538	158,561	158,561	158,561
Capacity	1,004	1,004	1,004	947	1,221	1,221	947	947	938	938
Enrollment	495	587	540	679	717	720	733	687	732	646
Grissom (1966)										
Square feet	49,853	49,853	49,853	56,765	56,765	72,893	72,893	68,683	68,683	68,683
Capacity	626	626	626	1,128	1,042	1,042	930	930	877	877
Enrollment	487	482	438	511	504	516	559	535	563	586
Gross (2001)										
Square feet	64,799	64,799	64,799	71,711	71,711	75,551	75,551	73,277	73,277	73,277
Capacity	811	811	811	1,030	832	832	832	832	806	806
Enrollment	427	486	409	550	625	641	652	640	644	737
Halpin ECC (1929)										
Square feet	38,948	38,948	38,948	40,484	40,484	40,484	40,484	41,873	41,873	41,873
Capacity	364	364	364	550	431	431	506	506	731	731
Enrollment	345	378	342	334	419	454	439	417	457	476
Harris J.R. (1949)										
Square feet	60,636	60,636	60,636	63,708	63,708	66,780	66,780	66,082	66,082	66,082
Capacity	636	636	636	912	824	824	824	824	815	815
Enrollment	313	271	293	344	417	411	449	489	541	625
Harris R.P. (1958)										
Square feet	48,016	48,016	48,016	48,016	48,016	58,768	58,768	61,425	61,425	61,425
Capacity	806	806	806	1,051	743	743	743	743	918	918
Enrollment	413	474	420	513	603	605	604	662	624	634
Hartsfield (1954)										
Square feet	44,321	44,321	44,321	44,321	44,321	44,321	44,321	44,321	42,767	42,767
Capacity	501	501	501	544	544	544	544	544	543	543
Enrollment	301	289	266	351	411	423	350	325	317	362
Harvard (1930)										
Square feet	58,721	58,721	58,721	58,721	58,721	58,721	58,721	58,721	56,930	56,930
Capacity	643	643	643	681	681	681	681	681	690	690
Enrollment	669	665	646	644	646	658	669	717	704	708

HOUSTON INDEPENDENT SCHOOL DISTRICT

SCHOOL BUILDING INFORMATION - LAST TEN FISCAL YEARS (UNAUDITED)

	Fiscal Year									
	<u>2024</u>	<u>2023</u>	<u>2022</u>	<u>2021</u>	<u>2020</u>	<u>2019</u>	<u>2018</u>	<u>2017</u>	<u>2016</u>	<u>2015</u>
Helms (1919)										
Square feet	38,358	38,358	38,358	47,574	47,574	49,878	49,878	44,444	44,444	44,444
Capacity	650	650	650	928	664	664	664	664	543	543
Enrollment	489	483	475	477	488	471	474	464	493	500
Henderson J.P. (1929)										
Square feet	54,241	54,241	54,241	54,241	54,241	58,081	58,081	57,524	57,524	57,524
Capacity	706	706	706	823	735	735	735	735	878	878
Enrollment	520	542	532	639	716	828	782	776	789	784
Henderson N.Q. (1956)										
Square feet	42,568	42,568	42,568	44,872	44,872	45,640	45,640	46,894	46,894	46,894
Capacity	560	560	560	624	502	502	558	558	710	710
Enrollment	235	220	181	244	306	327	315	279	304	323
Herod (2012)										
Square feet	87,110	87,110	87,110	87,110	87,110	87,110	87,110	87,110	86,000	86,000
Capacity	792	792	792	779	779	779	779	779	716	716
Enrollment	732	769	707	773	815	836	791	748	766	784
Herrera (1993)										
Square feet	78,163	78,163	78,163	82,771	82,771	87,379	87,379	115,302	115,302	115,302
Capacity	889	889	889	1,116	965	965	984	984	920	920
Enrollment	777	803	788	791	880	890	878	892	874	891
Highland Heights (2007)										
Square feet	87,977	87,977	87,977	87,977	87,977	87,977	87,977	87,977	85,405	85,405
Capacity	803	803	803	747	747	747	747	747	681	681
Enrollment	442	375	369	458	466	504	551	569	586	553
Hilliard (2000)*										
Square feet	112,106	112,106	112,106	112,106	112,106	112,106	112,106	112,106	45,500	45,500
Capacity	872	872	872	878	878	878	878	878	878	878
Enrollment	579	549	470	538	571	533	570	674	647	712
Hines-Caldwell (2005)										
Square feet	88,778	88,778	88,778	88,778	88,778	88,778	88,778	88,788	85,829	85,829
Capacity	745	745	745	758	758	758	758	758	711	711
Enrollment	709	733	642	720	798	786	787	778	764	810
Hobby (1965)										
Square feet	52,446	52,446	52,446	69,342	69,342	69,342	69,342	66,680	66,680	66,680
Capacity	993	993	993	1,396	949	949	912	912	1,065	1,065
Enrollment	499	455	454	618	758	833	805	790	865	835
Horn (2012)										
Square feet	86,220	86,220	86,220	86,220	86,220	86,220	86,220	86,220	84,500	84,500
Capacity	729	729	729	767	767	767	767	767	716	716
Enrollment	758	739	743	754	815	804	859	845	849	875
Isaacs (1962)										
Square feet	40,463	40,463	40,463	41,999	41,999	46,607	46,607	43,883	43,883	43,883
Capacity	556	556	556	690	646	646	646	646	751	751
Enrollment	280	262	216	278	306	324	298	304	381	390
Janowski (1955)										
Square feet	62,292	62,292	62,292	63,828	63,828	67,668	67,668	77,958	77,958	77,958
Capacity	684	684	684	848	804	804	804	804	770	770
Enrollment	403	418	381	446	519	560	593	607	623	625

HOUSTON INDEPENDENT SCHOOL DISTRICT

SCHOOL BUILDING INFORMATION - LAST TEN FISCAL YEARS (UNAUDITED)

	Fiscal Year									
	<u>2024</u>	<u>2023</u>	<u>2022</u>	<u>2021</u>	<u>2020</u>	<u>2019</u>	<u>2018</u>	<u>2017</u>	<u>2016</u>	<u>2015</u>
Jefferson (1950)										
Square feet	34,830	34,830	34,830	47,118	47,118	44,046	44,046	58,657	58,657	58,657
Capacity	642	642	642	1,203	813	813	851	851	877	877
Enrollment	329	348	339	392	440	447	445	438	451	465
Kashmere Gardens (1949)										
Square feet	39,785	39,785	39,785	45,161	45,161	47,465	47,465	49,213	49,213	49,213
Capacity	599	599	599	798	607	607	644	644	710	710
Enrollment	337	347	281	441	459	386	379	433	452	439
Kelso (1951)										
Square feet	36,307	36,307	36,307	42,451	42,451	47,059	47,059	46,826	46,826	46,826
Capacity	633	633	663	879	703	703	703	703	689	689
Enrollment	405	415	333	421	499	462	469	487	430	449
Kennedy (1964/2012)										
Square feet	92,580	92,580	92,580	92,580	92,580	92,580	92,580	92,580	86,041	86,041
Capacity	729	729	729	765	765	765	765	765	732	732
Enrollment	503	489	536	565	687	707	740	743	741	794
Ketelsen (2002)										
Square feet	86,504	86,504	86,504	86,504	86,504	86,504	86,504	86,504	84,503	84,503
Capacity	729	729	729	764	764	764	764	764	732	732
Enrollment	411	436	429	493	542	570	598	616	620	623
King, M.L. ECC (2004)										
Square feet	40,150	40,150	40,150	40,150	40,150	40,150	40,150	40,150	38,707	38,707
Capacity	418	418	418	374	374	374	374	374	418	418
Enrollment	304	310	255	263	392	434	401	353	413	411
Kolter (2020)										
Square feet	100,000	100,000	100,000	91,000	42,420	50,868	50,868	49,345	49,345	49,345
Capacity	706	706	706	686	686	686	686	686	668	668
Enrollment	767	759	738	725	687	666	631	652	661	659
Lantrip (2005)										
Square feet	91,936	91,936	91,936	91,936	91,936	91,936	91,936	99,529	99,529	99,529
Capacity	830	830	830	851	851	851	851	851	920	920
Enrollment	459	502	508	628	695	706	725	755	759	756
Laurenzo ECC (2004)										
Square feet	40,026	40,026	40,026	40,026	40,026	40,026	40,026	40,026	38,399	38,399
Capacity	364	364	364	337	337	337	337	765	376	376
Enrollment	213	200	184	198	307	332	329	743	321	324
Law (1966)										
Square feet	52,224	52,224	52,224	60,672	60,672	62,976	62,976	53,310	53,310	53,310
Capacity	806	806	806	1,046	804	804	804	804	731	731
Enrollment	489	543	414	638	683	703	795	808	771	776
Lewis (2012)										
Square feet	107,963	107,963	107,963	107,963	107,963	107,963	107,963	107,963	105,595	105,595
Capacity	917	917	917	972	972	972	972	972	904	904
Enrollment	740	737	668	705	779	835	816	835	890	906
Lockhart (1950/2012)										
Square feet	85,728	85,728	85,728	85,728	85,728	85,728	85,728	86,960	86,960	86,960
Capacity	720	720	720	728	728	728	728	728	716	716
Enrollment	361	376	325	491	562	549	637	654	722	747

HOUSTON INDEPENDENT SCHOOL DISTRICT

SCHOOL BUILDING INFORMATION - LAST TEN FISCAL YEARS (UNAUDITED)

	Fiscal Year									
	<u>2024</u>	<u>2023</u>	<u>2022</u>	<u>2021</u>	<u>2020</u>	<u>2019</u>	<u>2018</u>	<u>2017</u>	<u>2016</u>	<u>2015</u>
Longfellow (2007)										
Square feet	86,069	86,069	86,069	86,069	86,069	86,069	99,790	99,790	99,790	99,790
Capacity	791	570	791	780	780	780	780	780	774	774
Enrollment	628	252	593	673	676	723	794	733	746	726
Looscan (1936)										
Square feet	38,630	38,630	38,630	46,310	46,310	52,454	52,454	45,343	45,343	45,343
Capacity	570	570	570	790	570	570	570	570	606	606
Enrollment	254	252	243	282	333	337	363	422	472	473
Love (1926)										
Square feet	37,048	37,048	37,048	47,800	47,800	55,480	55,480	56,312	56,312	56,312
Capacity	510	510	510	991	758	758	683	683	543	543
Enrollment	337	344	301	308	357	376	406	463	447	433
Lovett (2012)										
Square feet	88,696	88,696	88,696	88,696	88,696	88,696	88,696	88,696	86,000	86,000
Capacity	676	676	676	729	729	729	729	729	716	716
Enrollment	658	660	649	646	672	673	710	697	683	705
Lyons (1993)										
Square feet	75,900	75,900	75,900	78,972	78,972	82,044	82,044	82,716	82,716	82,716
Capacity	854	854	854	980	911	911	892	892	878	878
Enrollment	827	857	827	937	976	992	1,021	982	1,008	1,022
MacGregor (1966)										
Square feet	59,189	59,189	59,189	65,333	65,333	65,333	65,333	59,189	45,795	45,795
Capacity	663	663	663	868	692	692	692	692	699	699
Enrollment	413	423	419	481	531	567	555	546	541	510
Mading (1959/2006)										
Square feet	97,754	97,754	97,754	97,754	97,754	97,754	97,754	97,754	94,478	94,478
Capacity	652	652	652	711	711	711	711	711	690	690
Enrollment	344	327	282	378	415	407	493	524	597	616
Mandarin (2012) / Gordon (1955)										
Square feet	119,966	119,966	119,966	119,966	119,966	119,966	119,966	119,966	37,425	37,425
Capacity	1,036	1,036	1,036	838	987	987	954	954	543	543
Enrollment	786	727	724	716	688	718	627	536	473	389
Marshall, T. (2000)										
Square feet	212,261	212,261	212,261	107,200	107,200	107,200	107,200	107,200	46,400	46,400
Capacity	858	1,237	1,237	915	878	878	915	915	878	878
Enrollment	555	611	638	769	900	917	1,005	1,071	1,020	1,021
Martinez C. (1994)										
Square feet	78,295	78,295	78,295	78,295	78,295	78,295	78,295	77,883	77,883	77,883
Capacity	727	727	727	773	773	773	773	773	795	795
Enrollment	256	265	243	314	387	422	491	522	532	587
Martinez R. (1991)										
Square feet	77,277	77,277	77,277	77,277	77,277	77,277	77,277	77,277	75,674	75,674
Capacity	694	694	694	737	737	737	737	737	732	732
Enrollment	430	421	403	475	513	543	566	566		546
McGowen / Houston Gardens (1998)										
Square feet	70,591	70,591	70,591	70,591	70,591	70,591	70,591	70,591	67,708	67,708
Capacity	431	431	431	494	494	494	494	494	459	459
Enrollment	385	374	354	410	444	458	483	440	432	433

HOUSTON INDEPENDENT SCHOOL DISTRICT

SCHOOL BUILDING INFORMATION - LAST TEN FISCAL YEARS (UNAUDITED)

	Fiscal Year									
	<u>2024</u>	<u>2023</u>	<u>2022</u>	<u>2021</u>	<u>2020</u>	<u>2019</u>	<u>2018</u>	<u>2017</u>	<u>2016</u>	<u>2015</u>
McNamara (1958)										
Square feet	40,607	40,607	40,607	42,143	40,607	55,967	55,967	54,973	54,973	54,973
Capacity	928	928	928	902	858	858	858	858	814	814
Enrollment	983	975	889	892	946	946	904	939	891	903
Memorial (1926)										
Square feet	53,216	53,216	53,216	53,216	53,216	53,216	53,216	53,216	51,276	51,276
Capacity	503	503	503	557	557	557	557	557	543	543
Enrollment	461	416	410	338	326	340	354	434	493	410
Milne (1960)										
Square feet	93,225	93,225	93,225	93,225	93,225	93,225	93,225	93,225	91,611	91,611
Capacity	830	830	830	857	857	857	857	857	857	857
Enrollment	486	467	450	473	565	543	583	658	676	698
Mistral ECC (2005)										
Square feet	40,217	40,217	40,217	40,217	40,217	40,217	40,217	40,150	38,899	38,899
Capacity	418	418	418	374	374	374	374	374	418	418
Enrollment	333	310	297	250	338	343	337	331	347	312
Mitchell (2020)										
Square feet	100,000	100,000	100,000	91,000	44,368	48,625	48,625	62,617	62,617	62,617
Capacity	718	718	562	663	663	663	626	626	591	591
Enrollment	546	521	447	426	431	377	404	538	549	597
Montgomery (1960)										
Square feet	48,794	48,794	48,794	56,474	56,474	64,154	64,154	63,393	63,393	63,393
Capacity	695	695	695	892	892	892	911	911	961	961
Enrollment	415	451	397	464	524	544	592	731	687	740
Moreno (2005)										
Square feet	85,710	85,710	85,710	85,710	82,810	82,810	82,810	82,810	82,810	82,810
Capacity	708	708	708	709	709	709	709	709	753	753
Enrollment	683	685	657	697	743	757	744	768	811	812
Neff ECC (2012)										
Square feet	40,431	40,431	40,431	51,183	51,183	49,647	49,647	N/A	N/A	N/A
Capacity	670	670	670	1,077	731	731	769	N/A	N/A	N/A
Enrollment	582	629	587	550	666	660	675	N/A	N/A	N/A
Neff ES (1964)										
Square feet	86,564	86,564	86,564	37,950	37,950	44,094	44,094	86,000	86,000	86,000
Capacity	771	771	771	804	954	954	804	1,573	1,359	609
Enrollment	719	747	690	750	784	781	763	1,571	1,492	687
Northline (1963)										
Square feet	44,727	44,727	44,727	53,943	53,943	64,695	64,695	60,102	60,102	60,102
Capacity	850	850	850	1,251	949	949	987	987	949	949
Enrollment	373	410	381	484	543	584	595	673	634	639
Oak Forest (2004)										
Square feet	86,864	86,864	86,864	86,664	86,664	86,664	86,664	86,664	84,120	84,120
Capacity	756	756	756	740	740	740	740	740	795	795
Enrollment	913	886	870	851	890	858	861	824	819	809
Oates (1929)										
Square feet	61,945	61,945	61,945	62,713	62,713	64,249	64,249	61,945	60,417	60,417
Capacity	610	610	610	764	723	723	742	742	732	732
Enrollment	255	310	271	355	385	370	364	362	368	366

HOUSTON INDEPENDENT SCHOOL DISTRICT

SCHOOL BUILDING INFORMATION - LAST TEN FISCAL YEARS (UNAUDITED)

	Fiscal Year									
	<u>2024</u>	<u>2023</u>	<u>2022</u>	<u>2021</u>	<u>2020</u>	<u>2019</u>	<u>2018</u>	<u>2017</u>	<u>2016</u>	<u>2015</u>
Osborne (1960)										
Square feet	48,194	48,194	48,194	51,266	51,266	55,874	55,874	55,514	55,514	55,514
Capacity	533	533	533	722	709	709	634	634	573	573
Enrollment	299	317	262	269	327	418	420	425	395	397
Paige / Bowie (1950)										
Square feet	71,382	71,382	71,382	71,382	71,382	71,382	71,382	86,000	86,000	86,000
Capacity	436	436	436	579	542	542	579	579	543	543
Enrollment	414	374	302	461	480	441	498	459	492	457
Park Place (2005)										
Square feet	108,881	108,881	108,881	108,881	108,881	115,025	115,025	109,866	109,866	109,866
Capacity	939	939	939	1,221	1,045	1,045	1,045	1,045	1,003	1,003
Enrollment	706	709	697	813	947	958	923	938	985	1,002
Parker (1959)										
Square feet	110,810	110,810	110,810	113,800	113,800	113,800	64,255	72,167	72,167	72,167
Capacity	938	938	938	823	954	954	823	823	857	857
Enrollment	902	861	841	865	912	895	850	813	833	839
Patterson (2012)										
Square feet	99,708	99,708	99,708	99,708	99,708	99,708	99,708	99,708	98,444	98,444
Capacity	929	929	929	935	935	935	935	935	931	931
Enrollment	861	900	889	877	903	943	949	936	968	951
Peck (2012)										
Square feet	108,178	108,178	108,178	108,178	108,178	108,178	108,178	108,178	89,365	89,365
Capacity	697	697	697	767	767	767	767	767	711	711
Enrollment	346	370	300	391	480	535	537	533	573	589
Petersen (1966)										
Square feet	36,434	36,434	36,434	44,114	44,114	51,026	51,026	52,335	52,335	52,335
Capacity	617	617	617	1,101	768	768	881	881	877	877
Enrollment	369	408	345	405	427	433	462	501	504	627
Pilgrim (2007/2018)										
Square feet	114,020	114,020	114,020	91,025	91,025	94,097	101,777	110,392	110,392	110,392
Capacity	1,198	1,198	1,198	1,203	1,404	1,404	1,115	1,115	997	997
Enrollment	1,286	1,275	1,200	1,146	1,186	1,183	1,148	1,146	1,145	1,155
Piney Point (2011)										
Square feet	113,476	113,476	113,476	113,476	113,476	113,476	113,476	114,185	114,185	114,185
Capacity	1,084	1,084	1,084	1,010	1,010	1,010	1,010	1,010	1,003	1,000
Enrollment	1,325	1,261	1,101	1,160	1,237	1,211	1,195	1,220	1,173	1,212
Pleasantville (1955)										
Square feet	60,505	60,505	60,505	60,505	60,505	60,505	60,505	60,505	59,032	59,032
Capacity	609	609	609	744	744	744	744	744	753	753
Enrollment	228	237	213	241	280	280	264	301	319	331
Poe (1928)										
Square feet	64,749	64,749	64,749	67,821	67,821	70,893	70,893	70,067	70,067	70,067
Capacity	831	831	831	888	800	800	800	800	815	815
Enrollment	750	799	758	799	850	889	841	868	791	794
Port Houston (1960)										
Square feet	35,764	35,764	35,764	38,068	38,068	38,836	38,836	36,309	36,309	36,309
Capacity	399	399	399	560	513	513	494	494	502	502
Enrollment	287	282	256	258	305	300	304	302	322	794

HOUSTON INDEPENDENT SCHOOL DISTRICT

SCHOOL BUILDING INFORMATION - LAST TEN FISCAL YEARS (UNAUDITED)

	Fiscal Year									
	<u>2024</u>	<u>2023</u>	<u>2022</u>	<u>2021</u>	<u>2020</u>	<u>2019</u>	<u>2018</u>	<u>2017</u>	<u>2016</u>	<u>2015</u>
Pugh (1952)										
Square feet	31,927	31,927	31,927	34,999	34,999	38,839	38,839	40,053	40,053	40,053
Capacity	534	534	534	626	538	538	538	538	627	627
Enrollment	308	342	275	363	396	393	403	439	431	436
Reagan, B. (2012)										
Square feet	179,191	179,191	179,191	179,191	179,191	179,191	179,191	179,191	143,000	143,000
Capacity	1,201	1,201	1,201	1,072	1,072	1,072	1,072	1,072	900	900
Enrollment	771	845	775	874	984	1,018	1,091	1,085	1,046	1,044
Red (1957)										
Square feet	57,545	57,545	57,545	59,081	59,081	60,617	60,617	58,830	58,830	58,830
Capacity	682	682	682	804	760	760	760	760	732	732
Enrollment	580	629	564	607	637	586	631	667	699	663
Reynolds (1959)										
Square feet	86,084	86,084	86,084	86,084	86,084	86,084	86,084	86,084	83,711	83,711
Capacity	632	632	632	728	728	728	728	728	795	795
Enrollment	310	329	252	377	426	465	488	556	516	543
Rice, The School (1994)										
Square feet	183,544	183,544	183,544	183,564	183,564	183,564	183,564	202,704	202,704	202,704
Capacity	1,374	1,374	1,374	1,252	1,252	1,252	1,252	1,252	1,056	1,056
Enrollment	1,022	1,053	1,025	1,111	1,114	1,119	1,132	1,135	1,139	1,138
River Oaks (1928)										
Square feet	62,632	62,632	62,632	62,632	62,632	62,632	62,632	62,632	60,632	60,632
Capacity	646	646	646	669	669	669	669	669	648	648
Enrollment	748	680	686	601	629	672	649	679	677	681
Roberts (1936)										
Square feet	55,062	55,062	55,062	57,366	57,366	64,278	64,278	62,685	62,685	62,685
Capacity	723	723	723	1,067	762	762	781	781	773	773
Enrollment	744	723	719	662	746	742	730	807	781	804
Robinson (2002)										
Square feet	84,851	84,851	84,851	85,640	85,640	84,872	84,872	84,872	84,928	84,928
Capacity	687	687	687	804	745	745	782	782	753	753
Enrollment	441	511	454	539	559	507	556	626	699	708
Rodriguez (2002)										
Square feet	115,118	115,118	115,118	115,118	115,118	116,654	116,654	115,118	111,716	111,716
Capacity	938	938	938	1,010	1,047	1,047	1,010	1,010	962	962
Enrollment	915	912	808	947	983	981	956	1,002	1,032	1,067
Rogers, T.H. (1962)										
Square feet	181,499	181,499	181,499	182,267	182,267	183,035	183,035	187,570	187,570	187,570
Capacity	1,283	1,283	1,283	1,343	1,360	1,360	1,321	1,321	1,310	1,368
Enrollment	1,037	1,048	1,031	999	1,008	969	958	918	935	789
Roosevelt (2012)										
Square feet	94,865	94,865	94,865	94,865	94,865	94,865	94,865	94,865	84,500	84,500
Capacity	708	708	708	785	785	785	785	785	732	732
Enrollment	404	423	411	504	608	665	646	722	735	721
Ross (1948)										
Square feet	47,093	47,093	47,093	42,703	42,703	45,775	45,775	51,820	51,820	51,820
Capacity	501	501	501	763	650	650	631	631	627	627
Enrollment	258	278	247	290	328	348	358	359	387	447

HOUSTON INDEPENDENT SCHOOL DISTRICT

SCHOOL BUILDING INFORMATION - LAST TEN FISCAL YEARS (UNAUDITED)

	Fiscal Year									
	<u>2024</u>	<u>2023</u>	<u>2022</u>	<u>2021</u>	<u>2020</u>	<u>2019</u>	<u>2018</u>	<u>2017</u>	<u>2016</u>	<u>2015</u>
Rucker (1953)										
Square feet	59,265	59,265	59,265	60,801	53,801	64,553	64,553	70,722	70,722	70,722
Capacity	795	795	795	1,347	995	995	995	995	961	961
Enrollment	416	400	377	393	406	426	473	538	595	609
Rusk (1960)										
Square feet	35,757	35,757	35,757	40,395	40,395	43,467	43,467	39,671	39,671	39,671
Capacity	741	741	741	715	715	715	715	715	699	699
Enrollment	345	335	332	423	616	474	388	369	537	576
Saint George Place (2007)										
Square feet	86,054	86,054	86,054	86,054	86,054	86,054	86,054	86,054	86,000	86,000
Capacity	730	730	730	729	729	729	729	729	732	732
Enrollment	801	790	711	755	774	788	797	808	788	795
Sanchez (1952)										
Square feet	70,105	70,105	70,105	70,105	70,105	70,105	70,105	70,105	69,397	69,397
Capacity	628	628	628	735	735	735	735	735	716	899
Enrollment	446	448	417	536	598	585	530	562	598	606
Scarborough (2020)										
Square feet	100,000	100,000	100,000	91,000	51,234	66,594	66,594	64,412	64,412	64,412
Capacity	739	739	739	926	926	926	907	907	824	824
Enrollment	718	683	613	606	632	667	697	751	744	773
Scroggins (1966)										
Square feet	42,154	42,154	42,154	45,994	45,994	52,906	52,906	53,126	53,126	53,126
Capacity	701	701	701	1,031	739	739	701	701	663	663
Enrollment	317	333	312	389	421	518	556	589	614	621
Seguin (2002)										
Square feet	87,186	87,186	87,186	87,186	87,186	87,186	87,186	87,186	85,427	85,427
Capacity	718	718	718	767	767	767	767	767	732	732
Enrollment	363	375	362	452	517	571	572	610	652	689
Shadowbriar (1992)										
Square feet	75,704	75,704	75,704	75,704	75,704	75,704	75,704	78,704	74,382	74,382
Capacity	687	687	687	763	763	763	763	763	732	732
Enrollment	402	449	369	480	566	524	488	512	494	393
Shadydale (2000)										
Square feet	141,270	141,270	141,270	141,270	141,270	141,270	141,270	141,270	102,400	102,400
Capacity	811	811	811	765	765	765	765	765	842	1,003
Enrollment	626	653	492	785	869	921	927	932	897	897
Shearn (1954)										
Square feet	30,146	30,146	30,146	37,058	37,058	43,970	43,970	43,132	43,132	43,132
Capacity	611	611	611	848	650	650	650	650	584	584
Enrollment	487	482	431	468	571	581	641	657	650	610
Sherman (1964)										
Square feet	86,950	86,950	86,950	86,950	86,950	86,950	86,950	87,020	87,020	87,020
Capacity	708	708	708	784	784	784	784	784	836	836
Enrollment	454	508	487	555	584	587	599	653	661	664
Sinclair (1959)										
Square feet	43,010	43,010	43,010	46,082	51,434	59,114	59,114	54,308	54,308	54,308
Capacity	652	652	652	1,075	742	742	723	723	716	716
Enrollment	719	656	619	599	591	587	599	549	539	525

HOUSTON INDEPENDENT SCHOOL DISTRICT

SCHOOL BUILDING INFORMATION - LAST TEN FISCAL YEARS (UNAUDITED)

	Fiscal Year									
	<u>2024</u>	<u>2023</u>	<u>2022</u>	<u>2021</u>	<u>2020</u>	<u>2019</u>	<u>2018</u>	<u>2017</u>	<u>2016</u>	<u>2015</u>
Smith, K. (1954)										
Square feet	73,399	73,399	73,399	73,399	73,399	73,399	73,399	73,399	56,294	56,294
Capacity	875	875	875	898	898	898	898	898	860	860
Enrollment	765	793	663	809	892	889	885	919	937	890
Southmayd (1936)										
Square feet	76,614	76,614	76,614	76,614	76,614	76,614	76,614	76,614	67,258	67,258
Capacity	645	645	645	745	745	745	745	745	773	773
Enrollment	362	368	354	449	559	592	659	716	727	711
Stevens (1952)										
Square feet	44,073	44,073	44,073	47,145	47,145	56,361	56,361	68,822	68,822	68,822
Capacity	655	655	655	1,201	886	886	849	849	824	815
Enrollment	571	587	526	558	659	658	692	721	731	776
Sutton (1958)										
Square feet	68,020	68,020	68,020	76,916	107,898	113,274	113,274	91,002	88,701	88,701
Capacity	1,064	1,064	1,064	1,796	1,368	1,368	1,312	1,312	1,233	1,233
Enrollment	978	2,072	921	1,050	1,155	1,140	1,145	1,138	1,097	1,148
Thompson (2006)										
Square feet	86,041	86,041	86,041	83,694	83,694	83,694	83,694	96,252	96,252	96,252
Capacity	704	704	704	729	729	729	729	729	816	816
Enrollment	364	395	363	372	408	403	450	458	467	552
Tijerina (1979)										
Square feet	68,452	68,452	68,452	68,452	68,452	68,452	68,452	68,452	35,771	35,771
Capacity	673	673	673	860	860	860	860	860	857	857
Enrollment	340	353	348	301	337	339	379	422	426	458
Tinsley (2001)										
Square feet	93,059	93,059	93,059	93,059	90,415	90,415	90,415	90,415	90,415	90,415
Capacity	741	741	741	775	775	775	775	775	815	815
Enrollment	615	623	548	591	680	734	739	789	792	780
Travis (2007)										
Square feet	88,641	88,641	88,641	88,641	88,641	88,641	88,641	88,641	86,530	86,530
Capacity	724	724	724	729	729	729	729	729	734	734
Enrollment	726	717	700	689	719	695	710	712	698	723
Twain (2007)										
Square feet	86,511	86,511	86,511	88,047	88,047	86,511	86,511	86,511	83,634	83,634
Capacity	857	857	857	931	812	812	887	887	815	815
Enrollment	866	913	854	856	924	899	895	870	905	953
Valley West (1994)										
Square feet	68,871	68,871	68,871	84,231	84,231	91,911	91,911	84,763	84,763	84,763
Capacity	1,040	1,040	1,040	1,649	1,172	1,172	1,209	1,209	1,023	1,023
Enrollment	560	672	571	768	839	875	843	879	878	845
Wainwright (1962)										
Square feet	41,604	41,604	41,604	46,212	46,212	60,036	60,036	56,531	56,531	56,531
Capacity	546	546	546	1,361	915	915	877	877	824	824
Enrollment	385	418	350	407	493	495	559	510	608	722
Walnut Bend (2005)										
Square feet	83,973	83,973	83,973	82,451	82,451	82,451	82,451	114,707	114,707	114,707
Capacity	708	708	708	746	746	746	746	746	753	753
Enrollment	620	653	679	627	716	715	736	734	762	743

HOUSTON INDEPENDENT SCHOOL DISTRICT

SCHOOL BUILDING INFORMATION - LAST TEN FISCAL YEARS (UNAUDITED)

	Fiscal Year									
	<u>2024</u>	<u>2023</u>	<u>2022</u>	<u>2021</u>	<u>2020</u>	<u>2019</u>	<u>2018</u>	<u>2017</u>	<u>2016</u>	<u>2015</u>
Wesley (1949)										
Square feet	56,335	56,335	56,335	58,639	58,639	62,479	62,479	73,580	73,580	73,580
Capacity	609	609	609	806	740	740	740	740	681	681
Enrollment	287	268	193	226	370	343	359	334	412	418
West University (1928)										
Square feet	105,818	105,818	105,818	105,818	105,818	115,034	115,034	105,818	99,423	99,423
Capacity	1,251	1,251	1,251	1,511	1,247	1,247	1,247	1,247	1,108	1,108
Enrollment	1,145	1,137	1,076	1,149	1,282	1,283	1,305	1,286	1,259	1,300
Wharton (1959/2018) / Dual Language										
Square feet	110,189	110,189	110,189	108,500	22,032	38,928	32,310	32,310	32,310	32,310
Capacity	967	967	967	582	943	943	582	469	469	469
Enrollment	659	629	611	604	595	509	520	490	490	486
Whidby (1959)										
Square feet	42,846	42,846	42,846	43,614	43,614	47,454	47,454	46,870	46,870	46,870
Capacity	597	597	597	679	619	619	657	657	609	609
Enrollment	388	411	312	449	506	567	609	612	631	577
White (1966)										
Square feet	55,883	55,883	55,883	67,403	67,403	62,795	62,795	65,599	65,599	65,599
Capacity	856	856	856	1,198	699	699	868	868	806	806
Enrollment	716	716	652	701	788	759	773	829	855	871
White, Mark (2017)										
Square feet	89,834	89,834	89,834	89,834	89,834	89,834	89,834	N/A	N/A	N/A
Capacity	699	699	699	748	748	748	748	N/A	N/A	N/A
Enrollment	517	587	534	635	674	632	659	N/A	N/A	N/A
Whittier (1959)										
Square feet	37,303	37,303	37,303	48,055	48,055	51,895	51,895	46,154	46,154	46,154
Capacity	599	599	599	1,017	746	746	709	709	606	606
Enrollment	340	352	332	421	499	514	549	553	592	589
Wilson (1924) / Montessori										
Square feet	95,214	95,214	95,214	36,032	36,032	36,032	36,032	41,579	41,579	41,579
Capacity	885	885	885	619	949	949	619	619	539	539
Enrollment	599	593	602	577	604	590	572	538	547	520
Windsor Village (1960)										
Square feet	43,114	43,114	43,114	59,242	59,242	60,010	60,010	59,414	59,414	59,414
Capacity	784	748	784	1,393	912	912	931	931	913	913
Enrollment	627	660	633	686	711	749	808	780	782	781
Young, Ethel Mosley (1960)										
Square feet	47,238	47,238	47,238	47,238	42,238	42,238	42,238	45,477	45,447	45,447
Capacity	468	468	468	518	518	518	518	518	501	501
Enrollment	381	405	286	371	392	344	308	281	366	414

HOUSTON INDEPENDENT SCHOOL DISTRICT

SCHOOL BUILDING INFORMATION - LAST TEN FISCAL YEARS (UNAUDITED)

	Fiscal Year									
	<u>2024</u>	<u>2023</u>	<u>2022</u>	<u>2021</u>	<u>2020</u>	<u>2019</u>	<u>2018</u>	<u>2017</u>	<u>2016</u>	<u>2015</u>
Middle										
Attucks (1953)										
Square feet	175,418	175,418	175,418	175,418	175,418	181,562	181,562	176,123	176,123	176,123
Capacity	983	983	983	1,140	1,140	1,140	1,440	1,140	1,144	1,144
Enrollment	428	478	325	430	428	494	490	497	482	483
Black (1957)										
Square feet	169,343	169,343	169,343	169,343	169,343	169,343	169,343	169,343	166,511	166,511
Capacity	1,375	1,375	1,375	1,380	1,380	1,380	1,380	1,380	1,238	1,238
Enrollment	1,319	1,337	1,378	1,348	1,306	1,230	1,093	1,024	966	932
Burbank (1950)										
Square feet	151,028	151,028	151,028	236,533	161,780	164,852	164,852	196,811	196,811	196,811
Capacity	1,696	1,696	1,696	2,151	1,631	1,631	1,843	1,843	1,988	1,988
Enrollment	1,414	1,393	1,328	1,478	1,529	1,491	1,414	1,433	1,440	1,424
Clifton (1979)										
Square feet	142,025	142,025	142,025	142,025	142,025	147,401	147,401	156,742	156,742	156,742
Capacity	834	834	834	1,128	1,128	1,128	1,128	1,128	1,163	1,163
Enrollment	435	513	416	575	613	698	725	777	837	919
Cullen (1955)										
Square feet	162,279	162,279	162,379	162,379	162,379	162,379	162,379	162,379	158,851	158,851
Capacity	948	948	948	1,201	1,201	1,201	1,201	1,201	1,106	1,106
Enrollment	320	327	211	373	378	410	474	484	576	623
Deady (1929)										
Square feet	193,876	193,876	193,876	193,876	193,876	193,876	193,876	193,000	183,653	183,653
Capacity	1,341	1,341	1,341	1,456	1,456	1,456	1,456	1,456	1,388	1,388
Enrollment	496	587	537	636	687	660	716	703	702	775
Edison (1925)										
Square feet	146,432	146,432	146,432	146,432	146,432	146,432	146,432	146,432	143,758	143,758
Capacity	903	903	903	1,172	1,172	1,172	1,172	1,172	1,144	1,144
Enrollment	447	463	417	610	643	645	655	674	721	750
Fleming (1968)										
Square feet	183,474	183,474	183,474	183,474	183,474	183,474	183,474	183,474	179,515	179,515
Capacity	1,040	40	1,040	1,197	1,197	1,197	1,197	1,197	1,031	1,031
Enrollment	366	374	312	424	427	478	508	486	497	525
Fondren (1966)										
Square feet	145,685	145,685	145,685	147,989	147,989	148,757	148,757	161,421	161,421	161,421
Capacity	1,076	1,076	1,076	1,144	1,078	1,078	1,078	1,078	1,369	1,369
Enrollment	750	854	603	1,078	1,049	1,030	988	926	938	870
Fonville (1951)										
Square feet	158,176	158,176	158,176	161,248	161,248	164,320	164,320	162,228	162,228	162,228
Capacity	1,116	1,116	1,116	1,385	1,297	1,297	1,297	1,297	1,444	1,444
Enrollment	678	677	584	770	715	804	855	985	934	1047
Forest Brook (1972)*										
Square feet	211,723	211,723	211,723	211,723	211,723	211,723	211,723	226,770	226,770	226,770
Capacity	1,170	1,170	1,170	1,108	1,108	1,108	1,108	1,108	1,256	1,256
Enrollment	621	666	895	813	813	849	852	896	911	937
Hamilton (1919)										
Square feet	135,008	135,008	135,008	138,848	138,848	138,080	138,080	140,674	140,674	140,674
Capacity	1,089	1,089	1,089	1,504	1,224	1,224	1,394	1,394	1,125	1,125
Enrollment	808	810	894	1,041	1,200	1,251	1,355	1,287	1,267	1,223

HOUSTON INDEPENDENT SCHOOL DISTRICT

SCHOOL BUILDING INFORMATION - LAST TEN FISCAL YEARS (UNAUDITED)

	Fiscal Year									
	<u>2024</u>	<u>2023</u>	<u>2022</u>	<u>2021</u>	<u>2020</u>	<u>2019</u>	<u>2018</u>	<u>2017</u>	<u>2016</u>	<u>2015</u>
Hartman (2005)										
Square feet	195,556	195,556	195,556	195,556	195,556	195,556	195,556	222,606	222,606	222,606
Capacity	1,637	1,637	1,637	1,679	1,679	1,679	1,679	1,679	1,444	1,444
Enrollment	772	910	769	1,176	1,262	1,273	1,314	1,401	1,356	1,424
Henry (1965)										
Square feet	173,321	173,321	173,321	175,625	175,625	182,537	182,537	182,031	182,031	182,031
Capacity	1,288	1,288	1,288	1,345	1,279	1,279	1,279	1,279	1,200	1,200
Enrollment	606	695	658	795	809	817	835	889	876	896
HS Ahead Academy / (1920)										
Square feet	48,187	48,187	48,187	41,171	41,171	45,779	45,779	54,936	54,936	54,936
Capacity	694	694	694	978	621	621	641	641	617	617
Enrollment	112	118	72	150	145	128	164	165	269	208
Hogg (1926)										
Square feet	160,545	160,545	160,545	160,545	160,545	162,849	162,849	177,148	177,148	177,148
Capacity	1,034	1,034	1,034	1,211	1,211	1,211	1,211	1,211	1,069	1,069
Enrollment	1,133	1,113	1,089	1,022	1,033	986	891	779	698	735
Holland (1980)										
Square feet	133,068	133,068	133,068	133,068	133,068	137,676	137,676	135,130	135,130	135,130
Capacity	946	946	946	1,124	1,167	1,167	1,124	1,124	994	994
Enrollment	587	639	851	649	685	668	655	675	693	719
Key (1957)										
Square feet	186,507	186,507	186,507	186,507	186,507	188,403	188,403	186,507	185,923	185,923
Capacity	1,349	1,349	1,349	1,153	1,111	1,111	1,153	1,153	1,294	1,294
Enrollment	577	603	497	671	666	687	644	698	691	705
Lanier, Bob (1926)										
Square feet	156,138	156,138	156,138	157,674	157,674	159,210	159,210	159,574	159,574	159,574
Capacity	1,069	1,069	1,069	1,326	1,282	1,282	1,282	1,282	1,276	1,276
Enrollment	1,409	1,432	1,487	1,404	1,472	1,466	1,461	1,431	1,375	1,348
Lawson, Audrey H.(1968/2018)										
Square feet	181,781	181,781	181,781	197,093	197,093	197,093	197,093	207,029	207,029	207,029
Capacity	1,464	1,464	1,464	2,087	2,128	2,128	2,087	2,087	1,800	1,800
Enrollment	1,157	1,272	1,180	1,434	1,345	1,251	1,128	1,080	1,115	1,208
Marshall, J. (1981)										
Square feet	216,160	216,160	216,160	216,160	216,160	216,160	216,160	212,645	212,645	212,645
Capacity	1,237	1,237	1,237	1,406	1,406	1,406	1,406	1,406	1,331	1,331
Enrollment	565	611	638	712	732	767	817	887	888	889
McReynolds (1956)										
Square feet	161,844	161,844	161,844	181,844	153,168	157,008	157,008	153,168	133,056	133,056
Capacity	1,071	1,071	1,071	1,034	1,055	1,055	1,034	1,034	1,163	1,163
Enrollment	348	445	541	500	552	577	599	588	598	602
Meyerland Performing and Visual Arts MS (1959)										
Square feet	162,176	162,176	162,176	182,144	182,144	162,176	189,637	189,637	189,637	189,637
Capacity	1,959	1,959	1,959	2,700	1,448	1,448	2,128	2,128	2,063	2,063
Enrollment	1,122	1,135	964	1,345	1,455	1,564	1,597	1,723	1,722	1,744
Navarro MS (1925)										
Square feet	184,212	184,212	184,212	188,537	188,537	188,537	188,537	211,186	211,186	211,186
Capacity	1,038	1,038	1,038	1,286	1,286	1,286	1,286	1,286	1,632	1,632
Enrollment	479	541	443	645	650	705	697	835	821	901

HOUSTON INDEPENDENT SCHOOL DISTRICT

SCHOOL BUILDING INFORMATION - LAST TEN FISCAL YEARS (UNAUDITED)

	Fiscal Year									
	<u>2024</u>	<u>2023</u>	<u>2022</u>	<u>2021</u>	<u>2020</u>	<u>2019</u>	<u>2018</u>	<u>2017</u>	<u>2016</u>	<u>2015</u>
Ortiz (2002)										
Square feet	183,786	183,786	183,786	185,322	185,322	183,786	183,786	183,786	178,481	178,481
Capacity	1,477	1,477	1,477	1,476	1,432	1,432	1,432	1,432	1,313	1,313
Enrollment	845	868	785	1,046	1,068	1,081	1,056	1,055	993	1028
Pershing (2007)										
Square feet	233,281	233,281	233,281	233,281	233,281	233,281	233,281	233,281	226,410	226,410
Capacity	1,865	1,865	1,865	1,844	1,844	1,844	1,844	1,844	1,631	1,631
Enrollment	1,238	1,392	1,301	1,720	1,765	1,755	1,698	1,651	1,592	1,594
Pin Oak (2002)										
Square feet	235,616	235,616	235,616	253,616	253,616	253,616	253,616	233,281	233,081	233,081
Capacity	1,340	1,130	1,340	1,295	1,295	1,298	1,295	1,295	1,200	1,200
Enrollment	1,180	1,183	1,204	1,259	1,244	1,205	1,237	1,233	1,210	1,208
Revere (1980)										
Square feet	188,992	188,992	188,992	193,600	193,600	192,064	192,064	194,079	194,079	194,079
Capacity	1,320	1,320	1,320	1,537	1,341	1,341	1,405	1,405	1,294	1,294
Enrollment	1,147	1,174	895	1,166	1,234	1,230	1,285	1,324	1,250	1,264
Baylor College of Medicine / Ryan (1925)										
Square feet	114,156	114,156	114,156	114,156	114,156	114,156	114,156	133,488	133,488	133,488
Capacity	969	969	969	1,844	1,237	1,237	1,237	1,237	941	941
Enrollment	306	378	375	606	616	699	757	741	789	471
Stevenson (1994)										
Square feet	164,641	164,641	164,641	171,553	171,553	170,785	170,785	173,685	173,685	173,685
Capacity	1,558	1,558	1,558	1,717	1,476	1,476	1,519	1,519	1,388	1,388
Enrollment	1,108	1,174	1,140	1,390	1,424	1,440	1,380	1,357	1,333	1,319
Sugar Grove Academy (2009)										
Square feet	102,763	102,763	102,763	102,763	54,463	54,463	54,463	88,108	88,108	88,108
Capacity	824	824	824	822	822	822	822	822	902	902
Enrollment	841	859	679	703	760	684	687	798	842	839
Tanglewood MS (1949)										
Square feet	128,718	128,718	128,718	61,073	61,073	61,073	94,746	94,746	94,746	94,746
Capacity	910	910	910	765	1,625	1,625	988	988	713	713
Enrollment	848	817	727	898	872	831	840	759	632	604
Thomas (1968)										
Square feet	155,059	155,059	155,059	155,059	155,059	155,059	155,059	155,059	151,508	151,508
Capacity	1,035	1,035	1,035	2,087	994	994	994	994	956	956
Enrollment	500	557	434	625	570	621	556	464	459	504
Welch (1979)										
Square feet	132,523	132,523	132,523	132,523	132,523	153,259	153,259	156,530	156,530	156,530
Capacity	908	908	908	1,633	1,569	1,569	1,633	1,633	1,726	1,726
Enrollment	562	660	531	688	658	671	733	808	859	884
West Briar (2002)										
Square feet	174,159	174,159	174,159	176,463	176,463	177,231	177,231	174,159	170,614	170,614
Capacity	1,468	1,468	1,468	1,526	1,481	1,481	1,460	1,460	1,181	1,181
Enrollment	1,019	1,045	931	1,139	1,142	1,123	1,078	1,033	993	1,022
Williams (1962)										
Square feet	139,230	139,230	139,230	139,230	139,230	139,230	139,230	163,107	163,107	163,107
Capacity	967	967	967	1,087	1,087	1,087	1,087	1,087	975	975
Enrollment	659	393	611	509	471	500	516	504	511	529

HOUSTON INDEPENDENT SCHOOL DISTRICT

SCHOOL BUILDING INFORMATION - LAST TEN FISCAL YEARS (UNAUDITED)

	Fiscal Year									
	<u>2024</u>	<u>2023</u>	<u>2022</u>	<u>2021</u>	<u>2020</u>	<u>2019</u>	<u>2018</u>	<u>2017</u>	<u>2016</u>	<u>2015</u>
Woodson (1966) / Middle										
Square feet	153,673	153,673	153,673	161,353	161,353	169,033	169,033	164,732	164,732	164,732
Capacity	1,266	1,266	1,266	1,646	1,426	1,426	1,426	1,426	1,310	1,310
Enrollment	510	521	447	565	642	608	727	767	757	904
High										
Austin (1953)										
Square feet	288,628	288,628	288,628	131,474	131,474	131,474	131,474	314,157	314,157	314,157
Capacity	1,960	1,960	1,960	4,742	2,542	2,542	2,542	2,542	1,900	1,900
Enrollment	1,214	1,326	1,290	1,513	1,562	1,593	1,709	1,837	1,899	1,719
Bellaire (1955)										
Square feet	582,378	582,378	582,378	416,084	416,084	432,980	474,451	474,451	474,451	474,451
Capacity	2,798	2,798	2,798	4,064	3,847	3,847	3,756	3,756	2,906	2,906
Enrollment	3,119	3,070	2,862	3,165	3,363	3,260	3,379	3,400	3,615	3,550
Carnegie Vanguard (2002)										
Square feet	103,502	103,502	103,502	103,502	103,502	103,502	103,502	103,502	99,208	99,208
Capacity	784	784	784	826	826	826	826	826	600	600
Enrollment	813	830	842	909	827	783	611	623	623	598
Chavez (2000)										
Square feet	530,664	530,664	530,664	530,664	519,307	519,307	519,307	519,307	519,307	519,307
Capacity	2,585	2,585	2,585	2,806	2,806	2,806	2,806	2,806	2,213	2,213
Enrollment	1,923	2,159	1,925	2,432	2,665	2,810	2,908	3,023	3,142	3,103
DeBakey (2017)										
Square feet	193,834	193,834	193,834	193,000	193,000	193,000	193,000	193,000	161,426	161,426
Capacity	1,224	1,224	1,224	950	1,238	1,238	1,673	1,673	825	825
Enrollment	895	891	917	915	853	863	860	822	842	832
East Early College (2009)										
Square feet	45,524	45,524	45,524	45,524	45,524	45,524	45,524	N/A	N/A	N/A
Capacity	446	446	446	414	414	414	414	N/A	N/A	N/A
Enrollment	449	450	448	442	452	469	479	N/A	N/A	N/A
Eastwood Academy (1985/2018)										
Square feet	69,671	69,671	69,671	59,849	59,849	59,849	59,849	59,849	40,391	40,391
Capacity	497	497	497	420	626	626	420	420	525	525
Enrollment	380	393	391	436	446	428	425	425	419	415
Energy Institute (2018)										
Square feet	114,476	114,476	114,476	114,146	114,146	114,146	114,476	82,976	82,976	82,976
Capacity	758	758	758	800	1,017	1,017	1,048	1,048	1,033	0
Enrollment	658	663	664	742	717	747	692	683	546	336
Furr (2018)										
Square feet	191,989	191,989	191,989	190,354	190,354	213,394	213,394	178,044	170,589	170,589
Capacity	1,074	1,074	1,074	1,150	1,869	1,869	1,587	1,407	1,407	1,407
Enrollment	968	1,078	859	1,094	1,102	968	1,047	1,050	1,022	964
Heights (1926)										
Square feet	34,371	34,371	341,371	341,371	341,371	353,659	353,659	360,372	360,372	360,372
Capacity	2,058	2,058	2,058	2,141	2,508	2,508	2,141	2,141	1,781	1,781
Enrollment	2,465	2,418	2,369	2,411	2,270	2,305	2,328	2,312	2,334	2,192
HS for Law & Justice (1925/2018)										
Square feet	115,502	115,502	115,502	115,502	115,502	115,502	115,502	102,862	102,862	102,862
Capacity	623	623	623	1,127	1,259	1,259	1,127	1,127	900	900
Enrollment	418	426	440	469	450	441	415	408	413	434

HOUSTON INDEPENDENT SCHOOL DISTRICT

SCHOOL BUILDING INFORMATION - LAST TEN FISCAL YEARS (UNAUDITED)

	Fiscal Year									
	<u>2024</u>	<u>2023</u>	<u>2022</u>	<u>2021</u>	<u>2020</u>	<u>2019</u>	<u>2018</u>	<u>2017</u>	<u>2016</u>	<u>2015</u>
Houston Academy International / Jones, J.W. (1966)										
Square feet	51,203	51,203	51,203	51,203	51,203	51,203	53,761	53,761	53,761	53,761
Capacity	534	534	534	630	589	589	630	630	665	665
Enrollment	451	451	460	490	486	483	478	460	425	430
Houston, Sam MST (1955/2019)										
Square feet	367,118	367,118	367,118	280,923	280,923	334,683	334,683	355,049	355,049	355,049
Capacity	2,455	2,455	2,455	1,150	2,533	2,533	4,048	4,048	3,412	3,412
Enrollment	2,434	2,634	2,500	2,600	2,718	2,557	2,595	2,691	2,689	2,346
Jones Futures Academy (1958)										
Square feet	189,156	189,156	189,156	189,156	189,156	190,692	190,692	212,457	212,457	212,457
Capacity	1,318	1,318	1,318	1,250	2,092	2,092	1,503	2,100	1,425	1,425
Enrollment	300	312	313	331	336	375	420	343	274	175
Kashmere (1968)										
Square feet	224,431	224,431	224,431	201,797	206,405	207,173	207,173	204,032	204,032	204,032
Capacity	1,312	1,312	1,312	1,631	1,553	1,553	1,609	1,609	1,238	1,238
Enrollment	605	690	585	808	764	715	690	556	561	502
Kinder HS Performing & Visual Arts (HSPVA) (1980/2018)										
Square feet	168,000	168,000	168,000	168,000	168,000	168,000	106,464	104,124	104,124	104,124
Capacity	1,114	1,114	1,114	1,310	1,310	1,310	844	844	751	751
Enrollment	765	780	786	783	787	749	751	746	724	707
Lamar (1937)										
Square feet	629,142	629,142	629,142	302,907	302,907	316,731	316,731	302,907	279,700	279,700
Capacity	2,475	2,475	2,475	2,681	2,681	2,681	2,681	2,681	3,306	3,306
Enrollment	3,044	3,058	2,966	2,807	2,775	3,023	3,278	3,323	3,347	3,236
Madison (1965/2019)										
Square feet	276,530	276,530	276,530	266,000	206,225	236,177	236,177	206,225	259,405	259,405
Capacity	1,779	1,779	1,779	2,571	2,876	2,876	2,571	2,571	2,044	2,044
Enrollment	1,670	1,884	1,732	1,769	1,705	1,644	1,548	1,653	1,828	1,723
Milby (2017)										
Square feet	267,816	267,816	267,816	385,765	385,765	385,765	385,765	389,342	389,342	389,342
Capacity	1,825	1,825	1,825	1,949	1,949	1,949	1,974	3,075	3,075	3,075
Enrollment	2,090	2,068	2,004	2,109	2,031	1,837	1,616	1,342	1,470	1,570
North Forest (2017) *										
Square feet	205,000	205,000	205,000	205,000	205,000	205,000	205,000	307,050	307,050	307,050
Capacity	1,258	1,258	1,258	2,180	2,180	2,180	2,180	2,180	1,725	1,725
Enrollment	906	907	805	957	954	962	946	904	1,011	954
Northside (1925/2019)										
Square feet	274,979	274,979	274,979	260,056	260,056	260,056	260,056	267,110	267,110	267,110
Capacity	1,608	1,698	1,608	1,974	1,974	1,974	1,974	1,974	1,613	1,613
Enrollment	1,100	1,128	991	1,399	1,410	1,435	1,444	1,517	1,693	1,650
Scarborough HS (1968/2018)										
Square feet	238,675	238,675	238,675	175,129	175,129	176,665	176,665	183,119	183,119	183,119
Capacity	1,232	1,232	1,232	1,435	1,437	1,437	1,435	1,435	1,482	1,482
Enrollment	681	741	630	728	723	709	745	729	773	673
Sharpstown HS (2018)										
Square feet	215,884	215,884	215,884	234,779	234,779	234,779	254,747	234,779	201,355	201,355
Capacity	1,488	1,488	1,488	2,183	2,473	2,473	2,183	2,183	2,062	2,062
Enrollment	1,724	1,774	1,483	1,714	1,729	1,647	1,608	1,567	1,535	1,439

HOUSTON INDEPENDENT SCHOOL DISTRICT

SCHOOL BUILDING INFORMATION - LAST TEN FISCAL YEARS (UNAUDITED)

	Fiscal Year									
	<u>2024</u>	<u>2023</u>	<u>2022</u>	<u>2021</u>	<u>2020</u>	<u>2019</u>	<u>2018</u>	<u>2017</u>	<u>2016</u>	<u>2015</u>
South Early College (2017)										
Square feet	56,719	56,719	56,719	56,719	56,719	56,719	56,719	168,247	168,247	168,247
Capacity	379	379	379	368	368	368	368	368	1,350	1,350
Enrollment	407	389	385	417	409	388	369	270	1,049	1,010
Sterling (2017)										
Square feet	238,617	238,617	238,617	209,685	209,685	218,133	218,133	219,683	219,683	219,683
Capacity	1,449	1,449	1,449	1,700	1,773	1,773	1,925	1,925	1,537	1,537
Enrollment	1,281	1,375	1,219	1,578	1,491	1,382	1,303	1,086	1,129	973
Waltrip (1960/2017)										
Square feet	259,100	259,100	259,100	259,100	259,100	266,780	266,780	264,979	264,979	264,979
Capacity	1,951	1,951	1,951	1,900	2,265	2,265	2,333	2,333	1,932	1,932
Enrollment	1,574	1,559	1,545	1,801	1,841	1,833	1,732	1,577	1,760	1,612
Washington (1959/2018)										
Square feet	192,321	192,321	192,321	184,734	184,734	401,627	248,142	248,775	248,775	248,775
Capacity	1,005	1,005	1,005	2,264	1,235	1,235	2,264	2,264	1,931	1,931
Enrollment	775	822	728	727	759	723	732	723	734	653
Westbury (1961/2018)										
Square feet	416,515	416,515	416,515	291,780	291,780	328,644	328,644	324,292	324,292	324,292
Capacity	2,890	2,890	2,890	3,303	4,176	4,176	3,303	3,303	2,644	2,644
Enrollment	2,135	2,180	2,040	2,294	2,345	2,203	2,271	2,153	2,108	2,026
Westside (2000)										
Square feet	490,480	490,480	490,480	490,480	490,480	490,480	490,480	490,480	448,776	448,776
Capacity	2,640	2,640	2,640	2,768	2,768	2,768	2,768	2,768	2,381	2,381
Enrollment	2,745	2,804	2,709	2,827	2,776	2,822	2,836	2,875	2,948	2,728
Wheatley (1950)										
Square feet	272,749	272,749	272,749	272,749	272,749	274,285	274,285	272,749	268,485	268,485
Capacity	1,204	1,204	1,204	1,718	1,224	1,224	1,178	1,178	1,144	1,144
Enrollment	556	626	524	747	737	797	875	782	773	715
Wisdom (2018)										
Square feet	262,799	262,799	262,799	259,600	259,600	259,600	259,600	332,694	332,694	332,694
Capacity	1,632	1,632	1,632	1,800	2,121	2,121	2,829	2,829	2,981	2,981
Enrollment	2,101	2,290	1,540	1,877	1,948	1,972	1,950	1,865	1,598	1,464
Worthing (1962/2018)										
Square feet	239,100	239,100	239,100	200,896	200,896	229,967	229,967	229,967	220,983	220,983
Capacity	1,316	1,370	1,316	1,200	1,508	1,508	1,508	1,508	1,707	1,707
Enrollment	777	825	640	803	787	738	758	806	669	631
Yates (1958/2018)										
Square feet	215,818	215,818	215,818	286,628	286,628	286,628	291,236	289,881	289,881	289,881
Capacity	1,370	1,370	1,370	2,735	1,911	1,911	2,735	2,735	2,644	2,644
Enrollment	742	825	739	822	801	815	764	791	950	935
MS/HS Combination										
Harper School (1951)										
Square feet	53,035	53,035	53,035	53,035	53,035	56,107	56,107	53,605	53,605	53,605
Capacity	326	326	326	1,087	N/A	N/A	N/A	372	75	75
Enrollment	113	74	39	6	18	17	N/A	34	56	70
Long Academy (1957)										
Square feet	152,265	152,265	152,265	158,409	158,409	159,945	159,945	178,671	178,671	178,671
Capacity	1,208	1,208	1,208	1,626	1,494	1,494	1,450	1,450	1,200	1,200
Enrollment	723	814	1,180	937	939	878	914	1,013	1,070	1,021

HOUSTON INDEPENDENT SCHOOL DISTRICT

SCHOOL BUILDING INFORMATION - LAST TEN FISCAL YEARS (UNAUDITED)

	Fiscal Year									
	<u>2024</u>	<u>2023</u>	<u>2022</u>	<u>2021</u>	<u>2020</u>	<u>2019</u>	<u>2018</u>	<u>2017</u>	<u>2016</u>	<u>2015</u>
Las Americas (Sq. ft. Housed at Long Academy)										
Square feet	152,265	152,265	152,265	158,409	158,409	159,945	159,945	178,671	178,671	178,671
Capacity	361	361	722	758	600	600	450	450	413	413
Enrollment	333	325	263	245	352	372	243	334	112	305
Mickey Leland College Prep (2017)										
Square feet	135,023	135,023	135,023	140,862	140,862	140,862	140,862	66,902	66,092	66,092
Capacity	882	882	882	950	1,108	1,108	719	719	999	999
Enrollment	285	300	315	454	468	500	479	441	422	435
Sharpstown International School / MS (1969)										
Square feet	189,616	189,616	189,616	182,602	180,298	181,931	180,395	169,643	168,247	168,247
Capacity	1,330	1,330	1,330	1,612	1,590	1,590	1,546	1,546	1,350	1,350
Enrollment	1,275	1,260	1,292	1,252	1,227	1,148	1,090	1,046	1,049	1,010
Young Women's College Prep (1925/2018)										
Square feet	160,060	160,060	160,060	155,045	155,045	155,045	116,757	168,125	168,125	168,125
Capacity	991	991	991	921	1,080	1,080	921	921	1,257	1257
Enrollment	430	392	394	514	512	466	495	579	629	497
Charter										
Community Services / Chatham (1964)										
Square feet	39,404	39,404	39,404	39,404	40,620	40,620	40,620	47,379	47,379	47,379
Capacity	-	-	-	-	115	115	N/A	429	429	429
Enrollment	63	79	108	55	83	134	120	100	83	93
Program										
Jordan, Barbara (1979/2019)										
Square feet	120,500	120,500	120,500	288,366	288,366	119,869	289,134	288,366	287,903	287,903
Capacity	577	650	600	525	525	830	1,905	1,905	1,988	1,988
Enrollment	273	589	490	414	380	190	142	314	551	779

* Campus acquired via annexation of North Forest ISD in 2014.

Note: Changes to square feet are due to new construction, additions or deletions of temporary buildings, and/or adjustments due to a facilities assessment.

2024
ANNUAL COMPREHENSIVE
FINANCIAL REPORT
**COMPLIANCE
SECTION**

FINANCIAL EXCELLENCE
Supporting Academic Success



**Independent Auditor's Report on Internal Control over Financial
Reporting and on Compliance and Other Matters Based on an
Audit of Financial Statements Performed in Accordance
with Government Auditing Standards**

To the School Board of
Houston Independent School District

We have audited, in accordance with auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards* issued by the Comptroller General of the United States, the financial statements of the governmental activities, business-type activities, each major fund, and the aggregate remaining fund information of Houston Independent School District (the District) as of and for the year ended June 30, 2024, and the related notes to the financial statements, which collectively comprise the District's basic financial statements, and have issued our report thereon dated November 7, 2024.

Report on Internal Control over Financial Reporting

In planning and performing our audit of the financial statements, we considered the District's internal control over financial reporting (internal control) to determine the audit procedures that are appropriate in the circumstances for the purpose of expressing our opinions on the financial statements, but not for the purpose of expressing an opinion on the effectiveness of the District's internal control. Accordingly, we do not express an opinion on the effectiveness of the District's internal control.

A *deficiency in internal control* exists when the design or operation of a control does not allow management or employees in the normal course of performing their assigned functions, to prevent, or detect and correct misstatements on a timely basis. A *material weakness* is a deficiency, or a combination of deficiencies, in internal control, such that there is a reasonable possibility that a material misstatement of the entity's financial statements will not be prevented, or detected and corrected on a timely basis. A *significant deficiency* is a deficiency, or a combination of deficiencies, in internal control that is less severe than a material weakness, yet important enough to merit attention by those charged with governance.

Our consideration of internal control over financial reporting was for the limited purpose described in the first paragraph of this section and was not designed to identify all deficiencies in internal control that might be material weaknesses or significant deficiencies. Given these limitations, during our audit we did not identify any deficiencies in internal control that we consider to be material weaknesses. However, material weaknesses or significant deficiencies may exist that were not identified.

Report on Compliance and Other Matters

As part of obtaining reasonable assurance about whether the District's financial statements are free from material misstatement, we performed tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements, noncompliance with which could have a direct and material effect on the financial statements. However, providing an opinion on compliance with those provisions was not an objective of our audit and, accordingly, we do not express such an opinion. The results of our tests disclosed no instances of noncompliance or other matters that are required to be reported under *Government Auditing Standards*.

Weaver and Tidwell, L.L.P.
4400 Post Oak Parkway Suite 1100 | Houston, Texas 77027
Main: 713.850.8787

CPAs AND ADVISORS | WEAVER.COM

The School Board of
Houston Independent School District

Purpose of this Report

The purpose of this report is solely to describe the scope of our testing of internal control and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the entity's internal control or on compliance. This report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the entity's internal control and compliance. Accordingly, this communication is not suitable for any other purpose.

Weaver and Tidwell, L.L.P.

WEAVER AND TIDWELL, L.L.P.

Houston, Texas
November 7, 2024

**Independent Auditor's Report on Compliance for Each Major Federal and State
Program and Report on Internal Control over Compliance
Required by the Uniform Guidance and Texas Grant Management Standards**

To the School Board of
Houston Independent School District

Report on Compliance for Each Major Federal Program and State Program

Opinion on Each Major Federal and State Program

We have audited Houston Independent School District's (the District) compliance with the types of compliance requirements described in the U.S. Office of Management and Budget (OMB) *Compliance Supplement* and the *Texas Grant Management Standards* that could have a direct and material effect on each of the District's major federal and state programs for the year ended June 30, 2024. The District's major federal and state programs are identified in the summary of auditor's results section of the accompanying schedule of findings and questioned costs.

In our opinion, the District complied, in all material respects, with the compliance requirements referred to above that could have a direct and material effect on each of its major federal and state programs for the year ended June 30, 2024.

Basis for Opinion on Each Major Federal and State Program

We conducted our audit of compliance in accordance with auditing standards generally accepted in the United States of America (GAAS); the standards applicable to financial audits contained in *Government Auditing Standards* issued by the Comptroller General of the United States (*Government Auditing Standards*); the audit requirements of Title 2 U.S. Code of Federal Regulations Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* (Uniform Guidance) and the *Texas Grant Management Standards* (TxGMS). Our responsibilities under those standards, the Uniform Guidance and TxGMS are further described in the Auditor's Responsibilities for the Audit of Compliance section of our report.

We are required to be independent of the District and to meet our other ethical responsibilities, in accordance with relevant ethical requirements relating to our audit. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion on compliance for each major federal and state program. Our audit does not provide a legal determination of the District's compliance with the compliance requirements referred to above.

Responsibilities of Management for Compliance

Management is responsible for compliance with the requirements referred to above and for the design, implementation, and maintenance of effective internal control over compliance with the requirements of laws, statutes, regulations, rules and provisions of contracts or grant agreements applicable to the District's federal and state programs.

Weaver and Tidwell, L.L.P.
4400 Post Oak Parkway Suite 1100 | Houston, Texas 77027
Main: 713.850.8787

CPAs AND ADVISORS | WEAVER.COM

Auditor's Responsibilities for the Audit of Compliance

Our objectives are to obtain reasonable assurance about whether material noncompliance with the compliance requirements referred to above occurred, whether due to fraud or error, and express an opinion on the District's compliance based on our audit. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with GAAS, *Government Auditing Standards*, the Uniform Guidance and TxGMS will always detect material noncompliance when it exists. The risk of not detecting material noncompliance resulting from fraud is higher than for that resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Noncompliance with the compliance requirements referred to above is considered material, if there is a substantial likelihood that, individually or in the aggregate, it would influence the judgment made by a reasonable user of the report on compliance about the District's compliance with the requirements of each major federal and state program as a whole.

In performing an audit in accordance with GAAS, *Government Auditing Standards*, the Uniform Guidance and TxGMS, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material noncompliance, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the District's compliance with the compliance requirements referred to above and performing such other procedures as we considered necessary in the circumstances.
- Obtain an understanding of the District's internal control over compliance relevant to the audit in order to design audit procedures that are appropriate in the circumstances and to test and report on internal control over compliance in accordance with the Uniform Guidance and TxGMS, but not for the purpose of expressing an opinion on the effectiveness of the District's internal control over compliance. Accordingly, no such opinion is expressed.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and any significant deficiencies and material weaknesses in internal control over compliance that we identified during the audit.

Report on Internal Control over Compliance

A *deficiency in internal control over compliance* exists when the design or operation of a control over compliance does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, noncompliance with a type of compliance requirement of a federal or state program on a timely basis. A *material weakness in internal control over compliance* is a deficiency, or a combination of deficiencies, in internal control over compliance, such that there is a reasonable possibility that material noncompliance with a type of compliance requirement of a federal or state program will not be prevented, or detected and corrected, on a timely basis. A *significant deficiency in internal control over compliance* is a deficiency, or a combination of deficiencies, in internal control over compliance with a type of compliance requirement of a federal or state program that is less severe than a material weakness in internal control over compliance, yet important enough to merit attention by those charged with governance.

The School Board of
Houston Independent School District

Our consideration of internal control over compliance was for the limited purpose described in the Auditor's Responsibilities for the Audit of Compliance section above and was not designed to identify all deficiencies in internal control over compliance that might be material weaknesses or significant deficiencies in internal control over compliance. Given these limitations, during our audit we did not identify any deficiencies in internal control over compliance that we consider to be material weaknesses, as defined above. However, material weaknesses or significant deficiencies in internal control over compliance may exist that were not identified.

Our audit was not designed for the purpose of expressing an opinion on the effectiveness of internal control over compliance. Accordingly, no such opinion is expressed.

The purpose of this report on internal control over compliance is solely to describe the scope of our testing of internal control over compliance and the results of that testing based on the requirements of the Uniform Guidance and TxGMS. Accordingly, this report is not suitable for any other purpose.

Weaver and Tidwell, L.L.P.

WEAVER AND TIDWELL, L.L.P.

Houston, Texas
November 7, 2024

Houston Independent School District
Schedule of Findings and Questioned Costs
For the Fiscal Year Ended June 30, 2024

Section I. Summary of Auditor's Results

Financial Statements

Type of auditor's report issued	Unmodified
Internal control over financial reporting:	
Material weakness(es) identified?	No
Significant deficiency(ies) identified not considered to be material weaknesses?	None Reported
Noncompliance material to financial statements noted?	No

Federal and State Awards

Internal control over major programs:	
Material weakness(es) identified?	No
Significant deficiency(ies) identified not considered to be material weaknesses?	None Reported
Type of auditor's report issued on compliance for major programs	Unmodified
Any audit findings disclosed that are required to be reported in accordance with 2 CFR 200.516(a) of Uniform Guidance and Texas Grant Management Standards?	No

Houston Independent School District

Schedule of Findings and Questioned Costs - Continued
For the Fiscal Year Ended June 30, 2024

Identification of Major Federal Programs

<u>Assistance Listing Number(s)</u>	<u>Name of Federal Program or Cluster</u>
10.553, 10.555, 10.559, 10.582	Child Nutrition Cluster
10.558	Child and Adult Care Food Program
84.027A, 84.173A	Special Education Cluster
84.287C	Twenty-First Century Community Learning Centers
84.048A	Career and Technical Education Basic Grants to State

Identification of Major State Programs

<u>Identifying Number(s)</u>	<u>Name of State Program</u>
03002301	School Lunch Matching
Dollar threshold used to distinguish between Type A and Type B federal programs	\$3,000,000
Dollar threshold used to distinguish between Type A and Type B state programs	\$750,000
Auditee qualified as low-risk auditee?	Yes



HOUSTON INDEPENDENT SCHOOL DISTRICT
Schedule of Findings and Questioned Costs
Year Ended June 30, 2024

Section II - Findings Related to Financial Statements

None reported

Section III – Federal and State Award Findings and Questioned Costs

None reported

HOUSTON INDEPENDENT SCHOOL DISTRICT

Status of Prior Year Audit Findings
JUNE 30, 2023

Section V – Findings Related to Financial Statements

2023-001:

Significant Deficiency in Internal Control over Financial Reporting: Accounts Payable

Status: Complete

HOUSTON INDEPENDENT SCHOOL DISTRICT

HOUSTON INDEPENDENT SCHOOL DISTRICT SCHEDULE OF EXPENDITURES OF FEDERAL AWARDS FOR THE FISCAL YEAR ENDED JUNE 30, 2024

Pass-Through Entity Identifying Number	Federal Grantor/ Pass-Through Grantor/ Program or Cluster Title	Assistance Listing Number	Federal Expenditures
<u>U.S. DEPARTMENT OF AGRICULTURE—FOOD AND NUTRITION SERVICE</u>			
71402401	Pass-Through Texas Education Agency:		
	School Breakfast Program - Cash Assistance	10.553	\$ 32,718,890
71302401	National School Lunch Program - Cash Assistance	10.555	77,874,047 *
	Total Pass-Through Texas Education Agency		110,592,937
806780706	Pass-Through Texas Department of Agriculture:		
	National School Lunch Program - Non-Cash Assistance (Commodities)	10.555	9,149,756 *
806780706	Supply Chain Assistance	10.555	6,704,440 *
			15,854,196
806780706	Fresh Fruits and Vegetables Program - Cash Assistance	10.582	2,866,526
806780706	Summer Food Service Program for Children - Cash Assistance	10.559	1,073,459
	Total Child Nutrition Cluster		130,387,118
806780706	Child and Adult Care Food Program - Cash Assistance	10.558	4,783,735
	Total Pass-Through Texas Department of Agriculture		24,577,916
	Total U.S. Department of Agriculture—Food and Nutrition Service		135,170,853
<u>U.S. DEPARTMENT OF AGRICULTURE—NATIONAL RESOURCES CONSERVATION SERVICE</u>			
NR237442XXXXG003	Direct Program:		
	Environmental Quality Incentives Program	10.912	192,693
	Total U.S. Department of Agriculture—National Resources Conservation Service		192,693
<u>ENVIRONMENTAL PROTECTION AGENCY</u>			
008609	Direct Program:		
	Clean School Bus Rebates	N/A	600,000
	Total Environmental Protection Agency		600,000
<u>U.S. DEPARTMENT OF DEFENSE</u>			
N/A	Direct Program:		
	JROTC Career Academy	12.000	1,893,405
	Total U.S. Department of Defense		1,893,405
<u>U.S. DEPARTMENT OF HOUSING AND URBAN DEVELOPMENT</u>			
B-22-CP-TX-0885	Direct Program:		
	Economic Development Initiative, Community Project Funding, and Miscellaneous Grants	14.251	469,678
	Total US Department of Housing and Urban Development		469,678
<u>U.S. DEPARTMENT OF JUSTICE</u>			
15PBJA-21-GG-04459-BWCX	Pass-Through Office of Justice Programs:		
	Body Worn Camera Policy and Implementation	16.835	70,794
2020-YS-BX-0100	STOP School Violence	16.839	27,553
	Total Pass-Through Office of Justice Programs		98,347
	Total U.S. Department of Justice		98,347
<u>U.S. DEPARTMENT OF LABOR</u>			
213933017110009	Pass-Through Texas Education Agency:		
	Workforce Innovation and Opportunity Act (WIOA) Cluster:		
	Workforce Innovation and Opportunity Act, Adult Programs	17.258	14,198
	Total Pass-Through Texas Education Agency		14,198
	Total U.S. Department of Labor		14,198

HOUSTON INDEPENDENT SCHOOL DISTRICT

HOUSTON INDEPENDENT SCHOOL DISTRICT SCHEDULE OF EXPENDITURES OF FEDERAL AWARDS FOR THE FISCAL YEAR ENDED JUNE 30, 2024

<u>Pass-Through Entity Identifying Number</u>	<u>Federal Grantor/ Pass-Through Grantor/ Program or Cluster Title</u>	<u>Assistance Listing Number</u>	<u>Federal Expenditures</u>
	<u>LIBRARY OF CONGRESS</u>		
GA21C0097	Direct Program: Teaching with Primary Sources	42.010	40,415
	Total Library of Congress		40,415
	<u>NATIONAL AERONAUTICS AND SPACE ADMINISTRATION</u>		
80NSSC23K0601	Direct Program: Mission Support	43.009	552,369
	Total National Aeronautics and Space Administration		552,369
	<u>NATIONAL ENDOWMENT FOR THE ARTS</u>		
1905192-51-23	Direct Program: Promotion of the Arts Grants to Organizations and Individuals	45.024	26,807
	Total National Endowment for the Arts		26,807
	<u>U.S. DEPARTMENT OF EDUCATION</u>		
U165A170059	Direct Programs: Magnet Schools Assistance	84.165A	32,918
U215J180032	Full-Service Community Schools	84.215J	515,418
S215K220012	Promise Neighborhoods	84.215K	18,683
S215K230080	Promise Neighborhoods	84.215K	1,001,943
	Subtotal for Program		1,536,044
	Total Direct Programs		1,568,962
	Pass-Through Texas Education Agency:		
23610101101912	Title I Grants to Local Educational Agencies	84.010A	1,934,906
24610101101912	Title I Grants to Local Educational Agencies	84.010A	163,787,198
23610103101912	Title I Grants to Local Educational Agencies	84.010A	10,082
24610103101912	Title I Grants to Local Educational Agencies	84.010A	178,505
23610141101912	Title I Grants to Local Educational Agencies	84.010A	212
24610141101912	Title I Grants to Local Educational Agencies	84.010A	158,364
226101647110012	Title I Grants to Local Educational Agencies	84.010A	(3,288)
236101587110002	Title I Grants to Local Educational Agencies	84.010A	346,969
236101587110001	Title I Grants to Local Educational Agencies	84.010A	323,827
23610137101912	Title I Grants to Local Educational Agencies	84.010A	460,752
246101397110053	Title I Grants to Local Educational Agencies	84.010A	45,000
	Total Title I Part A, Part D and Title I 1003		167,242,527
236600011019126600	Special Education Cluster (IDEA): Special Education-Grants to States	84.027A	1,245,020
246600011019126600	Special Education-Grants to States	84.027A	57,532,643
	Subtotal for Program		58,777,663
66002406	Special Education-Grants to States	84.027A	198,711
	Subtotal for Program		198,711
225350021019125350	COVID-19 – Special Education-Grants to State	84.027X	(6,041)
	Subtotal for Program		(6,041)
236610011019126610	Special Education-Preschool Grants	84.173A	29,732
246610011019126610	Special Education-Preschool Grants	84.173A	341,544
	Subtotal for Program		371,276
225360021019125360	COVID-19 – Special Education-Preschool Grants	84.173X	96,111
	Subtotal for Program		96,111
	Total Special Education Cluster (IDEA)		59,437,720 ***

HOUSTON INDEPENDENT SCHOOL DISTRICT

**HOUSTON INDEPENDENT SCHOOL DISTRICT
SCHEDULE OF EXPENDITURES OF FEDERAL AWARDS
FOR THE FISCAL YEAR ENDED JUNE 30, 2024**

<u>Pass-Through Entity Identifying Number</u>	<u>Federal Grantor/ Pass-Through Grantor/ Program or Cluster Title</u>	<u>Assistance Listing Number</u>	<u>Federal Expenditures</u>
23615001101912	Migrant Education-State Grant Program	84.011A	1,502
24615001101912	Migrant Education-State Grant Program	84.011A	394,052
	Subtotal for Program		<u>395,554</u>
23420006101912	Career and Technical Education Basic Grants to State	84.048A	342,418
24420006101912	Career and Technical Education Basic Grants to State	84.048A	2,784,837
	Subtotal for Program		<u>3,127,255</u>
234600057110039	Education for Homeless Children and Youth	84.196A	48,849
244600057110046	Education for Homeless Children and Youth	84.196A	242,977
	Subtotal for Program		<u>291,826</u>
236950267110024	Twenty-First Century Community Learning Centers	84.287C	48,700
236950307110028	Twenty-First Century Community Learning Centers	84.287C	16,953
246950307110028	Twenty-First Century Community Learning Centers	84.287C	1,386,737
246950337110039	Twenty-First Century Community Learning Centers	84.287C	1,595,241
	Subtotal for Program		<u>3,047,631 **</u>
23671001101912	English Language Acquisition State Grants	84.365A	132,065
24671001101912	English Language Acquisition State Grants	84.365A	12,029,441
24671003101912	English Language Acquisition State Grants	84.365A	1,482,814
	Subtotal for Program		<u>13,644,320</u>
23694501101912	Supporting Effective Instruction State Grants	84.367A	1,133,413
24694501101912	Supporting Effective Instruction State Grants	84.367A	12,726,232
236945677110005	Supporting Effective Instruction State Grants	84.367A	750,000
	Subtotal for Program		<u>14,609,645</u>
69552302	Grants for State Assessments	84.369A	47,023
	Subtotal for Program		<u>47,023</u>
23680101101912	Student Support and Academic Enrichment Program	84.424A	1,251,446
24680101101912	Student Support and Academic Enrichment Program	84.424A	11,672,903
	Subtotal for Program		<u>12,924,349</u>
21521001101912	COVID-19 – Elementary and Secondary School Emergency Relief Fund (ESSER II)	84.425D	3,594,277
	Subtotal for Program		<u>3,594,277</u>
21528001101912	COVID-19 – Elementary and Secondary School Emergency Relief Fund (ARP ESSER III)	84.425U	309,914,523
21528042101912	COVID-19 – Elementary and Secondary School Emergency Relief Fund (ARP ESSER III)	84.425U	740,907
215280587110070	COVID-19 – Elementary and Secondary School Emergency Relief Fund (ARP ESSER III)	84.425U	430,088
	Subtotal for Program		<u>311,085,518</u>
215330017110039	COVID-19 – Elementary and Secondary School Emergency Relief Fund (ARP ESSER III)	84.425W	61,645
21533002101912	COVID-19 – Elementary and Secondary School Emergency Relief Fund (ARP ESSER III)	84.425W	2,176,460
	Subtotal for Program		<u>2,238,105</u>
	Total Pass-Through Texas Education Agency		<u>591,685,750</u>
	Pass-Through Education Service Center:		
3153-93-878	Special Education-Grants to State	84.027A	14,488
3154-93-878	Special Education-Grants to State	84.027A	165,350
	Total Pass-Through Education Service Center		<u>179,838 ***</u>
	Pass-Through Harris County Department of Education:		
246950337110049	Twenty-First Century Community Learning Centers	84.287C	163,611
246950307110026	Twenty-First Century Community Learning Centers	84.287C	36,159
	Total Pass-Through Harris County Department of Education		<u>199,770 **</u>
M2400952/S336S220055	Pass-Through Prairie View A&M University		
	Teacher Quality Partnership Grants	84.336S	427,500
	Total Pass-Through Prairie View A&M University		<u>427,500</u>
	Pass-Through New Teacher Center:		
U411A190003	Education Innovation and Research Grants- Expansion Grants	84.411A	190
	Total Pass-Through New Teacher Center		<u>190</u>
	Total U.S. Department of Education		<u>594,062,010</u>

HOUSTON INDEPENDENT SCHOOL DISTRICT

HOUSTON INDEPENDENT SCHOOL DISTRICT SCHEDULE OF EXPENDITURES OF FEDERAL AWARDS FOR THE FISCAL YEAR ENDED JUNE 30, 2024

<u>Pass-Through Entity Identifying Number</u>	<u>Federal Grantor/ Pass-Through Grantor/ Program or Cluster Title</u>	<u>Assistance Listing Number</u>	<u>Federal Expenditures</u>
	<u>U.S. DEPARTMENT OF HEALTH AND HUMAN SERVICES</u>		
	Direct Programs:		
NU87PS004356	Cooperative Agreements to Promote Adolescent Health through School-Based HIV/STD Prevention and School-Based Surveillance	93.079	427,797
NU87PS004356C3	COVID-19 – Cooperative Agreements to Promote Adolescent Health through School-Based HIV/STD Prevention and School-Based Surveillance	93.079	175,844
	Total Direct Programs		603,641
4600017358/2022-0612	Pass-Through City of Houston Health Department: COVID-19 – Public Health Workforce	93.354	155,400
	Total Pass-Through City of Houston Health Department		155,400
RS12022DISD/2202TXRSSS 2402TXRSSS	Pass-Through United States Conference of Catholic Bishops: Refugee and Entrant Assistance State/Replacement Designee Administered Programs	93.566	79,105
	Refugee and Entrant Assistance State/Replacement Designee Administered Programs	93.566	596,643
	Total Pass-Through United States Conference of Catholic Bishops		675,748
183914017110001	Pass-Through University of Texas Health Science Center at Houston: Child Care and Development Fund (CCDF) Cluster: Child Care and Development Block Grant	93.575	903
	Total Pass-Through University of Texas Health Science Center at Houston		903
2823CCMC24	Pass-Through Harris County Department of Education: Child Care and Development Fund (CCDF) Cluster: Child Care Mandatory & Matching Funds of the Child Care and Development Fund	93.596	196,822
	Total Pass-Through Harris County Department of Education		196,822
HHS000537900248	Pass-Through Health and Human Services Commission: Medicaid Cluster: Medicaid Administrative Claiming (MAC)	93.778	929,859
	Total Pass-Through Health and Human Services Commission		929,859
HHS001105400006 HHS001105400006/2024-01	Pass-Through Texas Department of Family and Protective Services: Maternal, Infant and Early Childhood Home Visiting Grant	93.870	146,758
	Maternal, Infant and Early Childhood Home Visiting Grant	93.870	990,089
	Total Pass-Through Texas Department of Family and Protective Services		1,136,847
	Total U.S. Department of Health and Human Services		3,699,220
	<u>U.S. DEPARTMENT OF HOMELAND SECURITY—FEDERAL EMERGENCY MANAGEMENT AGENCY</u>		
PA-06-TX-4485-PW-00309	Pass-Through Texas Division of Emergency Management COVID-19 – Disaster Grants - Public Assistance (Presidentially Declared Disasters)	97.036	(141,600)
	Total U.S. Department of Homeland Security—Federal Emergency Management Agency		(141,600)
	TOTAL EXPENDITURES OF FEDERAL FINANCIAL ASSISTANCE		\$ 736,678,395
	*Total for Assistance Listing	10.555	\$ 93,728,243
	**Total for Assistance Listing	84.287C	\$ 3,247,401
	***Total for Special Education Cluster		\$ 59,617,558

The notes to the Schedule of Expenditures of Federal and State Awards are an integral part of this schedule.

(Concluded)

HOUSTON INDEPENDENT SCHOOL DISTRICT

HOUSTON INDEPENDENT SCHOOL DISTRICT SCHEDULE OF EXPENDITURES OF STATE AWARDS FOR THE FISCAL YEAR ENDED JUNE 30, 2024

Pass-Through Entity Identifying Number	Grantor/ Pass-Through Grantor/ Program Title	State Expenditures
HHS001105400006	TEXAS DEPARTMENT OF FAMILY AND PROTECTIVE SERVICES	
	Texas Home Visit Program	\$ 2,016.00
HHS001105400006/2024-01	Texas Home Visit Program	240,835
	Total Texas Department of Family and Protective Services	<u>242,851</u>
	CANCER PREVENTION AND RESEARCH INSTITUTE OF TEXAS	
	Pass-Through the University of Texas Health Science Center at Houston:	
PP170046	University of Texas Health Science Center at Houston-HPV Program	19,844
	Total Cancer Prevention and Research Institute of Texas	<u>19,844</u>
	TEXAS DEPARTMENT OF AGRICULTURE	
3002401	School Lunch Matching	458,239
	Total Texas Department of Agriculture	<u>458,239</u>
	TEXAS A&M UNIVERSITY ENGINEERING EXPERIMENT STATION	
N/A	High School Aerospace Scholars Pilot Program	4,381
	Total Texas A&M University Engineering Experiment Station	<u>4,381</u>
	TEXAS OFFICE OF THE GOVERNOR – CRIMINAL JUSTICE DIVISION	
4033403/2023-TP-ST-0002	Equity and Outreach Juvenile Justice and Truancy Prevention Project	27,282
	Total Texas of the Governor – Criminal Justice Division	<u>27,282</u>
	TEXAS PARKS AND WILDLIFE DEPARTMENT	
52-000817	Texas Parks & Wildlife Project Adventure Outdoors & Recreation	41,776
	Total Texas Parks & Wildlife Project Adventure Outdoors & Recreation	<u>41,776</u>
	TEXAS COMPTROLLER OF PUBLIC ACCOUNTS	
N/A	Law Enforcement Officer Standards and Education	24,448
	Total Texas Comptroller of Public Accounts	<u>24,448</u>
	PRAIRIE VIEW A&M UNIVERSITY	
2021-0059515	The Vision Community Statue Project – Booker T. Washington High School	204,210
	Total Prairie View A&M University	<u>204,210</u>
	TOTAL EXPENDITURES OF STATE FINANCIAL ASSISTANCE	<u>\$ 1,023,031</u>

The notes to the Schedule of Expenditures of Federal and State Awards are an integral part of this schedule.

(Concluded)



HOUSTON INDEPENDENT SCHOOL DISTRICT
Notes to Schedule of Expenditures of Federal and State Awards
June 30, 2024

1. The Houston Independent School District (the "District") utilizes the funds specified in the Texas Education Agency Financial Accountability System Resource Guide. The information in the Schedule of Expenditures of Federal Awards (SEFA) is presented in accordance with the requirements of the Uniform Guidance and the Schedule of Expenditures of State Awards (SESA) is presented in accordance with the requirements of Texas Grant Management Standards.

The Special Revenue Fund is used to account for resources restricted to, or designated for, specific purposes by a grantor. Federal and state financial assistance generally is accounted for in a Special Revenue Fund. Generally, unused balances are returned to the grantor at the close of specified project periods.

2. The accounting and financial reporting treatment applied to a fund is determined by its measurement focus. The governmental funds are accounted for using a current-financial-resources measurement focus. All federal and state grant funds are accounted for in the Special Revenue Fund, a component of the governmental funds. With this measurement focus, only current assets and current liabilities, generally, are included on the balance sheet. Operating statements of these funds present increases (i.e., revenues and other financing sources) and decreases (i.e., expenditures and other financing uses) in net current assets.

The modified-accrual basis of accounting is used for the governmental funds. This basis of accounting recognizes revenues in the accounting period in which they become both measurable and available and expenditures in the accounting period in which the fund liability is incurred, except that principal and interest on general long-term debt are recognized when due.

National School Lunch Program and Summer Food Service Program non-cash commodities are recorded at their estimated market value at the time of donation.

Federal and state grant funds are considered to be earned when all eligibility requirements have been met. Any excess of revenues or expenditures is recorded as unearned revenues or accounts receivable, respectively.

3. The period of availability for federal funds for the purpose of liquidating all financial obligations incurred on or before the ending date of the federal project period extended 120 calendar days beyond the federal project period ending date as specified in the terms and conditions (2 CFR section 200.344(b)).
4. The disbursement of funds received under federal grant programs generally requires compliance with terms and conditions specified in the grant agreements and is subject to audit by the grantor agencies. Any disallowed claims resulting from such audits could become a liability of the General Fund. In the opinion of management, such disallowed claims, if any, will not have a material effect on any of the financial statements of the individual fund types or on the overall financial position of the District at June 30, 2024.

Total Expenditures of Federal Financial Assistance	\$	736,678,395
Public Assistance Grants (ALN 97.036) DR-4485		26,325,392
COVID-19 Emergency Connectivity Fund (ALN 32.009)		12,399,077

Additional federal revenue reported:		
Interest Subsidy on Build America & Qualified School Construction Bonds		4,432,143
School Health and Related Services (SHARS)		<u>3,286,676</u>
Total Federal Revenues Reported	\$	<u>783,121,683</u>

5. The District has elected not to use the 10-percent de minimis indirect cost as allowed under the Uniform Guidance.
6. Indirect costs in the amount of \$476,963 from the prior fiscal year are included in the Schedule of Expenditures of Federal Awards.



CONTROLLER'S OFFICE

FINANCIAL EXCELLENCE
Supporting Academic Success



APPENDIX B

FORM OF BOND COUNSEL OPINION

(THIS PAGE LEFT BLANK INTENTIONALLY)

July 31, 2025

Houston Independent School District
Variable Rate Maintenance Tax Notes, Series 2025A

Ladies and Gentlemen:

We have acted as bond counsel to the Houston Independent School District (the “District”) in connection with the issuance of \$114,390,000 aggregate principal amount of notes designated as “Houston Independent School District Variable Rate Maintenance Tax Notes, Series 2025A” (the “Notes”). The Notes are authorized by a resolution adopted by the School Board of the District (the “Board”) on May 8, 2025 (the “Resolution”). Capitalized terms not otherwise defined herein shall have the meanings ascribed thereto in the Resolution.

In such connection, we have reviewed the Resolution, the tax certificate of the District dated the date hereof (the “Tax Certificate”), certificates of the District and others, and such other documents, opinions and matters to the extent we deemed necessary to render the opinions set forth herein.

The opinions expressed herein are based on an analysis of existing laws, regulations, rulings and court decisions and cover certain matters not directly addressed by such authorities. Such opinions may be affected by actions taken or omitted or events occurring after the original delivery of the Notes on the date hereof. We have not undertaken to determine, or to inform any person, whether any such actions are taken or omitted or events do occur or any other matters come to our attention after the original delivery of the Notes on the date hereof. Accordingly, this letter speaks only as of its date and is not intended to, and may not, be relied upon or otherwise used in connection with any such actions, events or matters. Our engagement with respect to the Notes has concluded with their issuance, and we disclaim any obligation to update this letter. We have assumed the genuineness of all documents and signatures presented to us (whether as originals or as copies) and the due and legal execution and delivery thereof by, and validity against, any parties other than the District. We have assumed, without undertaking to verify, the accuracy of the factual matters represented, warranted or certified in the documents referred to in the second paragraph hereof. Furthermore, we have assumed compliance with all covenants and agreements contained in the Resolution and the Tax Certificate, including (without limitation) covenants and agreements compliance with which is necessary to assure that future actions, omissions or events will not cause interest on the Notes to be included in gross income for federal income tax purposes. We call attention to the fact that the rights and obligations under the Notes, the Resolution and the Tax Certificate and their enforceability may be subject to bankruptcy, insolvency, receivership, reorganization, arrangement, fraudulent conveyance, moratorium and other laws relating to or affecting creditors’ rights, to the application of equitable principles, to the exercise of judicial discretion in appropriate cases, and to the limitations on legal remedies against issuers in the State of Texas. We express no opinion with respect to any indemnification, contribution, liquidated damages, penalty (including any remedy deemed to constitute a penalty), right of set-off, arbitration, choice of law, choice of forum, choice of venue, non-exclusivity of remedies, waiver or severability provisions contained in the foregoing documents. Our services did not include financial or other non-legal advice. Finally, we undertake no responsibility for the accuracy, completeness or fairness of the Preliminary Official Statement or Official Statement or other offering material relating to the Notes and express no opinion with respect thereto.

Based on and subject to the foregoing, and in reliance thereon, as of the date hereof, we are of the following opinions:

1. The Notes constitute the valid and binding obligations of the District.
2. The Board has power and is obligated to levy an annual ad valorem maintenance and operations tax, within the limits prescribed by law, upon taxable property located within the District, which taxes have been pledged irrevocably to pay the principal of and interest on the Notes.
3. Interest on the Notes is excluded from gross income for federal income tax purposes under Section 103 of the Internal Revenue Code of 1986. Interest on the Notes is not a specific preference item for purposes of the federal individual alternative minimum tax. Interest on the Notes included in adjusted financial statement income of certain corporations is not excluded from the federal corporate alternative minimum tax. We express no opinion regarding other tax consequences related to the ownership or disposition of, or the amount, accrual or receipt of interest on, the Notes.

Very truly yours,

JACKSON WALKER LLP

APPENDIX C

BOOK-ENTRY-ONLY SYSTEM

(THIS PAGE LEFT BLANK INTENTIONALLY)

BOOK-ENTRY-ONLY SYSTEM

This appendix describes how ownership of the Notes is to be transferred and how the principal of, premium, if any, and interest on the Notes are to be paid to and accredited by DTC while the Notes are registered in its nominee name. The information in this appendix concerning DTC and the book-entry-only system has been provided by DTC for use in disclosure documents such as this Official Statement. The District, the Underwriters and the Financial Advisor believe the source of such information to be reliable, but take no responsibility for the accuracy or completeness thereof.

The District cannot and does not give any assurance that (1) DTC will distribute payments of debt service on the Notes or redemption or other notices, to DTC Participants, (2) DTC Participants or others will distribute debt service payments paid to DTC or its nominee (as the registered owner of the Notes), or other notices, to the Beneficial Owners, or that they will do so on a timely basis, or (3) DTC will serve and act in the manner described in this Official Statement. The current rules applicable to DTC are on file with the United States Securities and Exchange Commission, and the current procedures of DTC to be followed in dealing with DTC Participants are on file with DTC.

DTC will act as securities depository for the Notes. The Notes will be issued as fully-registered securities registered in the name of Cede & Co. (DTC's partnership nominee) or such other name as may be requested by an authorized representative of DTC. One fully-registered certificate will be issued for each stated maturity of the Notes, in the aggregate principal amount of such issue, and will be deposited with DTC.

DTC, the world's largest securities depository, is a limited-purpose trust company organized under the New York Banking Law, a "banking organization" within the meaning of the New York Banking Law, a member of the Federal Reserve System, a "clearing corporation" within the meaning of the New York Uniform Commercial Code, and a "clearing agency" registered pursuant to the provisions of Section 17A of the Securities Exchange Act of 1934. DTC holds and provides asset servicing for over 3.5 million issues of U.S. and non-U.S. equity issues, corporate and municipal debt issues, and money market instruments (from over 100 countries) that DTC's participants ("Direct Participants") deposit with DTC. DTC also facilitates the post-trade settlement among Direct Participants of sales and other securities transactions in deposited securities, through electronic computerized book-entry transfers and pledges between Direct Participants' accounts. This eliminates the need for physical movement of securities certificates. Direct Participants include both U.S. and non-U.S. securities brokers and dealers, banks, trust companies, clearing corporations, and certain other organizations. DTC is a wholly-owned subsidiary of The Depository Trust & Clearing Corporation ("DTCC"). DTCC is the holding company for DTC, National Securities Clearing Corporation and Fixed Income Clearing Corporation, all of which are registered clearing agencies. DTCC is owned by the users of its regulated subsidiaries. Access to the DTC system is also available to others such as both U.S. and non-U.S. securities brokers and dealers, banks, trust companies, and clearing corporations that clear through or maintain a custodial relationship with a Direct Participant, either directly or indirectly ("Indirect Participants"). DTC has a S&P Global Ratings rating of "AA+." The DTC Rules applicable to its Participants are on file with the Securities and Exchange Commission. More information about DTC can be found at www.dtcc.com.

Purchases of Notes under the DTC system must be made by or through Direct Participants, which will receive a credit for the Notes on DTC's records. The ownership interest of each actual purchaser of each Bond ("Beneficial Owner") is in turn to be recorded on the Direct and Indirect Participants' records. Beneficial Owners will not receive written confirmation from DTC of their purchase. Beneficial Owners are, however, expected to receive written confirmations providing details of the transaction, as well as periodic statements of their holdings, from the Direct or Indirect Participant through which the Beneficial Owner entered into the transaction. Transfers of ownership interests in the Notes are to be accomplished by entries made on the books of Direct and Indirect Participants acting on behalf of Beneficial Owners. Beneficial Owners will not receive certificates representing their ownership interests in Notes except in the event that use of the book-entry system for the Notes is discontinued.

To facilitate subsequent transfers, all Notes deposited by Direct Participants with DTC are registered in the name of DTC's partnership nominee, Cede & Co., or such other name as may be requested by an authorized representative of DTC. The deposit of Notes with DTC and their registration in the name of Cede & Co. or such other DTC nominee do not effect any change in beneficial ownership. DTC has no knowledge of the actual Beneficial Owners of the Notes; DTC's records reflect only the identity of the Direct Participants to whose accounts such Notes are credited, which may or may not be the Beneficial Owners. The Direct and Indirect Participants will remain responsible for keeping account of their holdings on behalf of their customers.

Conveyance of notices and other communications by DTC to Direct Participants, by Direct Participants to Indirect Participants, and by Direct Participants and Indirect Participants to Beneficial Owners will be governed by arrangements among them, subject to any statutory or regulatory requirements as may be in effect from time to time. Beneficial Owners of Notes may wish to take certain steps to augment the transmission to them of notices of significant events with respect to the Notes, such as redemptions, tenders, defaults, and proposed amendments to the Notes documents. For example, Beneficial Owners of Notes may wish to ascertain that the nominee holding the Notes for their benefit has agreed to obtain and transmit notices to Beneficial Owners. In the alternative, Beneficial Owners may wish to provide their names and addresses to the registrar and request that copies of notices be provided directly to them.

Redemption notices shall be sent to DTC. If less than all of the Notes within an issue are being redeemed, DTC's practice is to

determine by lot the amount of the interest of each Direct Participant in such issue to be redeemed.

Neither DTC nor Cede & Co. (nor any other DTC nominee) will consent or vote with respect to Notes unless authorized by a Direct Participant in accordance with DTC's MMI Procedures. Under its usual procedures, DTC mails an Omnibus Proxy to the District as soon as possible after the record date. The Omnibus Proxy assigns Cede & Co.'s consenting or voting rights to those Direct Participants to whose accounts Notes are credited on the record date (identified in a listing attached to the Omnibus Proxy).

Redemption proceeds, principal and interest payments on the Notes will be made to Cede & Co., or such other nominee as may be requested by an authorized representative of DTC. DTC's practice is to credit Direct Participants' accounts upon DTC's receipt of funds and corresponding detail information from the District or Paying Agent/Registrar, on payable date in accordance with their respective holdings shown on DTC's records. Payments by Participants to Beneficial Owners will be governed by standing instructions and customary practices, as is the case with securities held for the accounts of customers in bearer form or registered in "street name," and will be the responsibility of such Participant and not of DTC, Paying Agent/Registrar, or the District, subject to any statutory or regulatory requirements as may be in effect from time to time. Payment of redemption proceeds, principal and interest payments to Cede & Co. (or such other nominee as may be requested by an authorized representative of DTC) is the responsibility of District or Paying Agent/Registrar, disbursement of such payments to Direct Participants will be the responsibility of DTC, and disbursement of such payments to the Beneficial Owners will be the responsibility of Direct and Indirect Participants.

A Beneficial Owner shall give notice to elect to have its Notes purchased or tendered, through its Participant, to the Tender Agent, and shall effect delivery of such Notes by causing the Direct Participant to transfer the Participant's interest in the Notes, on DTC's records, to the Tender Agent. The requirement for physical delivery of Notes in connection with an optional tender or a mandatory purchase will be deemed satisfied when the ownership rights in the Notes are transferred by Direct Participants on DTC's records and followed by a book-entry credit of tendered Notes to the Tender Agent's DTC account.

DTC may discontinue providing its services as depository with respect to the Notes at any time by giving reasonable notice to the District or Tender Agent. Under such circumstances, in the event that a successor depository is not obtained, Bond certificates are required to be printed and delivered.

The District may decide to discontinue use of the system of book-entry-only transfers through DTC (or a successor securities depository). In that event, Bond certificates will be printed and delivered to DTC.

The information in this appendix concerning DTC and DTC's book-entry system has been obtained from sources that the District, the Underwriters and the Financial Advisor believe to be reliable, but the District, the Underwriters, and the Financial Advisor take no responsibility for the accuracy thereof.

Use of Certain Terms in Other Sections of this Official Statement. In reading this Official Statement it should be understood that while the Notes are in the book-entry-only system, references in other sections of this Official Statement to registered owners should be read to include the person for which the Participant acquires an interest in the Notes, but (i) all rights of ownership must be exercised through DTC and the book-entry-only system, and (ii) except as described above, notices that are to be given to registered owners under the Resolution will be given only to DTC. Information concerning DTC and the book-entry-only system has been obtained from DTC and is not guaranteed as to accuracy or completeness by, and is not to be construed as a representation by the District, the Financial Advisor or the Underwriters.

Effect of Termination of Book-Entry-Only System. In the event that the book-entry-only system is discontinued by DTC or the use of the book-entry-only system is discontinued by the District, printed Notes will be issued to the holders and the Notes will be subject to transfer, exchange and registration provisions as set forth in the Resolution and summarized under "THE NOTES - TRANSFER, EXCHANGE AND REGISTRATION" in the Official Statement.

**Financial Advisory Services
Provided By**

ESTRADA  HINOJOSA
INVESTMENT BANKERS